

L T Foods (LTFOODS)

Conference call transcripts, oldest-first. 15 call(s). Generated 2026-08-02.

Call: Nov 2022

Ref-LTF/ SE/ 2022-23/ Date: 5th November, 2022

To,
The Bombay Stock Exchange (BSE Limited)
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Sub: Transcript of Earning Conference Call for the Q2 FY 23.

Ref. Code: 532783. Scrip ID: DAAWAT

Dear Sir/Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings conference call organised on 1st November, 2022 post declaration of Financial Results for quarter and period ended 30th September, 2022.

You are requested to take the same on your record.

Thanking You,

Yours truly,
For LT Foods Limited

Monika Chawla Jaggia
Company Secretary
Membership No. F5150

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Call: May 2023

Ref-LTF/ SE/ 202 3-24/ Date: 24th May, 2023

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: Daawat .

Sub: Transcript of Earning Call for the quarter and financial year ended 31st March , 2023

In continuation to our earlier letter dated 15th May , 2023, filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company , to discuss the Audited Financial results of the Company for the quarter and financial year ended 31st March, 2023, scheduled for Thursday , 18th May , 2023 at 16:00 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer

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“LT Foods Limited
Q4 FY’23 Post Result Earnings Conference Call”
May 18, 2023

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER – LT
FOODS LIMITED
MS. MONIKA CHAWLA JAGGIA – VICE PRESIDENT –

FINANCE & STRATEGY – LT FOODS LIMITED
MR. SACHIN GUPTA – CHIEF FINANCIAL
OFFICER – LT FOODS LIMITED

MODERATOR : MR. SUMANT KUMAR – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the LT Foods Q4 FY'23 Earnings Conference Call, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumant Kumar from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Sumant Kumar : Thank you. Good afternoon, everyone, and a very warm welcome to LT Food Q4 FY'23 post result e arnings, earnings call hosted by Motilal Oswal Financial Services Limited. On the call today, we have management team being represented by Mr. Ashwani Kumar Arora, MD, and CEO; Ms. Monika Chawla Jaggia, VP Finance and Strategy; and Mr. Sachin Gupta, CFO. We will begin the call with key thoughts on the management team. Thereafter, we'll open the floor for Q&A session . I would now like to request the management to share their perspective on the performance of the company. Thank you. Over to you, Monika.

Monika Chawla Jaggia : Thank you Sumant. Good evening, everyone, and thank you for joining us on our earnings conference call. I would like to highlight that certain statements made or discussed on the conference call today will be forward-looking statements, and a disc laimer to this effect has been included in the results presentation shared with you earlier. Result documents are available on company's website and have also been uploaded on the stock exchange. A transcript of this call will also be made available on th e Investor section of the company's website. I would like to begin by taking you through the key highlights of last quarter 4 financial year '23.

Our consolidated revenue for quarter 4 financial year '23 was up by 19% at INR1,836 crores vs. INR 1,537 cr ores in Q4 financial year '22 on account of increased sales from Basmati and other specialty rice and convenience and health segment. The gross profit for the Q4 FY'23 was up by up to INR 609 crores from INR515 crores. And the gross profit margin contracted by 30 bps on account of increase in the input cost and decrease in freight costs. The company did an additional investment in brands, and there was a decrease in the freight cost as a percentage of revenue. The freight cost decreased by 230 bps, which led to a decrease in the other expenses, by 140 bps versus last year. This is a reduction in other expenses led to an increase in EBITDA. The EBITDA for Q4 was up by 29% on a year -on-year basis to INR200 crores from INR163 crores. The PBT was up by 35% to INR149 crores from INR110 crores. The PAT for Q4 was up by 75% to INR132 crores from the INR75 crores. The earnings per share for Q4 stood at INR4.01, up by 79% on a year -on-year basis. The cash profit for Q4 was up by 52% to INR167 crores from INR110 crores. Our consolidated revenue

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for financial year '23 was up by 28% at INR6,979 crores versus INR5,451 crores in financial year '22. This is on account of 31% growth in Basmati and speciality rice segment and 11% growth in our organic segment.

The gross profit was up by 31% to INR2,402 crores from INR1,836 crores, and the margin expanded by 70 bps to 34.4% from 33.7%. This is on account of change in product mix and the partial size increase. The EBITDA was up by 20% to INR744 crores from INR620 crores in financial year '22. The PBT was up by 25% to INR535 crores from INR428 crores. The PAT was up by 37% to INR423 crores from INR309 crores. The earnings per share stood at INR12.59, up by 38%.

The cash profit was up 27% to INR550 crores from INR432 crores. Now I wou

ld like to

highlight the key ratios of our balance sheet. The debt equity ratio stood at 0.34 times . This is to reiterate that majority of our debt is working capital debt, which is required because of the nature of the business and ou r focus is to maintain the debt -EBITDA ratio between 2 to 3 times . It's stood at 1.3 times , which is lower than the benchmark that we set for ourselves. Current ratio has also increased significantly to 1.96 from 1.78 last year. The return on capital empl oyed stood at 17.8%. The normalized return on capital employed on account of insurance

claim stood at 18.5%. The return on equity stood at 18.4%, up by 309 bps and the interest coverage ratio also improved from 7.2 to 7.5 times. Now I would request Mr. Ashwani Arora to give you an update on the business and the strategic initiative.

Ashwani Kumar Arora : Thank you, Monika. Good evening and thank you for joining us on the call today. In financial year '23, the Company continues to deliver on all the strategic pillars plus growth, margin expansion and further strengthening the balance sheet with a 28% growth in revenue, gross profit growth of 31% and PAT growth of 37% and significant strengthening of the balance sheet.

Basmati and other specialty rice segments saw a growth of 31% and Convenience & Health segment witnessed to grow to 36%, which is 2.5% for our revenue. The organic segment also saw a growth of 11%. We are delighted to share that the company's market share in India as per AC Nielsen stood at 29.6%, up by 230 bps on the back of marketing initiatives across all the mediums and increasing distribution reach.

Our retail outlet reach also increased by 9.1% and stood at 176,741 outlet. Also, Daawat consuming household increased by 31.3% on a year-on-year basis to 45.38 lakhs which is heartening. We are glad to share that we have concluded our strategic transaction with SALIC, which is PIF, Saudi Sovereign Fund. Successfully SALIC now holds 9.22% equity stake in LT Foods through a primary and secondary investment of INR455.5 crores.

The move came to accelerate LT Foods organic and inorganic expansion plans across
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business segments, give a boost to our future growth plan particularly in the Middle East and Saudi Arabia region and fortify our position as a leading player in the industry.

The India business kept the growth momentum. Our business reported a growth of 14.4%.

Wherein the specialty and mid-segment registered phenomenal performance and surpassed the industry standard by reporting 15.7% and 15.2% growth.

We have identified 3 platform for the extension of our brand, a specialty rice, second, is health and third is convenience platform. In all of these platforms, we have expanded our portfolio during financial year '23.

In the Specialty rice segment, we launched another variant of regional rice. In the health segment, we launched black rice, which is another initiative to cater to the health-conscious consumers in the Convenience segment, the Daawat Briyani kits, Royal ready-to-heat is performing as per our expectations. In the U.S., we continue to maintain our market share of 50% with our flagship brand Royal. We increased ready to keep food production capacity. Sales of Royal RTH foods grew by 37%, which took Royal RTH to the fourth largest brand in the ready-to-heat right segment in the U.S.

During the first half of the fiscal, we entered into achieving with Golden Star trading with the brand, which we have bought of Jasmine rice. We have successfully integrated the operations of the golden star into LT Foods America and deliver to our expectations. We command a significant market share of approximately 30% in the Continental Europe in Basmati rice category. This year, the Europe business has grown by 23%.

In the Middle East market, U.A.E., Kuwait and Iraq were the top-performing countries
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accounting for 78% of our Middle East business. U.A.E. experienced remarkable +121% growth, reaching volume of market share of 4% in financial year 22-23. Kuwait showed growth strong +78% growth, achieving a volume market share of 3.7%. Lebanon had a significant volume market share of 7.8%.

We have delivered 50% year-on-year growth in the e-commerce platform in U.A.E. We hold a 16% market share in far East, despite the price increase impacting overall export to the region, we managed to mitigate the impact and maintain our position in the market. Our focus lies in strengthening our distribution network and achieving over 90% product penetration in all countries.

To boost the growth of Jasmine rice segment, we also opened an office in Thailand to support strategic procurement of Jasmine rice. We continue to make visible progress in our ESG program in each of our focus area, we are committed to training 50,000 partners on sustainable farming practice by 2025. We are also on the track of having 2.5 lakh acres of
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organic farmland by 2030. We have highlighted our ESG framework and ESG scorecard in the earnings presentation. We're also significantly prioritizing digital transformation assets to enhance our operations closely.

We maintain an optimistic outlook for our overall business, and we continue to strive towards building a robust forward thinking, sustainable, profitable, and expanding business globally. Now we open the session for questions and answers.

Moderator: Thank you very much. The first question is from the line of Amit Aggarwal from Leeway Investments.

Amit Aggarwal: Congratulations on good set of results. Sir, my question is regarding the dividend. So this time, your dividend has been less than last year, in spite of the we've been promised in early conferences that 20% of the dividend will be distributed to the stakeholders, 40% of the profit to distribute to the shareholders.

And second question is regarding investments in plant and machinery. Sir, we've been spending about INR50 crores around about every year on plant and machinery. Will the FMCG business acquire so much investments in plant and machinery. Can you elaborate the investments it has been this much for the last 2 years? These are the 2 questions.

Ashwani Kumar Arora : So answering to the first question on the dividend. We have said that we will deliver 20% dividend our stand-alone basis and we will doing that in this financial year also, like the last year. And on the plant and machinery, last year, we had invested mainly on the two things. One is on the green power generation with turbine we have installed turbine, which we will run on the half by products of the company.

And the second, we have invested in the solar power. Third, we have invested on the warehouses because earlier we were storing goods by renting out the warehouse outside. So the plan is to build a warehouse. So the main investments have gone in that. And the third is because in Europe, the operations are growing so we are investing mainly in the packaging side of the business.

Amit Aggarwal: So can you give more details how much power generation and in the past 2 years and how much for the warehouse?

Ashwani Kumar Arora : So you send that email, we will send you directly.

Amit Aggarwal: Okay. And this dividend thing sir, I'm talking about FY'22 to FY'23. So this was 1 year aberration or still will be looking for an awesome dividend?

Ashwani Kumar Arora : Sorry. Because your voice is breaking.

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Amit Aggarwal: So the dividend for 50% dividend for last fiscal year, is the more aberration or you're talking about still to be?

Ashwani Kumar Arora : So the previous one dividend was the interim dividend. So there will be, of course, final dividend that also will be declared and as per the policy adopted by

the company

Moderator: Thank you. The next question is from the line of Abhishek Maheshwari from Sky Ridge Wealth Management. Please go ahead.

Abhishek Maheshwari : Congratulations on good set of numbers. We are very pleased to see the improvement in margins and good profit growth. So a couple of questions, sir. You made a volume growth of 18% in FY'23 against a revenue growth of 28%. I think 10% was contributed by increase in Basmati prices correct to assume that?

Ashwani Kumar Arora : Just I will pass over to Sachin.

Sachin Gupta : So in this year, the volume growth what we have achieved in the Basmati and the specialty, that is a 10% volume growth. and the realization has increased by 20%. So the is 32% of the revenue growth from the Basmati.

Abhishek Maheshwari : Actually, what I'm seeing in the press release is LT Foods reported an offtake volume growth of 18.2% for FY'23 versus category growth of 9% in the same period. So volume growth is 18%.

Sachin Gupta : Growth that has been stated as India, India volume growth, India volume has been stated. So it has been correctly reported that is India volume growth.

Abhishek Maheshwari : Okay. So overall basis, you are seeing it was a 10% volume growth. Okay. And going ahead, do you see this to maintain similar levels in FY'24 also 10% to 15% volume, sir?

Ashwani Kumar Arora : Next year, as we are optimistic and the category is growing across the geography we are working. So we are positive to deliver double-digit growth.

Abhishek Maheshwari : This will be via new geographies. And we are hoping to see good distribution in the Saudi, Middle Eastern market with the new selection ?

Ashwani Kumar Arora : It's not short term, but that's medium to long term. So at present whatever the base we have, we are seeing deposited as said, double-digit growth is expected .

Abhishek Maheshwari : But sir, if they are planning the 15%, assuming 15% volume growth in FY'24 also. And I'm sure that Basmati prices are even higher than what they evolved 1 year ago. So the realization might should be over 30%, 40%, right? I mean, value-wise, revenue growth?

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Ashwani Kumar Arora : So value growth in the price impact has already come in the last quarter. And as I said, we always build our business plan on roughly 6% to 7% volume growth and 5% to 6% on the value growth.

Abhishek Maheshwari : And I'll get back to this maybe later on. Secondly, sir, do you see that at 11.5% EBITDA margins, you are at the peak of the operating leverage, or there is still some potential that operating leverage will kick in with higher volumes and EBITDA margins quite improve ?

Ashwani Arora: If there is a potential, we have given the guideline that by year 2025 our return on equity will be, we are targeting 20%, return on capital employed 23%. So there is still a room for the margin expansion.

Abhishek Maheshwari: Okay. And one question before I get back to the queue. So regarding SALIC, I mean, can you elaborate on what talks are going on over there? Will SALIC itself be your distributor, or will you be looking for some other distributors? I mean what are the thoughts going on what is a strategic plan to enter that market?

Ashwani Arora: SALIC is our investor company, we will not distribute that. A lot of strategic discussions are happening. I'm sure we will come up with the winning proposition.

Moderator: Thank you. The next question is from the line of Shubham Shukla from Voyager Capital. Please go ahead.

Shubham Shukla: Well, we were aiming for EBITDA margin to be at 13.5% in the next three years. Margin outlook still the same despite remains flat to negative for an entire year.

Ashwani Arora: If I understood your question correctly, as I said, we are targeting to improve our margin here.

Shubham Shukla: My question was like you did 10 plus margin this year, EBITDA margin, and we are

re aiming

for 13.5% -- we were aiming for 13.5%.

Ashwani Arora: Yes. So this quarter, we have delivered 11.4%. And next year, we are targeting to improve on the margin further .

Shubham Shukla: Okay. And second on the SALIC deal, we have intention to do 150,000 tons of business in Middle East, and we were around 40,000 tons odd . Is it the product price are too down for that market? So did we record any growth in volume from there?

Ashwani Arora: This we have done in case because they have invested one of the reasons is the food scarcity. So under that, they have done an agreement with us that in case they need, we will supply them 150,000 tons.

Shubham Shukla: I think I can get to, like, we are doing 40,000 tons in Middle East. Did you see any increase

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in our business there?

Ashwani Arora: Yes. Middle East is a focus, and we have good plans to grow the Middle East business.

Shubham Shukla: Okay. And if I could just get the Golden Star revenue and EBITDA margin, we were told that profitability of, let's say, is largely in line with LT Foods margin, basically -- give those numbers?

Ashwani Arora: So the Golden Star the profitability for that has been consolidated, which is amounting to INR31 crores , a 51% share.

Shubham Shukla: Could you repeat that again, you are not loud enough.

Ashwani Arora: INR31 crores is the profitability of Golden Star, that has been consolidated in the financial number. And that is 51% share .

Shubham Shukla: Okay. And the revenue will be?

Ashwani Arora: The revenue side of the -- after the taking over 51% and the rest are 52 million.

Moderator: Thank you. The next question is from the line of Mohammed Patel from Care Portfolio Managers. Please go ahead.

Mohammed Patel: The International business has done very from INR2,800 crores to INR3,800 crores. So can you give us some colour on any specific geographies that have done well?

Ashwani Arora: See, all geography has done well. The US has grown Europe has grown. All geography has grown on the similar percentage almost similar.

Mohammed Patel: Okay. Can you highlight growth by geography, or some of the key's geographies?

Sachin Gupta: Europe is growing by 23% on year -on-year basis and the revenue growth in marketing if I look at the US has grown by 48%. So these are the major geographies. If I talk about the India n brand the revenue has growing by 16% volume growth and the value growth is 37 %.

Mohammed Patel: It is very difficult to hear you. Second question is, is the freight cost only reason of improvement in margins? And if yes, do we see that we shall pass on the benefits in correcting prices downwards in coming quarters?

Sachin Gupta: Freight cost was one of the reasons for the growth in the margins in the quarter as well as year-on-year basis. So of course, certainly, certain part is to be passed on. But I think, the whole part will be passed on. So we are expecting a margin expansion in the going forward years as well. There was certainly the scale also kick in and I was able to have a 44% expansion in the profit on out of scale asset. And there was a GP also increased. So all these

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factors impacted to an increase in the overall EBITDA margin in this quarter.

Mohammed Patel: So if you pass on, then there will be an impact -- negative impact on the margins?

Sachin Gupta: Not really because the freight cost after that also have decreased further.

Mohammed Patel: Okay.

Sachin Gupta: We have an inventory lag of the previous year, we did not pass on that increase. So post March, there was certainly a price decrease, but that too --after keeping the margin intact.

Mohammed Patel: Okay. Share on JV was INR19 crores in Q4 FY'23. So this is a substantial jump from the last quarter, which was INR8 crores. So what explains this? And what is the run rate

that we

should expect going forward?

Ashwani Arora: This quarter, it has got an impact of rate. So going forward, not this kind of margin, but we are positive on the JV we are expecting 12%, 13% EBITDA margin.

Mohammed Patel: Okay. And you mentioned in the opening remarks that...

Ashwani Arora: Just to explain further on the growth, this is a part of value growth and quantitative growth, and it has impact of rupee depreciation also. So just to clarify on that. Last year, the market was opened up after COVID. So food service has delivered good performance.

Mohammed Patel: Okay. You mentioned in the opening remark that you hold 30% market share in the Europe continent. So can you throw some light on who holds the remaining 70%?

Ashwani Arora: So there are different European players they hold. Yes continental.

Moderator: Thank you. The next question is from the line of Santosh Joshi from AD Financial Services Limited. Please go ahead.

Santosh Joshi: So congratulations, sir, for good set of numbers. I have two basic questions. Please give a volume breakup of domestic and exports. And within exports, how much is Basmati and how much would be non -basmati? Thank you.

Ashwani Arora: Mainly Basmati, I will hand over to Sachin to brief you.

Santosh Joshi: So I guess about a percentage, what would be the volume breakup of domestic and export? And within exports, basmati, and non -basmati?

Sachin Gupta: India there's a revenue of 3 lakh tons and international the revenue is 284,000 tons, volume wise.

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Santosh Joshi: Okay. And within export, how much would be non -basmati?

Sachin Gupta: So this is total Basmati . And in non-basmati last year after September, the sales was 43,000 tons.

Santosh Joshi: 43,000 tons. Thank you, sir.

Moderator: Thank you. The next question is from the line of Shubhanshu from PIA. Please go ahead.

Shubhanshu: My first question is regarding the Daawat acquisition that has been done inside the LT Foods. In this quarter's consolidated number, have we consolidated the Daawat's revenue fully or did it be happening from next year?

Ashwani Arora: So Daawat was earlier fully owned subsidiary of majority owned by LT Foods. And we have acquired the SALIC stake in LT Foods. It is not having any impact on that, earlier also it was a consolidated too now also consolidated .

Shubhanshu: No. So the remaining 30% won't we are dumped in revenue to 30% of the consolidation we were consolidating it 100% previously also?

Sachin Gupta: Now after, in the month of March, it is 100% subsidiary steady. So 100% profits are expected , so my minority shareholding has now been eliminated. So if you look at into my financials, there is a decrease in the minority shareholding. That has gone in the investment.

Shubhanshu: Okay. Got it. And on the front of trade payables, I'm seeing this around 1,078 due to trade due to others can you can jump from last year and the September balance sheet that you gave.

What is the reason for that?

Sachin Gupta: So we are able to maintain a good relationship with our suppliers and we made a relation where we secure the supplies from the supplier. So for the inventory in the warehouse, as per the accounting standards, we have to improve that inventory and the rates in our books . So this is the arrangements which we had made with our supplier. So that has resulted in an increase in the trader's current credit.

Shubhanshu: Okay, sir. And just last question. This is on one of the ASG metrics that you mentioned. Under renewable energy, you have mentioned the baseline was 46% and then FY'23 it's 42%, is there a drop somewhere, or is this a base of electric consumption has increased?

Ashwani Arora: So you mean to say, ESG. On the ESG target how we are going now?

Shubhanshu: Yes sir, ESG. On the climate change in the presentation, you mentioned in the renewable

energy, baseline at 46% and FY'23, 42%. So why is there a dip from baseline, is my question?

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Ashwani Arora: The consumption will grow.

Shubhanshu: It's a consumption growth.

Moderator: Thank you. The next question is from the line of Sunil Inani from KM Financial Advisors. Please go ahead.

Sunil Inani: I just wanted to understand, can you please let us know what are your plans for non-basmati? And what all variants of non-basmati has been launched so far?

Ashwani Arora: Non-basmati not our focus even in the last two years. Basmati export is not our focus. In the last two years, we have done only for China because LT Foods was among the few companies which were allowed to export China that was having a good margin. But strategically, non-basmati is not except the regional price, which we do we call it and specialty rise. So that we will keep growing in.

Sunil Inani: Right, sir, and what are your capex plans going forward?

Ashwani Arora: So it will be similar in the range that we have done in the last year. So similar we will be increasing the production. Some will go in generation of power, and some will go in capex.

Moderator: Thank you. The next question is from the line of Amit Jeswani from Stallion Asset Private Limited. Please go ahead.

Amit Jeswani: A great set of number. My first question is, and my team has been asking you the same question multiple times, but sir your equity today is INR2,800 crores assuming you do a INR500 crores PAT next year, you'll be at INR3,300 crores and broadly to achieve the 20% ROE okay, which you have guided, you'll have to do INR660 crores of PAT that would be super.

As of today, sir, we are -- our market cap is INR4,000 crores. And you are now 40% bigger than the market leader, the old market is leader. If you reinvest this cash flow that you're generating, I'm just seeing your last 4 year's free cash flow is INR1,000 crores, right, your operating cash flow minus capex is INR1,000 crores.

Sir, it makes no sense for you in our humble opinion, so why are we not doing buybacks at the INR4,000 crores market cap. You're less than 9 PE, 10 PE your ROC will be north of 20%. If you can reduce your equity, you've been looking at a very large EPS. Our EPS today is INR12.5. You're targeting closer to INR18 EPS and if you do a buyback of INR300 crores, INR400 crores, you're looking at north of INR20. I'm just trying to understand, sir, you're thinking about it. Because you've built a building business in the last 70 years. You've got one of the better auditors. Just trying to understand how you think about it.

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Ashwani Arora: No, we have -- as said in the last con call also, we are positive and because at that time, some deal was happening. And we are positive that in the next board meeting we may discuss about that.

Amit Jeswani: Got it. And Arora ji, typically, whatever you're guiding, you've been able to achieve for last multiple years. How confident are you on the INR650 crores kind of PAT in FY'25 of the 20% ROE? That is the minimum PAT that you will have to achieve from INR420 crores PAT today.

Ashwani Arora: So we are very confident. That's why we have given the guideline.

Amit Jeswani: Got it. And the capex that you're doing, is that what KRBL was also doing and that's why the margin difference between you and KRBL have now come down, on the power side?

Ashwani Arora: Can you repeat again?

Amit Jeswani: Sir, are you investing in power that KRBL doing. So now your margins will actually move higher from the 11% level closer to 14%, 15% in the next two years, is that the trade year?

Ashwani Kumar Arora: That's what the guideline is that we are targeting to have EBITDA margin, 13.5%. That's what is one of the building blocks.

Moderator: The next question is from the line of Jigar Upadhyay from Amti

ger Consultants Private Limited. Please go ahead.

Jigar Upadhyay: Congratulations on the wonderful results. Sir, I wanted to understand what is typically the realization for domestic rice sales and export rice sales? And broadly, what is the differential?

Sachin Gupta: So realization in the Indian market is INR60 per Kg and the international space is INR134 per KG.

Jigar Upadhyay: INR134 per KG?

Sachin Gupta: Yes.

Jigar Upadhyay: So -- okay, okay. So now coming to my next question. So export would give you typically better margins. So do you track gross margins on a per ton basis. And if yes, what will be the ideal benchmark gross margin per ton for domestic and exports?

Ashwani Kumar Arora: So we don't calculate per ton. We calculate the margin on the revenue.

Jigar Upadhyay: Okay. So any particular benchmark that you would have said with its standard in terms of domestic export?

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Ashwani Kumar Arora: Let me answer your first question. The margin is definitely better in the international market. But there is a difference in the product which stands in India and the product mix which we sell in international market. So what was your second question?

Jigar Upadhyay: The second question was, I mean, on the gross margin, if you track it on a per ton basis. And if you have a benchmark in terms of if not per ton, would you have a benchmark in terms of a percentage?

Ashwani Kumar Arora: Yes, that's what -- we don't do our pricing on per ton.

Jigar Upadhyay: Got it. Got it. And in terms of the total volumes that you would have, how much would be private label and branded?

Ashwani Kumar Arora: So mostly, it's a branded business. We do private label in Europe. So that will be in the range of roughly for specialty rice, Basmati rice, INR700 crores.

Jigar Upadhyay: Okay. So private label would be close to INR700 crores.

Ashwani Kumar Arora: The organic business is, again, mostly private label business. So again, that will be in the range of INR700 crores. Out of INR7,000 crores, INR1,400 crores will be private label, but that's very strategic in nature. So we don't do trading we do private kind of strategy with the good retailers and good food companies.

Jigar Upadhyay: Understood, sir. So just lastly, from a gross margin perspective, how should one model the growth for your business in terms of domestic and export?

Ashwani Kumar Arora: How much growth will come from India and how much growth it has is what you're saying?

Jigar Upadhyay: Right, sir.

Ashwani Kumar Arora: In quantity terms, the growth in volume like India will be the biggest, followed by the international. But in value growth, both will be the same.

Jigar Upadhyay: Okay. Sir, I meant the gross margin, in terms of domestic and exports. I mean how should typically one build gross margins as far as domestic sales and export sales are concerned?

Ashwani Kumar Arora: Internationally, the gross margin percentage, I can't tell you right now, but gross margins are more in the international business and lesser in India.

Moderator: The next question is from the line of Ajay Rajguru from Amtiger Consultants. Please go ahead.

Ajay Rajguru: What is the size of distribution in India? And how many number of distributors and total outlet that you reach directly and indirectly?

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Ashwani Kumar Arora: So in general trade, as you said, the retail outlet, we cover 171,000 outlets. And we are across all omnichannels and 110, distributors are at 1,200 distributors.

Ajay Rajguru: 1,200 distributors.

Ashwani Kumar Arora: Yes.

Ajay Rajguru: What is the -- how you direct reach number of direct reach?

Ashwani Kumar Arora: So this is a direct reach we do. yes.

Ajay Rajguru: Direct reach, yes. Okay. Okay.

Ashwani Kumar Arora: We have 8 distribution centres in India.

Ajay Rajguru: 8 distribution

centres in India.

Ashwani Kumar Arora: Yes. we had a sales team of around more than 300 people. So, they are on the ground. It's typically, like for any FMCG companies, the route to market is.

Moderator: The next question is from the line of Shashwat Paliwal from Ascent Financial Advisory Limited. Please go ahead.

Shashwat Paliwal: I wanted to ask some of the volume CAGR. What is the 5-year volume CAGR? In the branded segment?

Sachin Gupta: Just a minute. So in the volume segment, my 5-year CAGR is around 14%.

Shashwat Paliwal: 14%. Okay. So any plans for the non-basmati segment, if you can further elaborate on that?

Ashwani Kumar Arora: Non-basmati segment we spoke, we have done in the last few years, China this year, we have done around 30,000 tons and in last year more than 100,000 tons. But it's not a strategic focus that was only to China, we have done. And now the non-basmati export is ban from the last 3 quarters. So, in terms of the original rice, we call it. So that's in Daawat and Royal in America.

Shashwat Paliwal: So it does give us better margins in gross margin terms, right?

Ashwani Kumar Arora: So it's similar in terms of the returns on capital, but the idea is to expand our portfolio by leveraging our brand equity and distribution.

Shashwat Paliwal: Okay. And you recently talked about the private label, which is between INR1,400 crores of private label you are referring to. Am I right?

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Ashwani Kumar Arora: Yes. That's approximately.

Shashwat Paliwal: Okay. So one last question is when you talked about the capex. So I mean, what capacity would you be adding in a newly operational Gujarat plant?

Ashwani Kumar Arora: We are doing capex investment in power generation, warehouse and the capacity enhancement. So this year, we are increasing our capacity, roughly by 100,000 tons.

Moderator: The next question is from the line of Ritesh from Sky Financial Advisors. Please go ahead.

Ritesh: Congratulations for good results. Sir, my question is, can you explain the current distribution network for export business?

Ashwani Kumar Arora: So for India we have just explained, if you heard as I can repeat. So U.S. is again a similar distribution we have, we present only channel there also in U.S. and Europe, U.K., we have direct distribution and rest of the world we do distribution through our distributors.

Ritesh: Okay. And sir, mainly what are the terms of distribution like commission percentage or...

Ashwani Kumar Arora: It depends on country to country, whatever the margin is for the FMCG company, we follow

Moderator: The next question is from the line of Rusmik Oza from 9 Rays Equiresearch. Please go ahead.

Rusmik Oza: I just want to know; you said the realizations have gone up 20% in financial FY'23. Can you get the figure, how much was the realization gain in Q4 of FY '23 on the Basmati rice side?

Sachin Gupta: So in Q4, the realization INR62 per Kg from India and INR139 per Kg from exports. And my overall realization INR102 per Kg.

Rusmik Oza: Okay. And similar related question, sir, we've been reading that rice shortage was 20-year high, and you also have a threat of El Nino going forward. If I combine both this, then is there any possibility of further price increases in both rice and Basmati rice segment going forward for at least next couple of quarters?

Ashwani Kumar Arora: So we are not expecting any further price hike against the last quarter.

Rusmik Oza: Okay. So is it fair to assume that the last quarter run rate would continue for next few quarters? Or will there be fluctuation going forward?

Ashwani Kumar Arora: We are expecting to be a little better.

Rusmik Oza: Okay. Okay. Sir, last question is, you've now got into the ready-made food segment of biryani and other things and the amount is pretty small right now. It's only contributing

INR5 crores,

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but any strategy going forward, how to scale it up and what kind of margins you are looking at in this business?

Ashwani Kumar Arora: So as I just said in the opening speech, we have chosen the three platforms: One is the specialty, and the other is health and the third is the convenience. So under convenience, we are building up this portfolio. And our long-term kind of thing is 5-year time, we wanted to have 9% to 10% revenue coming from this platform.

Rusmik Oza: Okay. Okay. And the margins could be how far better in this segment? How will the margins be in this convenience segment it is 9% to 10% of the business in future, what kind of margins we're looking at in this segment?

Ashwani Kumar Arora: Any business we are choosing that the gross margin should be in the range of 30% to 35%.

Moderator: The next question is from the line of Abhishek Maheshwari from Sky Ridge Wealth Management. Please go ahead.

Abhishek Maheshwari: Sir, coming back to my initial query regarding value and volume growth. Sir, you said that you operated a growth target of 5% and 7% in terms of volume and value. But your last 5 years CAGR itself has been 15% in volume growth, right? Are we like a little conservative or what is the strategy here?

Ashwani Kumar Arora: Strategy is very clear that grow better than the category that the goal we are following. And we have delivered on that also.

Abhishek Maheshwari: Of course, you have believe seeing the numbers. But sir, is it sustainable? Because when you say that you have a growth target, you operated at target levels of 6% or 7%. I mean we perceive it as long-term rate. So I mean, long term, we are targeting double-digit growth in volumes. That's what here.

Ashwani Kumar Arora: Yes.

Abhishek Maheshwari: And one last question. Regarding inventory level, sir, in your balance sheet, reaching INR3,000 crores inventory, which is 30% higher compared to previous year. Just put a hypothetical -- now someone said, okay, you're seeing in news they like the rice shortage and there also not be very good -- so that is impact, I mean, in terms of procurement for net-easing, and as that is, any-way, because margins do hurt when procurement costs increase, right?

Ashwani Kumar Arora: Sorry, I could not follow your question because your voice got cracked.

Abhishek Maheshwari: Okay. I'm sorry, I will just ask again. So sir, we have INR3,000 crores inventory as of March 2023, 30% higher than the previous year, okay? Now we are hearing news that monsoon might not be very good and there might be a global rice shortage. For you also, the

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procurement cost for the next season will increase, right, in case the rice harvest is not good.

So what I'm asking is in that scenario, do you have sufficient inventory, and do you have that flexibility to be able to pass on the cost increase to the end customer or we work on long-term arrangements supplier with our distributor sorry.

Ashwani Kumar Arora: Yes, yes. So first of all, the El Nino impact, fortunately, in the Basmati is mainly grown which is irrigated by canal and groundwater also. So historically, in 2015 also El Nino came, and we have not seen any impact from the Basmati production.

So we are not seeing any impact on the -- rather we are expecting the higher crop next year as the last year the farmer has got roughly 30%, 35% more prices. So we are not -- and as far as our business plan, we are reasonably good covered from that end.

Abhishek Maheshwari: And sir, in terms of flexibility to be able to pass on the cost?

Ashwani Kumar Arora: Yes, historically, whatever the input cost has gone up, we were able to pass to the consumer.

Abhishek Maheshwari: Okay. And one last thing, sir, earlier, you mentioned your market share in U.S. is 50% 5-0, right?

Ashwani Kumar Arora:

That's right.

Moderator: Our next question is from the line of Tirath from Elusividya Advisory. Please go ahead.

Tirath: Congratulations to the team for great results. And also thank you for better disclosures when it comes to your working capital. So that helps us a lot. Sir, I had just one simple request.

Since I think we have two senior management hire like Amit Mehta and given the fact that our international business has become so large, sir could we have somebody like Amit Mehta or Abhinav Arora to come on a con call maybe next quarter or something to the management look into it? Just so that we have a better understanding of how the business is being run.

Ashwani Kumar Arora: Sure. We will consider your situation.

Tirath: Wonderful. And one last thing. There is an investment of INR76 crores in joint venture -- INR75 crores. So would that be only toward Golden Star?

Sachin Gupta: That is mainly Golden Star.

Tirath: So would that be primary plus an infusion of some sort?

Sachin Gupta: That is a secondary one. That is not a final infusion in some sort of.

Tirath: Sorry, sorry, we can't hear you.

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Sachin Gupta: It is secondary buy. It is not prime infusion.

Moderator: The next question is from the line of Vipul Shah from Ripplewave Equity. Please go ahead.

Vipul Shah: Yes. Wonderful results, nothing more to add. Just wanted to understand, sir, what is the inventory level in terms of tonnage if you're carrying as of March '23 end?

Sachin Gupta: That is at 2,90,000 tons paddy and a rice is 1,25,000 tons.

Vipul Shah: And how will we compare with March '22-year end.

Sachin Gupta: That is an increase of 29,000 tons.

Moderator: Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments.

Ashwani Kumar Arora: Thank you, everyone, for your continued support. Hope we were able to attend your queries.

Should you have any further questions, please feel free to contact our investor relationship team. We look forward to connecting you again. Thank you, stay safe.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

Ref-LTF/ SE/ 202 3-24/ Date: October 31, 2023

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: Daawat .

Sub: Transcript of Earning Call for the quarter and half year ended September 30, 2023

In continuation to our earlier letter dated October 25, 2023, filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company , to discuss the Un-Audited Financial results of the Company for the quarter and half year ended September 30, 2023, scheduled for Monday , October 30, 2023 at 16:30 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer

“LT Foods Limited
Q2 FY’24 Post Result Earnings Conference Call”
October 30, 2023

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – LT FOODS
LIMITED

MS. MONIKA CHAWLA JAGGIA – VICE PRESIDENT –
FINANCE AND STRATEGY – LT FOODS LIMITED

MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER – LT
FOODS LIMITED

MODERATOR : MR. SUMANT KUMAR – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to LT Foods Q2 FY24 Earnings Conference Call hosted by Motilal Oswal Financial Services Ltd. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Sumant Kumar. Thank you and over to you, sir.

Sumant Kumar: Thank you. Good afternoon, everyone, and a very warm welcome to LT Foods Limited Q2 FY24 Post - Result Earnings Call hosted by Motilal Oswal Financial Services Limited. On the call today, we have the management team being represented by Mr. Ashwani Kumar Arora, MD and CEO, Mr. Sachin Gupta, CFO, Ms. Monika Chawla Jaggia, VP, Finance and Strategy, Company Secretary and Compliance Officer. We will begin the call with key thoughts from the management team. Thereafter, we will open the floor for Q&A.

I would now like to request Monika to share their perspective on the performance of the company.

Thank you and over to you, Monika.

Monika: Thank you, Sumant. Good evening, everyone, and thank you for joining us on our Q2 and First Half 24 Earnings Conference Call. Before we start with the key highlights of the quarter and half year ended 30th September 2023, I would like to highlight that certain statements made or discussed on the conference call today are forward -looking and as a disclaimer to this effect has been included in the presentation of the results shared with you earlier.

Result documents are available on the company's website and have also been uploaded on the Stock Exchange. A transcript of this call will also be made available on the investor section of the company's website. I would like to begin by taking you through the key highlights of Q2 Financial Year 24.

Our consolidated revenue for Q2 Financial Year 24 was up by 15 % at INR1,992 crores versus INR1,732 crores last year.

On account of increased sales from the Basmati and other speciality rice segment. The gross profit declined by 5% and the gross profit margin contracted by 668 bps from 37.6% to 30.9% on account of an increase in input costs and price reduction. The freight cost reduced which led to a decrease in the other expenses and this led to an increase in EBITDA.

The EBITDA for Q2 was up by 43% on year -on-year basis to INR 254.5 crores compared to INR178 crores last year.

And EBITDA margins expanded by 248 bps to 12.8% this quarter from 10.3% in Q2 Financial Year 23 that is led by achieving efficiencies at the manufacturing level and benefit of scale. Profit after tax for the quarter increased substantially by 65% to INR157 crores compared to INR95 crores in the previous year. EPS increased by 61% to INR4.49 versus INR2.80 in the previous year.

The cash profit increased by 53.8% to INR193 crores compared to INR126 crores in the previous year.

Now coming to half -year performance, our consolidated revenue for the first half increased by 13% to INR3,781 crores versus INR3,352 crores in H1 Financial Year 23. This is on account of increased

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sales from Basmati and other specialty rights segments as well as an increase in the convenience and health segment. Gross profit stood at INR1,219 crores and the gross profit margin contracted by 421 bps from 36.5% to 32.3%. EBITDA increased by 35% to INR479 crores compared to INR366 crores last year . EBITDA margins expanded by 209 bps from 10.6% to 12.7%. This was aided due to increased efficiencies at the manufacturing level. The profit after tax also increased significantly by

55% to INR295 crores versus INR191 crores last year. The earnings per

share also increased by 51%

to INR8.45 versus INR5.60 in the first half of financial year 2023.

The cash profit increased by 46% to INR366 crores versus INR250 crores last year. Now, let me highlight the key ratios of our balance sheet. The return on capital employed improved to 21.9% on net debt basis from 17.7% in the first half of financial year 2023. Return on equity has also improved to 19.5% versus 16.5% in the previous year. The debt equity ratio improved from 0.5 times to 0.2 times as the overall debt of the company was down by INR528 crores to INR611 crores on year-on-year basis on net debt basis.

The long-term debt to equity was reduced to negligible level of 0.01 times from 0.13 times last year.

The current ratio has also improved to 2.4 from 2.1 last year. Because of our continued focus on the working capital optimization, our net working capital days have been reduced by 10 days to 174 days in this first half versus 184 days last year.

I will now hand over to Mr. Ashwani Kumar Arora for his comments.

Ashwani Arora : Thank you, Monika. Good evening and thank you for joining us on the call today. It fills me with immense pride to announce that we have demonstrated outstanding performance and sustained growth in the quarter and half year.

Our dedication to the excellence has resulted in 13% increase in total revenue and 55% increase in PAT driven by harmonious blend of product mix and exceptional performance across all geographies.

We have made substantial investment to reinforce our brand equity and the result is that we have entered five new geographies, which means that now we have our mark in more than 78 countries.

Our success story is linked to the evolving presence of consumer, particularly the growing demand for consistent and high-quality product along with global presence and wide distribution networks.

According to AC Nielsen, our market share in India has surged by 160 basis points to 30.2%, while the market share in the Americas has witnessed a growth of 1.6%. Furthermore, the number of household consuming Dawaat product in India has risen by 24% year-on-year, reaching 48 lakhs. The India business continues its growth trajectory by growing 15% through the introduction of new product and comprehensive 360-degree marketing campaign along with the distribution expansion. In US, we strengthen our market leadership in the Basmati rice segment, achieving a noticeable growth of 27%.

Our flagship brand, Royal, enjoys leadership position in the US, which is why we have a notable market share of more than 50% plus. In Middle East market, we are on the path of strengthening our position and have witnessed a significant growth of 55%. Our journey to becoming the market leader in this geography is well underway, driven by marketing campaigns, brand development and the introduction of the new products.

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The European market has grown by 13% and all our brands are performing very well. The rest of the world segment also grew by 8%. In the convenience and health segment, as shown promising result, and we look forward to this segment contributing more to our revenue in the future.

In organic segment, we have declined by 22% on account of anti-dumping duty imposed by US. To mitigate this, we have revisited our growth strategies and are confident on the outlook of the business and we will be back on the growth trajectory. We look forward to achieving greater milestones and are grateful to you all for being a part of our journey.

We can now open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Yash from Stallion Asset. Please go ahead.

Yash: Hi, congratulations on a great set of numbers. My question was regarding gross profit margin. I can see that there is a significant con

traction of the 58 basis points from about 37% to 31%. Could you

please elaborate on why the margins have contracted so much and what are the sustainable gross profit margins for this year?

Ashwani Arora: Thank you, Yash. The difference in the gross margin, although you know the EBITDA margin, has increased. That's because the input cost has gone up. The second is due to freight reduction. Partially, we have given the price a decrease, especially in the USA, seeing the competitive landscape. So, going forward, we are expecting that the gross margin will be in the range of 32% -33%.

Yash: Okay, and sir what is the kind of --- could you quantify the amount of price hike, sorry the price decline that you have taken in terms of percentage? Would it be 5% or something like that, broadly?

Ashwani Arora: Broadly, yes.

Moderator: The next question is from the line of Amit Aggarwal from Leeway Investments. Please go ahead.

Amit Aggarwal: Good afternoon. My question is regarding the Paddy prices. They have fluctuated a lot in the last two months. What is the outlook for the next six months for the exports of Basmati rice? Do you think the Paddy prices have come back to the last year, compared to the last year prices? How do you see the

export market?

My second question is regarding parboiled rice. There is a question of 20%. I'm aware that you don't export any parboiled rice, but does this affect our Basmati prices in the market overseas?

Ashwani Arora: So, Amit, your question number one is how we see the export in the next six months. As in LT Food, our business is FMCG. We see the consumption will keep happening and the growth momentum will remain the same. We see H2 also as positive. Regarding this parboiled rice, this doesn't impact us because the parboiled markets are very different than the Basmati consumption market is. So, it will not have any impact.

Amit Aggarwal: Can you give some advice regarding the Paddy prices that have gone up and down because of the government restrictions of \$200 for the Basmati rice exports? That has come down to \$9.50. So how

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has the market reacted, and does it benefit or is it neutral to us?

Ashwani Arora: More or less neutral to us. Although the production against last year is up by 12%, the consumption is also growing. So, we don't see any market coming down as compared to last year. So, procurement costs may be higher than the last year a little bit.

Amit Aggarwal: My last question is regarding the Middle East. There is a conflict going on in the Middle East. So, has it affected consumption over there? Especially in markets like Iran and Egypt. Sorry, Egypt. Sorry, this. Israel?

Ashwani Arora: So, Israel is a very small market to India although Daawat is a leading brand there in Israel. But we have seen the higher growth. Maybe the people are stocking up and food is what we have seen historically. Food is the last one to get impacted. So, whenever these situations have come either part of the world, mainly in the Middle East. So, we have seen rather growth in the market. Maybe they wanted to stock up for the food security or something. So that's it.

Amit Aggarwal: And shipping is not a problem there that much?

Ashwani Arora: No, no, there is no problem.

Moderator: Thank you. The next question is from the line of [Mahesh Atal from Atal & Associates]. Please go ahead.

Mahesh Atal: Congratulations on a good set of numbers. So, my first question would be, so what is our export realization as of today? And I'm talking on a consolidated basis towards Basmati. And also, you mentioned that 160 bps is the rise in the market share in India. So, do we also take the market share outside India? Do we also have that metric? Do you count on that metric also? This is my first query. Second, sir, coming to this revision of to 950. So, for this time being, was

there any added advantage

to branded players? And they have garnered the market share from the unbranded players. Can you throw some light on this? What this period was and how it was? And if you can just throw some light on it?

Ashwani Arora: So, Mahesh, thank you. So, I will take your last two questions first and the realization, Sachin will let you know. So, you asked that, you know, first is 950 and 1200. Do we have any impact? So as LT Food, you know, our export is almost 95% above than 1200. So, it will not have any positive or negative impact on LT Food. Of course, you know, 5%, 7% will have an advantage. You know, that's the answer to the last question. And what was the second question?

Mahesh Atal: No, do we also have any metrics where we calculate...

Ashwani Arora: India and America is our major market. And we track through Nielsen in both the markets. And in the Middle East also we track through Nielsen. So, these are the three markets we buy data from AC Nielsen.

Mahesh Atal: So, my other question was, sir, was there any impact in the branded players getting the market share during these times when the government actually raised it to \$1,200 from the unorganized sector

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because those were the people who were selling it below that value, right?

Ashwani Arora: That was too little time because Basmati inventories always, like in Middle East, they are always sitting on 8-to-10-month inventory. So, it was only a one and a half month. And people were expecting that, you know, the government had given assurance that it will come down. So, we have not seen any impact, you know.

Mahesh Atal: And what was the export realization, if you can throw me a number on that?

Management: Export realization during this period was INR143.

Mahesh Atal: INR143 per kg?

Management: Yes.

Mahesh Atal: That's overall outside India. Anything that we have sold outside India?

Ashwani Arora: Yes, yes, that's outside India.

Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: So, with this 1258 prices coming down to now 950 or 1000, one is how did you see the market behaving? So just trying to understand that if this kind of a price movement or variation keeps happening, how do you see your business getting impacted and overall exports? Does it become beneficial or anyway make things better for us or against some of the other unorganized or smaller players who are exporting?

Ashwani Arora: So, Nikhil, of course, this impact, all these kind of variance in government policies may impact us. But from going \$1200 to 950, as I said, LTs mainly business is more than \$1200, so it has not impacted. But yes, when it was coming from \$1200, the paddy prices came down because approximately 2 million tons goes less than 950. So, there was no customers who were exporting \$950. So, the moment the \$950 opened, the paddy prices have gone up. So, in a way, it has negatively impacted as far as input cost is concerned. Nikhil, have you got the answer, or you have any follow-up question?

Moderator: Thank you. The next question is from the line of [Dikshan Bulchandani from DB Wealth]. Please go ahead.

Dikshan Bulchandani: Hi, management. Congratulations on the great set of numbers first. So, my question really is on our market share in the USA. So, as we have seen that our market share is increasing in percent, and where do you really think, what is the limit of our contribution to the USA from which we will not be as comfortable? As in we have 41% of our business is coming from the USA. What is the top line that we want to stop at when it comes to other countries?

Ashwani Arora: Dikshan, we don't want to stop the growth of the company. USA is a very highly consuming market for us. And we will make sure that as the category is growing, we are growing at par with the category

or better than the category.

Dikshan Bulchandani: Yes, but our risk from one market would be at the highest, right?

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Ashwani Arora: 41%, you are right. And to diversify our risk also, we have bought Jasmine brand, which is a \$100 million brand. And we are diversifying our risk. As far as historically, we have seen that these economies, the western economies are very matured economies. So, no surprise is coming on these economies.

Dikshan Bulchandani: Got it. One more question is on our key developments on the new segments that we have been working

on. So, going forward, how much are we looking to invest in the new sort of high margin businesses as in the last three years to four years? And how focused are we in increasing our revenue from these sources?

Ashwani Arora: So, we have given a guidance that from all these new processed food and PDB process value added. This will be 8% to 10% of our revenue. This is what we have said last year and the next five years.

Yes, we are evolving our strategy to achieve that goal set for us.

Dikshan Bulchandani: Amazing. Loving the new product, sir. Great. Thank you so much.

Ashwani Arora: Thank you.

Moderator: Thank you. The next question is from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah: Hi. Thanks for the opportunity. So, can you give the domestic and international tonnages? You have given the revenue for half a year, but can you give the tonnages for both the segments?

Ashwani Arora: So, India has a tonnage of 1,51,000 tons and international is 1,56,000 tons.

Vipulkumar Shah: India 1,15,000 tons?

Ashwani Arora: 1,51,000 tons.

Vipulkumar Shah: 1,51,000 tons and international is 1,56,000 tons?

Ashwani Arora: Yes.

Vipulkumar Shah: Okay. And sir, the second question is, what is the reason to put this organic plant in Uganda? What are the advantages Uganda is offering? Just trying to understand the logic.

Ashwani Arora: Good question, Vipul. As we have just said that the organic soya business has de-grown because of this anti-dumping duty on India, soya meal and the alternative source we have developed in Uganda for milling this soya meal.

Vipulkumar Shah: So, there you will not be subject to anti-dumping duty, sir?

Ashwani Arora: That is not, yes.

Vipulkumar Shah: Okay. So, when it will become operational, sir?

Ashwani Arora: It's already operational.

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Vipulkumar Shah: So now this organic business should see the bounce back, right, sir?

Ashwani Arora: That's what we are expecting, yes.

Vipulkumar Shah: And, sir, what is the status of our insurance case, which is very old?

Ashwani Arora: So, the case is on now, the final argument. So, we are expecting in two months, that the final outcome of that.

Vipulkumar Shah: Okay. So now it should reach its logical conclusion? This year, hopefully.

Ashwani Arora: Yes.

Vipulkumar Shah: And my last question, sir, growth is very muted in our convenience and health segment from 86 to 92, if I compare H1 '23 with H1 '24. So why we are not getting traction in that? Any views, sir?

Ashwani Arora: So, this is the business we have started. In America, it has become mature. So, the growth is better than the 8%. So, India, we have just launched this biryani kit and the other product. So, we have got a very good response. So now we have rolling it out to the broader level. So, in the coming times, you will see, the better response.

Vipulkumar Shah: Okay, sir. Thank you and all the best.

Ashwani Arora: Thank you, Vipul.

Moderator: Thank you. The next question is from the line of [Shubhanshu, an Retail Investor]. Please go ahead.

Shubhanshu: So, I was looking at the inventory figures of ours, right? I see a significant dip. Sir, we haven't started procuring as of now? Or what is the case? You

will be procuring in the coming months?

Ashwani Arora: Yes, so Shubhanshu, the sourcing season starts, kind of first, like 15, September. So, the next quarter will be a big time to buy. That's the main sourcing time.

Shubhanshu: And what are the numbers that you will be looking for? Broadly, if you can give an idea, like last time we had like around INR3,000 crores. Will we be surpassing that this time or?

Ashwani Arora: We buy, Sachin, can you tell? So, we buy 5,00,000 tons to 6,00,000 tons of paddy. So that will be roughly, you are right, around INR3,000 crores.

Shubhanshu: So where do you think the topping would be coming from? Because the numbers that you are expecting are saying, so you have got it at 10% to 15% revenue growth rate. Where do you see this growth coming from?

Ashwani Arora: Shubhanshu, sorry, your voice got cracked. And what was the question?

Shubhanshu: I think in the long-term growth, you have mentioned that 10% to 15% revenue growth guidance, right? So where do you see this growth coming from it? If we will be meeting the inventory level similar to last year?

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Ashwani Arora: So, the guidance we have given the double-digit growth, and we are positive on that and we will be able to achieve that. So, it will come across geography. As you have seen, historically, America has grown better than the other geography. So it will be in the same mix, that's what we are expecting.

Shubhanshu: Are you expecting it to come from higher price range? Is that what you are expecting? I'm just trying to understand the levels of inventory you are trying to keep same according to last year only. So where will this be coming from? Because we previously had increased margin...

Ashwani Arora: Your voice is cracking, and can you be a little slow so that we can understand your question better?

Shubhanshu: So, like in FY '22 to FY '23, we increased our inventory by a big margin, and we see a good topping growth also this year. So, I'm trying to understand where are you expecting the topping growth to come from? Are you expecting higher realization?

Ashwani Arora: So, if your question is around inventory, we will maintain, by 31, March, the working capital cycle will be 250 days to 260 days. So that's the answer.

Shubhanshu: Thanks, sir. And that's it, sir.

Moderator: Thank you. The next question is from the line of Vincent Andrews from GeoJIT Financial Services Limited. Please go ahead.

Vincent Andrews: I have only one question. I missed the volume data for India. You mentioned something like 151. I think it is. Can you please once again confirm?

Ashwani Arora: It is right, 151,000.

Vincent Andrews: Sorry, then last quarter it was only 72. And on a value by Y-o-Y basis, it was 77 only. So how this much increase around more than, this much increase, I didn't get actually it is from where this India growth happened?

Ashwani Arora: So that 151,000 tons for the six months. That is for the six months. So, if you are talking about the quarter.

Vincent Andrews: Can you please mention for Q2 quarter?

Ashwani Arora: 79,000 tons.

Vincent Andrews: 79. Okay, 79. And for international?

Ashwani Arora: 83.

Vincent Andrews: Okay. Thank you. And one more question. Like you mentioned, the gross profit margin has come down because of the raw material price increase. So, can you please give the details in Q2, the average raw material price for paddy and rice and for the Y-o-Y quarter also?

Ashwani Arora: It will help if you can send your questions on e-mail. Definitely we will answer on that.

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Vincent Andrews: Sure, sir. So, you also mentioned like the freight in the last concord you mentioned like the freight cost has normalized. So, the EBITDA margin improvement will be like it will be from other cost efficiencies or from any price

increase you are planning?

Ashwani Arora: So, the EBITDA margin, whatever we have seen by 200 basis points, it's only because of the decrease in the freight cost. And gross margin we have explained that it's a result of price decrease we have taken because of the freight cost reduction. And the input cost increase.

So, if your question is around that, will we take the price increase? That we will see in six months how our sourcing cost goes like in the next three months.

Vincent Andrews: Okay. So, I'll send the details for the email.

Ashwani Arora: Sure.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yes. Hi. Good evening, team. And many congratulations on a great set of numbers. So, I have a few questions. So first one is if I look at the presentation on slide number 14, you have given debtors of various businesses. And it seems the debtor days for Indian businesses, the business has come down to eight days. It seems quite good. Can you explain how have you been able to reduce debtor days to such extent? This looks like significantly better than your past receivable days.

Ashwani Arora: So, thank you, Resham, and Sachin will answer.

Sachin Gupta: So, Resham, it is our debtor days in India from a 16-day phase last year. So, it has reduced to eight days. So, this is because of the better collection, which we are able to achieve and better monitoring, and we were able to have a better credit policy in place. That helped us to reduce the credit days in India from 16-day phase last year to eight days this year.

Ashwani Arora: And second thing is, I think Sachin will add, that we have done with SPI, the channel program. So maybe that may have an impact.

Sachin Gupta: No, no, we haven't started it now. So going forward, we are expecting that it might otherwise also get reduced once we opt for that. So, we are hoping to get it further reduced.

Resham Jain: Okay, understood. So, the second question is on overall balance sheet. It has improved significantly over the last few years. And despite showing a very strong growth in your top line in business, you are actually able to manage your working capital quite well in terms of absolute amount. And your debt has also come down to almost like 600 odd crores now. So how should one think about this number, let's say, next two, three years as you are expecting a double-digit kind of growth? Should absolute debt number remain at this level going forward also, 600, 700 odd crores?

Ashwani Arora: So, Rishabh, it depends on the growth. But, normal growth, we will be able to maintain our working capital cycle like this only to 50 days. And in future, we are working to how to reduce our debtors also. So, mainly, the debtor number of days are in US and Europe, and we are trying to further reduce

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the number of these. So more or less, the debt level will not increase for sure from here.

Resham Jain: Okay, I understood. So, my last question is on profit from associate, and I think this is pertaining to your acquisition which you did in US for Jasmine Rice. And it seems you have done phenomenally well since last one year. I think you have completed one year of acquisition. And I could see for your contribution of profit trailing, profit is close to 50 odd crores. The company level profit would be even higher. So, what have you done differently because when you acquired, I think this business had a very lower profit, but I think you have done around it quite well in last one year. So, if you can explain that and when would you be buying the remaining stake of this company and what kind of growth you see in this business, let's say, next two to three years?

Ashwani Arora: Thank you. So, the team has done a great job on this. So basic fundamental, they have worked on improving the pricing power

for all the levers they have put on. And the second is, the reduction in the cost. So, the freight benefit has helped us to deliver this kind of fact. So, the rest 50% we will be acquiring 24 June. 25 June.

Resham Jain: And what kind of growth one should expect? So INR56 crores is the trailing, let's say, last 12 months' profit. So obviously company level profit would be INR112 odd crores. So next two, three years, because you have a very strong Basmati ethnic kind of presence in US and Jasmine also in a way gets clubbed into that category. So, with your existing supply chain network and listing in retailers over there, can you scale up Jasmine also to that extent? Because that also is a very large kind of market in US?

Ashwani Arora: So, this was one of the pieces, when we have bought this business to bring the synergy. So, the team is working on that, and we will synergize our distribution on this business. So definitely it will grow.

Resham Jain: Okay. Thank you so much, sir. And all the best.

Ashwani Arora: Thank you, Resham. Thank you.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Asset Managers. Please go ahead.

Aman Madrecha : Hi, sir. Thanks for the opportunity. So, could you please highlight on how the Basmati market is currently? How are the paddy prices? And like if we are witnessing that the prices have corrected, so can we expect some inventory write-downs, if any? Or are the current prices back to the normal which were there in, let's say, last six months of already?

Ashwani Arora: So, Aman, this year we are expecting that, there will be, I think, 2% to 5% higher cost than the last year as far as the paddy price buying is concerned. But it will get almost compensated with the currency devaluation. So, it will not have much impact on that.

The second is, the written down in our business is all ageing business. So historically we have never written-down any inventory.

Aman Madrecha: Okay. So, for this season, upcoming season, we are expecting that the paddy prices would remain at the similar level maybe which we procured last year, right? Or maybe 2% to 5% higher?

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Ashwani Arora: That's right.

Aman Madrecha: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Harshal Mehta from Mehta Vakil and Company. Please go ahead.

Harshal Mehta: Good evening, sir. I have a general question. So recently when the government introduced the floor price of Basmati at \$1,200 a ton, there were some reports in the media that India as a country had lost some market share in the exports market. Now when India as a country loses market share, does that create any sort of negative sentiment for a company like ours, which is not necessarily, in this price bracket? Or are we immune from these ups and downs that keep happening because we cater to a different kind of customer and different segments? Just wanted your thoughts on this.

Ashwani Arora: So, Harshal, as far as LT Food is concerned, we are in a premium rice, branded, and our 95% is above \$1,200. So, it has not impacted us. But from India, roughly 2 million tons goes, which is less than or in the range of \$950 to \$1,000. But now it's sorted. This \$950 MEP has been set.

Harshal Mehta: Correct. So even if India as a country loses a little bit of market share, we as a company remain unaffected. Like our customers remain the same. There is no additional conversation with them, nothing of that sort.

Ashwani Arora: With \$1,200, we are not affected.

Harshal Mehta: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of [Dishant Mulchandani from DB Wealth]. Please go ahead.

Dishant M: Hi. Thank you for the second question. So, my major thought process as an investor is on the promoter shareholding. So, our shareholding has been decre

asing for the promoters in the last five years. And I just want to understand that how should the investors really look at this because fundamentally our company is at the highest book value. Our ROC is at the best that it has ever been almost. So, what's your thought process here? We would love to hear from you.

Ashwani Arora: So [Dishant], now we are at 51% and as a promoter family, we have decided not to go down from here. Neither do we need money. We have diluted ourselves. Initially when Rabo came and we have bought back after that 10% from market. Only I think the last two -- one was we need equity and we have done a QIP. And that was more strategic. With SALIC, it was more strategic rather than we need money. Further we don't need money and family has decided not to get down from here.

Dishant M: Got it. Just to follow-up here. I mean our current revenues are higher than our total market cap. And it's beautiful the growth that we have seen. I mean I have been an investor since we were at INR500 crores market cap. But going forward from just the family wealth also, does the family plan to buy back some shares? Maybe in the coming few quarters or years? Is there any guidance there?

Ashwani Arora: We will keep evaluating. Of course, we are as a family, we are confident on our business model. We

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will keep reviewing as the times come.

Dishant M: One more thing on the marketing side. Is there any sort of aggressive views on marketing we have for our US business right now? Because since we are making new higher highs on our market share, I am sure, we can do something beautifully right?

Ashwani Arora: We have a very robust marketing program in USA. Resulting in this kind of growth and we will keep investing behind the brands. That's the plan.

Dishant M: Okay. Thank you so much.

Ashwani Arora: Thank you.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Manager. Please go ahead.

Resham Jain: Thank you for taking my question. On the overall cash generation and capital deployment going forward, the trailing cash generation suggests that you will generate close to INR800 -odd crores cash this year. Next two years, let's say INR1,400, INR1,500 crores. How are you planning to deploy this capital? Because debt now has come down to INR500, INR600 crores. The overall dividend payment is also not that high. How do you plan to deploy this capital over the next two years, assuming you will generate INR1,500 crores, INR1,600 crores during this period?

Ashwani Arora: So, Resham, as you know, we have just given a guidance in our presentation that we will be giving dividend 10% to 20% on the consolidated profit. Partly, it will go to the growth and partly, maybe some inorganic opportunity comes, and we may use. This is the broader guidance we are giving. Of course, the dividend will grow.

Resham Jain: Because in the last three years, four years, you have strategically reduced your debt considerably. Even if you pay 10%, 20% dividend, the scope for further reduction in debt is not there. I was just thinking, because these are large capital which we will be generating over the next two years. So that is what I was thinking, and incremental growth also is 10%, 15%. For working capital requirement also, the requirement may not be that large.

Ashwani Arora: In that case, if any 10% growth, as you said, we will not be needing this kind of money. Neither we should de-leverage furthermore. Then the only option is to give dividend. That will happen. But it depends again, as I said, sometimes inorganic opportunity comes, like we have bought two years back this Golden Star brand. So, broader guidance, we have kept 10% to 20% ratio.

Resham Jain: Okay. Understood, sir. Any capex plans over the next one year and this year as well, '24 and '25?

Ashwani Arora: So, capex will

be the same, like depreciation will be around INR100 crores.

Resham Jain: Okay, understood. Great, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Mohammed Patel from Care PMS. Please go ahead.

Mohammed Patel: Mr. Sachin, can you give me the volume number for Y -o-Y last quarter, India, International?

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Sachin Gupta: Which quarter?

Mohammed Patel: Last quarter, Q2 -'23.

Sachin Gupta: Q2?

Mohammed Patel: Q2-'23.

Sachin Gupta: One minute. So, last quarter, the Q2 numbers were 75,000 tons of India business and International 69,000 tons.

Mohammed Patel: And the realization ?

Sachin Gupta: That was India INR57 and International INR135.

Mohammed Patel: What is the update on the SALIC deal?

Sachin Gupta: So, deal is all completed, Mr. Mohammad. So, any specific questions?

Mohammed Patel: How are the discussions progressing now versus last quarter?

Sachin Gupta: Yes. So, that's positive. We are moving forward.

Mohammed Patel: Okay. One last question was with respect to freight cost as a percentage of sales and ad spend as a percentage of sales for this quarter versus last quarter. If you can give that?

Sachin Gupta: So, my freight cost as a percentage of sales this quarter is 4.5%. And immediate preceding quarter, it was 5.1%.

Mohammed Patel: And ad spends?

Sachin Gupta: Ad spend in this quarter, I have an ad spend of 1.3%. And immediate preceding quarter, it was 2.3%.

And overall, this half year, we have made an ad spend of 1.7%.

Mohammed Patel: Any target for ad spend for this year?

Sachin Gupta: So, this will remain in this range itself, 1.7% to 2%.

Mohammed Patel: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar: Hi, sir. Thanks for the opportunity again. There is a substantial reduction in other expenses this quarter as compared to same quarter last year. So, it is mainly due to freight or is there any other one-off also?

Sachin Gupta: So, it is mainly due to the freight. So, the freight cost in the last year, the same quarter, it was INR238 crores. It has reduced to INR89 crores. So, there is a reduction of almost INR150 crores.

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Vipul Kumar: Okay, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Mahesh Atal from Atal & Associates. Please go ahead.

Mahesh Atal: Sir, my question would be majorly on the macro trend. Currently, right now in India, we see the festive season for this quarter and then the next quarter, there would be Ramadan coming. So, for the H2 overall perspective, do you see some shoots where you can see the demand going up for Basmati as a category? This is my first question.

Second question, altogether the Basmati segment, do you see that there is a kind of spending coming from Tier 2 and Tier 3 cities also because it is generally an urban product as such. Do you also see Tier 2, Tier 3 towns getting into this so-called luxury spending and all that thing coming up? Can you please throw some light on this?

Management: Yes, Mr. Mahesh, historically we have seen that H1 to H2 is 45:55 ratio. So, we are expecting the same. So, as far as you said, Ramadan and all these things, it is a very regular consumption. And as a category, if you see as per Euromonitor, the global consumption for Basmati is growing more than 5% in volume term. So, this we are expecting to do, that is what is happening. And we see, we are positive that this consumption growth will keep happening.

Mahesh Atal: Anything in India perspective, sir, do you see any Tier 2, Tier 3 cities growing and consumption growing in those parts of the world?

Management: Yes. So, India is a high growth market in terms of, so it is a high growth market as compared

to

international markets. So, here, the volume growth is in the range of 8% to 10% as per analysis.

Mahesh Atal: And what would be your vision to take the market share in India, sir, which is currently 30-odd percent, I guess?

Management: Yes, we are progressing, if you see, you know.

Mahesh Atal: Where do you want to end up in this financial year, sir?

Management: I will say, we will keep working hard to improve our market share. That is what any business will aspire to do.

Mahesh Atal: All right, fair enough, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to management for closing comments.

Management: So, thank you so much, for joining in. Thank you.

Moderator: On behalf of Motilal Oswal Financial Services Limited, let conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Ref-LTF/ SE/ 202 3-24/ Date: February 02 , 2024

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Earning Call for the quarter and nine months ended December 31 , 2023

In continuation to our earlier letter dated January 30, 2024 , filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company , to discuss the Un-Audited Financial results of the Company for the quarter and nine months ended December 31 , 2023, scheduled for Monday , January 29 , 2024 at 17:30 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
Q3 FY'24 Earnings Conference Call"
January 29, 2024

MANAGEMENT : MR. ASHWANI ARORA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – LT FOODS LIMITED
MS. MONIKA JAGGIA – VICE PRESIDENT , FINANCIAL
AND STRATEGY , COMPANY SECRETARY AND
COMPLIANCE OFFICER – LT FOODS LIMITED
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER – LT
FOODS LIMITED

MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL SERVICES
LIMITED

LT Foods Limited
January 29, 2024
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Moderator : Ladies and gentlemen, good day, and welcome to the LT Foods Q3 FY24 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call please signal an moderator by pressing star then zero on your touchtone phone Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services Limited.

Thank you. And over to you, sir.

Meet Jain : Thank you. Good afternoon, everyone, and a warm welcome to LT Foods 3Q FY24 post-results earnings call hosted by Motilal Oswal Financial Services Limited. On the call today, we have the management team being represented by Mr. Ashwani Arora , MD and CEO; Mr. Sachin Gupta, CFO; Ms. Monika Jaggia, VP, Financial and Strategy, Company Secretary and Compliance Officer. We will begin the call with key thoughts on the management team. Thereafter, we will open the floor for Q&A session.

I would now like to request the management to share their perspective on the performance of the company. Thank you, and over to you, Ms. Monika.

Monika Jaggia : Thank you, Meet. Good evening, everyone, and thank you for joining us on our quarter three and nine months financial year '24 earnings conference call. Before we start with question-and-answer session, I would like to highlight that certain statements made or discussed on the conference call today are forward-looking, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

Results documents, including the presentation, all are available on the company's website and have also been uploaded on the stock exchange. And I'm sure all of you have read the same. A transcript of this call will also be made available on the Investors section of the company's website. As we have uploaded all the documents , now we will open the floor for question and answer, please.

Moderator: Sure, thank you very much. We will now begin the question and answer session. The first question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management.

Abhishek Maheshwari : Thank you for the opportunity. And congratulations on a good set of numbers and an improvement in margins. So I think first question would be -- I think it would be on everyone's mind right now.

Can you throw some light on the supply chain resiliency that we have, not just from India, but also from Thailand where we source our Jasmine Rice from? And with respect to Jasmine Rice, do we use the specific root? Or do we use the Suez Canal only for exports to US? So , can you just throw some light on the supply chain situation? Thank you.

Ashwani Arora : Yes, good evening Abhishek, this Red Sea issue is only one is, supply from India and not from the -- and that is only to the East Coast of USA and Europe. That's the area where -- and somehow to some part of the Saudi Arabia, which is Jeddah where this interaction has happened. And the impact of this is it is not impacted to the West Coast of USA or supplies from Bangkok. So , there no issue on that. Regarding the impact of this, two impacts has happened. One is that the freight rates to the East

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Coast and Europe has gone up, so the shipping line has imposed emergency surcharge on that. And the other impact is the transit time has increased by 15 days. So that two impact has happened with this disruption due to this Red Sea issue.

Abhishek Maheshwari : Okay. So sir, a follow-up on that. So I think in last two , three years, this is the second time that you are facing a freight cost situation. So at the peak of container shortages during COV

ID, when the

freight cost had gone up 6-7 times , are you seeing the cost moving up to the highest level? Or is it still very manageable at this point?

Ashwani Arora: No, not to that level. At that time, container rates has gone, to, for example, USD10,000. So the shipping line has surcharges like \$1,400 per container, they have imposed. So it's manageable. So there will not be any loss of sales because of this disruption. So the only impact is cost, and we are evaluating on pricing, how to pass on this impact. So the most critical and important is that we should not have a loss of sales. So that is not there .

Abhishek Maheshwari : So that's good to hear because we thought that maybe, the customers on the other side might think, "Okay, let's delay the sales a little bit and see where the situation leads us."

Ashwani Arora: We are a FMCG consumer company, so it's not a kind of buyer/seller where the delay can happen. So if you are not on the shelf, it's loss of sale, and we understand this. So we are making sure that as far as supply to consumer is very stable, consistent.

Abhishek Maheshwari : That's clear. Sir, one last question before I get to the queue. For instance, we are not having any loss of sales. But at the same time, freight cost has not really moved up to a level where we had seen during COVID time. So we might see some minor level of margin impact, but it should not be as severe as you know, margins going down to 10% level.

Ashwani Arora: No, no. You are right, Abhishek, you are right.

Abhishek Maheshwari : Very minor impact. So very minor.

Ashwani Arora: Minor. Very minor, yes.

Abhishek Maheshwari : Thank you, sir. I'll get back in the queue.

Moderator: The next question is from the line of Amit Doshi from Care PMS. Please go ahead.

Amit Doshi : Thank you. Sir, on the front of -- there was an announcement in December that -- where we won that case -- long-pending case of that fire incident, and the court has granted in our favour. And there is amount of some interest also, which has been granted. So post that announcement, is there any development whether -- when are we expected to receive that amount or just to understand whether the insurance company can go further to the, I mean, higher courts or anything of that sort, if you can just throw some light on that?

Ashwani Arora: So Amit, so we have won the -- in the first court. And the opposite party has option to go to the higher court. So it's 60 days, so let's see how they react. And we will come to know in the coming days that they will -- will they appeal in the next court or not. But they have the option and right to go to the

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next court.

Amit Doshi : Okay. And in the meantime, do you see any sort of amounts on kind of in the interim?

Ashwani Arora: No, no. So unless and until the exhaust with -- so we have not received any amount, so I can't comment further on that.

Amit Doshi : Okay, okay. And the interest amount itself would come quite big, right, if I'm -- it would be in the range of INR60 -INR70-INR80 crore s plus, right?

Ashwani Arora: It's more than that, it's more than that. Yes. So we -- I think if you -- we did do the calculation, it is more than 250 something.

Amit Doshi : All right. Okay, okay. Got it, got it. Thanks Fine. In terms of, sir, the exports, which has been banned for non -Basmati, do you see -- so there are two parts to it. A, in terms of price impact to the Basmati, which I understand last time you had said no. B ut even post that, is there any change?

And b, in terms of what are we reading in the articles, etcetera, now that the gap between the prices is reducing. So are you witnessing any shift in the demand from probably non -Basmati to Basmati owing to its non -availability as well as the price rise? So if you can answer on both end.

Ashwani Arora: So the category is moving to -- from no

n -Basmati to Basmati, but that's a routine. If we have seen

historically the Basmati consumption has grown in a volume term, 6% t o 7%. And as per euro monitor also, this is only premium grain where the consumption is growing. If you say the total consumption globally is around 500 million tons in Basmati, it's just around 10 million tons consumption.

So we expect this category to gr ow. But answering your question, is pricing makes difference? Is non-Basmati goes higher than the Basmati consumption goes? So that is -- we have not seen that.

We have seen that there is a big difference in non -Basmati prices and Basmati. So normally, peo ple, as the income grow, they wanted to have a better food. So they moving to Basmati in India and across the globe.

Amit Doshi : Fair enough, fair enough. And sir, in terms of ready -to-heat category, so have we expanded anything?

Are we -- because I think, we were almost on the full capacity last time we did first. So anything on that, whether it is Cuppa Rice or whether it be snacks or whether it is ready -to-heat category. So anything on that?

Ashwani Arora: You have seen in the presentation of this ready -to-heat and ready -to-cook business is growing at 23%.

And we are optimistic about that. We have 4 product at the moment, which is one is heat and eat, which is in USA. Then in India, we have -- and actually globally, ready -to-cook, this Biryani Kit and Cuppa Rice.

And especially in Biryani Kit, we are getting a good response. And in the rice snacks also, we have changed our communication strategy a little bit and that -- and changed some -- the product portfolio, so -- and we are getting the good response i n the rice snacks also. So all the four things are reasonably doing well. And we expect that it will...

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Amit Doshi : My question was more on that, capacity and any capex in terms of increasing it.

Ashwani Arora: Capacity, we have already increased RTH capacity. And next year is not in the agenda.

Amit Doshi : Okay. Currently, we have already expanded. And we are far ahead, having low from the optimum capacity. Okay, okay. And last question, sir, on the dividend front, I mean, so it's good that last call, you expanded your dividend policy from standalone profits to consolidated profits. But since last couple of years, we have been receiving on an interim front. So in this -- till this data, we have not announced any interim dividends. So again, is there an y change in thought process in terms of dividend policy.

Ashwani Arora: No, there is no change in the thought process. Whatever we have said on that consolidated, we will distribute 10% to 20% of the net income.

Amit Doshi : Okay. No -- so not announcing th e interim, so that is the...

Ashwani Arora: So I think that's some stats they wanted to do. And final...

Management: That will be done in the final one. We will be doing in the final.

Amit Doshi : Okay. So no interim, only the final...

Management: Yes so whatever the guidance was given...

Ashwani Arora: We have given two dividend in the year. One will be interim, and one will be final. Already we have given last quarter, yes.

Amit Doshi : Okay. Thank you. I'll re-join in the queue.

Ashwani Arora: Thank you.

Moderator: The next question is from the line of Amit Jaswani from Stallion Asset. Please go ahead.

Amit Jaswani: Hi sir. Good evening. Sir, I've got two questions. First question is on our guidance of 20% ROE for FY24. First of all for FY25, sorry. Sir, are we on track for that? Because we'll have to do about INR730 crores PAT next year to achieve that. That is the back of the envelope calculation of...

Ashwani Arora: So the return on equity has already moved up. So it is 18.7%, and return on equity is 20.3%. So we're already moving to that goal. So whatever -- I think we have set up a good first 20% return on equity.

So we are not far f

rom there.

Amit Jaswani: Right, right, right. So my other question is about since we're generating a lot of cash flow lately, so there's been deal about Capital Foods got acquired at INR5,500 crores, Or ganic India got acquired at INR2,000 crores. Our market cap after 70 years of being in existence, having Big Four as our auditors, now being market leaders in rice is nowhere close to -- I still don't like the stock price of INR110, INR120. I used to ask you why you are doing buybacks.

And that same question I asked at INR200 also. And now , you have proof of concept also that what -

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- how that market value continues to go lower facing food companies. Have you given a thought that would increase the ROEs of cost? And have you given a thought of what if we do a INR500 crore s kind of buyback and reduced equity by 7%, 8%? But I'm sure the markets will start rewarding the stock in a very different way once that happens.

Ashwani Arora: No, no. You're right. So we keep on evaluating this. The first goal was to reduce our -- this working capital borrowing. And now we are consistently considerably lower of our borrowing, which is now -

- so maybe next year, we will look into this. We are on a comfortable position as far as our data. So we will evaluate. We'll keep on evaluat ing all these things.

Amit Jaswani: Because our total interest cost -- right now, our total interest cost is about INR19 crores a quarter, right? And our PAT is INR150 crores. So it will be more efficient if we could go for buybacks than reducing dividends in my humble opinion, of course, if the valuation stay, which they do. My -- sir, second question is on the Red Sea problem. Sir, if you can quantify what kind of impact are we seeing.

Would it be right to say that we are losing about INR3 crores a quarte r or INR6 crores a quarter?

Ashwani Arora: So the impact is roughly around this. But as I said, we are evaluating pricing strategy, how to compensate or -- so we're still evaluating is it a short term, is it a long term. So maybe in the next month, we will decide our pricing strategy. But the impact is, as you said, it's roughly INR4 crore s per month.

Amit Jaswani: INR4 crores a month. So sir, if you increase prices by 0.5% also, shouldn't that be more than easy to get it done? Why so much time on increasin g prices by 0.5%?

Ashwani Arora: No, no. As you know, we are a FMCG consumer -facing business, so it is not a kind of commodity that tomorrow you increase and next day, you decrease. It doesn't happen. So we are evaluating that -- we are talking to shipping lines, how long it will go. There's two-, three -month phenomenon than the -- maybe the strategy will be different. If it is something long run, then the strategy will be different. So this has just happened in this month only.

On January 1, we have seen -- starting seeing the impact. We are waiting for a month how it evolves.

On to your question, we have seen historically if the cost has been increased, we are able to pass on to the consumer and -- without having impact on the growth of the business.

Amit Jaswani: Exactly my point, sir. That is a fair call, sir. So PBT impact, which is a INR204 crores PBT, there's a possibility that if we don't pass on prices, we'll have a INR12 crores kind of an impact as of today, right, sir?

Ashwani Arora: So it will not be in this quarter because we always had inventory in hand in our -- the destination. So the impact will start from the next year, first quarter.

Amit Jaswani: I'm sure, by then, you can increase prices also.

Ashwani Arora: So we'll look into, yes.

Amit Jaswani: Got it, sir. Got it. So we are clear on buyback. We are clear on -- sir, and the growth should be -- what kind of growth do we expect for Q4?

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Ashwani Arora: So on a full year basis, we are expecting double

digit, which is roughly 9% to 10% growt h on a full year basis.

Amit Jaswani: And that's by volume or value, sir, combine you're saying? Have you ever thought of divesting some

stake in -- giving some stake to this private equity company for our organic business, like the healthy business? Because that is where the high growth is there. And because we can unlock some valuation potential. I'm not thinking about the India Daawat business. I'm speaking only about the organic business because that is a business which should grow at very fast rate.

And the kind of valuations where we trade versus where the market is valuing it, it's a very large difference. And I keep thinking and keep asking the thing that why does it get such low valuation given the kind of business that you have there.

Ashwani Arora: I agree with you. That, I agree with you. But on the organic company, so the answer is that we are not evaluating. There is already in that company, Rabo Equity has invested in that roughly three, four years back. At the moment, we don't need any kind of money. So we are not evaluating any investment -- private equity investment in the company already we are sitting...

Amit Jaswani: Sir, but we should get about INR250 crores on the insurance. When should we -- if they don't go to the higher court, if the insurance company doesn't go to the higher court, we should receive the insurance money by when? Because that will straight decrease our debt.

Ashwani Arora: They have 60 days from the order.

Amit Jaswani: Because that is -- we finished about 45 days, if I am right.

Ashwani Arora: No, no. I think we have just finished in, I think, 20 days. Because there is a technical clause from the certified copy -- true copy. So the day starts 60 days from there.

Amit Jaswani: Got it, got it. So if that INR250 crores comes in, we don't have to pay any taxes on that. That's still going to decrease our debt, and our interest cost going down by INR20 crores, right?

Ashwani Arora: So tax, INR250 crores. Then in our books, the outstanding is INR136 crores. So the rest of the amount, we have to pay the tax, a substantial amount that will further reduce whatever the borrowing is.

Amit Jaswani: Got it, done, sir. Thank you. My best wishes Arora Ji.

Ashwani Arora: Thank you, sir. Thank you.

Moderator: Thank you. The next question is from Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah : Congratulations, sir, for very good set of numbers. So sir, in earlier presentations, we used to share the tonnage for -- from each region, tonnage and sales. So is it possible to share the tonnage and value from each region, sir?

Ashwani Arora: So it is not in the presentation, you said?

Vipulkumar Shah : Yes, sir.

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Ashwani Arora: Okay. So you can e-mail to us. We will definitely share with you. It's not an issue.

Vipulkumar Shah : And sir, regarding buyback, is there any threshold in your mind for the debt? Once it falls below that particular level, then only you will consider buyback means INR1,000 crores of your INR800 crores.

So do you have any debt level in the mind?

Ashwani Arora: That's a good question. So we want that, unless I think debt EBITDA, one is a good number for us. So -- but we are evaluating some growth opportunities. So the short answer is, we don't want to increase our borrowings to debt EBITDA 1. And after that, whatever the surplus amount, either it still gets into buyback or dividend, that depends on the -- at that time, we will evaluate.

Vipulkumar Shah : And sir, lastly, our organic business is not doing well since the last two, three quarters, if I remember correctly. So what are the steps we are going to take to make it grow again?

Ashwani Arora: So actually, for the last two quarters, although you are seeing the debt-growth against last year, but our organic business

is doing very well. We have got a deficit of INR200 crores from this anti-dumping duty. But we have filled it up with the other quarter. So that's more stable. So what we say that our organic business is -- has become very robust.

And from the next financial year, you will start seeing the growth in the business. So actually, soya was big business, commoditized in nature. So it's a blessing in, I would say, disguise, I think. Now we have a more robust business.

Vipulkumar Shah : So which product lines, sir, soya?

Ashwani Arora: So we have rice, we have this oilseeds, lentils, So these are the line of product, which has grown for the strength of the business.

Vipulkumar Shah : So next year, we will see year-over-year growth, right, sir?

Ashwani Arora: Yes, yes.

Vipulkumar Shah : Okay, sir. Thank you. And all the best for the future.

Ashwani Arora: Thank you, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Ranodeep S from MAS Capital.

Ranodeep S : Yes, thank you for the opportunity sir. And congratulations on great set of numbers. So my question was with respect to the -- how has -- it has been a while since you have the SALIC deal, right? And LT Food promised to do around 20,000 tons, whereas the Saudi Arabia market is around 1 million tons. If I'm not lost, we are gunning for around 10% market share, which is around 1 lakh ton. So wanted to understand how have we progressed in our aspirations in the Saudi Arabia market.

Ashwani Arora: So I don't know some -- this 7,000 or 10%. That 10% is our growth aspiration. That's true. And these are -- as I've always said in all the calls, it's not a short-term thing, It's a medium to the long term. And

we are moving towards that. We'll soon see the good initiative in that market. By the way, the Middle
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East market for us has grown by 44% till -- in nine months. So we are quite active in Middle East market overall, and we are getting good response. We are investing in -- behind the consumers. So that's being rewarded, and that's where our 40% growth is coming.

Ranodeep S : Great to hear that, sir. So my next question was with respect to -- so overall, we have three revenue streams, like specialty Basmati rice, organic and process packaged foods, right, where if, I'm not wrong, Daawat and Royal being around 70% of the business. So what is our school of thought in terms of developing mega brands, right, within the brand, right? So Daawat and Royal are strong brands. So is there a school of thought on developing bigger brands in the organic and processed packaged foods?

Just to draw a parallel, like how the ITC started couple of years ago, right? Now they have 6 mega brands of each 1,000 crores plus, right, which is driving the growth. So what are our school of thought in this aspect?

Ashwani Arora: So as far as -- there's ready -to-eat and ready -to-cook, we are extending our brand equity, which is Daawat and Royal. And that's one strategy to grow our business in that segment. On the organic, as an organic company, the business is more B2B, and we wanted to focus on B2B . But having said that, we are extending our organic portfolio in the Royal brand and we will start soon in the Daawat. But as a nature biofood company, we will keep focusing on quality B2B business.

Ranodeep S : Okay, okay. Fair point. And if I can just squeeze in one last question, sir. So India business happens to be in around 30% of the total business. But I understand it's growing at 20% as against 20% of the overall company. In the long term, how do you see the contribution of India versus rest of the world shaping out, sir?

Ashwani Arora: Slowly, India contribution will grow up, as India market is growing faster than the global consumption. So in the long run -- medium to long run, we see India's contribution will improve to the -- so just I'm

tal
king about in the Basmati segment. It will grow. We never know that if we do some inorganic growth. So in -- overall, it did change accordingly. But to the specialty rice, we see the overall India contribution changes to the higher side, yes.

Ranodeep S : When you say higher side, sir, can you quantify that, like around what kind of numbers?

Ashwani Arora: So right now, I'd say 30% to -- for example, we are expecting the international growth around 8% to 10%, whereas India, 15%. So proportionately, it will improve. So I have not done the math, but, yes.

Ranodeep S : Okay, sure. Fair enough sir. Thank you and all the best for the upcoming quarters.

Ashwani Arora: Thank you.

Moderator: Thank you. We take the next question from the line of Vincent Andrews from Geojit Financial Services Limited.

Vincent Andrews : Hi sir. Good evening. Am I audible?

Ashwani Arora: Yes, yes, yes.

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Vincent Andrews : Sir thanks for the opportunity. And congratulations for the consistently good set of numbers. And I have a couple of questions. The first one is related to Golden Star. So you -- in the last con call, you had mentioned about 50% further stakes in the company in June 2025, you mentioned. Am I right?

Ashwani Arora: Yes, yes.

Vincent Andrews : Okay. So in the current accounting method is to our sales does not include this Golden Star revenue, right?

Ashwani Arora: Yes, you're right. Revenue is not included. Only the profit is.

Vincent Andrews : Only profit is added, okay. So can you please -- so in order to complete my model, so can you please share the nine -month revenue as well as the profit?

Ashwani Arora: So 9-month revenue is \$58 million and profit is \$9 million. It's all dollar.

Vincent Andrews : It's all dollar. Okay. Right. So how much do you expect in FY 24 roughly?

Ashwani Arora: Sorry?

Vincent Andrews : In FY24, how much do you expect?

Ashwani Arora: This is three quarter, so you can calculate.

Vincent Andrews : Understood. And the second one -- the second question is the BOD has approved a INR500 crores fundraising. So the purpose for that?

Ashwani Arora: I could not get that question. What did you say, INR500 crores?

Vincent Andrews : The INR500 crores fundraising through commercial paper the BOD has approved?

Management: It is INR50 crores.

Ashwani Arora: INR50 crores, not INR500 crores.

Management: It is an alternative source of funding, which we aspire to raise in the coming future. So our overall borrowings won't go up. It is just an alternative source of funding, which we think to achieve in the coming quarter.

Vincent Andrews : Okay. Thanks for that. And -- sir I will come back in the queue. Thank you.

Moderator: Thank you. Well, that was the last question in queue. I will now like to hand the conference back to the management team for closing comments.

Ashwani Arora: Thank you so much for joining, and look forward to see you in the next conference -- quarter. Thank you.

Moderator: Thank you very much. On behalf of Motilal Oswal Financial Services Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect lines.

Call: May 2024

Ref-LTF/ SE/ 202 4-25/ Date: May 23 , 2024

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Earning Call for the quarter and financial year ended March 31, 2024

In continuation to our earlier letter dated January 30, 2024 , filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company, to discuss the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2024 , scheduled for Friday , May 17 , 2024 at 16:30 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
Q4 FY'24 Earnings Conference Call"
May 17, 2024

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER – LT
FOODS LIMITED
MS. MONIKA CHAWLA JAGGIA – VICE PRESIDENT –
FINANCE & STRATEGY – LT FOODS LIMITED
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER –
LT FOODS LIMITED

MODERATOR : MR. HIMANSHU NAYYAR - SYSTEMATIX
INSTITUTIONAL EQUITIES

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Moderator : Ladies and gentlemen, good day, and welcome to LT Foods Limited Q4 FY '24 Earnings Conference Call hosted by Systematix Institutional Equities. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Himanshu Nayyar from Systematix Institutional Equities. Thank you, and over to you, sir.

Himanshu Nayyar : Thank you. On behalf of Systematix Institutional Equities, we welcome you all to the Q4 and financial year '24 results conference call of LT Foods. We have with us from the management team, Mr. Ashwani Kumar Arora, MD and CEO; Mr. Sachin Gupta, CFO; and Ms. Monika Chawla Jaggi, VP, Finance and Strategy.

We will begin the call with brief opening remarks from the management team, and then we will open the floor for the question -and-answer session. I would now like to request the management to share their perspective on the performance of the company. Thanks, and over to you, Ms. Monika.

Monika Chawla Jaggi : Thank you. Good evening, everyone, and thank you for joining on our Q4 and financial year '24 Earnings Conference Call. Before we start with the key highlights of the quarter and the full year ended 31st March 2024, I would like to highlight that certain statements made or discussed on the conference call today are forward -looking, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

Result documents are available on the company's website and have also been uploaded on the stock exchange. A transcript of this call will also be made available on the Investors section of the company's website.

I will now hand over to Mr. Ashwani Kumar Arora for his comments. Over to you, sir.

Ashwani Kumar Arora : Thank you, Monika. We are immensely pleased to announce that LT Food has achieved robust growth in revenue and profitability for another year. Our 3 E segment, Basmati and other specialty rice, organic food and ingredients and ready -to-eat and ready -to-cook segment have driven a remarkable 12% year -on-year increase in growth.

While our Basmati and other specialty rice continued to outperform during the year, growing by 17%. Our ready -to-eat and ready -to-cook products have gained traction by growing at 23% have further contributed to our revenue growth globally. This consistent performance highlights our strategic focus on brand building, innovation, distribution and expansion.

Our market share in India currently stands at 30.1 with an offtake volume growth of 11% for LT Foods Limited

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financial year '24 compared to the category growth of 8.9%. Additional investment on brand distribution expansion and portfolio expansion have played a key role in this success.

Moreover, the number of households consuming LT Foods products grew by an impressive 11% to reach 50 lakh -plus household in India.

Our brand in U.S., Royal, has grown by 20.6% as compared to category growth of 17%. Our brand Golden Star has also grown by 30.8 as compared to category growth of 11.6%. Golden Star currently has 15% market share in the Jasmine Rice segment in U.S.

In Europe , our revenue grew by 11% year -on-year in financial year '23/'24 by focusing on key accounts and branded business. In Middle East, our revenue grew by 42% and our brand share in premium segment has reached to 6.7% in UAE. The revenue growth has been delivered by strategic growth market UAE and Iraq driven by investment in brands .

Our food business has grown 6x since financial year 2020, and is expected to grow at a CAGR of 33%, 35%. The growth

will be fueled by increased consumer distribution

penetration and launch of new products. Our organic business, the revenue was hit by antidumping duty, but still I'm happy to share the team has done a wonderful job by covering up the same to an extent.

We are optimistic on the future outlook of the organic business. Looking ahead, we remain focused on strengthening our business fundamentals and by recruiting more consumers. We are confident on demand side, whereas we see a marginal impact on margins on account of Red Sea, freight issue, and investment on building digital capabilities.

We're optimistic on our ready -to-eat and ready -to-cook business as well. We are doubling our capacity in U.S.A. in this segment. Our strategic initiative including strengthening our core business across geography organically and inorganically, expanding our product portfolio and adding efficiency across value chain have established LT Foods as a dominant global players.

We are dedicated to optimizing operations, improving efficiency and maintaining our commitment to sustainability, guided by our ethos of quality and innovation. We aim to continue generating value for all stakeholders and achieving sustained growth in the years to

come. Thank you.

Monika Chawla Jaggia : Now, we open the floor for questions-and-answers, please.

Moderator : Thank you very much. The first question is from the line of Pradyumn Choudhary from JM Financial.

Pradyumn Choudhary : So I'm a bit new to the company. So most of my questions are rather a bit over a longer-term related questions. So first thing, if we look at the data from FY '18 to FY '23, our gross

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margins have expanded actually by 6 percentage points or so, yet our operating margins seem to be largely at similar levels. So has it got to do something with the change of ...

Moderator : I'm sorry to interrupt sir, there is some background noise from your side.

Pradyumna Choudhary : So my first question relates to, if you look at your gross margins over FY '18 to FY '23 or even FY '24, they've expanded by 5, 6 percentage points and yet our operating margins seem to be a flattish zone. So is that due to some change in how we do our sales in terms of FOB or CIF or is there some other reason? Because a lot of it seems to be going towards freight and forwarding charges. The margin improvement seems to be offset by freight and forwarding charges over the years? So that's the first question.

Then the second one relates to, you've given a guidance for ROE improvement to 20% in FY '25, and we seem to be on a way there. But from a free cash flow perspective, there seems to be still a big headroom for improvement. That's probably because of inventory days. So what's our plan going forward? Like where do we want to -- or where can we get these cash flows improvement from? What are the low-hanging fruits and what are we targeting really? And the third question relates to, in recent times, we've done a fair bit of capex, right? Like close to 3% of our sales over a 5-, 6-year period. So has it been mostly towards maintenance, has it been towards capacity expansion? Because my sense is the capex requirement for our business would otherwise be quite limited. So where has this capex been? These are my 3 questions.

Ashwani Kumar Arora : Yes. Thank you. So Sachin, you can add wherever you wanted to. So I will take from your last question on the capex. So the capex mainly has gone into 3 parts. One is the capacity increase, the second is on the maintenance capex and third is building -- we have in the last 2, 3 years, we have build our own green energy. We have invested in solar. We have invested in biofuel generation and some part has gone into the warehousing building.

So broadly, the capex has gone to here. And we have set up our RTH plant. We have increased our RTH facility in the U.S. So to

that's your third question. Second is on the free cash flow.

Sachin will add into that. But broadly, on the working capital cycle, we don't see any further improvement in the working capital cycle. But with the time as our Jasmine rice business will grow as our value-added business will grow, the mix will change.

Sachin Gupta: Yes, you are right. And in this respect, I want to say that over the years, if you are looking at '21 to '24. Our working capital days from 232 days, now it has come down to 188 days. And what we see currently at the -- in the rice segment, this kind of inventory levels have to maintain and we have to age our inventory and these inventory levels or the working capital cycle will remain.

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Of course, there can be a reduction of 1 or 2 days here and there, that is possible. But our major reduction in the working capital days will come in the RTC and RTE segment. Once it crosses and we aspire to have 7%, 8% of our total revenue coming from this segment, which has a lower working capital cycles, then our working capital cycle will further reduce.

Ashwani Kumar Arora: And coming back to your first question on the -- our gross margin has improved, but our operating margin. But if you see in the 5-year, we have improved approximately 2% on EBITDA margin from our lower side. But as in the last 4 years, we have ran through this disruption of COVID, Red Sea, that has increased our operating cost.

As far as your question, do we sell CNF, FOB, majority of our business is not because we have our own distribution marketing in U.S., Europe. And we sell there as a competitive landscape. So it's not like sort of balancing the operating margin on the gross margin. So we are confident once the disruption phase will be over, we will be able to improve margin. However, we are improving on our return on capital employed as 21.7 and return on equity 19.3. I hope that answers your all questions.

Moderator: The next question is from the line of Jaidev Bhalaje from Equizone Analytics.

Jaidev Bhalaje: So I just have few questions to ask. So I just want to know how you're trying to grow your retail presence and distribution reach like going forward? And what factors have impacted realizations this year? And what is the outlook on the export market? And can you also share more details on the growth strategy for Basmati versus non-Basmati rice?

Ashwani Kumar Arora: Yes. So on the demand side, in the international market, we are optimistic that double digit 10% to 12% growth will remain intact. And your second question was on the retail and distribution in India. We have just 140,000 outlets, although we are present omnichannel and e-commerce and modern trade. But in general trade, there is a lot of opportunity, and we are working on that to increase our distribution. So this question, I have not understood realization -- so what was your question on the realization?

Jaidev Bhalaje: So what factors impacted the export realization this year? What is the outlook on export market s in the future years?

Ashwani Kumar Arora: So as I told, we are optimistic on demand side on the international market as well as in India.

Moderator: The next question is from the line of Niatik Mutha from NV Alpha Fund.

Niatik Mutha: Congrats on a good set of numbers. Sir, my first question is, if I see in the last 4 years, we have spent close to INR841 crores in capex. Now I know you have given broadly where you have spend the capex like on energy or ready -to-eat and all of that. But can we please put numbers to those specific numbers because 841 seems to be a big number. So if you can separate the maintenance capex and rest, if you can give that breakup, that will be really helpful.

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helpful.

Ashwani Kumar Arora: Sure, we can do that. But if yo u can just write a mail, we will -- we don't have tha t...

Niatik Mutha: I'll write a mail, sure. Now my second question is on the international market, if I see the rest of the world seems to be -- seems to have degrown year -over-year. Is that right? And i f yes, then what happened if you could just elaborate?

Ashwani Kumar Arora: No, no. International market -- Rest of the world?

Niatik Mutha: Sir, Rest of the world, except of Europe, U.S. and the rest of the market as well, please.

Ashwani Kumar Arora: We have grown. So I think in the presentation it's not mentioned, but we have grown across all international markets as well as in India.

Niatik Mutha: Okay. And another question is, if I see, there has been margin expansion on EBITDA level, which has come due to decrease in other expenses ex of raw material and employee costs, both on a year -on-year level. So I just wanted to ask what is the sustainable level and how has this come about? I mean, what costs have we reduced?

Ashwani Kumar Arora: So in terms o f margin, you're asking about sustainability?

Niatik Mutha: Yes.

Ashwani Kumar Arora: We are confident that we will -- we are confident on the...

Niatik Mutha: No, no, sir, my specific question is that the other expenses have come down significantly, ex of raw material and employee cost. So if you separate those 2 costs, the remaining costs have come down significantly. I just wanted to understand what is the reason for that?

Ashwani Kumar Arora: There are basically different reasons, our operational effici ency and the reduction in the freight costs. This has led to a reduction in the other expense -- other expenditure this year.

Niatik Mutha: So majority of it would be freight cost, you'd say?

Ashwani Kumar Arora: I'm talking about -- I've given two aspects ; operational efficiency and the freight cost. These two factors both have led to increase in my margin, EBITDA margins.

Niatik Mutha: Sure, sure. Just 1 last question. Can you please give the realization in India and international both for us per kg?

Ashw ani Kumar Arora: So the India realization this year is 65 and the international 138.

Moderator: The next question is from the line of Hitesh Goel from CLSA.

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Hitesh Goel: My first question is related to the -- if you look at the selling and distribution exp enses and - it's quite high for you guys as compared to if I look at KRBL, right, your competitor, which is very low, right? I understand that they have a more established brand. So can you give us some guidance how this S&D expenses could go down? And wh y do you spend more versus the competitor?

Ashwani Kumar Arora: So Hitesh, our business order is different from the competition you are mentioning. We have our own distribution in major of the business, which is U.S.A. we do 40% of our business. And we do our own distribution marketing there as the competition sells to distributor and they have books close there. So there will always be a difference of S&D expenses as compared to them, whereas LT is consistently growing and delivering the good margins.

Hitesh Goel: Okay. My second question is, sir, in this business, obviously, there is inventory that you have to keep -- want to -- have to keep of Basmati rice, right? So can you please -- I'm new to this company, so just want you to understand how do you mana ge the price fluctuation? Because you're buying the rice from the farmer and then you're keeping it for, say, 1 year and then selling in the market. Can you please help us understand because your margins have been quite consistent over the last 10 -year per iod, right? So that is very encouraging. But I just

want to understand how do you manage the price fluctuations in the rice business?

Ashwani Kumar Arora: So Hitesh, all is what we will do, we don't do trading or speculation. So whatever we source our inventory is all for the brand. And the brand prices has in the co

mpetitive landscape,

almost there is no unhealthy competition there like when the prices comes fluctuate. So basically, the strong brands help us to maintain our margins and the global presence. These are the two...

Hitesh Goel: So, sir, you will adjust the pricing according to the market and will you help us get that?

Ashwani Kumar Arora: It's not -- it's a very, very consistent all in international market and as you have seen, majority of the business is not linked to the consumer prices not linked to the commodity price.

Hitesh Goel: It's a trade business, is it?

Ashwani Kumar Arora: It's like any FMCG branded business.

Hitesh Goel: Okay. And my final question is, when I see the Daawat versus India Gate pricing like on DMart or anything else, right? What I see is that they command -- India Gate has a premium of 10%, 15% in terms of pricing versus Daawat. I'm also Basmati lover. I've always gone with Daawat because I like the taste. So just want ed to understand why this price difference, generally, between...

Ashwani Kumar Arora: Normally, we have not seen Daawat commands 30% share and we are at par with the competition. So we don't discount our brand. So maybe this store sometimes do promotion

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on certain brands, so maybe that kind of experience. But normally, our realization at every price point is at par with premium as compared to competition and not discounting.

Hitesh Goel: Okay. Sorry, just final question on ready -to-eat business. So you are saying your margins will go up to 14%, 15% for the company, just for overall company, I'm assuming, and ready -to-eat will be the large -- strong growth of 30%, 30% -plus that you are expecting, right? So can you help us understand, right now, it's not making money, it is minus 1% margin. So at what scale does it start making money? Can you help us understand the metrics of the business there, how it will scale up?

Management: So this business is currently contributing 2.6% of my overall revenue. So this will break even at a point of INR370 crores of business. So currently, it is contributing by INR200 crores of my overall business. So another 2 years is required or it's getting a breakeven.

Hitesh Goel: So how will we reach 14%, 15%?

Management: In a 5 -year span, we're expecting that its EBITDA margin to be in the range of 8% to 10%, then of course, it has a higher margin territory and as I've earlier explained, the ROCE is much, much better than in the rice category.

Hitesh Goel: No. So, I understood that, but you said 14%, 15% for the whole company. Our Basmati margins are at 13% today and ready -to-eat...

Management: That is at 13.5% and further to add this -- we are expecting that it to grow at 15% now over the next 4, 5 years and the remaining -- the organic segment at the 10% to we have a 13.5% to 14%. This overall will have an impact of having an EBITDA margin of 14% and 14.5% combined this year.

Hitesh Goel: So basically, rice margin also goes up. And sir, Middle East, if you can share what are you doing with SALIC because that's a big market? If you can give us some sense how will you scale up Middle East?

Ashwani Kumar Arora: So Middle East is our focus and that we have seen that we have grown although the base is small, but we have grown this year 42%. As far as SALIC partnership is concerned, that we all know, so the government sovereign fund, they are facilitating us to as a government, they can't do business, but they are facilitating our entry strategy in Saudi Arabia.

Moderator: The next question is from the line of Vipulkumar from Sumangal Investments.

Vipulkumar: So my question is ready -to-eat and ready -to-cook segment. You said INR370 crores, it will breakeven. So it will break even at INR370 crores EBITDA level or at net level?

Management: So what we are talking about at an EBITDA level, it will be breakeven at INR370 cr

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INR400 crores what the revenue size needs to be. So it needs to be double from the current.

Vipulkumar: So over what time frame will it double?

Management: Two years, what we are expecting that if everything shape ups well, 2 years what we are expected.

Vipulkumar: So in FY '26/'27, we can expect around INR350 crores, INR400 crores in that business?

Ashwani Kumar Arora: That's what we are targeting, yes.

Vipulkumar: And sir, regarding that insurance claim update, the court has ruled in our favour and

insurance company has gone into appeal. But have we received any payment or we have not received any payment?

Ashwani Kumar Arora: No, we have not received any payment. The insurance company has gone to the next call. So the court has heard us, we have reserved order. So maybe in the weeks time, we would have the outcome of that. And accordingly, we will get moved forward and get the money, yes.

Vipulkumar: And sir, my next question is regarding margins for Jasmine rice. Is it comparable to Basmati rice or is it lower or higher? Any comments?

Ashwani Kumar Arora: It's a comparable.

Vipulkumar: It's a comparable. And it will have a higher growth as compared to Basmati?

Ashwani Kumar Arora: In America, the Jasmine market is 3x bigger than Basmati market. And historically, we have seen that growing more as compared to Basmati. And we have seen the day we have acquired the Jasmine business. Last year, we have grown by 30%, whereas Basmati we have grown by 20%.

Vipulkumar: So we have just 15% share in Jasmine. So who is the leading player in the U.S., sir?

Ashwani Kumar Arora: So leading in the private label business there. And there are other two, other Agro is a company, which is a Spanish company, \$2 billion in rice. So they are competing in that.

Moderator: The next question is from the line of Kavina Desai from SkyRidge.

Kavina Desai: Congratulations on a good set of numbers. My first question is with respect to the share and profits of JV and associates line item, we see a sharp decline in profits this Q4 versus previous year's Q4. But however, when we look at it on a full year basis, it did significantly well in FY '24 versus FY '23. So are such big quarterly variations in this line item a normal thing or this was unusual? Can you please throw some light on this?

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Management: This year, if you look at this year, the year or the quarter -on-quarter basis, the margins have remained consistent. There were certain -- in the last year of the same quarter, there were certain profits, which were at a higher rate. But over the year, this year, the profit has remained consistent over the quarter.

Kavina Desai: Okay. And the second question is, can you also throw some light on your current inventory situation?

Management: So our current inventory level is that we have is 243 days of inventory and a value of INR3,500 crores of inventory that is lying -- that is sitting in my books.

Kavina Desai: Thank you.

Moderator: Thank you. The next question is from the line of Aman from Augmenta Asset Managers. Please go ahead.

Aman: Congratulations on a good set of numbers. So sir, my question was that, for example, if you look at FY '24 we had a volume growth of around 9% and revenue growth of around 7 %. So could you highlight that going forward what could drive the growth? Because since the last couple of years Basmati rice prices are strong.

So we are witnessing strong revenue growth. So could you break up in terms of what could be the volume growth we are witnessing? And secondly, also, how are the Basmati prices? Because like currently, it's very early because we are just early into the sowing season, so some highlight on that?

And also going forward what could be the contribution from the volume growth side, because revenue would depend on

the -- revenue would depend on the value growth as well. So could you highlight on this?

Ashwani Kumar Arora: So if you see the last year we have grown by 12% and the volume growth is 10 and value is 2. So we are growing both volume -wise and value -wise. And in our future model also we have built half value and half volume growth. So wherever LT Foods brands and markets are the category is growing be it America, be it India, be it Europe.

So the consumption of this Basmati segment is growing wherever we are in -- Jasmine is growing and Basmati is growing. Organic is also growing. So we see both value and volume growth in the future and what we have seen historically also.

Aman: So sir, you are trying to say that going forward around that as you mentioned that will grow to the tune of 10% to 12% for the next upcoming year. So you're trying to say 6% would be driven by volume and 6% of that growth will be driven by value?

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Ashwani Kumar Arora: Yes. That's -- yes. Historically, also we have done and we are very positive that the category will keep growing and...

Aman: Okay. So sir, according to your market understanding, so how are the Basmati prices currently vis-à-vis maybe last couple of years?

Ashwani Kumar Arora: Means today or as you know the crop comes in the month of -- start from the September,

October and last year our sourcing price was higher than the last year around 10% to 12%, 12% higher than the last year.

Aman: So you're trying to say the current inventory which we have on books the sourcing price of that is 10% to 12% higher than the last year, right?

Management: Yes, you are as stated by Ashwani, so the current price level -- in the season what had happened the price crop of paddy was higher as that of the last year, but our inventory level at the current rate if you compare it with last year it is 5% paddy is higher than the last year.

Aman: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Rajnish Mehan from Master Capital. Please go ahead.

Rajnish Mehan: Congratulations on good set of numbers. I just wanted to understand, is there any difference in quality of Royal brand that you have in US. and Dabur's premium over here or is it same?

Management: Yes. There are different varieties in Basmati. So in Royal, we have a very premium quality rice whereas in Daawat also it's a different variety of rice. There are three, four popular varieties accepted in different parts of the world. So we pack different varieties in different brands.

Rajnish Mehan: Why I asked is that because with the premiumization coming to India now with per capita income increasing, so is there a plan to launch if Royal is a premium than Daawat to launch the Royal brand in India? And I also see that Daawat brand is not there in US. So is there a reason for that or I mean, what are the plans?

Ashwani Kumar Arora: No, Daawat is very much in USA.

Rajnish Mehan: Okay. In your presentation, sorry, I couldn't see. And so what about -- is there any plan to get Royal premium brand to India?

Ashwani Kumar Arora: So Royal will be a North America brand. They are very strong. Daawat is a very strong brand. So Daawat is present across all price points in India. And our Biryani rice which is the most premium rice price to consumer is in the range of INR180 to INR190, so we are

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growing roughly 20% year-on-year.

Rajnish Mehan: Okay. And sir, my second question is, are you looking out for any more acquisitions in the domestic market or international?

Ashwani Kumar Arora: So we keep evaluating. So historically the company has been very felt both organically and inorganic growth.

Rajnish Mehan: I mean, is there anything in pipeline? I mean in...

Ashwani Kumar Arora: Nothing definite, but we keep evaluating.

Rajnish Mehan :

Okay sir. Thank you sir. Best of luck.

Moderator: Thank you. The next question is from the line of Sandeep, an individual investor. Please go ahead.

Sandeep: Sir, basically, I wanted to know like in your ready-to-eat business you have said that in the next 5 years it will contribute nearly to 10% of the revenue. So I wanted to know for the organic business because it is a very important part of next 5 years what is the likely amount of revenue like you contribute 2030 with total revenue of consolidated profits basically?

Ashwani Kumar Arora: So Sandeep, if I understood your question right. One, the ready-to-eat and ready-to-eat in the next 5 years we have 8% to 9% of our total business come from foods roughly 12% will be from organic and rest is specialty will be 80% will be Basmati and Jasmine rice.

Sandeep: Okay. After 5 years, 80% will be a Basmati, basically?

Management: Yes because Basmati category is also growing.

Sandeep: Yes, I just wanted to go and get those figures. And second, sir, being an investor, I wanted to just take your guidance for next 1 year. Can we expect the PAT which was very good around Rs. 600 Cr this time, can you expect 35% -- 30% to 35% increase as far as the planning and trends in next one year or something like that?

Ashwani Kumar Arora: I can't comment on the number, but we -- as I said in our commentary that we are positive on the demand side.

Sandeep: And the margins you're likely to maintain as we have planned?

Ashwani Kumar Arora: Yes. So margin, as I said, there is a marginal pressure on -- because of this Red Sea freight and we are investing in digital capability. But the demand side is strong. So the business looks very positive.

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Sandeep: Thank you sir.

Moderator: Thank you. The next question is from the line of Jasmine Surana from VT Capital. Please go ahead.

Jasmine Surana: Congratulations on a good set of numbers. I wanted to understand the volume degrowth and

organics since the past two quarters?

Ashwani Kumar Arora: So, Jasmine, as far as organic business as I said we have lost some business because of anti-dumping duty in soya. But as I said the team has done a wonderful job. So we have covered this year that shortfall by growing other portfolio for organic food. So the other portfolio is growing the oil seed, the value-added price and other lentils and these category have grown. Soya is the only category which has degrown, yes.

Jasmine Surana: And is there any guidance as to when this can be recovered soya?

Ashwani Kumar Arora: Soya, this year, we are positive that the soya will come back.

Jasmine Surana: Thank you so much. That's it from my side.

Moderator: Thank you. The next question is from the line of Shashwat Garg from Sku. Please go ahead.

Ashwani Kumar Arora: Yes Shashwatji.

Shashwat Garg: I just want to ask that followed by the ban on Basmati rice at certain price gap by government of India then now Red Sea crisis, how you -- are you getting any competition from Basmati rice players from Pakistan because, Pakistan is exporting too much Basmati rice to Middle East and other countries?

Ashwani Kumar Arora: So Shashwat, as far as this MEP, what you are mentioning is 950. As far as LT Foods is concerned, we all do branded Basmati, majority branded Basmati exports. And we don't feel any challenge on this MEP and which the results has also shown that. As far as Pakistan is concerned, yes, the Pakistan is giving competition to the Indian Basmati rice as an industry. So Europe -- India has lost share as an industry. But as an LT Foods, we -- our Europe preparation, this year has imported a lot of Basmati from Pakistan.

Shashwat Garg: Okay. And sir, the second question is about the domestic market. Sir, your prices are just double from the local players like from, how to put I want to put it, like that way you have only one d

istributor in Uttar Pradesh like in the city of Lucknow and while India Gate has distributor all over the cities in Uttar Pradesh. So, how do you see the growth in domestic market?

Ashwani Kumar Arora: So Shashwat, I wish we could have that kind of premium cover commodity, but that's not the LT Foods Limited

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case. So as I said, we are almost 9 price points working in India. And we are very well competitive in the branded landscape. We are maintaining -- rather we are growing our market share.

Moderator: Thank you. The next question is from the line of Subhankar Ojha from SKS Capital & Research. Please go ahead.

Subhankar Ojha: Congratulations for great set of numbers.

Ashwani Kumar Arora: Thank you.

Subhankar Ojha: I have a couple of them. So if I remember correctly, after quarter 3 conference call, we talked about higher freight cost, and we also quantified that it could go up by even \$4 million to \$5 million per annum basis, but surprisingly, obviously, positively, we had lower freight cost in quarter 4. So we did not have any impact with respect to the Red Sea crisis.

Ashwani Kumar Arora: We have. We've seen the Red Sea crisis. Our U.S. Europe freight has gone almost either -- double the freight. But we have seen because you have not seen the impact in the last quarter because we always have an inventory -- next quarter will have, yes.

Subhankar Ojha: Will have some impact, you may say, the freight cost.

Ashwani Kumar Arora: Marginal impact on the -- yes.

Subhankar Ojha: All right. Okay. And secondly, with respect to your market share in Middle East, which is about 7%. So you're -- 1 of your largest competitor seems to have lost market share, specifically in the Saudi market. So haven't we managed to gain some sort of a market share in Saudi specifically or Middle East as a whole? I mean, what was the market share, say, a year back and what is it now?

Ashwani Kumar Arora: What I call 7% is in the premium segment, that is in UAE, not in the old Middle East. Middle East, by definition, we conclude Saudi, Iraq, Iran, which is roughly INR25,000 crores market. So as I said, they have very strong brands there owned by the local companies. And as far as LT is concerned, we have grown by 42%.

Subhankar Ojha: Okay. So sir, no comments specific to Saudi market?

Ashwani Kumar Arora: No. Saudi is a good potential market, and we are working on that.

Subhankar Ojha: Okay. And finally, sir, we had a great year with respect to free cash flow generation, but we still kept our payout ratio at a pretty low level. What is your thought on that?

Ashwani Kumar Arora: No, we -- as the guidance, we said that we will part -- we will share dividend 10% to 20% of LT Foods Limited

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our consolidated margin and we will do that.

Moderator: Thank you. The next question is from the line of Vincent Andrews from Geojit Financial

Services Limited. Please go ahead.

Vincent Andrews: Congratulations for the consistent good set of numbers.

Ashwani Kumar Arora: Thank you.

Vincent Andrews: See, I have 1, 2, 3 data points. One is in continuation to the previous question. So can you please quantify how much is the freight cost in INR321 crores this quarter as a percentage of sales? And how much do you expect the percent sales in the next quarter because of Red Sea?

Ashwani Kumar Arora: We can't share the detail on this phone, but you just -- you can call the investor relationship and we will be happy to share that. As I said, the freight rate has gone double to the Europe and almost again double to the U.S.

Vincent Andrews: Okay. So one more data point, like what is the volume international and as well as India this quarter? And the realization that is in ongoing quarter, Q1 quarter, for India as well as international?

Management: So as the quantitative manner, so we made a quantitative step revenue

of 1,86,000 tons in

this quarter and this is almost a 17% growth on the quarter -on-quarter basis.

Vincent Andrews: For total, so can you please split in international as well as India?

Management: That is 1 lakh tons in international and 87,000 tons in India.

Vincent Andrews: Okay. And the realization in the ongoing quarter? How's the trend in India and international?

Management: As stated by Ashwaniji, we will maintain the momentum, and we are hopeful that this year also, we will have a quantitative growth of 7%, 8% this year.

Moderator: The next question is from the line of Vipulkumar from Sumangal Investments.

Vipulkumar: Sir, what is our dividend distribution policy? So we have declared a total dividend of INR1.5 on our earnings per share of INR17. So it looks really very eager as compared to the profit and cash flows we are generating. So would you spell out your dividend distribution policy?

Ashwani Kumar Arora: Sure. So we have given a guidance that dividend policy will be 10% to 20% of the consolidated profit and we will do that.

Vipulkumar: But sir, if you take 20%, then it becomes INR3.5.

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Ashwani Kumar Arora: Yes, 10% to 20%. It depends on the cash flow, on the future requirement, the requirement of the business, 10% to 20%. That's the range we have given.

Vipulkumar: And sir, one suggestion previously, we used to share all the tonnage for the quarter for India, U.S., Europe region, tonnage and rupees, that practice we will stop. So I would request you to put those actions in next quarter's presentation, it will be really helpful.

Ashwani Kumar Arora: Sure. We will evaluate your proposal.

Moderator: The next question is from the line of Mohammed Patel from Care Portfolio Managers.

Mohammed Patel: Sir, my question is very similar to the previous participant. The dividend policy is 10% to 20% of the consolidated profits. The announced dividend INR1.5 is lower than the lower band, which is 10%, so this is what we all are trying to understand.

Management: So we had declared to previously INR0.50. This year, we have declared INR0.50 again interim and INR1 as a final dividend. So this is the -- no, INR1.50 for the last year we have declared a dividend for this one. And that means almost 8.5%, 9%.

Mohammed Patel: It is lower than the 10% band. So this is what we are trying to understand.

Ashwani Kumar Arora: Yes. You have a valid point, and we will -- in the coming years, we'll make sure that...

Management: Yes, we will look into in the coming years.

Mohammed Patel: Okay. And my next question is, so the volume number if you can share for India -international for the full year versus last year?

Ashwani Kumar Arora: Yes. So you were having some questions?

Mohammed Patel: Volume numbers for the Basmati segment, India -international for the full year?

Ashwani Kumar Arora: So for the full year, that is -- in the India, that is 3,18,000 tons and international 3,30,000 tons.

Mohammed Patel: Okay. My next question is what is the outlook for the Basmati domestic business for the next year? And what is the outlook for the organic business in the near term?

Ashwani Kumar Arora: So yes, we just mentioned that we are positive on all our markets, India, organic, international markets. We are expecting to maintain the momentum which we have built in the history.

Mohammed Patel: Okay. So organic business has done not that well in the last year, so it should be doing much better, right?

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Ashwani Kumar Arora: Yes. So to our evaluation, organic business has done extremely very well, because we lost good business of soya, but has been compensated by growing the other categories. So yes.

But in numbers, we will see growth from this year -on-year.

Mohammed Patel: So, soya will start contributing from FY'25 with the different manufacturing loca

tion?

Ashwani Kumar Arora: Can you repeat that, please?

Mohammed Patel: So soya will start contributing again from FY'25 because we had some...

Ashwani Kumar Arora: Yes, it will start. It is starting.

Mohammed Patel: And the margin trajectory is 14%, 15%. So can we expect the improvements starting FY'25 itself?

Ashwani Kumar Arora : Which margin you are -- your voice is a little bit...

Mohammed Patel: We have targeted 14% to 15% over next few years, can we expect the improvement to start from the next year?

Ashwani Kumar Arora: This year, the -- as I said, the EBITDA margin will be marginal ly impacted because of Red Sea impact and investment in digital, but if you see the horizon two years to three years, it will improve. And more on, we have to see from the lens of the ROIC. If you see the ROICs are improving year -on-year and the return on equity also.

Mohammed Patel: And the last, there is 1 suggestion. So we used to give gross profit EBITDA for the 3 segments. So if we can continue that disclosure, it is helpful in the presentation.

Ashwani Kumar Arora: Sure. We will look into it. Thank yo u so much for your suggestion.

Moderator: The next question is from the line of Aman Saifee from lwealth Management. Please go ahead.

Aman Saifee: So sir, I just want to revisit the earlier participant question on the gross margin side. So you meant to say that from the COVID level, the overhead cost has been still over to the subsequent year. So that's why the gross margin expansion is not really seen at the operating level side. Is that correct?

Ashwani Kumar Arora: What we have said that the gross margin has improved, but because of the destruction, our operating margin was at 1 point of time 18, 19 in the 10, 10.5, then we have improved to 12.5%.

Aman Saifee: But even those that you see at the time of 2014 and 2015, when our gross margin were used to be 25%, at that time as well, our EBITDA margin, which would be at 10%, 11% and now

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it has gone up to 12%. Is that our business itself doesn't help the operating leverage, the increase in the sales, our percentage to first does also increases? If you see the employee, it was 2.3% as a percentage of sales, and then it has went up to almost 5.5%.

Sachin Gupta: So if you compare the Basmati segment, you are comparing with the whole segment as such.

There is Basmati, there is organic, there is a RTE and the RTC se gment. If you compare it with the Basmati segment, this year, the EBITDA margins in the Basmati segment is 13.6%.

So -- but as we are making investments in the RTC and the RTE segment that is overall reducing my overall EBITDA. And as stated earlier also, now, this year, my EBITDA margin in the organic segment has also as a fit because we lost the business of soya meal . So that might had an effect in the EBITDA margin overall.

Ashwani Kumar Arora: And just to add Sachin, if you see, we are consistently giving the growth and the investment behind the brands is increasing also.

Aman Saifee: Understood, sir. And sir, even though if I add your last year or ready -to-eat business, EBITDA loss of INR15 crores, that doesn't add much of your EBITDA margin side? S o sir, if you can just quantify the digital -- sorry, sir, go ahead.

Ashwani Kumar Arora: So what do you mean to say is, Sachin, that when you're comparing that time, only the Basmati business was there. But Basmati business EBITDA has grown to 13.5% to 14 %, whereas when the mix come of organic and ready -to-eat, that is making average 12.5%.

Sachin Gupta: And apart from that, as Ashwani ji, was saying there is increased investment in the brand spend as well. So there, I have increased my brand spend almost b y 1% over the year. So that is also having an impact that though it has a positive impact on our revenue, but there is an operating...

Ashwani Kumar Arora: It is a mix, but what we h

ave to see is like, the ROIC and return on equity that has consistently increasing year -on-year.

Aman Saifee: I got your point, sir. And sir, if you can just quantify the annual amount of your digital spend, how much is that?

Sachin Gupta: So currently, what we are expecting this year, our annual digital spend to be around INR45 crores, INR50 crores of that.

Ashwani Kumar Arora: That's a loan in digital media. Digital marketing you are saying or digital capability you are saying?

Aman Saifee: Digital capability, I mean to say.

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Ashwani Kumar Arora: Yes. Sachin, carry on.

Sachin Gu pta: So on the digital capability, we will be spending around INR45 crores to INR50 crores of

spend this year.

Moderator: The next question is from the line of Rishi Kothari from Pi Square Investments.

Rishi Kothari: So I just wanted to get some ideas to what capex are we planning for FY'25 or any FY'26 possible?

Ashwani Kumar Arora: Sorry, what was your question?

Rishi Kothari: What amount of capex are we planning for next year, for FY'25?

Ashwani Kumar Arora: Yes, capex will be same as I said that we are doubling our capacity of ready -to-eat in America. So next year will be in the range of INR200 crores.

Rishi Kothari: Okay. So that will be more investing in the capacity expansion or is there anything else that you are planning to do?

Ashwani Kumar Arora: Capacity, digital, all these things together will be around INR200 crores. And we are putting up a facility in UK. also. We have inauguration in the month of July that's the video so a lot of investment has been gone to building UK facility.

Rishi Kothari : Okay. Got it. Also, one more thing. since in terms of the acquisition as we already talked that most of the companies that we are trying to see , for example, if we are planning for an acquisition or any type of a company for acquiring, what could be the more or less business that we would see to acquire?

Ashwani Kumar Arora: Sorry, my dear, your voice is echoing and we are not able to hear...

Moderator: Sir. I just want you to use handset, please.

Rishi Kothari: Am I audible now?

Ashwani Kumar Arora: You are audible, but your voice is not -- echoing, not clear.

Rishi Kothari: What I'm trying to ask is, if for example, you plan to acquisition in the business line that you're in?

Ashwani Kumar Arora: So, no, you are asking that do we have any plan to acquire any business? That's what your question is?

Moderator: The line got disconnected, sir. So ladies and gentlemen, due to shortage of time, we will take LT Foods Limited

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this as a last question. I now hand the conference over to the management for closing comments.

Ashwani K umar Arora: Thank you and look forward to see you. Thank you.

Moderator: Thank you. On behalf of Systematix Institutional Equities, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

Ref-LTF/ SE/ 202 4-25/ Date: July 30, 2024

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Earning Call for the quarter ended June 30 , 2024

In continuation to our earlier letter dated July 22 , 2024 , filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company, to discuss the Un-Audited Financial Results of the Company for the quarter ended June 30 , 2024 , scheduled for Thursday , July 25 , 2024 at 16:00 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
Q1 FY'25 Earnings Conference Call"
July 25, 2024

MANAGEMENT : MR.ASHWANI KUMAR ARORA–MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER–LT
FOODS LIMITED
MS.MONIKA CHAWLA JAGGIA–VICEPRESIDENT –
FINANCE & STRATEGY –LT FOODS LIMITED
MR. SACHIN GUPTA–CHIEF FINANCIAL OFFICER–
LT FOODS LIMITED

MODERATOR : MR. HIMANSHU NAYYAR - SYSTEMATIX
INSTITUTIONAL EQUITIES

LT Foods Limited
July 25, 2024

Moderator : Ladies and gentlemen, good day and welcome to LT Foods Limited Q1 FY '25 Earnings Conference Call hosted by Systematix Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Himanshu Nayyar from Systematix Institutional Equities. Please go ahead, sir.

Himanshu Nayyar : Yes. Thanks Laiba and good afternoon, everyone. Welcome to LT Foods 1Q '25 call. I would like to welcome the management on the call today. We have with us Mr. Ashwani Arora, MD and CEO; Mr. Sachin Gupta our CFO and Ms. Monika Chawla Jaggia, VP, Finance and Strategy. We'll start with opening comments on the quarter gone by and the outlook ahead by the management followed up with the Q&A session post that. So without further ado, I would like to hand over the call to Monika, ma'am. Over to you, ma'am.

Monika Chawla Jaggia : Thank you, Himanshu. Good evening everyone and thank you for joining us on our Q1 financial year '25 Earnings Conference Call. Before we start with the key highlights of the quarter ended 30th June 2024, I would like to highlight that certain statements made or discussed on the conference call today are forward-looking and a disclaimer to this effect has been included in the results presentation shared with you earlier.

Result documents are available on the company's website and have also been uploaded on the stock exchange. A transcript of this call will also be made available on the Investors section of the company's website. I would like to begin by taking you through the key highlights of the quarter 1. Our consolidated revenue for quarter 1 was up by 17% at INR2,088 crores versus INR 1,789 crores last year that is on account of the increased sales from all the segments. Gross profit grew by 16% and gross profit margin was 30 bps lower from 33.8% to 33.5% on account of increase in input costs.

EBITDA for the quarter 1 was higher by 15% on a year-on-year basis at INR258 crores compared to INR 224 crores last year and the EBITDA margin stood at around 12.4%. PBT increased by 18% to INR198 crores from INR 167 crores last year. PAT for the quarter increased by 13% to INR155 crores compared to INR 137 crores in the previous year. EPS increased by 11% to INR4.41 versus INR 3.96 in the quarter 1 financial year '24. Cash profit increased by 14% to INR 197 crores compared to INR 173 crores in the previous year. Moving on to the key ratios of our balance sheet. The return on the capital employed improved to 20.8% from 19.4% in quarter 1 financial year '24. Return on equity stood at

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17.8%, the debt-to-equity ratio declined from 0.4x to 0.2x, and the debt-to-EBITDA ratio for quarter 1 financial '25 is 0.8 versus 1.2 in the previous corresponding quarter. Current ratio has also improved from 2 to 2.3 in this quarter. Because of our continued focus on the working capital optimization, our net working capital days have also reduced by 8 days to 202 days versus 210 days in the last quarter, in the last quarter 1 financial year '24. So now we will open the floor for the question-and-answer. So this is the financial highlights. Now we will open for Q&A. You can raise the questions, and we'll be happy to answer the same. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead sir.

Abneesh Roy : My first question is on the market share in India. Are you seeing any movement there given the

number 3 player had acquired company in the Basmati. So any impact of that going ahead you see? And how is the market share versus the other large players in India?

Ashwani Arora: As our market share, this report has yet to come, but the last report we have got is 30% market share we have in India.

Abneesh Roy : Okay. And in terms of your international business, how do you see growth this year. You have taken a lot of proactive steps in those countries, U.S., Europe, etc? Could you talk about growth expectations for the balance part of the year, FY '25?

Ashwani Arora: So as far as this quarter, I'm sure you have gone through the presentation. As a company, we have grown by 15% and international business has grown roughly 17%. Going forward, we see the positive trend in terms of consumption, demand side looks solid, and we see good in terms of demand side.

Abneesh Roy : And last question more on the cost side. In terms of the Red Sea crisis on shipping and container, how was the impact? And would you say that worst is behind on that?

Ashwani Arora: No, the worst is not yet behind. We have seen the Red Sea impact a little bit and that's why the growth in the margin has impacted. But we are positive that this is only a quarter or 2 - quarter thing, the '25/'26 looks very positive to us as the commodity price going to be down in crop '24. So we see improvement of March in '25, '26.

Abneesh Roy: Okay. Understood. That's all from my side. Thank you.

Moderator: Thank you sir. Next question is from the line of Amarnath Bhagat from Ministry of Finance of Oman. Please go ahead.

Amarnath Bhagat: Just two set of questions. First of all, this recent announcement or potential announcements from the government relating to this lifting of the export ban on the rice, how that will have

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an impact on your business?

Ashwani Arora: As far as the lowering down the MEP, the industry will definitely gain. As far as LT is concerned LT has not much impact on this because we are exporting on a higher value. And the market will open up with the lower MEP definitely, partly LT will also get benefited.

Amarnath Bhagat: No, I'm trying to say, for example, when there was a ban on export of non-Basmati rice, I'm sure part of that demand is being made through the basmati rice because non-Basmati rice was not available at exported country. Now say, if that export ban open up, will it have an impact on your selling of basmati rice in the exported countries?

Ashwani Arora: So if you see the Basmati market, they don't cannibalize with non-Basmati to Basmati. Non-Basmati is more Africa and the country with a lower income. But as far as Basmati is concerned, that's mainly consumed in Middle East, Europe and America, and that don't cannibalize with the non-Basmati and therefore, do not have any impact on the Basmati growth.

Amarnath Bhagat: So no, that was a clarification required. So you are saying these two are not related. So if there is non-availability of non-Basmati rice that doesn't go into impact on your Basmati rice consumption on the same country?

Ashwani Arora: Yes. And on the top of that India is not buying, but someone else is supplying. So the demand is being met.

Amarnath Bhagat: Okay. The second is, one of your competitor is struggling, as you know, in the Saudi market, which is one of the biggest Basmati exporting market from India. Now during -- especially in the last 1, 2 years. So how you as LT Foods is ensuring your presence in that big market, especially in the last 2 years, under the challenging situation or you're leaving that country?

Ashwani Arora: As far as LT is concerned, LT has a very strong market in India, U.S.A., Europe and Far East. Middle East contribute roughly 8%. But as far as Saudi is concerned, we have appointed our partner there, distributor for that market.

Amarnath Bhagat: Yes. Ju

st -- sorry, I'm going a little deeper on this particular. And we all know that Saudi is a very big market. And there's an issue happened last 2 years at the local players with their branded Basmati, of course, I don't know from where they're getting it, but they've taken away many of our exported volume which was used to go from India, and one of your nearest competitor was a major player and they lost a big market share there.

So I'm just trying to understand, is there a potential market for you there now, because somebody else has vacated that place and the demand for the Basmati rice in that particular area is anyway very strong?

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Ashwani Arora: Saudi is a 1.2 million tons market that import Basmati and there are three, four very strong player there. Three are companies, which is Saudi based companies. And fourth, of course, you said our nearest competitor. So I don't want to comment more, but I will say there must be -- cannibalization must be happening. And the market is growing. And as far as LT is concerned, LT has appointed a distributor. So it will take time to strengthen our footprint there in Saudi Arabia.

Amarnath Bhagat: That means you are looking to that market as well, right?

Ashwani Arora: Definitely. That's our focus. That's our focus. The Middle East is our focus. And that's a 3 million ton market. And as I said we have 8% of our revenue comes from Middle East and that's our focus, and we are going to focus on that market, and we are focusing on that market.

Amarnath Bhagat: With respect to the strategy for the domestic part of it, especially the value-added items, which you are now producing and also going strength to strength with respect to that. If you can really tell us how you're thinking strategically to improve that part domestically within India, not really the rice, but the value-added product of the rice, how you'll see the potential of that market within India for you because your brand is quite recognized, well-known

brand, but somehow the revenue growth is not really reflecting the real potential of that food in the Indian market?

Ashwani Arora: So first of all, you asked about our strategy. So we have strategy for the core business, which is Basmati and the strategy for the value-added product. So as far as the core business is concerned, we are very optimistic about India demand story. And we have grown 14% in this quarter.

And we see that this demand will continue. And we have very clear strategy, strong strategy of acquiring consumer and our distribution -- strengthening our distribution that part is doing well. On the value-added thing, we have launched Biryani Kit. That's doing very well.

Cuppa has not picked up well, but we are optimistic on the portfolio, we have defined for India market for value-added and we see in the coming times optimistic. As far as our food business is concerned that -- in America that is doing very well. RTH we have filled up with our capacity and we are doubling our capacity in this year.

Amarnath Bhagat: Thank you sir. Thank you very much. I will come back to the queue.

Moderator: Thank you very much. Next question is from the line of Ankur Arora from Magma Ventures. Please go ahead sir.

Ankur Arora : I joined a little late so if you've answered the question already so sorry about that. I wanted to check on the Red Sea crisis, how much cost increase would have happened this quarter because of -- on account of freight charges?

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Ashwani Arora: In terms of freight charges how much is impact you said, you asked?

Ankur Arora : Yes.

Sachin Gupta : So this quarter there is an impact of almost 1.5% if you compare it with the Q1 of the last year. Logistic costs as percentage to revenue have increased by 1.5%.

Ankur Arora : What would be the number quarter-on-quarter?

Sachin Gupta

: It was 5.1%. Currently it is 6.6%.

Ankur Arora : No, what could be the impact quarter-on-quarter compared to fourth quarter?

Sachin Gupta : Compared to the immediate preceding quarter you are talking about?

Ankur Arora : Yes.

Sachin Gupta : 4.8%. It was 5%. So it is 1.6% from the immediate preceding quarter as well.

Ankur Arora : Okay. And do you believe that this price impact will continue for at least one, two more quarters?

Ashwani Arora: Yes, that's what we are thinking that will have. So the guidance we are getting from shipping line is that it still has an impact for one or two quarter most.

Ankur Arora : How easy or difficult it has been to pass on some bit of that impact to the end customer?

Ashwani Arora: Because this is a temporary and as strategically, we don't want to pass it on to the customer. For some part, we have done it. In some part, we have not done it.

Ankur Arora : All right. The current average cost which we have incurred in the current quarter that is the first quarter and the current rates are working similar to that or it has gone up even higher than that?

Ashwani Arora: Can you repeat that please?

Ankur Arora : I said the cost which we incurred in the first quarter 5-point whatever percentage and the current rate in July are they similar to what we mentioned in the last quarter or has it gone up even higher?

Ashwani Arora: July will be a little higher.

Ankur Arora: All right. Thank you so much.

Moderator: Thank you. The next question is from Hitesh Goel from Riddhish Abode Advisors Please go
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ahead.

Hitesh Goel : Thanks for taking my question sir. First question is on the -- basically the ready-to-eat business. So basically I know you are talking about a 35%, 40% growth there. Can you detail us in terms of new product that you've tried to launch in that segment? There was talk about spices that we get into, so you can tell us something about the new launches there?

Ashwani Arora: Yes. So the biggest revenue comes from America and we have a microwave rice there. I just said that we are doubling our capacity there. We have more demand than the capacity we have. In India because this is not evolving as a ready-to-eat market on the shelf, so we are -- we have introduced Biryani Kit that's small, but getting good traction. And we have some other products in the pipeline which is more on ready-to-cook, so that will be rolled out in coming time.

As far as this rice snacks, the roasted rice snack Kari Kari that has also picked up. So we have almost double the sales in this quarter than last quarter, yes.

Hitesh Goel : So any plans to get into -- you talked about ready -to-eat, any plans to get into like MDH kind of domain like Rajma, rice and all that?

Ashwani Arora: So as I said, ready -to-eat market is more the Western world where we are growing. We are introducing different flavor. As far as India is concerned that is more we are focusing on ready -to-cook.

Hitesh Goel : Okay. My second question is on the U.K. facility. So you talked about -- you mentioned you made that is because duty benefit that you'll get. Can you talk us about what is the investment because rice will be stored here it's only a storage facility or can you talk about that? And the additional revenue that is coming in that will add to the Europe revenue or this is just a substitution of the revenue?

Ashwani Arora: So first let me talk about U.K. U.K. is a USD 1 billion market both the dry rice and ready -to-eat market. And we have set up this facility which is all processing and packaging facilities.

So we are expecting in this year USD 40 million revenue. So we have got good account with us. And as far as revenue is concerned can you Sachin .

Sachin Gupta : For capex during this we have invested in the capex of that is around GBP 65 million that is the capital investments which we'

ve made in this facility. And this will laid a revenue as

Ashwani -ji -- meeting the revenue of....

Ashwani Arora: The question is distribution of revenue. It will be merged with Europe?

Sachin Gupta : It will -- actually yes because this is -- it will -- separate entity. So it won't be merged. So we have a European facility that is a separate. We have a London facility that is separate. So

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there is two separate entities that which they are and this has a holding company that is in the US So the US will be doing the consolidation.

Hitesh Goel : No, I'm not talking about accounting. I'm saying that Europe revenue was INR 1,500 crores last year in FY '24?

Ashwani Arora: This will be add up. This will be the new revenue.

Hitesh Goel: So this will help you gain market share. That's what I wanted to ask you?

Ashwani Arora: Yes.

Hitesh Goel: Okay. Thank you.

Moderator: Thank you very much. The next question is from the line of Damodaran Narayanan from ACUITAS CAPITAL .

Damodaran Narayanan : Thank you for the opportunity and congratulations for a good set of numbers. So I had two questions. One is on the long -term EBITDA margins. So if you look at -- if I look at your long-term EBITDA margins for Basmati rice segment specifically, that's always ranged between 12% to 13%. Now if I compare that with your competition that has been much more volatile and a few players have actually faced losses and gone bankrupt as well.

So can you give a reason as to why your margins are much more stable and much less volatile how you manage it much better versus your competition? So that is the first question. And I'll ask the second question later?

Ashwani Arora: Thank you Damodaran. So first of all it's the business model. So as far as LT is concerned this is FMCG led by all very strong brand. So therefore the stability is there in margins. We have a global footprint.

Damodaran Narayanan : Right, sir. But if I'm correct I mean I am assuming I think given your competition has a similar kind of global footprint and their share of branded sales is also around what we have.

So what is our competitive advantage here?

Ashwani Arora: That's what I'm saying. I will repeat. So I don't want to comment on the competitive, but as far as LT is concerned we have a global footprint, very strong in U.S.A., Europe and of course in India and very diverse business in terms of geographies and all is led by brand as for the stability in the margin is concerned. That's the power of the brand, I would say.

Damodaran Narayanan : Okay. So -- I mean, I would be adding again in that your -- the kind of geographical mix that you have -- I mean it's much more diverse and difference versus your competition and that allows you to price your product better and manage margins better. Is that correct?

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Ashwani Arora: Yes, that's right. I will say that is bringing the stability in the margin and improving along with that.

Damodaran Narayanan : Sure. And just one question on the recently announced distributor tie -up in Saudi Arabia. So I know it's early days, but can you give some qualitative color as to what kind of coverage

does this allow us in terms of retail stores in Saudi Arabia and what plans do you have there?

Ashwani Arora: Sorry, I have not understood your question.

Damodaran Narayanan : Yes. So the question was on the distributor tie-up.

Ashwani Arora: They are a billion dollar company very good distribution across all general trade very good distributors, strong distributor and we're a listed company.

Damodaran Narayanan : Okay. Sure sir. That's all from my side and thanks for the opportunity.

Moderator: Thank you very much. The next question is from the line of Vipul Kumar Anupchand Shah from Sumangal Investment. Please go ahead.

Vipul Anupchand Shah: Sir, can you give

me volume and revenue for domestic Indian business U.S. business and Europe separate means volume in tonnage and revenue?

Ashwani Arora: Yes. We can -- that is in the presentation if you see the breakup and otherwise we can get back to you.

Vipul Anupchand Shah: Sir, I think it is not part of the presentation. So I think last quarter also I pointed out. So it will be better -- I request you to make this as a part of your presentation. If it is possible, please?

Ashwani Arora: Okay, sure.

Vipul Anupchand Shah: And sir, my second question is have we received insurance money means have we given the bank guarantee. So what is the status now?

Ashwani Arora: That's a good news we have is that we have the High Court has given a judgment that we should get our money against half bank guarantee and half without bank guarantee. And then the insurance company went to Supreme Court and Supreme Court has also rejected their appeal. So Supreme Court has said that within 4 weeks we should get our money with Bank guarantee. So that's good news and we will get our money in 4 weeks' time.

Vipul Anupchand Shah: So we should be getting around INR 160 crores, right, sir?

Ashwani Arora: Plus interest.

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Vipul Anupchand Shah: Okay. And sir when do we expect our -- this ready-to-eat and ready-to-cook business?

Ashwani Arora: Just wanted to know this is on the order we are still awaiting, but the verbal order -- based on verbal order I'm telling you, but still we have to file in stock exchange then we will get the written order from the Supreme Court, but that's what has been verbalized.

Vipul Anupchand Shah: And sir, why our market share in Saudi Arabia is so low when it's such a huge market of INR 30,000 crores means, why we previously means it was a deliberate decision not to enter that market previously. What is the thinking behind this?

Ashwani Arora: Previously, we have chosen our the business area, where we thought we are strong. And we have chosen India and Europe, we have done -- sorry, USA, we have done acquisitions. In Europe, we have better studies so our mind has better stability in the business and margin. But having said that, now our next focus is Middle East, and we are focusing on that. And we are optimistic that the next growth will come from there -- the next value addition in the growth will come from there.

Vipul Anupchand Shah: So will you be putting up any plant there or it will be supplied from India only?

Ashwani Arora: No. It will be supplied from India, 80% Basmati exporting and that will be supplied from India, but that's the consumption market and we are focusing on that.

Vipul Anupchand Shah: And sir lastly on your UK investment. So that will cater only to UK market or it will cater to the entire Europe?

Ashwani Arora: We have divided the continental Europe and UK which is after Brexit and the UK will be serviced from UK facility and rest of them we call it Continental Europe that will be serviced from...

Sachin Gupta : Rotterdam?

Ashwani Arora: Rotterdam facility.

Vipul Anupchand Shah: And sir my last question when do you expect this ready-to-eat and ready-to-cook business in India to break-even, so how much time will it take?

Ashwani Arora: So next year, we are '25, '26. What do you say, Sachin?

Sachin Gupta : It will be break even in '26, '27. So on a revenue base of INR 400 crores it will be and we are projecting that revenue to be in '26, '27.

Vipul Anupchand Shah: Okay sir. Thank you very much and all the best for the future.

Moderator: Thank you very much. The next question is from the line of Resham Jain from DSP Asset

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Managers. Please go ahead.

Resham Jain : Good afternoon sir. Sir I have two, three questions. So first one is if I look at the profit from

associates that is largely Golden Star if

I am correct. And if I look at last few quarters 1Q

last year was very good. We had INR 14-odd crores of profit, but last three, four quarters it is now steady at close to INR11 crores, INR 12 crores. This quarter is just INR10.6 crores.

So how are you thinking about this Golden Star, the Jasmine rice business?

Ashwani Arora: Good afternoon Resham that quarter was a little exceptional and we are confident whatever INR11 crores per quarter. That is kind of we see growing from there.

Resham Jain : Okay. Understood sir.

Moderator: Sorry to disturb sir. There is a disturbance in your background.

Resham Jain: Okay. Is it audible now?

Ashwani Arora: Yes, Resham, you can continue please.

Resham Jain : Okay. Sorry. So the other related question is sir the Jasmine business is a good business other than U S as well. So is this company planning to take this Jasmine rice to other parts because it already has a good distribution network, let's say, in other parts of the country like in Europe, in India and all?

Ashwani Arora: Yes, that's the plan. We have already started one or two countries like Israel we have started Daawat Jasmine there. And now we are rolling it to the other parts of the world. That's the next -- in the rice category that's the new variety. We are taking it to the rest of the world. In Middle East also.

Resham Jain : Okay. Sir, the second question is with respect to the capex plan...

Ashwani Arora: Next month we are launching Daawat Jasmine rice in India also.

Resham Jain : Great news. Sir, the second question is with respect to the capex plans. Is there any capex this year other than the U K which you have I think, already commissioned. So no more capex in UK, but anywhere else?

Ashwani Arora: So the two -- the capex is -- one is we are doubling our capacity in U S for our -- this retort business, ready -to-eat business. So that will be roughly INR87 crores, USD 10 million we are investing there to put capacity. And the second is U K. So India is more of kind of maintenance and a little bit growth here.

Resham Jain : Okay. So sir just the kind of deleveraging, which we have done over the last few years, 4

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years. This year also given that you don't have material capex, should one assume that the debt, whatever we have can further come down in FY '25?

Ashwani Arora: That's what we are Resham target. Next year like crop '24 we are expecting also the commodity prices to come down. And that will also add into releasing the working capital.

So we are positive on that.

Resham Jain : Okay. So sir given that the profit trend rate which we have currently plus the inventory prices, which will come down, so working capital release also will happen. So do you expect that next year, there is a possibility that we can become a net cash company.

Sachin Gupta : Resham, yes. But as you know there is a payment of the Golden Star that we have to make.

So in the next June '25, so there will be an outflow for the Golden Star considering this is the year on the basis of which the valuation will be decided. So there will be outflow. Apart from that yes if that basically not taking it's through then of course that will be there.

Resham Jain : Yes. Okay. Because you will get insurance payment also on the other side. So I was just thinking overall there is a possibility of becoming a net cash company next year.

Sachin Gupta : Yes.

Resham Jain: Okay. Wish you all the best. Thank you.

Moderator: Thank you very much. The next question is from the line of Amit Doshi from Care PMS. Please go ahead.

Amit Doshi : Sir regarding this appointment of distributor in Saudi Arabia. So I am assuming this is different from what the arrangement that we have with SALIC? And in terms of -- will it be distributed under our own brand? And considering that the Saudi market is a very premium market or the realizations

are considered to be quite high. So would you believe this can have the potential to improve your overall margin as well?

Ashwani Arora: SALIC is first of all let me start from there. SALIC is an investing arm of PIF. So this is a distributor we have appointed. As far as price points are concerned, globally, every part of the market has all premium price point, mid-price point and the bottom price point. So we will be launching in all price points.

And as far as the margin expansion is concerned with the scale, with the revenue growth definitely overall it should help in improving margins in the medium term first year 1.5 years will be kind of investment in that market also in terms of acquiring consumer and setting up distribution.

Amit Doshi : Okay. And sir I read your comment in the press release regarding this premiumization. So
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can you give slightly more color in terms of what kind of premiumization that did do? And of course, I understand that this quarter got impacted because of the higher freight cost. But had that not been the case, how would this premiumization would have helped us in terms of our margin?

Ashwani Arora: So we have given the guidance also that where our margin expansion will come. We said 0.5% to 0.7% will come from premiumization. And when I say premiumization means selling the higher gross margin product. And that is year -on-year getting strengthened and we are optimistic that the investment behind that is working and we'll keep on working in medium -to-medium term. ..

Amit Doshi : Okay. And in the freight charges if I'm not sure if I heard it correctly the impact was 1. 6% of the sales higher compared to year -on-year?

Ashwani Arora: Yes, you are right. That was 1.5% from the last year.

Amit Doshi : Okay. And this you think -- sorry, the UK investments that we've done, how -- I mean in Europe also, we have the facility from quite some long time. How much bullish you believe that U.K. has more potential because EU has not been a very strong contributor considering the time that we have, and I'm sure there also we have a lot of tie -ups with a lot of retailers in the Europe. So how do you see these two markets different and the future potential of it?

Ashwani Arora: As far as Basmati is concerned, of course, U.K. is the bigger market than E.U. And after Brexit, you can't service your business from the Rotterdam facility that's how we have opened up this new facility. And this is adding up the new businesses for us, also we have got a very good new accounts.

Amit Doshi : Okay. And I just noticed in the presentation that you've launched Jasmine rice even under the Royal brand. So being in the U.S. Golden Star as well as Royal, so I'm presuming, just trying to understand the strategy in terms of, are we planning to kind of tame out the Golden Star brand or probably increase more away towards the Royal brand, just to understand the US strategy?

Ashwani Arora: No. Golden Star is the second largest brand. And if you see in dry rice we are not selling Royal Jasmine. So that is in the Golden Star or 817 we are selling. What you are seeing in the presentation is the ready -to-eat rice, the retort rice. So that's a cooked rice where the Royal brand strategy is to give every variety of rice in cooked form . That's a microwave rice RTH.

Amit Doshi: Okay. Thank you.

Moderator: Thank you very much. The next question is from the line of the Abhyuday Jhunjunwala from JBS Securities. Please go ahead.

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Abhyuday Jhunjunwala: I have two quick questions for you. Firstly, I just wanted to understand how much manufacturing capacity is devoted to Basmati rice and Jasmine rice, respectively? And secondly, if you could please provide the margins that you get internationally and domestically for Jasmine and Basmati?

Ashwani A

Arora: I will pause you. Your voice is not getting clear.

Abhyuday Jhunjunwala: I'm so sorry about that Mr. Arora is it better now?

Ashwani Arora: Yes, it's better now, but sometimes it breaks. Please continue.

Abhyuday Jhunjunwala: Okay. I'll speak a little slowly. Hopefully, it will be clear. I had two quick questions. Firstly, I wanted to know what part of the manufacturing capacity displayed on your annual report for '23 is devoted to Basmati and Jasmine rice respectively? And secondly, I wanted to understand what the margins for Basmati and Jasmine rice separately would be internationally and domestically?

Ashwani Arora: So I will double check, but mostly in annual report is Basmati capacity. Jasmine rice is almost all outsourced. So as far as margin is concerned let me come back.

Sachin Gupta : So the margins are more or less the similar margins in the Basmati as well as in the Jasmine rice category. So we are enjoying at least 13% EBITDA margin.

Abhyuday Jhunjunwala : And this would be domestically and internationally for Basmati?

Sachin Gupta : Yes. So this is for the -- I'm talking about the total EBITDA margin.

Abhyuday Jhunjunwala: Okay. Got it. And the manufacturing capacity you mentioned for Basmati, it's mentioned on the annual report. But for Jasmine rice, if you could please fill me in on your on how much would your sales capacity be if not manufacturing?

Ashwani Arora: So sales capacity we sell roughly 70,000 tons. As far as the manufacturing, that is all

outsourced and we buy from the Thailand millers. They would manufacture and pack for us.

Abhyuday Jhunjhunwala: Okay. Got it. Thank you so much for your time. Mr. Arora.

Ashwani Arora: Thank you.

Moderator: Thank you. The next question is from the line of Isha Shah from Nizar Enterprise. Please go ahead.

Isha Shah: I am audible?

Ashwani Arora: Yes Isha.

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Isha Shah: Thank you for the opportunity. I have couple questions. First one being sir in the investor presentation, I see that we have mentioned about Regional Specialty Rice. So I would like to know how big is the market over there and how are we doing in that segment?

Ashwani Arora: So Regional Specialty is I would say 5 times bigger than Basmati rice in India. So every region...

Isha Shah: How many times?

Ashwani Arora: 5 times bigger than Basmati. And every region has their own specialty like South has Sona Masoori and East has ___ and western has ___. We are seeing good entry into that market. We are selling roughly 20,000, 25,000 tons. And now we are strengthening our supply chain for this regional rice and we are optimistic here that will be a good add-on in our portfolio.

Isha Shah: Okay. So sir how much margin approx would be on this? Would it be similar to the Basmati rice?

Ashwani Arora: So in terms of EBITDA overall percentage margin it will be much lower like it will be 6% EBITDA margin. But in terms of ROIC it has similarly the formula we have set for us ourselves anything less than 20% ROIC so we will not contribute, yes. But when it gets scaled that will further overall improve the margin.

Isha Shah: Okay, sir. Sir second question being in organic segment how well are we placed when it comes to non-rice products like pulses, lentils, oil, how are we doing over there?

Ashwani Arora: No, we are not neither in oil or pulses. Our focus is to remove our add-on rice like regional rice as the category has a good potential growth. And now we are adding the value added of rice. So that's the plan. Not any oil or...

Isha Shah: No. In the organic segment?

Ashwani Arora: In the organic segment, we have a complete portfolio of staples and that we are soon launching in India market.

Isha Shah: Okay. So how good of a market size do you see over here?

Ashwani Arora: Nielsen doesn't cover that, but estimate is roughly INR 700 crores to

INR 800 crores organic

the complete portfolio as a market.

Isha Shah: Okay. So INR 700 crores to INR 800 crores of revenue we look over here.

Ashwani Arora: That's a good estimate. We don't have any data as Nielsen doesn't cover that.

Isha Shah: Understood. Sir, on ready to eat and ready-to-cook, do we plan to enter into products other

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than rice?

Ashwani Arora: Other than rice at the moment as I said we have Basmati, we are adding regional...

Monika Chawla Jaggia : In the ready to -- in the food space we would -- for the time being we'd like to stay in the rice segment only.

Ashwani Arora: Around that because Daawat has a rice equity. So the first extension is we wanted to have and every food is around rice.

Isha Shah: Understood. And in future do we plan to enter into the millet segment?

Ashwani Arora: Not yet thought, but we are -- for the last two months, we are evaluating that here.

Isha Shah: Okay. Thank you so much sir. That's all from my side.

Moderator: Thank you very much. The next question is from the line of Deepak Mandhana from Avighna Investments. Please go ahead.

Deepak Mandhana : Just two questions from my side. One, on the international side the facility that you guys are opening up in UK that would be taking care of all the categories of rice, basmati, brown rice and parboiled rice is it?

Ashwani Arora: Yes..

Deepak Mandhana : And what would be the EBITDA margin percentage that you would have set as a minimum benchmark from that unit?

Ashwani Arora: Standalone of that company will be around 7% -- 6% to 7% EBITDA margin. But when -- if it is sourcing from India from our own company, then end-to-end will be...

Sachin Gupta : Will be in the range as that of 12% to 13%.

Deepak Mandhana : Okay. Just as a follow-up on that, if India and U.K. are contemplating a treaty. So what would be the impact of it because considering rice is also part of that discussion? So if there is -- I think currently, there's an export duty, there's import duty that U.K. puts upon on the export of rice from India. So would that unit be treated completely as a U.K. entity by itself and it would not have any repercussions or would there be any repercussions on that entity?

Ashwani Arora: That will be -- if that comes that's also we are hearing the speculation the rice duty may go. If that comes that's a positive to us.

Deepak Mandhana : No. But my point is that your investment that you have made in U.K. because...

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Ashwani Arora: We have factored in that thing in our business. So that's a positive, and that's what I'm saying.

Deepak Mandhana : Okay. And just on the domestic side, what would be your current market share in the domestic market today?

Ashwani Arora: The last report we got is 30% market share we have.

Deepak Mandhana : Okay. So in terms of competition, are we -- what do you feel, are we second or third today in the domestic market? And how do we...

Ashwani Arora: In India -- if you talk about the consolidated India, yes, we are a second place. But as a region-wise in the Western part Daawat is the number one leading brand. But in some parts we are weak and some part we are leading player .

Deepak Mandhana : And can you also say some sort of strategy in terms of marketing ploy that you're using to gain a further share in the domestic market?

Ashwani Arora: That's 360-degree our marketing is doing -- for acquiring the consumer, be it below the line, be it the mainline media. So last quarter we have done and that we are very proud of that Daawat has created an asset of Biryani Day and we're very proud that last 7th July, we have -- the property is getting much attraction and everyone is joining to do that.

Deepak Mandhana : Okay. And just the suggestion, sir. I think it would be prudent that if you could report geographical segments

in your financial results. That would be very easy for us to get the numbers in relation to export and domestic?

Sachin Gupta : So we can look into it. In fact, on the yearly basis, the numbers are there because every geography, the financial numbers are there so each separate entity, so the numbers have been given on a yearly basis in the annual report.

Deepak Mandhana : Okay. Just last thing. I think you were saying that because of treaty it would be lucrative for you to export to U.K., right?

Ashwani Arora: No. I said if it happens FDA that is beneficiary to us.

Deepak Mandhana : So in a sense, now I am asking because once the companies incorporated in U.K. that would become a domestic country in terms of domicile. So the advantage would remain with the countries which are outside that country.

Ashwani Arora: No. The benefit will be through the -- if India exports Basmati rice to U.K so that will be -- that the speculation is going on is that, that will have duty advantage against the other part of the world Pakistan.

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Deepak Mandhana : No, my only point was in that case the investment that we are considering wouldn't it be -- it would actually be nullified in terms of our margin that we are taking from that country?

Ashwani Arora: So I cannot get you in detail. But I said, this is for the last 2 years and we have factored in if the U.K. give relief in the import duty. It will not have impact on our business that is already factored in.

Deepak Mandhana : Okay. Thank you.

Moderator: Thank you very much. The next question is from the line of Shivam Saxena from ICICI Bank. Please go ahead.

Shivam Saxena : Just wanted to understand, as there's a lot of stocks in -- this time rice growth has been good, crop has good. So how this will impact the company? So there will be -- price can decline.

So how can this impact the company?

Ashwani Arora: It will not have -- this is the -- already the impact has come, the prices of commodity have kind of came down. The new crop is coming in September, October. So we are having some impact, but that has been -- came in the first quarter, whatever...

Shivam Saxena : Do you take price cuts? What happens if this -- if such a situation is happen. So do you pass on this to customer as well?

Ashwani Arora: Like the price decrease or increase?

Shivam Saxena : Yes.

Ashwani Arora: In some like in food service, we have to pass on. So we have passed on.

Shivam Saxena : So overall, it is negative or positive? I mean how should we see if the crop yield is good or crop prices are going down, the crops have done well, so how is...

Ashwani Arora: You mean to say crop '23, the prices have come down, is it a negative for us or positive for us, that's what your question is.

Shivam Saxena : Yes right.

Ashwani Arora: I will say neutral because we were not fully covered and we have hedged 30% later on. So it is balanced. In some part like in India we have to pass on the -- in the food service the price decrease. So overall I will say it may have impacted our margin by 0.5% or 0.75% down in this quarter.

Shivam Saxena: Okay. Thank you.

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Moderator: Thank you very much. Next question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.

Abhishek Maheshwari: So just wanted to know the procurement costs I know you've already mentioned about this, but are we going to see some more margin impact in coming quarters because even if fleet cost increase and procurement cost is coming down. So there should be a compensatory impact. So should margins be stable? Are we expecting some downfall still?

Ashwani Arora: We have already covered now almost the full crop like 90% of the crop is hedged. So any Red Sea impact from here on will have an impact on the margin.

Abhishek Maheshwari

i: Okay. Because I think it has increased in June, July. So we are still seeing exceptional some impact on freight you are saying.

Ashwani Arora: Some part of the world we have taken a price increase, some part of the world we have not taken. So we are optimistic that second quarter will be very similar to quarter first. If that impact that will be a little bit in quarter third. But having said that we are very optimistic on year '25, '26 as the prices of commodity will also come down and there will be a stability in the freight cost also.

Abhishek Maheshwari: Great. Good to hear that. One last thing any view on the upcoming Kharif season?

Ashwani Arora: So whatever the forecast we are getting the crop is sowing is more 10% to 15% against last year and the monsoon is good. So everything so far is looking good and we are expecting more crop, lesser price.

Abhishek Maheshwari: Great. Very good to hear. Thank you and all the best.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that was the last question for today's call.

Ashwani Arora: Thank you everyone and looking forward to see -- to hear from you in the next quarter. Thank you.

Moderator: On behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Ref-LTF/ SE/ 202 4-25/ Date: October 30 , 2024

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Earning Call for the quarter and half year ended September 30, 2024

In continuation to our earlier letter dated October 25 , 2024 , filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company, to discuss the Un-Audited Financial Results of the Company for the quarter and half year ended September 30, 2024 , scheduled for Thursday , October 24 , 202 4 at 16:00 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

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"LT Foods Q2 FY -25 Earnings Conference Call"

October 24, 2024

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MD & CEO , LT
FOODS
MR. SACHIN GUPTA – CFO , LT FOODS
MS. MONIKA CHAWLA JAGGIA – CHIEF CORPORATE
DEVELOPMENT OFFICER , LT FOODS
MODERATOR : MS. LAVITA LASRADO – MIRAE ASSET CAPITAL
MARKETS

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October 24, 2024

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Moderator : Ladies and gentlemen good day and welcome to LT Foods Q2 FY25 Earnings Conference Call .
As a reminder all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Lavita Lasrado. Thank you and over to you ma'am.

Lavita Lasrado: Thank you . On behalf of Mirae Asset Capital Markets , we welcome you all to the Q2 and H1 FY25 results conference call of LT Foods.

We have with us from the management team Mr. Ashwani Kumar Arora – MD and CEO , Mr. Sachin Gupta – CFO and Ms. Monika Chawla Jaggia – Chief Corporate Development Officer. We will begin the call with brief "Opening Remarks " from the Management Team and then we will open the floor for the question -and-answer session.
I would now like to request the management to share their perspective on the performance of the company. Thanks, and over to you Ms. Monika.

Monika Chawla Jaggia : Thank you. Good evening, everyone and thank you for joining us on our half year and the Quarter 2 Financial Year '25 Earnings Conference Call .

Before we start with the key highlights of the quarter and the half year ended 30th September 2024, I would like to highlight that certain statements made or discussed on the conference call today are forward looking and a disclaimer to this effect has been included in the results presentation shared with you earlier . Result documents are available on the company's website and have also been uploaded on the Stock Exchange. A transcript of this call will also be made available on the investors section of the company's website.

I would like to begin by taking you through the key highlights of the half year Financial Year '25:

Our consolidated revenue for the first half increased by 12% to INR 4,222 crores versus Rs. 3,781 crores in H1 Financial Year '23. This is on account of increased sales from the Basmati and other specialty segments as well as increase in the convenience and health segment. Gross profit stood at Rs. 1,427 crores and the gross profit margins expanded by 160 bps from 32.2% to 33.8%. EBITDA increased by 7% to INR 514 crores compared to INR 479 crores last year. EBITDA margins were 50 bps lower at 12.2% on account of increased freight rate.
The profit after tax was higher by 4% at Rs. 306 crores versus Rs. 295 crores last year. The earnings per share increased by 3% to Rs. 8.68 versus Rs. 8.45 in the first half of the financial

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year 2024. The cash profit increased by 7% to Rs. 393 crores versus Rs. 366 crores last year and the net debt reached to 546 crores versus 569 crores in the last half year.

Moving on to the key ratios of our balance sheet :

The return on capital employed stood at 20.8% in first half of the Financial Year '25 compared to first half of '24 which was 21.6%. Return on equities stood at 17.1% for the first half of '25 compared to 19.5% of first half of '24. The debt-to-equity ratio maintained at 0.2% in the half year '25 versus the half one of the '24. The debt to EBITDA ratio at 0.8 as compared to 0.7 for the last year. Current ratio improved from 2.4 in the first half of '24 to 2.5 in the first half of '25. Our net working capital days stands at 195 days versus the 174 in H1 of the Financial Year '24.

Now I will talk about the quarter ; so, our consolidated revenue for the Q2 Financial Year '25 was up by 7% to Rs. 2,134 crores versus Rs. 1,992 crores last year on account of increased sales from all the segments . Gross profit grew by 1.8% and the gross profit margin was 320 bps higher from 30.9% to 34.1%

attributable to the higher contribution of premium products and also the growth in the organic segment. EBITDA for Q2 was flat on year-on-year basis at Rs. 256 crores and the EBITDA margin stood at 12%. PBT was slightly lower by 6% from Rs. 211 crores last

year to Rs. 199 crores in the Q2 Financial Year '25. PAT for the quarter decreased by 4% to Rs. 151 crores compared to Rs. 157 crores in the previous year, EPS decreased by 5% to Rs. 4.3 versus Rs. 4.5 in the Q2 Financial Year '24. And the cash profit for the quarter was higher by 1%, that is Rs. 196 crores.

Now we will open the floor for the question answer. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Amit Doshi from C are Portfolio Managers Private Limited.

Amit Doshi : The higher other expenses, would it be completely attributable to the freight cost or is there anything else that we need to know?

Ashwani Kumar Arora: Yes, this is attributed to this Red Sea impact the higher freight cost.

Amit Doshi: Last time I believe you had shared what is the impact in terms of percentage. So, can you share similar numbers just for the purpose of our analysis?

Sachin Gupta: The impact of the Red Sea, the logistic cost increased by 1.8% as compared to the revenue this half year.

Amit Doshi: So, 1.8% compared to last H1 ?

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Sachin Gupta: Yes. So, it is now 6.6% of my revenue as compared to 4.8% last half year.

Amit Doshi: And any trend that you would want to share on the freight cost and I understand that it will be difficult to predict but general sense of how much higher if further likely it can go or anything on that.

Sachin Gupta: Actually, we have our inventory. So, there will be impact in the third quarter as well. Yes, the freight costs have more or less normalized and we are expecting it to come back in the fourth quarter and the later part the next year. So, this will be normalized.

Amit Doshi: In terms of our inventory, just wanted to know what is the current market prices trend after the new prices open which we understand we believe that it has opened lower and what is our strategy towards it? And second, regarding inventory like is our higher cost inventory now kind of over and if not trying to understand how the inventory has valued? So, for example if the current prices are say 20% down compared to last year then do we kind of book loss for the updated market value of the opening inventory?

Ashwani Kumar Arora : So, Amit one is that we value the inventory at a cost. The second thing is the new crop is good so we are expecting the prices to come down but it is not going to impact on the old crop. So, the new crop is better by 10 %-12% and we are assuming that the paddy prices is coming down and that will improve our margin in '25-26.

Amit Doshi: And so how much prices have opened lower ?

Ashwani Kumar Arora : Roughly it depends on variety to variety but in the range of 10 % to 17% or same that is the range.

Amit Doshi: In terms of depreciation also I note that there is a big jump in the depreciation cost. While our figures are broadly in, of course I noted that capital WIP has moved from 41 to 116. So, can you just clarify on that part depreciation as well as this capital WIP?

Sachin Gupta: Yes, our depreciation because certainly there has been certain capitalization that has taken place in the last year. So, this depreciation has increased. So, my current depreciation for this half year is 87 crores as compared to 72 crores. This is because of the capitalization of the fixed assets that have taken place in the year. Regarding the WIP, the major WIP that sits in my financials is the capitalization of the UK unit. The UK unit which is to be capitalized in the later part of this quarter. So, that is there in the capital worki

ng, that will be capitalized this quarter.

Amit Doshi: And our other income is also quite up from 14 to 26 crores. What is that regarding ?

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Sachin Gupta: The other income includes certain charges which we charge from one of our associates, the Golden Star. So, that because its revenue is increasing and we are getting that charge from one of our associates.

Amit Doshi: And overall, I noticed that Jasmine Rice we have launched even in the brand of Daawat. So, is it launched at global level, India level and what is the potential of this the Thai Rice, the long grain rice that we have acquired from Golden Star ?

Ashwani Kumar Arora : Jasmine is very popular across the world. In fact, it is 5x bigger in America and that's how the Golden Star has become the #1 brand in America. So, as far as India market is concerned, we have launched our Jasmine. That's a small market but that's the portfolio we wanted to build where as a brand we are fulfilling the need of around rice. So, we have got a good response. We have launched in Israel also. We are going to launch in the other part of the world also. So, we are positive on adding the jasmine rice to our portfolio.

Moderator: The next question is from the line of Me et Jain.

Meet Jain: My question is on the gross margin ; we saw cross margin expansion of almost 320 basis point this quarter. However , in the base quarter the margins were little subdued and sequentially also our gross margin flattish. And when we like rationalize that we saw that this is because of the higher mix of premium product in organized segment. So, how much further can we see gross margin expansion from the current level?

Sachin Gupta: So, yes, you are right. Our gross margins have expanded in this half year. So , from 32 base it has increased to 33. So , this has contributed because of certainly the mix of the premium segment. And secondly our organic segment also has —if you look at our organic segment —there has been a growth in the EBITDA margins and as well as in the gross margins. So, that has contributed in the gross increase. Yes , we are focusing on increasing as our brand spend is increasing and we want to increase further this gross margin to 34 to 35 levels going forward.

Meet Jain: Another question is on the macro environment on the Basmati rice. So , we have been growing at a very good pace around 15% to 20% over the last few quarters and this quarter Basmati rice growth has been around 10%. So, I just wanted to understand are we facing any demand challenges at any region , location , geography if you can mention?

Ashwani Kumar Arora : No, we are not facing challenge , actually whichever part of the world we are present the category is growing be it USA , Middle East. Middle East we have grown 34% . In USA we are growing , in India we are growing. So , we are not facing any demand challenge. Rather we are expecting to further grow this category . In India also, India is a 100 million tons rice consumption whereas Basmati is just 4 million tons. And we expect the category could grow. And similarly in other part of the world we are positive about the category growth.

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Meet Jain: And on this SALIC partnership , so can we talk about that how has been the progress on that part?

Ashwani Kumar Arora : So, that's progressing well , as told in the last meeting we have appointed distributor and there's better news is coming. We are in process maybe in a month's time you will hear a good news.

Meet Jain: And my last question is on this inventory days , we have seen increasing inventory days. So , can you throw some light on that , what is the main concern? Are we facing any inventory challenges or something on that part?

Sachin Gupta: Yes, our inventory days have increased from 166 to 194 days. So, that is an increase of 28 days.

This inventory day is actually in order to cater the increase in the demand that we are seeing in the different parts as Ashwani ji has said , in different regions in India, in US we are seeing that kind of demand. So , considering that kind of demand we need to maintain the inventory levels. So, this is to meet out the increased sales.

Meet Jain: Can we expect this to come down 3Q and 4Q ?

Sachin Gupta: So, yes of course we will be maintaining the ROC at level of (+20) and the inventory days will be of course in line to that ROC level. So , we will be maintaining the (+20) ROC levels in the going forward quarters or year to come. Yes , inventory days this September because we had to build up for the increased demand , this will in the March we are more or less be at the same levels of the inventory days that we were in previous March , 4-5 days here there.

Moderator: The next question comes from Sakshi Chhabra from Swan Investments.

Sakshi Chhabra: My first question was I wanted to just understand that in the first half, there has been an increase in the short -term borrowings to the tune of 285 crores. Can you just explain why that was ?

Sachin Gupta: The short -term borrowings. Yes , but if you compare our net debt now. So , we have a balance bank balance as on the 30th September and that is to the tune of 270 crores. So , if you compare it, if we reduce that our debt balance has in fact reduced from last September as well. And so that is in fact reduced by 22 crores in this , so we have. So , there is a cash balance that is sitting in my financials.

Sakshi Chhabra: But the short -term borrowing was to meet working capital needs ?

Sachin Gupta: That was also a working capital need and actually that got transferred in the later part of this quarter. So , there was a cash balance as well as there was certainly the borrowing.

Sakshi Chhabra: And this degrowth that we have seen in the ready to eat and ready to heat segment. So , is that only pertaining to one segment that has been discontinued or has there been an overall degrowth?

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Ashwani Kumar Arora : The ready to eat and ready to heat has grown by 8% , so there is no degrowth in this.

Sakshi Chhabra: So, the growth in H1 is 8% but in Q2 there has been a degrowth of 15%. I am referring to the Q2 degrowth.

Ashwani Kumar Arora : So, we have discontinued or rather we are going to discontinue Daawat Sehat, the fortified rice

that we are in the process of. But our ready to eat and ready to cook is growing. Rather we are building another capacity in the USA .

Sakshi Chhabra: So, in the medium term what is the expectation of growth from the ready to eat and ready to heat segment ?

Ashwani Kumar Arora : So, we are positive on ready to eat. So, that we are expecting in USA in H1 we have grown over 33% ready to heat and, we are positive . In 3-4 months, we will be up by the new facility. So, we are positive double -digit growth in ready to eat and ready to cook and some products are in the pipeline.

Moderator: The next question is from Yash from Stallion Asset.

Yash: So, my question , in Middle East we've seen a very good market share gain , almost 300 basis points gone by. But I am just trying to understand that we just had added one distributor in Saudi Arabia right now. And given that our partnership with SALIC has already been 1.5 year. So , what is stopping us from are going a little bit more aggressive in that region given the pressures that the peers are facing, when can we expect some more aggression in terms of adding more distributors and expanding our market share over there?

Ashwani Kumar Arora : On the Middle East , it takes time to plan the things and as I said that we are very positive in the next month time , you will hear a good news and as a style of LT we are positive and that we will have a good position in Saudi

Arabia . Already in the Middle East we have covered which is the lower Gulf we call it Dubai. In Dubai, our share in premium segment as per Nielsen has gone to 9.8% from 6.2 % . we are improving our market share in Kuwait , in Qatar , in Muscat and Iraq also. Now the strategy is in place. The distributor has been appointed and we are hopeful that we will do good in Saudi Arabia. As in a consumer business —it's not a trading business , consumer business —takes time to build.

Moderator: The next question is from Yash Mishra from SKS Capital & Research .

Shubhankar: This is Shubhankar here. A few quick questions , with respect to your H1 number , does it have any revenue contribution for your UK operations?

Ashwani Kumar Arora : Yes, the revenue there is a contribution from UK. I will tell you the number . That is 80 crores.

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Shubhankar: And what is it that you expect for this rest of the financial year?

Sachin Gupta: We are expecting a revenue of €24 to €25 million this fiscal.

Shubhankar: Secondly so you said your freight cost will continue to be higher in Quarter 3 and then Quarter 4 you expect this to normalize. So, basically , the trend is we had 5% of revenue as freight cost in Quarter 1, Quarter 2 it is you said 6%.

Sachin Gupta: So, that was 6.6%.

Shubhankar: So, Q3 we expect this number to be here. You expect to go up a bit and then Quarter 4 you want to come down.

Sachin Gupta: It will be in this lines itself. So , it will remain as such. Yes , we are focusing on improving other operational efficiencies , bringing in more operations so that we deliver the kind of profitability which we are delivering. So, yes, the freight cost will remain more or less at 6.4% to 6.6% , this level.

Shubhankar: Not going to go up from here basically you will say ?

Sachin Gupta: No this won't go up.

Shubhankar: And then with respect to your ready to heat and ready to cook , this basically had a 9% EBITDA loss I mean negative. So, H1 you had a breakeven at 100 crores of revenue. But for Quarter 2 on 44 crores revenue, you had a significantly lower OPE x it seems like. What level you will again breakeven because you exited one brand. So , what level you will do break even?

Sachin Gupta: We will be breaking even at a revenue of around 350 to 400 crores. So, that will be the breakeven point and this we wish to achieve. We have plans to achieve at 2 to 3 years' time frame. So, that's the breakeven level.

Shubhankar: And finally , so with respect to the Supreme Court verdict for the insurance related matter, we thought that because it is already a couple of months , we thought that there'll be something final because after the Supreme Court verdict you got in written , so the money should have hit your bank in a month time. But it's been two months. There is no update on the same as of now.

Ashwani Kumar Arora : That's true. We have won in Lower Court , we have won in High Court , we have won in Supreme Court . But executing court takes time , they will take date and all this. So , we all know that the system. But I think everything is clear. It's a matter of some days only .

Moderator: The next question comes from Pradyumna Choudhary from JM Financial Family Office.

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Pradyumna Choudhary: The first question is , last year was a year of higher padding prices . So, why have we really seen a

decrease in input costs for this year? Ideally it should have gone up. That's the first question.

Ashwani Kumar Arora : Can you repeat your first question ?

Pradyumna Choudhary: Yes, last year paddy prices were high. So, ideally one year later the input cost should have actually gone up. While in our numbers we can see that the input costs have fallen.

Ashwani Kumar Arora : No, input costs have not fallen yet. So, you mean to say you are referring to gross margin.

Pradyumna Choudhary: Yes.

Ashwani Kumar Arora : But we have taken the price hike also.

Pradyumna Choudhary: So, then our revenue growth in Basmati in Q2 was only 3% and volume growth was 7%. So, despite the price hike, the value growth that is as in the average realization growth has actually been in negative territory.

Ashwani Kumar Arora: Let me check the number. But it depends on the mix, as we play on a different price point. So, sometimes the mix, some quarter the mix changes. But answering your first question, the gross margin has increased because we have taken a price hike also whatever comparative to the input cost increase.

Pradyumna Choudhary: Maybe like later in the call if you can just double check on this because I am very surprised. 3% revenue growth in Basmati which is suppressing our overall revenue growth as well. Where in a quarter where we have taken price hike that somehow is not adding up.

Sachin Gupta: So, the GP margin improved because as a percentage to the cost increase, we have increased the sales price. So, our GP margin has improved as you can see in the quarterly or the half yearly results. Yes, if you have to compare our quantitative growth in this half year, the quantitative growth is almost as equivalent to that of the growth of my revenue. So, we have increased by 12% in the quantity terms. The revenue, the price it is just a mix that has changed. So, that has increased my overall margin levels in this half year this quarter.

Pradyumna Choudhary: Just trying to clarify. I am just talking about Q2. Our Basmati volume growth was 7.3%, our revenue growth was 3%. So, like roughly the realization was down by 4% for us. So, you are saying this 4% decrease in realization is all because of mix change towards lower value ?

Sachin Gupta: Because of the product mix. The mix in the product that has given otherwise our GP margins have improved. If you compare the quarter-on-quarter basis our GP margins have increased in this quarter.

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Pradyumna Choudhary: And why would that be a customer down trading, is that the thing?

Sachin Gupta: Because of the mix actually, we have in a basket, we have a three range, a \$3, \$2, \$1. \$3 contributes around 40% to 45% of the GP margin. \$2 contributes 30% and a \$1 20%. So, a mix change of course has a positive effect on my GP margins. That's what we were explaining the GP margins from here as the marketing spends are improving, so our GP margins yes will improve. Yes, our spends will also improve and yes it will have a long-term effect going forward.

Pradyumna Choudhary: This was just a follow up because I couldn't get the clarification. My second question is remaining. So, on the second question, I understand that a freight increase was there, and we previously spoken about 4 crores a month of freight cost increase but if I look at other expenses YOY it's gone up by 96 crores. So, what would explain the difference? I know the freight cost increase would add up to around 12 crores and digital spends would add up to another 12 to 15 crores but that should be maximum 25 to 30 crores of increase whereas it has gone up by around 96 crores. What explains the remaining ?

Sachin Gupta: So, if you compare it with the half year-half year numbers, the other expenses in this half year is 676 crores as compared to 523 crores the last half year. So, in that the major spend increase is the logistic cost. The logistic cost from 270 it has increased by almost 100 crores in this territory. Yes, there has been certainly certain increase in other costs as well as the scale of operations.

And that in the percentage terms has remained the same more or less as the revenue. The major increase has come as change in the percentage that has come in the logistic cost.

Pradyumna Choudhary: But earlier we were guiding f

or 4 crores increase per month, in logistic cost ?

Sachin Gupta: That all depends upon the business also. Now the business has increased and that has resulted. But yes, the business overall has increased, the cost as a percentage, I have just told you that it has increased by more than 1.8% in the logistic cost. So, an increase of almost 100 crores. So, that's 40 to 45 crores a quarter increase. That is because of the two factors, the business increase and as well as the Red Sea effect.

Moderator: The next question is from Yash Mehta from Aart Ventures.

Yash Mehta: I wanted to ask that decline in 80 basis points of the EBITDA margins, how much of this is attributable to the Red Sea crisis? How much of this decline is attributable to the Red Sea crisis?

Ashwani Kumar Arora : You mean to say the decrease in the EBITDA margin ?

Yash Mehta: Yes.

Ashwani Kumar Arora : As we said that our logistic cost has increased to the revenue 1.6% as compared to last year. So , I will say half it will go because the natural freight cost has increased. That we have already
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taken in our pricing. But roughly I will say in the range of 1% has really attributed to the Red Sea.

Yash Mehta: 1% of the of the.....

Ashwani Kumar Arora : Yes. So, roughly we have impact of Rs. 27-28 crore s on our budgeted number , the Red Sea that counts for 1.2%.

Yash Mehta: What is the volume growth that you see that you will be able to achieve in FY25? And what are the margins do you see that you will be a ble to achieve at the end of the year?

Ashwani Kumar Arora : So, as per earlier guidance given , we will be having a growth of about 10% and the EBITDA margin will be in the range of 12%.

Yash Mehta: 10% is the volume growth , right?

Ashwani Kumar Arora : Yes 10% -11% w hatever we have done in H1.

Sachin Gupta: And this is for the full FY25 ?

Ashwani Kumar Arora : That's right.

Moderator: The next question comes from Hitesh Goel from Ri ddhish Advisors.

Hitesh Goel: I just wanted to understand in 2Q what was the Basmati revenue growth in India and exports because it's only 3% ? So, basically , is there a big decline in the export segment in 2Q only I am talking about .

Ashwani Kumar Arora : As compared to last year. So , I think we can explain that. But the good th ing is to measure H1 so that we have grown 11.7 %.

Hitesh Goel: No, I understand that but I am just trying to understand is there some one -off because of Middle East crisis ?

Ashwani Kumar Arora : Nothing else.

Hitesh Goel: So, can you give those numbers , so that we have some sense on India and on 2 Q only?

Sachin Gupta: The growth in the India market is 9% whereas the international market we have grown by 5%.

Hitesh Goel: But the overall revenue growth is only 3%.

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Sachin Gupta: That is the quantitative gr owth. So, quantity wise we have grown in this. If you compare it with the overall market revenue wise , so we have grown better in India the value terms , that is 10% growth that we have witnessed in the revenue terms. And th e international market it is on a year-on-year basis there is a growth of 2% in the value.

Hitesh Goel: But this is not adding up because your growth overall is only 3% revenue which you've given in the slide.

Sachin Gupta: Revenue growth in the Basmati category , the specialty and the Ba smati category.

Hitesh Goel: I am talking about only Basmati. I am not talking about the organic. Internationally is there a decline in Basmati? That's what I want to understand on a YOY basis .

Sachin Gupta: So, the Basmati market we have grown by 4%. So , there is a mix. So, international contributes almost 60 %-65% of my revenue. So, there the growth is almost 1.5% w hereas the India market has grown outpaced. So , there is the difference.

Hitesh Goel: And mix you said is adver se becau

se revenue in 2Q only I am not going 1H.

Sachin Gupta: I am also talking about the Q2 year on a year basis.

Hitesh Goel: But then how did the gross margin improve if mix is adverse on a YOY basis?

Sachin Gupta: In the mix also, you have different categories of products. So , we have a premium product and in that also in there are certain products which give me a higher margin . Under \$2 also there is a certain product which give me a higher margin. So , we have we are focusing on the products which give me more margins. So , in fact that's the reason in spite of having lower , not increased margins we are able to increase the revenue growth , we are able to have a higher GP margin . So, our focus is having bettering our GP margins.

Hitesh Goel: My second question is in the international market , the Middle East if you look at 1H also , your rest of the world growth was only 7%. So, the Middle East is growing fast. So, which market has got impacted that our revenue growth has got impacted.

Sachin Gupta: So, the European market has impacted and that too because again we want to focus on more margin where the margins are growing. So, that is also we want to focus on high margin markets.

So, that's the reason.

Hitesh Goel: So, is there a stress in exports or are you seeing reviva l in second half in terms of growth?

Sachin Gupta: No there is no stress. In fact , we are growing in different markets.

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Hitesh Goel: But can we achieve 10% kind of growth in exports in second half? Are you seeing that kind of orders?

Ashwani Kumar Arora : That's what we are expecting and that's the guidance we have given input year basis.

Moderator: The next question is from Resham Jain from DSP Asset Managers.

Resham Jain: I have a couple of questions. The first one is on the Organic business. Last five -six quarters after some issues last year we have seen a continuous growth in that business. So , if you can just explain what is driving the growth in the organized piece ?

Ashwani Kumar Arora : Every product is contributing rice of course and then soya also and other product portfolio which is the oil seeds. So , all these all categories participating but bigger is the rice.

Resham Jain: Ans this business , how are you seeing growth here? Because we had this import related issues from India and then we have set up some of the sourcing from African region. So , from the growth perspective how are you seeing visibility here in the next 1 -2 years?

Ashwani Kumar Arora : We are positive , we are expecting again 10 % to 12% growth in organic also . Our stock and sell in Europe and America is really helping us in strengthening our organic business. What we are doing is to the main growth drivers , we are adding is to source from the other part of the world also. Like we are sourcing from Africa , we are sourcing from Brazil to add more products in our stock and sell portfolio. So , we are expecting , with this incident of soya we have learned that we should not get into very commoditized organic business. So , we learned from there. We have to catch up now . This year we are expecting to do more than 1 ,000 crores in organic. So , that's building up. We are expecting both in terms of growth and margin expansion.

Resham Jain: Recently there's non - Basmati rice export , there has been some relaxation . In the past I remember that there were like certain opportunities on that front and which you cashed in 2-3 years back if I am not wrong. Are you seeing that also as an opportunity from the export market perspective?

Ashwani Kumar Arora : Definitely , Resham , we will evaluate the opportunity and normally we are not into non -Basmati business and business which is not sustainable in nature but in a branded segment where sustainability comes, we will definitely evaluate. But this is positive news for overall the industry.

stry.

Moderator: The next question comes from Shivam Dave from Prodigy Investment.

Shivam Dave: I wanted to understand on that disclosure that we had a substandard quality rice, any color on that on anything that you have ?

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Ashwani Kumar Arora : So, this is a very normal thing. I keep collecting samples. So , they have not awarded any this thing on us on any. So , they have picked up on the basis of this and then it will get to lab and then the final result will come. So , the weight and measurement. So , nothing , no harm , all is in control.

Shivam Dave: The second question I had is on the ready to eat and ready to cook segment. Now, when I look at the last three quarters , we have grown about 30% in terms of volume growth. But then this one quarter I think we've de-grown by 15%. What is the reason for this sudden sharp decline in volume growth?

Ashwani Kumar Arora : As our RTH and ready -to-cook business is growing. It's the only one product we have discontinued , in the phase of discontinuing is Daawat Sehat which were selling in India. But the main business is growing which is RTH and ready to cook business.

Shivam Dave: Can one product make such a big impact on your volume growth?

Ashwani Kumar Arora : It's a new business for us. We are learning also from there and Daawat Sehat was 18.5 crores of business. So , 18.5 crore business we have not lost but we have discontinued.

Shivam Dave: And just one follow up on the ready -to-cook segment. How is the working capital cycle for that? Is it lower than our Basmati business or is this on the same line ?

Ashwani Kumar Arora : Ready -to-cook ?

Shivam Dave: Yes.

Ashwani Kumar Arora : That must be 90 days working capital side.

Shivam Dave: The whole cycle as such, right?

Ashwani Kumar Arora : Yes.

Moderator: The next question is from Mohammed Patel from Care Portfolio Managers Private Limited.

Mohammad Patel: My first question is , how much more in volume terms will we be buying inventory as compared to last season?

Sachin Gupta: How much will we buy?

Mohammad Patel: Inventory how much more will we buy?

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Ashwani Kumar Arora : That is as per the growth. We will buy as per our demand here. So , we are growing in volume terms 10 % to 12% year -on-year. Accordingly , we will source our....

Mohammad Patel: I was just trying to understand if you will take advantage of lower prices and buy more.

Ashwani Kumar Arora : We may , it depends. The season has just started. We will see just how the pricing behave s. Maybe we will source more. But it depends , it's too early to say that and we don't want to speculate on that.

Mohammad Patel: My second question is that we have relaunched the Royal Atta , so, what are your thoughts on the same ?

Ashwani Kumar Arora : That's doing good. So , we have launched Royal A tta 6 year back but this India little destruction on the wheat flour , again we have started importing wheat and then processing and selling it again. So , we have relaunched it kind of thing. Adding on that's no t a big ticket to our revenue.

Moderator: The next question comes from Abhishek Maheshwari from Sky ridge Wealth Management.

Abhishek Maheshwari: Just two questions. Regarding the insurance claim , you mentioned that you have won a t District Court, High Cou rt.

Ashwani Kumar Arora : Yes Abhishek , just explained that we have won in all courts but in the executing court it is taking time. Sometimes judge is not there , sometimes another party takes date. But they say it's a matter of few days. I think we should get our money.

Abhishek Maheshwari: So, is it that you only once you get the money in the bank then only you will recognize that or will you wait for the written order from the relevant quote and then recognize.

Ashwani Kumar Arora : No, the court has already awarde

d in our favor. Now it is the matter of execution and execution court is taking it up but it is taking as usual judiciary 2-3 months , so hopefully .

Abhishek Maheshwari: October to December probably we should see the exception al gain in our book?

Ashwani Kumar Arora : We are hopeful , now the next date is 5th of November. We are hopeful for the resolution.

Abhishek Maheshwari: Lastly regarding the freight cost , I think as Sachin sir m entioned that Q3 obviously because of shipments the cost will be higher. But Q4 on which should we expect normalization or only from first quarter FY26 should we expect this ?

Ashwani Kumar Arora : Quarter 4 to Quarter 1 you will see a better performance . There will be some leftovers because it takes for us to reach always in water , in store we have a 5 to 6 month inventory. So, fully Quarter 4 will start improving and Quarter 1 we are positive here.

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Abhishek Maheshwari: But fright cost?

Ashwani Kumar Arora : So, I said as per today's situation we are in the freight market it's coming down.

Abhishek Maheshwari: What I am trying to ask is , so the freight costs have come down to pre-Israel crisis level , Israel attack level ? Because it had moved up. It has come down again. So , 6 months you have , probably from Q1 onwards we should expect ?

Ashwani Kumar Arora : So, little bit improvement should come in Quarter 4 and then Quarter 1 will be more clear.

Moderator: The next question is from Rohan Patel from Turtle Capital.

Rohan Patel: One of your opening remarks , you said that we are having a good crop this time. The crop offtake is good by 10 %-12% and paddy prices are down. So , can we expect that we maintain our g ross margin, or we are going to also expect the gross margin to be coming down as well?

Ashwani Kumar Arora : We will definitely maintain and improve and that's what we are expecting because it's another 2 months , 3 months , in the month s we will source. But we are optimistic that if the sourcing price remains the same what has been open ed up then we are expecting to have a better margin in '25-26. That's the kind of what we see.

Rohan Patel: So, we can expect that your EBITDA margin if you can provide any guidance to be somewhere between in the lines of 12 % to 14% ?

Ashwani Kumar Arora : Yes, that's the guidance. 12 is already there. So , we will improve from there.

Rohan Patel: Second thing that I wanted to know as I am new to your Company. So, how are you catering to the UK market? I am asking from sourcing point of view because if you see sale of Basmati Rice was banned from India to UK and Europe due to pesticide residue issues. So , can you just explain me how are we sourcing from big geographies?

Ashwani Kumar Arora : No, it is never banned. But there were some issues where the Indian product was not matching to the MRL level of UK or EU. But as an LT we have a big farmer program where we make s ure that the we have a product of compliant product and we are doing our regular export to UK and EU. Sometime our EU unit sources from Pakistan if India is not competitive. But as an LT food we are regularly exporting our brand from India , Daawat both UK and EU.

Rohan Patel: Even if we have to see the international operations that you have in America as well as in UK , so all the rights are being sourced from India or you have some more diversified geography. You want to keep diversification on geography for sourcing.

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Ashwani Kumar Arora : So, we call it specialty rice. So, in specialty rice Basmati, we do, and we do the regional specialty which is Sona Masuri. Sona Masuri and Basmati for America we only source from India. As far as European we call it EU and UK, partly we source from India and partly we source from Pakistan. But all other brands in UK and EU goes from India. So, the rice w

e do the private label

for the stores that is done by India and Pakistan. I hope that clear your question.

Moderator: The next question comes from Tom A. Kadavil from Geojit Financial Services Limited.

Tom A. Kadavil: I just wanted guidance on the depreciation for FY25 and also the share of associate profit for FY25.

Sachin Gupta: The share of profit for the associate in this half year was 19 crores and that's what your question was, the share of profit?

Tom A. Kadavil : Revenue for the entire year.

Sachin Gupta: That will be in the range of around 30 crores, 30 crores profit that will be coming from the associate.

Tom A. Kadavil: On the depreciation front, can you give guidance on the entire annual figure FY25?

Sachin Gupta: It will be more or less in the same range that is there the half year, the 87 crores, it will be around 175 to 180 crores.

Tom A. Kadavil: And another question that I have is on the Basmati, what is the Q2 volume, India and international?

Sachin Gupta: So, the Q2 volume in India, this quarter the volume in India is 89,000 tons, the international is 82,000 tons.

Tom A. Kadavil: And realization for Q2?

Rohan Patel: The average relation in Q2 is Rs. 102.

Tom A. Kadavil: And can you get a breakup of India and international?

Sachin Gupta: 63 and 144.

Moderator: The next question comes from Raman KV from Sequent Investments.

Raman KV: You are setting up a plant in the UK as well as you are setting up a plant in the USA wherein with respect to US, the new plant in USA the production capacity is going to double. And at the LT Foods

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same time, from what I understood from the presentation you are setting up a manufacturing facility in Uganda as well. So, can you give me an estimate about when will this plant or setting up of the plant will be done and from when they will start contributing towards their revenue?

Ashwani Kumar Arora : So, UK plant has already been set up and we just done inauguration in July. That has started contributing. Regarding the USA, we are doubling our capacity of ready to eat plant. Right now, we are producing 15 million pouches which is totally sold out. Now we are doubling to 35 million. So, of course whatever the growth will come year-on-year that will be serviced from that increased capacity. And Uganda is a small investment, very small investment. That is mainly for our organic business where they are putting the soyamill.

Raman KV: But when will the UK-US plant be like start? So, it's like a value addition plant or what?

Ashwani Kumar Arora : So, already we had a plant which is producing ready-to-eat products, which is microwave rice. We have set up the plant 5 years back. Now the capacity is fully sold out. Now we are expanding our capacity to double.

Raman KV: So, when will this expansion be done?

Ashwani Kumar Arora : That's a continuous process. To service the continuous growth of the market.

Raman KV: Also, you said that you are discontinuing Daawat's fortified.

Ashwani Kumar Arora : Yes fortified.

Raman KV: I didn't understand. Can you give some more clarity on that?

Ashwani Kumar Arora : So, what we have done, 4 years back, 5 years approximately, we have launched in India Daawat Sehat Rice which is the fortified because government was promoting, the trend was coming the fortification. But that has not met our expectation in terms of growth and market share. So, we decided to discontinue that product.

Raman KV: I just have one question with respect to inventory management. Whatever we produce we pack it and sell it to the retailers. Like either like a big chain of retailers or shops at the local level and there is a freight cross angle also. So, if there is any damage during the freight or are we supposed to pay for the damages, or it's based on a contract basis?

Ashwani Kumar Arora : I

f I understood your question correctly that we operate like any other FMCG company operate.

We are accountable and responsible till consumer consume it. So, guarding whatever what you call is replacement that is very small, sometime packet get damaged.

Raman KV: Can you give a figure about what might be the replacement?

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Ashwani Kumar Arora : That's v ery less . I don't have right now definitely. But that's very less , not even in percentage .

Moderator: Thank you . Ladies and gentlemen , we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

Ashwani Kumar Arora : Thank you so much . If any question is left or not cleared, I request everyone to send your questions to our I R department. We will definitely clarify all queries. Thank you.

Moderator: Thank you. On behalf of LT Foods Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Ref-LTF/ SE/ 202 4-25/ Date: February 04, 2025

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Earning Call for the quarter and Nine months ended December 31, 2024

In continuation to our earlier letter dated January 29, 2025 , filed in terms of the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding an Earnings Call organised by the Company, to discuss the Un-Audited Financial Results of the Company for the quarter and nine months ended December 31, 2024 , scheduled for Tuesday , January 28, 2025 at 16:00 hours (IST).

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
Q3 FY25 Earnings Conference Call"
January 28 , 2025

MANAGEMENT : MR.ASHWANI KUMAR ARORA – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER – LT
FOODS LIMITED
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER–
LT FOODS LIMITED
MS.MONIKA CHAWLA JAGGIA – CHIEF CORPORATE
DEVELOPMENT OFFICER – LT FOODS LIMITED

MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

LT Foods Limited
January 28 , 2025
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Moderator : Ladies and gentlemen, good day and welcome to LT Foods Q3 FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Meet Jain: Thank you. Good evening, everyone, and a warm welcome to LT Foods 3Q FY '25 Post Results Earnings Call hosted by Motilal Oswal Financial Services Limited. On the call today, we have management team being represented by Mr. Ashwani Kumar Arora, MD and CEO; Mr. Sachin Gupta, CFO; and Ms. Monika Chawla Jaggi, Chief Corporate Development Officer.

We'll begin the call with key thoughts from the management team. Thereafter, we will open the floor for Q&A session. I would now like to request the management to share their perspective on the performance of the company. Thank you, and over to you, ma'am.

Monika Chawla Jaggi: Good evening, everyone and thank you for joining us on our Q3 and 9 months Financial Year '25 Earnings Conference Call. Before we start with the key highlights of the quarter and the 9 months ended 31st December 2024, I would like to highlight that certain statements made or discussed on the conference call today are forward-looking, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

Result documents are available on the company's website and have also been uploaded on the stock exchange. A transcript of this call will also be made available on the Investors section of the company's website. I would like to begin by taking you through the key highlights of quarter 3 financial year '25. Our consolidated revenue for quarter 3 is up by 17% to INR2,288 crores versus INR1,950 crores last year on account of increased sales from all our segments.

Gross profit grew by 22% and gross profit margin is 125 bps higher from 32.6% to 33.9%, attributable to favourable input prices. EBITDA for quarter 3 was up by 7% year-on-year basis at INR263 crores and EBITDA margin stood at 11.5%. PBT is up by 3% from INR211 crores last year to INR217 crores in quarter 3. PAT for the quarter decreased by 4.7% to INR145 crores compared to INR153 crores in the previous year. EPS decreased by 5% to INR4.13 versus INR4.35 in the quarter 3.

Cash profit for the quarter was higher by 1% to INR196 crores. Now coming to 9 months LT Foods Limited

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performance. Our consolidated revenue for the 9 months increased by 14% to INR6,510 crores versus INR5,730 crores in the 9 months financial year '24. This is on account of the increased sales from the Basmati & Other Specialty Rice segment as well as an increase in the organic segment.

Gross profit stood at INR2,202 crores and the gross profit margin expanded by 145 bps from 32.4% to 33.8%. EBITDA increased by 7% to INR777 crores compared to INR726 crores last year. EBITDA margin was 80 bps lower at 11.9%. The profit after tax is higher by 1% to INR451 crores versus INR447 crores last year. The earnings per share was flat year-on-year, that is to INR12.81.

Cash profit increased by 5% to INR584 crores versus INR555 crores last year. Moving on to the key ratios of our balance sheet. The return on the capital employed stood at 19.5% in 9 months financial year '25 compared to 20.3% in 9 months financial year '24. Return on equity stood at 16.9% for 9 months financial year '25 compared to 18.7% in the 9 months financial year '24.

The debt

-to-equity ratio maintained at 0.3 and the debt-to-EBITDA ratio at 1.2 in the 9 months financial year '25 compared to 1.3 in 9 months financial year '24. Current ratio remained steady year-on-year at 1.9 and our net working capital days stands at 227 days versus 225 days in 9 months financial year '24. I now hand over to Mr. Ashwani for his comments and we can open the floor for the question answer. Thank you.

Ashwani Kumar Arora: Good evening, everyone. So we can open the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Jolyon from Amiral Gestion. Please go ahead.

Jolyon: I have a few questions. First one, could you quantify the impact of higher freight on this quarter because I think we just run through the SG&A, it used to be 5 -- 50 basis points higher Q-on-Q. And I understand that we are still facing elevated freight prices that we have yet to pass on to our customers. So maybe just on that one first, please?

Sachin Gupta: So as regarding the freight cost, the logistic cost as a percentage to revenue in this quarter

itself, if we compare on the year -on-year basis, this has increased by 2.3%. And if we compare it with the immediate preceding quarter, it has increased by 0.5% . And the current logistic cost for this quarter is 7.1%.

Jolyon: Okay. So any views on that? Is it coming down in the quarter 4? Are we going to pass it on to our customers altogether on the freight surcharges?

Ashwani Kumar Arora: Yes. So next year, we are expecting the freight rate to come down. So we are in conversation with the freight companies, the ocean freight company. And we are positive

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that next year -- in the next quarter, we will not have kind of a positive impact on this. So the freight cost will remain same. But next year, we are seeing it softer.

Jolyon: Okay. Sure, sure. Because I think the previous understanding was that quarter 4 is when the freight prices will normalize as we're expecting it to come down.

Ashwani K umar Arora: Yes, because we already have inventory in the system with the higher freight cost. So even if it changes now, it will have impact in the next financial year first quarter.

Jolyon: Okay. No, that's very clear. I guess next question is on the associate earnings. So I think this probably relates mostly to Golden Star. I think it came in at around INR40 million, INR4 crores this quarter, which obviously has declined quite significantly from last year's INR117 million and also last quarter's INR88 million. So any color on this? What's happening to Golden Star?

Ashwani Kumar Arora: So again, the profit has come down because of the higher -- the steamer freight from Thailand to West Coast. So that's the main impact. So there is no decrease in price or in the raw material cost has not increased. So purely impact of freight cost.

Moderator: Thank you. We'll move on to the next question that is from the line of Nandita from Marcellus Investment Managers. Please go ahead.

Nandita: So actually, I had a couple of questions. The first one is that it says on the website that -- of the exchange that Raghunath Agro Private Limited in that -- which is a wholly owned subsidiary, you have gained taken up 4% stake. So can you please clarify how is this done? And why is the 4% stake taken in a wholly owned subsidiary?

And secondly, in the other expenses, which rose to 17% of revenues from 14.5% of the revenues last year, it was just generally freight which contributed largely to this or was there any other cost item which also led to the rise in other expenses?

Ashwani Kumar Arora: Sachin will take up this question.

Sachin Gupta: So as regarding the other expenses, other expenses, last year, it was 14%. This year, it is 16.3% on a 9-year basis. And this increase in the ex

pense is mainly attributable to the

logistic cost. The logistic costs have increased on the 9-year basis by 2%. So this is the major increase in the other expenses.

As regarding the Raghunath Agro Industries, Raghunath Agro Industries initially company had 96% holding. So the 4% holding was with one of its subsidiary, Daawat Foods. Now Raghunath -- now LT Foods is acquiring that 4% share also. Now it will be 100% subsidiary of LT Foods. I hope I have answered your question.

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Ashwani Kumar Arora: And we are in the process of merging this also. So Raghunath Agro will get merged in LT Food.

Nandita: Okay. So it won't be a wholly owned subsidiary then?

Ashwani Kumar Arora: We are in the process of doing that, yes. So it will be get merged with LT Foods.

Sachin Gupta: Yes. So we are in the process of that fast track -- those are fast track merger scheme.

Nandita: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Damodaran Kutty from Acuitas Capital . Please go ahead.

Damodaran Kutty : Congratulations on a decent set of numbers. Yes. So my question was on strategy on pricing. So given that Basmati prices have dropped this year, what will be our strategy on pricing? Will we be focusing on holding prices and improving margins or will we pass on the benefit of the lower prices to customers and focus on improving our market share? And what implications does it have for FY '26 margins? So yes, just some color on that will be helpful. That's question number one?

Ashwani Kumar Arora: Thank you, Damodaran. So we are evaluating definitely the prices of input cost or raw material cost has come down as compared to last year. So we are evaluating our pricing strategy and seeing the competitive landscape. Hopefully, we will be ready with our complete pricing strategy by the end of February. But definitely, I think somehow we had to take some price decrease. Yes, how much we are evaluating.

Damodaran Kutty : Sure, sir. And given that, I mean, you expect freight -- this impact of freight cost to go

away next year, is that -- you can expect that, that will improve your margins by around 100 basis points? I mean, because you did around 12% margins and the current year margins have come to around 11.3%.

Ashwani Kumar Arora: So definitely, in the second quarter of next year, we are expecting the margin to improve by the September result. That will have positive impact of the raw material and the freight cost.

Damodaran Kutty : Okay. Got it. And just one more question on capex. So I mean, if I'm correct, you had guided for around INR200 crores of capex this year. That included your U.K. subsidiary and the RTH facility in U.S. So any update on -- I mean, what's the number for FY -- I mean any update on the FY '25 number? And any plans of capex for the next year?

Ashwani Kumar Arora: So on the capex side, next year will be almost in the range of INR150 crores to INR200

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crores. But as far as this year capex is concerned, our U.K. facility is up, we are doing the sales. On the US A, the facility will be up in the month of May next year.

Damodaran Kutty: Okay. So the capex for that has already been -- that's already been incurred or will that also come in FY '26?

Ashwani Kumar Arora: So roughly, Sachin can give you the number, INR160 crores.

Sachin Gupta: So in the current year, in the 9 months, we have incurred INR164 crores of capex till now we have incurred. And as Ashwani told, the remaining will be done in the next year.

Ashwani Kumar Arora: US capex is a little bit in the process. So will be spent during this quarter.

Damodaran Kutty: Thanks. That's it from my side.

Moderator: Thank you. The next question is from the line of Hitesh Goel from Riddhish Advisors. Please go ahead.

Hitesh Goel: Sir, a couple

of questions. First is on the -- can you give us the revenue growth in third quarter for India and in exports across U.S., Europe and Middle East, just for the third quarter? Because you generally 9 months if you can give it for this quarter, please?

Ashwani Kumar Arora: So we will get back to you. But on 9 months, I think we have done in the presentation is India is 8% growth and U.S. is 17%. So we will get back to on this number.

Sachin Gupta: So if you the India and international total one, the value growth is -- India is 12% and in international, it is 11% on the quarter-on-quarter basis.

Hitesh Goel: And in international, how much is U.S. has grown faster than Middle East because Middle East growth seems to be quite low?

Ashwani Kumar Arora: No. Middle East has grown by 37% on a 9-month basis. Although the base is small, but that's the fastest-growing territory for us.

Hitesh Goel: Okay. And sir, my second question is on RM purchase, right? So basically, we are seeing that benefit of the lower prices of input costs. Have we started because your gross margins are improving, that is because of procurement cost or we will see that benefit only next year, full benefit of that?

And secondly, on freight cost, sir, most of the companies are already saying that freight cost has started to come down in third quarter itself, and they're expecting a benefit on fourth quarter. So why are we saying that the benefit will only start coming in second quarter of FY '26?

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Ashwani Kumar Arora: So as far as Europe and America, these are the 2 sectors which has got impacted. So America, we have not seen coming down even in this quarter. Europe has come down, but there is always inventory in transit. So that's why we are saying that there will be a little bit impact in quarter 4, but the bigger impact we will see in the first quarter of next financial year.

Hitesh Goel: So going by current times, how much do you think this freight rate as a percent of sales will come down? If you can give some guidance on that. Will we revert back to that 2% increase that we have seen, we'll see that full benefit coming through, only half of that will get realized in FY '26? How should we see...

Ashwani Kumar Arora: I will say half, half will come here.

Hitesh Goel: And procurement cost benefits, some you will -- you didn't answer that procurement cost benefits will come through next year only or will start coming in fourth quarter itself?

Ashwani Kumar Arora: We sell the age product. So it will come -- it will start coming in the second quarter of next year.

Hitesh Goel: And sir, just a final question. So in procurement cost in India, I believe that this will be passed on, right, because it's a fairly competitive space. In exports like U.S. and all, can you retain that benefit?

Ashwani Kumar Arora: No, we are living in a competitive landscape. So India, for sure, in the food service, we

have to immediately pass on that benefit. But in consumer space, you can have a better margin. I cannot disclose everything here. But as I said in the second quarter we are expecting the better margin.

Hitesh Goel: Okay sir. No problem. Thank you.

Moderator: Thank you. The next question is from the line of Meet Jain from EY. Please go ahead.

Meet Jain: Meet here from Motilal Oswal. So my question is regarding the organic food segment. We saw 26% kind of growth this quarter as compared to earlier in the high 30%, high 40%. So I just want to get some flavor on the growth trajectory of the organic segment?

Ashwani Kumar Arora: Yes. Organic this year, we have grown around 37%. But next coming year, we are expecting that the growth will be in the range of 10%, double-digit growth.

Meet Jain: So any update on the Uganda facility on this?

Ashwani Kumar Arora: Yes. Uganda is a small part of our business. So basically, the soya

business. So we do both

from India as well as from Uganda. That is doing good.

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Meet Jain: Okay. And lastly, on the domestic growth rate. So I just wanted to get some flavor on the domestic demand environment and the pricing environment for Basmati rice. And apart from that, in terms of international, as you highlighted, Middle East has been growing at a very strong pace on a low base and international also is growing overall by 11%. So can you throw some light on the domestic business, like how the growth has been? And what challenges are we facing in this business right now?

Ashwani Kumar Arora: So domestic business, you're asking about the Specialty rice Basmati rice?

Meet Jain: Yes. So Specialty Rice and the Basmati Rice?

Ashwani Kumar Arora: So on the 9 months, we have grown by 8%. But now the -- in India, especially the demand looks slow, but internationally we are doing the double-digit growth in Specialty Rice.

Meet Jain: Thank you sir. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Sakshi Chhabra from Swan Investments. Please go ahead.

Sakshi Chhabra: So my question was regarding UK and Saudi Arabia. So what sort of revenue would you be expecting in FY '26 from these two facilities?

Ashwani Kumar Arora: Next year, you're asking?

Sakshi Chhabra: Yes, sir. Next year.

Ashwani Kumar Arora: EUR 145 million size from both units.

Sachin Gupta: So basically, EUR 145 million from the European and the U.K. unit, what we are expecting in the FY '25, '26.

Sakshi Chhabra: Sorry, 145?

Sachin Gupta: EUR 145 million.

Sakshi Chhabra: Okay. That is from the UK as well as...

Sachin Gupta: UK and the European facility.

Sakshi Chhabra: Okay. And from Saudi Arabia?

Ashwani Kumar Arora: Saudi, we will be doing roughly -- so we have -- for the next 5 years, we have made a plan of doing Saudi SAR 435 million. So we have -- what do you call is setting the whole thing in Saudi Arabia. So next year, we are 20,000 tonnes, we have a plan to do that.

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Sakshi Chhabra: Okay. All right. And the capex that is being done in Saudi Arabia, so what exactly is that going towards?

Ashwani Kumar Arora: So we have not done any capex till now. So the plan is in the future, in the next 5 years to do the capex, which will be in the kind of convenience and convenience platform basically and some packaging facility.

Sakshi Chhabra: Okay.

Moderator: Thank you. The next question is from the line of Shloka Kapadia from Carnelian Capital. Please go ahead.

Shloka Kapadia: I wanted to ask why is the other income come down Q-o-Q?

Sachin Gupta: The other income basically has come down because of the exchange that has been booked in the income from operation. That is basically on account in the accounting treatment, it has been reclassified. Otherwise, the other things have remained intact.

Shloka Kapadia: Okay. And can you also give me the geographical mix for the revenue for this quarter?

Sachin Gupta: So in the Basmati and the Specialty segment, India contributed 34% and the America contributed 39%; Europe, UK 15% and the rest of the world, it was 12%.

Shloka Kapadia: Can you give in terms of total sales?

Sachin Gupta: In terms of tonnage, you are talking about?

Shloka Kapadia: In terms of total revenue, can you give me a mix of how much is Europe, India, North

America and rest of the world contributed?

Sachin Gupta: In terms of total revenue, then India is contributing 30% America, 40%. The rest of the world, it is 12% and the remaining is U K, Europe. That is 18%.

Shloka Kapadia: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Tom Kadavil from Geojit Financial Services.

Tom Kadavil: Yes, I would like to know the Basmati Rice volume and average realization?

Sac

Sachin Gupta: 9 months, we have made revenue sales of 525,000 tonnes with an average realization of INR103.

Tom Kadavil: Okay. And for the quarter?

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Sachin Gupta: For the quarter, that is 185,000 tonnes and an average of INR105.

Tom Kadavil: Okay. And the international and India volumes, do we have a separate allocation?

Sachin Gupta: That you can raise to our IR team and they will provide.

Tom Kadavil: Okay. And what about the procurement cost of rice average?

Sachin Gupta: So the average procurement rate this year as Ashwani has told, it has reduced by 10% to 15% and our average procurement rate of the paddy is INR32.

Tom Kadavil: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Yash Mehta from Aart Ventures. Please go ahead.

Yash Mehta: Yes. Sir, I just wanted to know what is the kind of volume growth do you expect in Q4 and in FY '26?

Sachin Gupta: We will be -- the overall growth for full year, we are expecting around 12%? 12%.

Yash Mehta: For FY '26, right?

Ashwani Kumar Arora: Yes, full year basis.

Yash Mehta: Okay. And for Q4 FY '25?

Sachin Gupta: So we are -- we will be maintaining that growth rate what we have achieved during this and the overall year growth will be in the range of 12% to 13%.

Yash Mehta: Okay. Thank you very much.

Moderator: Thank you. The next question is from the line of Vipul Kumar Anupchand Shah from Sumangal . Please go ahead.

Vipul Kumar: Sir, can you give the market share in India? What was our market share in Basmati segment last quarter? And what was the same last year same quarter?

Ashwani Kumar Arora: So we are holding now 28% market share in India. And last year, it was 30%.

Vipul Kumar: So we have lost 2 % market share, right?

Ashwani Kumar Arora: Yes. Because we have some segment we have left because of the nonprofitability. And -- but overall, the growth is 8%.

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Vipul Kumar: So we have deliberately vacated the market share?

Ashwani Kumar Arora: Yes, yes. Maybe we were having some challenges in terms of margin and all these things. So that we have left.

Vipul Kumar: And sir, my second question relates to organic foods. So once we reach revenue of INR1,000 crores, what type of margin we can expect from that business because that business should naturally have much higher margin.

Ashwani Kumar Arora: Yes. So the major business of food business will come from U.S. This year, we have done INR100 crores of business there, and we have set up the new facility. So the demand is more than 15% year -on-year, we are growing. So this we are thinking both organic and inorganic. So organically, we will build this business in the next 5 years around INR500 crores. The next INR500 crores, we are...

Monika Chawla Jaggia: Organic business is INR1,000 crores, what would be the profit...

Ashwani Kumar Arora: I'm sorry, I misunderstood the question.

Vipul Kumar: No problem, sir. So my question was what type of margin improvement we can expect once we reach INR1,000 crore s revenue in the organic segment?

Sachin Gupta: So our target in the organic segment is to have the EBITDA margin in the range of 14% plus. So that's what we are targeting at with the growth in the revenue at 10% to 12% in the revenue growth. So that's our target. And currently, it is -- we have increased our margin. So it is 11% plus this year.

Vipul Kumar: And can you give the revenue and tonnage geography -wise for this quarter and for 9 months, please?

Sachin Gupta: So that you can ask the question to the IR team and they will revert back to you.

Vipul Kumar: So previously, this was always a part of our presentation, but somehow it has been

discontinued. So I would suggest that if it is not competitively harmful, then you should make it part of your presentation. That is my suggestion

?

Ashwani Kumar Arora: Thank you. We will consult internally and...

Vipul Kumar: Yes. So whom should I contact for this?

Monika Chawla Jaggia: You can reach out to us. Monika, you can send an e-mail to either to IR or to myself at monika.jaggia@ltgroup.in.

Vipul Kumar: And sir, last question, have we received any insurance claim or still no?

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Ashwani Kumar Arora: I think the last -- the Supreme Court has given the final verdict. So by 10th of March, we are expecting the money should come.

Vipul Kumar: Okay sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Anshul Jain from M Tiger Consultant Private Limited.

Anshul Jain: I actually have three questions. One is on the margin front. Can you give some broad sense on the EBITDA margins for the domestic business of Basmati Rice and the export business?

Sachin Gupta: So our India business, the total EBITDA of my basmati special is 12.3%. So internationally, we are at a higher margin by 2%.

Anshul Jain: Got it. And my second question is actually interlinked that what would be the realization of the domestic and the export market?

Sachin Gupta: So my domestic realization is at INR64 and my international is INR144.

Anshul Jain: Got it. And lastly, can you give some ballpark sense on the tonnage in terms of -- very broad sense in terms of the distribution between how domestic tonnage is and the export tonnage is?

Ashwani Kumar Arora: So half, half. So we do around 600,000 tonnes. So half we sell in India and half we export, yes.

Anshul Jain: Okay. And the 600,000 tonnes would be all Basmati that you're referring to, right?

Ashwani Kumar Arora: Yes. This is from India, but we import from Pakistan also, and we import from -- Jasmine from Thai also. So I'm only telling you what we do from India.

Anshul Jain: Got it. Got it. Okay. And lastly, could you explain why there was some market share that you mentioned previously in one of your questions, some market share sense that you gave on decline or intentional decline?

Ashwani Kumar Arora: I said, there is a price point which price to consumer is INR50. So that is very, very competitive. So we -- as a strategy, we thought that on that price point, we will make money and not the market share. But as far as our premium segment is concerned, we have improved our market share and we are growing also.

Moderator: The next question is from the line of Jolyon from Amiral Gestion. Please go ahead.

Jolyon: So I think last quarter, there was a comment on working capital where we are actually

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stocking our inventory on anticipation of higher demand, especially in the U.S. and India.

So maybe on that, has it out according to our expectations? So that's the first part of the question.

And the second part is, are we expecting a working capital to normalize in the coming quarters? Because as I'm looking at the presentation, it is that working capital days at 227.

So we will go down or up maybe in the next 1 or 2 quarters as that demand opportunity kind of play out?

Ashwani Kumar Arora: Excuse me; let me understand the question from my colleague.

Sachin Gupta: So let me answer. So basically, as you know, this is the peak season. The peak -- this is the procurement season and the procurement happens in the month of December. So our working capital, if you compare it with the March itself, the March will be much lower.

The last year, December, the working capital days were 225. This year, it is 227. So more or less, they have remained stable. So we are eyeing that and we will maintain our working capital days as we are in the March. So they won't be getting increased. So yes, we have additional procured because of our demand we anticipate in the next year. So still, we will be maintaining that working

capital days and we'll be maintaining our return on capital...

Jolyon: Okay. No, no. Maybe more specifically, inventory days are 268 for the 9 months of 2025, whereas it was 248 last year. So obviously, there's a jump of 20 days. Are we expecting inventory days to be structurally higher going forward?

Sachin Gupta: So yes, but we will still be maintaining that working capital days. So yes, the inventory

days have moved by 20 days, but the working capital days, we will be maintaining and that inventory, which we are holding, that is basically because of the -- which we are getting the increased demand, expected demand in the -- globally, which we are at.

Moderator: The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So I have a few questions. So first one is in the last two calls, we mentioned that the freight cost has been a little elevated. So is there any update there? How is the freight cost moving now? And how are you booked? Because typically, I think you book in advance typically for some portion of your shipments. So any update on the freight costs?

Ashwani Kumar Arora: So Resham, we do a contract, but the contract apply in the next financial year. As far as U.S. sector is concerned, the freight rate has not come down to the last level, which was the bottom one. On Europe sector, the freight has started softening. And as I said just now, that the impact will come in the first quarter of next financial year. But definitely, Europe has started softening freight.

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Resham Jain: So what is that quantum out of the total kind of freight cost you have, how much reduction can happen because of this Europe fall?

Ashwani Kumar Arora: Yes. So the last year, the 5% was the logistic cost. And this year is 7.2%. We are expecting it to come down to 6%.

Resham Jain: Okay. Okay. Sir, the second question is on rupee depreciation. We have seen a very kind of steep movement in the currency in the last 2, 3 months. I don't know whether you've already commented in your initial remarks, but -- and we have a very large export business. So how are you seeing this export movement impacting us in any way, positively, negatively?

Ashwani Kumar Arora: Although the rupee depreciation is good for export, and therefore, nothing negative impact for us. So we are only covered to our policy, and we are positive on that.

Resham Jain: Okay, understood. So next year, overall, with freight costs coming down and currency also positive kind of movement, the margin, which you did in FY '24, close to 12.1%, which has softened in this year, you expect this margin should normalize in '26?

Ashwani Kumar Arora: Yes, for sure. That's what we are expecting that financial year '26 will be better. So it will start reflecting in the quarter 2 of the next financial year.

Resham Jain: Understood. Sir, last one is with respect to the profit from associate. Can you confirm if most of the profit from associate is coming from Golden Star?

Ashwani Kumar Arora: Yes, you're right, Resham. Yes.

Resham Jain: Because, sir, what I've seen is that the profit from associate has been gradually coming down from last 5, 6 quarters. It was close to INR11-odd crores last year. We touched almost INR50 crores, which was just INR4 crores in this quarter. So is there any one-off there or any other kind of pressure in that business?

Ashwani Kumar Arora: So actually, that business is growing 20%, the Golden Star business. And the only impact was the steamer freight. And the highest impact has happened from Thai to the West Coast. So -- but the business is growing extremely very well, growing more than 20% what you call it the GPN, all things is impacted. So it's only the freight has impacted.

Resham Jain: And similar to these the India freights.

Ashwani Kumar Arora: You have asked the question. The

Golden Star when we bought that business was third largest brand of Jasmine. Now this year, it has become the #1 selling Jasmine rice brand in America.

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Resham Jain: Yes. Congratulations on that. Sir, just to complete this margin part in Golden Star, the freight cost, similar to what you mentioned from Q1 onwards, one should see a reduction in freight cost. Is this true for Golden Star also? Or there the freight movement is going to behave differently than the India business?

Ashwani Kumar Arora: Resham, the impact, we are in the process of doing our freight contract. Hopefully, that will be -- I will say also be at the same level as India.

Resham Jain: Okay. So basically, we will -- we should see an improvement in Golden Star next year?

Ashwani Kumar Arora: That's what we're expecting.

Resham Jain: Okay sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Prushti Patel from Avendus Capital.

Please go ahead.

Prushti Patel: So my question was, so as per your press release earlier, we can see that certain joint ventures and subsidiaries have dented up. So can you shed some light on which ones have affected the same and why?

Sachin Gupta: So on the press release -- one of the press release was relating to acquisition...

Monika Chawla Jaggi: They're saying we have opened a subsidiary -- that's the question, right? We have opened up the subsidiaries -- that's you're asking?

Prushti Patel: No. I mean to ask, so which subsidiaries and joint ventures that are already existing, which have dented our PAT this quarter?

Sachin Gupta: That is the Golden Star, the Golden Star JV that has dented our PAT numbers. So Golden Star in the U.S.

Prushti Patel: Okay. May I ask why?

Ashwani Kumar Arora: Because of the freight...

Prushti Patel: Sorry?

Ashwani Kumar Arora: Freight part, ocean freight has increased.

Prushti Patel: Okay. I had another question. So regarding the ready -to-eat and ready -to-cook segment, what according to you is going to drive our margin expansion given that we want to pivot into higher -margin products rather than volume -led growth. And since we also expect our revenue mix to be 10% from this segment by FY '29?

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Ashwani Kumar Arora: So in the ready -to-eat business, the bigger business is coming from U.S.A., around INR100 crores . So already, the EBITDA is positive, is around 7%. It's the India, which is not profitable at the moment, but we are optimistic that with the scale, it will come on the breakeven in the next 3, 4 years. But as far as U.S. is concerned, it's a positive. It 's a 26% growing, and we are setting up the new facility also.

Prushti Patel: Okay, sir. So by when do we expect it to be profitable in India?

Ashwani Kumar Arora: In year '27, that's what we have mentioned in the presentation.

Moderator: Thank you. The next question is from the line of Arjun Balakrishnan , an individual investor. Please go ahead.

Arjun Balakrishnan: I've been following your company quite a long time. I mean, I've been invested for the last 5 years. One question I have is that the margins have never expanded. So 5 years back in 2019, we're still doing an EBITDA of about 11%. And now we are okay, off and on, we are about 12.5%, and then we are back to the 11%.

Can we ever get to 14%? I mean we've been promising 14% in 4 years, I don't see the road map, and I'm quite worried about that. There's significant volume growth agreed, our revenues have doubled in the last 5 years. But you would expect any business to have operating leverage to kick in. But our business seems to be honestly struggling to have operating leverage kicking in. Any thoughts on that?

Ashwani Kumar Arora: So Arjun, actually, the business is doing very well. I wanted to give you the exact numbers. So i

n a 4 -year time, if you have seen -we have grown 17%. That's very great. And the profit has grown by 32%. But in the last 4, 5 years because our business comes 60%, 65% from international market and a lot of disruption was coming in COVID time in the Red Sea.

But the focus was to make sure that we have a great service level, and we should capture the growth most. And that's what we have opted the strategy, and we are very successful in that. That's why we have grown 17%. Our profit has grown by 32%. In terms of percentage, we are positive that hopefully, there is nothing disruption comes. We will be there in terms of the margin expectation on the EBITDA side also.

We have improved on the ROCE. So as the raw material prices have come down, and we are hopeful that the EBITDA margin in terms of percentage will improve. But important is we are focusing on ROCE, and we have done extremely very well on that in terms of growth, in terms of improvement in ROCE in terms of PAT growth.

Arjun Balakrishnan: No, I think I would totally agree that you have done quite well in the last 4, 5 years. And we're seeing the next line of growth, I hope is on margin expansion. Volume growth is

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definitely there, right?

Ashwani Kumar Arora: You were saying, I thought -- let me -- Yes.

Arjun Balakrishnan: No. From a stock market perspective, we have gained a lot here. I mean 5 years has been a great return. But I'm just -- from an investing point of view, I'm just looking at the numbers.

Ashwani Kumar Arora: No, no. We're very positive that in terms of percentage also, the EBITDA margin should improve. And the focus is on the ROCE. As given advisory that we are targeting to improve to above 20%. We are already there, but the internal target is to take it to the range of 25%.

Arjun Balakrishnan: So last year, if you -- sorry, go on.

Sachin Gupta: So last year, if you compare our different segments, the Basmati and the Specialty segment delivered an EBITDA margin of 13%, 13.5%. It is basically the investments which we are making in the other segments, be it the RTC and RTH that is driving. Yes, this year, the freight cost had impacted -- Yes, that's pulling me. Otherwise, we are on the target of achieving that EBITDA margin what we have given the guidance.

Arjun Balakrishnan: Yes, you're right. I agree. I agree. That's pulling it down. My final question is on the insurance claim. So if it gets in, do you think that will be recorded in the subsequent quarter because you had taken a hit -- I mean, then the claim, I remember when it was long back, right? You had taken a portion of the claim as a hit on your bottom line. Will that get added on in the next quarter?

Ashwani Kumar Arora: We are quite hopeful that by 10 March...

Sachin Gupta: The money will be received, but the profit as recording of the profit because still the case is being heard in the High Court. So the money will be received. The recording of the profit because we have taken a hit, that will be recorded once we received the verdict from the High Court.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Ashwani Kumar Arora: Thank you so much. If any question unanswered or you have more questions, you can reach us on Investor Relations desk. We will be happy to answer that and looking forward to see you or hear you soon. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services, that concludes this conference call. We thank you for joining us,
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and you may now disconnect your lines. Thank you.

Call: May 2025

Ref-LTF/ SE/ 202 5-26/ Date: May 20 , 2025

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Investor/ Analysts Conference Call for the quarter and financial year ended March 31, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor/ Analysts conference call held on Thursday, May 15 , 2025 on the audited financial results and operations of the Company for the quarter and financial year ended March 31, 2025, is enclosed.

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Link:

https://ltfoods.com/ltfoodscms/uploads/investors/conferancecalltranscript/conferancecalltranscript_1747738289.pdf

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

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"LT Foods Limited Q4 & FY'25 Earnings Conference Call"

May 15, 2025

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER , LT FOODS
LIMITED

MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER , LT
FOODS LIMITED
MS. MONI KA CHAWLA JAGGIA – CHIEF CORPORATE
DEVELOPMENT OFFICER , LT FOODS LIMITED
MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL
SERVICES

LT Foods Limited
May 15, 2025

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Moderator : Ladies and gentlemen, good day and welcome to LT Foods Limited 's Q4 and FY25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited .

As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services . Thank you and over to you sir.

Meet Jain: Thank you. Good afternoon, everyone and a very warm welcome to the LT Foods Q4 FY25 post results earnings call hosted by Motilal Oswal Financial Services Ltd.

On the call today we have the Management Team being represented by Mr. Ashwani Kumar Arora – MD & CEO Mr. Sachin Gupta – CFO , Ms. Monica Chawla Jaggia – Chief Corporate Development Officer. We will begin the call with key thoughts from the Management Team . Thereafter we will open the floor for Q &A session.

I would now like to request the Management to share their perspective on the performance of the Company . Thank you and over to you, ma'am.

Monica Chawla Jaggia : Thank you Meet. Good afternoon, everyone and thank you for joining us on our Q4 and Financial Year '25 Earnings Conference Call.

Before we start with the key highlights of the quarter and year ended 31st March 2025, I would like to highlight that certain statements made or discussed on the conference call today are forward looking and a disclaimer to this effect has been included in the Results Presentation shared with you earlier . Result Documents are available on Company 's website and have also been uploaded on the Stock Exchange. A transcript of this call will also be made available on the investor section of the Company 's website.

We at LT Foods have built a strong brand by focusing on quality and smart growth. Being a global consumer food Company , we put great effort into making better products and ensuring the finest quality which help consumers trust us. By expanding globally and building a portfolio of very strong brands, we have become a top choice of many consumers. Our marquee brands Daawat and Royal are now well known for high quality basmati rice in homes across the world. This has helped us gain significant market shares in India and international markets like the US, Europe and the Middle East. We keep investing in sustainable practices , control our entire value supply chain and continue to further strengthen our global distribution network. We have significantly expanded our product portfolio to meet evolving consumer needs. We launched our RTH and RTC meal options, healthy snacks , organic foods and ingredients and health focused rice varieties that cater to the modern dietary preferences.

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Over the past year , we have undertaken major expansion projects in UK and entered into high potential market i.e. Saudi Arabia. We ended the year with a strong quarter delivering a top line growth of 8% in Q4 Financial Year '25 wherein our revenue reached to Rs. 2,260 crores from Rs. 2,092 crores. This was because of increased sale from our core segment that basmati and speciality rice as well as the organic food and ingredients segment. Gross profit grew by 20% and the gross profit margin is 370 bps higher, that is 32.9% to 36.6% which is attributable to the favorable input prices. EBITDA for Q4 was up by 11% year -on-year basis at Rs. 290 crores and EBITDA margin stood at 12.8%. PBT is up by 6% from Rs. 204 crores last year to Rs. 216 crores in Q4 Financial Year '25. PAT for the quarter increased by 7% to Rs. 161 crores compared to Rs. 150 crores in the previous year. EPS is

higher by 8% at 4.62 versus 4.28 in Q4 Financial

Year '24. Cash profit for the quarter was higher by 9% that is Rs. 213 crores.

Now coming to our annual performance :

Our consolidated revenue for the fiscal year Financial Year '25 increased by 12% to 8,770 crores versus Rs. 7,822 crores in Financial Year '24. This is because of the increased sales across all the segments. Gross profit stood at Rs. 3,030 crores and the gross profit margins expanded by

200 bps from 32.5% to 34.5%. EBITDA increased by 8% to Rs. 1,067 crores compared to Rs. 988 crores last year. EBITDA margin was at 12.2% that is marginally lower by 40 bps. The profit after tax is higher by 2% that is Rs. 612 crores versus Rs. 598 crores last year. The earning per share is at 17.43 which is up by 2% and the cash profit increased by 6% to Rs. 797 crores versus Rs. 750 crores last year.

Moving on to the key ratios of our balance sheet :

The return on the capital employed stood at 21% in Financial Year '25 compared to 21.7% in Financial Year '24. Return on equity stood at 16.8% for Financial Year '25 compared to 19.2 in Financial Year '24. The net debt to equity ratio is at 0.2 in Financial Year '25 versus 0.1 in Financial Year '24 and the net debt to EBITDA ratio is 0.6 in Financial Year '25 compared to 0.5 in Financial Year '24. The current ratio 1.9 is there in the Financial Year '25. Our net working capital day stands at 196 days in Financial Year '25 versus 188 days in Financial Year '24.

Now I think we can open the floor for the question answers please.

Moderator : Thank you very much . We will now begin the question -and-answer session. We have a first question from line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain : Good evening. I have two questions. The first one is with respect to the gross margins , if I look at full year, your gross margin has seen good improvement, almost 33.9%, 180 basis point improvement and most of it has been visible in Quarter 4 almost (+300) basis point increase in gross margins. But when we look at EBITDA margin it has not actually flown through to EBITDA , just 30 basis point increase. So, if you can help in explaining, is there like last time you mentioned about higher shipping cost and things like that, is there anything which is sitting in other expenses and not helping the overall improvement in EBITDA margins?

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Ashwani Kumar Arora: Evening Resham. To your question, on the logistic cost we have lost 1.7% and then we have done the advertising. So, I think 0.4% went there and then there is as you know in the UK, we have capitalized the facility, so admin cost has gone up. So, this is broadly the breakup of where the gross margin has gone. I hope that answers.

Resham Jain: Yes sir, this is very clear. These three factors which you mentioned, any of the three factors, are you seeing any reversal in FY26?

Ashwani Kumar Arora: So logistic cost , yes, it has come to normal. Advertising will be this year more because we have this year heavy spent on the consumer side. So, advertising will increase more. But logistic cost will come to normal .

Resham Jain: Understood. So maybe we can maintain or slightly improve margins in FY26 possibly. Is that how one should read it?

Ashwani Kumar Arora: Yes, that's what we are expecting.

Resham Jain: Okay, understood. And so, the second question is with respect to the acquisition, I think which you have done, Global Green Group. If you can just give some color on the overall transaction and how can it help?

Ashwani Kumar Arora: Yes, it's a canned food business, roughly 40 million. It has good synergy. I think the detail we would like to open on when the definite agreement is signed. But it's a good opportunity came to us and we will tell more about once this definitive agreement is signed. But good synergies in that, it's

a proposed to acquire , today the board meeting we have proposed to query.

Resham Jain: Understood. Okay, I will come back in the queue. Thanks.

Ashwani Kumar Arora: Sure.

Moderator: Thank you. We have our next question from the line of Pradyumna Choudhary from JM Financial family office. Please go ahead.

Pradyumna Choudhary: Thanks for the opportunity. First, I just wanted to understand regarding two operational data points. One is why Europe has been so slow for us, 2% growth in Q4, that's one? And second is what would be the freight cost as percentage of revenue for Q4 ? I have more questions after this.

Sachin Gupta : So, the freight cost as revenue to sales , if you talk about the full year, it is 6.5% of my revenue.

Pradyumna Choudhary: Okay. No, for Q4 ?

Sachin Gupta : For Q4 it is 5.8%.

Pradyumna Choudhary: 5.3% you said .

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Sachin Gupta : 5.8%.

Pradyumna Choudhary: Okay. And why has Europe been so slow for us?

Sachin Gupta : So, Europe is not slow , actually what has happened in Europe , there were two entities, Europe and UK . So, there are two separate entities. Now the UK operations are being looked by the UK operations as such. So previously Europe and UK was getting merged and consolidated. So that's

the reason. Otherwise, it has also grown as per the market.

Ashwani Kumar Arora: Consolidated we have grown .

Sachin Gupta : Yes, consolidated we have grown.

Pradyumna Choudhary: All right. And another couple of questions. One is what is the likely impact of if there is any tariff, whatever tariff gets finalized by the US on India and that's one ? And the impact of if suppose there is some sort of a recession in US given the kind of we are in more of a consumer statement kind of category . So, would it really impact us, usually in the past what sort of consumer behavior we have seen in the US ? That's number one. And second , after this I will ask my last question.

Ashwani Kumar Arora: No, you wanted to ask a second question, or should I answer your first question?

Pradyumna Choudhary: Maybe you can just take this up.

Ashwani Kumar Arora: As far as you see the trend so there is no impact on the recession rather even in April we are seeing the good signs , so there is no impact on demand. So, we will grow, and the second thing is your question about the duty impact . So, there will be no duty impact as it has been compensated by this year we had a lower material cost. So rather, we will improve the margin this year.

Pradyumna Choudhary: No, like I was trying to understand more from a past behavior point of view. In the past also, whenever the US has gone into recession, what sort of customer behavior change we have seen, do they tend to down trade, do they tend to go for cheaper brands?

Ashwani Kumar Arora: So, what we have seen in history, we have seen 2-3 times , we acquired this business in 2008 and there was a recession in 2009 -10. But what we have seen in all the times, even in Covid time and all the time when the recession come, home consumption goes up in America, especially in the food side. So historically this has happened. We have not seen any negative on the consumption side.

Pradyumna Choudhary: All right. And one question was how are we really positioned in the US market? Like are we amongst the lowest price players there because like from a simple exercise I did, I just went to amazon.com and I searched for basmati rice on some random US address and from whatever LT Foods Limited

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options seem to be available, Royal brands seem to be among the lowest priced ones. So that's how we position ourselves ? If you can just help with that.

Ashwani Kumar Arora: So Royal hold more than 55% market share. We are number one selling brand, both in the mainstream as well as in the ethnic channel. Regarding price point,

there are two price point

available, and the royal is on the price point you have seen. So, there are other price point, but which sells only very slow. It's only roughly 5% to 7% of the total category. And in that price point we have a Daawat, we have position there and it's also doing very well.

Pradyumna Choudhary: Okay, so but that understanding is correct, that we are amongst the lower priced as in the US market for basmati rice?

Ashwani Kumar Arora: So, there are two price points , only it's not lower, so there are two price points and we are in the range of that price point, which is roughly \$20, £20.

Sachin Gupta: And sometimes it happens, there might be certain schemes that might be running it in order to , there are certain times the platforms run its own schemes , that might be the case at your time when you might be seeing the price it might be lower. Otherwise, we are priced at a premium itself in most of the markets.

Pradyumna Choudhary: All right, thank you and all the best.

Moderator: Thank you. We have our next question from the line of Harsh Shah from Bandhan AMC . Please go ahead.

Harsh Shah: Hi sir, good evening. I just have two questions. First is that just to clarify on the last question you guys mentioned that in case of any tariffs , we will not be taking any price increase. It will be substituted by the lower RM price , right?

Ashwani Kumar Arora: As I said, it has been compensated.

Harsh Shah: Currently they have 10 % base tariffs, if that remains basically, we will not take any price hike. It will be more than offset by the lower RM prices.

Ashwani Kumar Arora: That's right. It is offset by the lower RM cost.

Harsh Shah: Got it. And secondly when we look at the standalone number it's a flat kind of growth . It's flattish number revenue number this quarter. So that basically 8% India revenue growth is offset by lower pricing.

Sachin Gupta: So yes , you are right. In India, if you look at the previous numbers as well , our 3rd Quarter India is highest because in the West we have other schemes that goes on. That's why in the 3rd Quarter generally in India it is the highest. So that's why you are seeing that in India itself there is a de-growth of almost 9% on the quarter -on-quarter basis.

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Harsh Shah: YOY if you look at a standalone business it is flat, right?

Sachin Gupta: Y-on-Y it is flat. So, Y-on-Y and yes you are right. So, it is basically because of the price here itself. So, price reduction is taking it.

Ashwani Kumar Arora: So, if you ask, overall, we have grown by value term 9 and volume 10.

Harsh Shah: That is for the consol business.

Ashwani Kumar Arora: No, India you asked.

Sachin Gupta: India if you look at the India business as such, India business in the volume terms we have grown by 12% whereas in the case of the value growth in India it is 13.5%.

Harsh Shah: Only the basmati rice segment in India.

Sachin Gupta: Yes.

Harsh Shah: What is the volume and value growth in fourth quarter?

Sachin Gupta: With the fourth quarter, if you talk about the fourth quarter itself on the Y-on-Y basis volume has increased by 15% and the value growth is 7%. So, there is the realization has decreased by 6.5%.

Harsh Shah: And how do you see this because of this lower paddy prices, how do you see FY26 panning out for us both if you could give us a sense in terms of India business and overall, at consol level what's the kind of volume growth and resilient value growth which you expect in FY26?

Ashwani Kumar Arora: So, volume growth is roughly overall the consolidated we are expecting 7%. So, consol level, consolidated, that's the volume we are expecting. This year we are expecting a full year with the integration of the balance 49, we are expecting the revenue to be Rs. 10,000 crore s.

Harsh Shah: And if you could

split between volume and value. Let's say organic business, I mean organic as an organic ex of the integration.

Ashwani Kumar Arora: No, this is a consol of all three verticals which is specialty rice, organic and you mean to say organically.

Harsh Shah: Organically ex of the integration.

Ashwani Kumar Arora: Yes. So roughly because there is a value degrowth. So almost same value but volume growth will be there.

Harsh Shah: Same value as in same like FY25 basically?

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Ashwani Kumar Arora: Yes, but there will be volume growth.

Sachin Gupta: There will be volume growth of almost 9% to 10% of volume. That will happen.

Harsh Shah: Okay, thank you. And sorry, just one more question. Do we source anything from Pakistan for our business?

Ashwani Kumar Arora: Not, in the last year we sourced from Pakistan but this year we don't have any position from Pakistan. It's all sourced from India. But last 2-3 years we were sourcing from Pakistan.

Harsh Shah: What was the proportion of that let's say of overall procurement.

Ashwani Kumar Arora: No, that we do roughly 700,000 tons, Pakistan be only 30, so 4% to 5%.

Harsh Shah: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Abhilash Bhandari from Vasuki India Fund. Please go ahead.

Abhilash Bhandari: Hello sir. I have two questions. The first one is so now the Indus Valley Treaty has been cancelled. So, what will be the impact on Pakistan's basmati rice production and India's market share in the world for your basmati rice? And the second one is what will be the impact of UK FDA, if the tariffs are reduced or anything for the supply in Europe?

Ashwani Kumar Arora: Answering to your first question that we don't do, India doesn't do business with Pakistan. It's our Europe subsidiary which used to buy from Pakistan. So, there is no any treaty impact. So, although in this year as I said earlier that we are not buying so India was more competitive. So, this year we bought only from India and that's what we are expecting next year also we will most probably buy from India only. So, on the UK treaty there is a no negative impact on us. So, it is same, as on the brown rice there was a zero duty, this year also no change in that.

Abhilash Bhandari: So, what about Ready-to-Cook segment?

Sachin Gupta: So Ready-to-Cook segment, what you wanted to ask?

Abhilash Bhandari: So, would we have any impact, any benefit in the Ready-to-Cook segment if you UK agreement takes place?

Ashwani Kumar Arora: In UK we don't do any Ready-to-Eat. Ready to eat is more US and India centric business. So, no we are not doing any business with UK on Ready-to-Eat.

Abhilash Bhandari: Okay so answer one last question. What is the impact on Pakistan's production of rice due to the Indus Valley Treaty?

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Ashwani Kumar Arora: That is too early to assess. But in the coming months we will be able to know what the impact would be. Sowing happens in the first week of July or midweek of July only. So, we will be able to know but I don't think there will be any impact here.

Abhilash Bhandari: Okay sir, thank you.

Moderator: Thank you. We have our next question from the line of Damodaran Kutt y from Aequitas Capital. Please go ahead.

Damodaran Kutty: Thank you for the opportunity. Just two questions from my side. One is on the Golden Star business. So, can you give some outlook on the margins there? Given the margins I think from your last call you had said that margins were impacted because of the freight cost and margins have almost halved. So, for FY26 what is the outlook on margins and growth there and the impact of tariffs on sourcing there in that business? Because I believe you source from Thailand and that has at least by initial reports they are quoting a 46% tariff there. So, will it change our competitiveness in terms of sourcing? That's on the Golden Star business. And on the other question on CAPEX including, so you have the option of buying out the 50 % stake including that what will be the CAPEX outlay for this year? Yes, those are the two questions.

Ashwani Kumar Arora: Second question Sachin will take. So, first question on the Golden Star, we source Jasmine Rice under the Golden Star brand. So, there is a specific community which consumes this rice. So, they are very loyal. So, we don't see any impact on the demand side. Regarding the impact of the duty as I just said that 10% there is a duty, and we have passed on to the customer. So, we have yet to see any impact on the demand side, but we expect that there will be no impact here.

Damodaran Kutty: Okay, so if I get you correctly you are saying you are already passed on the 10% impact is what you are seeing?

Ashwani Kumar Arora: Yes.

Damodaran Kutty: Okay, great. On the freight cost bit if you can answer.

Ashwani Kumar Arora: Freight cost this year is back to normal because last year only in between the disruption came and we were not able to pass on. But this year it has been normal and it's all in control.

Damodaran Kutty: Okay, so you should expect margins to revert back to their normal state.

Ashwani Kumar Arora: Yes, that's what we are expecting, that the margin will improve.

Damodaran Kutty: Sure. Thanks. And if you can answer in the CAPEX front?

Sachin Gupta : So, regarding the CAPEX this year, what we have is almost a Rs. 340 crores of CAPEX that will be there and that will be majorly in the warehousing facilities and the RTH facility in the US.

That will be there as regarding the CAPEX this year in '25-26.

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Damodaran Kutty: Okay, you said warehousing and RT in the US Facility.

Sachin Gupta : RTH in the US.

Damodaran Kutty: Okay, 640. So, this doesn't include the stake buyout that you will have I mean the option to exercise?

Sachin Gupta : That will be separate. Yes, that will be a separate one.

Damodaran Kutty: Okay, got it. That's it from my side. Thank you.

Moderator: Thank you. We have our next question from the line of Meet Jain from Motilal Oswal Financial Services. Please go ahead.

Meet Jain: Hi sir, first question is regarding the falling prices of basmati. So, like we are seeing a falling realization for FY26 in the Indian market. This is due to the better output what we have seen in the domestic basmati production. And do we see similar kind of price fall in other geographies wherever we are present in?

Ashwani Kumar Arora: So, there will be impact of net of impact in US and India. I don't think there will be any impact on the other part of the world.

Meet Jain: So, what can be a margin trajectory going ahead? Are we expecting a stable kind of margin for FY26 as well?

Ashwani Kumar Arora: Yes, we are targeting in the range of 13 % EBITDA margin.

Meet Jain: Second thing was on the logistics freight, earlier we mentioned that we will be expecting similar kind of logistic cost for our 1Q FY26 quarter as well. Are we on that stance or we are seeing better normalization in 1Q as well?

Ashwani Kumar Arora: The freight rate is normalized now.

Meet Jain: So, we can see better margins in 1Q?

Ashwani Kumar Arora: That's what I said. We are targeting the range of 13 % EBITDA margin.

Sachin Gupta : So, Meet Ashwani Ji had earlier told. So, we will be investing more on the brand. So yes, the logistic cost as it is softening up. But our investments in the brand as the brand will be increasing this year.

Meet Jain: Correct. On the similar logistics cost are we seeing from the Thailand also for our Golden Star

business , normalization in tha t geo also ?

Ashwani Kumar Arora: Normalized. The freight cost globally is norm

alized now.

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Meet Jain: Yes, normalized. Okay. Thank you so much. I will get back to the queue .

Moderator: Thank you. We have our next question from the line of Amit Doshi from Care Portfolio Managers. Please go ahead.

Amit Doshi: I am saying that the logistic cost has been normalized is what we are saying. If I have to just put it in numbers. Last year you mentioned 6.5% of sales was our logistic cost. So what is the likelihood of that percentage this year FY26. ?

Sachin Gupta : So, if you flip back our Quarter 4 numbers , our logistic cost as a percentage to revenue is 5.8%. So that's what 1% or 2% downwards. So that's the normal logistic cost.

Amit Doshi: Okay, understood. And in terms of this Global Green Company proposed acquisition. While I understand that it is still a proposed acquisition. Just wanted to understand your thought process in terms of this funding of around Rs. 600 to 800 crore s that is projected and what kind of likely margin of that products of that Company .

Ashwani Kumar Arora: First of all , it's value is around 25 -24 million. It's not Rs. 600 crore s. It's only in terms of rupees its around Rs. 200 crore s. Partly we will roughly what we are proposing is 6 -7 million we will put equity , rest will be through borrowing and going forward with the synergy in sales. And we are planning to put the rice factory in East Europe also because to service the rest of the part of Europe . So, all in the coming years we are e xpecting the return on equity in the range of 20s. That's a canned food business.

Amit Doshi: Yes, I don't know in the, the press release, it is mentioned €6 million cash consideration.

Ashwani Kumar Arora: Yes, 6 million is the equity and the rest the Company holds borrowing so tha t we will acquire that Company . The borrowing will also come.

Amit Doshi: Okay, and t he margin profile of these products.

Ashwani Kumar Arora: So, on the margins, the EBITDA margins in the range of 6 % to 7%. But with the synergies, we are expecting to improve.

Amit Doshi: Understand. Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen. In order to ensure that the management is able to take questions from all participants in the conference, pl ease restrict yourself to only two questions per participant. Should you have a follow up question, we request you to rejoin the queue. We have our next question from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Thank you for taking my question again. So, two questions. First is on the inventory. I could see that compared to last year your inventory is higher by 25% in value -terms. I think that possibly the volume increase will be slightly higher than 25% given that prices have come down, the

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procurement prices. So, I was just trying to understand, given that you mentioned that 9 % to 10% volume growth is what we are expecting for the full year, is that more conservative given that your procurement has been quite good.

Ashw ani Kumar Arora: Resham as you said rightly one is the inventory gone up because of the volume growth. And the second, the prices w ere very in favor of us. Normally we keep as a policy partly we buy in procurement and partly we buy in off season. But this year we thought it's a very attractive price. So, we bought more inventory than regularly we buy or of course, we are a little optimistic also as this year the prices are good. So, we are expecting that we will have better growth than the projected .

Resham Jain: Okay, understood. And do you mean that you bought more paddy than rice this time?

Ashwani Kumar Arora: Yes, more paddy.

Resham Jain: So, the conversion margin will also be slightly better than usual.

Ashwani Kumar Arora: Yes.

Resham Jain: Okay, u nderstood. So, the second question

is on the overall balance sheet. I think you have managed it very well and you have received I think Rs. 250 odd crores from insurance in April and you are carrying a very high inventory. So, by September do you expect th e overall net debt situation would be almost like closer to zero? Because you will not buy an incremental inventory in the next six months. You will keep consummating that inventory and at the same time you have received this Rs. 250 crore s additional mone y as well. So how should one think about the net debt situation going forward?

Sachin Gupta : So, Resham, you are right in that sense. So, in India our net debt position will be positive , we

won't be having any kind of debt. In fact, in the month from July and onwards. So, our cash position and the net debt basis we will be positive. The debt requirement will be in the case of the European entity. So apart from that there will be no debt in the Indian or the US entity.

Ashwani Kumar Arora: So, India and us will be completely debt free, yes.

Sachin Gupta: In India there will be surplus that will be available.

Resham Jain: Understood. Okay. All the best. Thank you, sir.

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. We have our next question from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

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Devesh Kasliwal: Thank you for the opportunity, sir. On the Indus Water Treaty, I will just frame the question a little bit better over here. So, if at all India stops water and this continues and becomes structural.

So, do you think output from Pakistan to Middle-east will go down and that can increase our opportunity in the Middle-east region where we are right now focusing on as well on a structurally longer-term basis?

Ashwani Kumar Arora: This is all political thing we can't have. But Pakistan is not at the moment is a big player to Middle-east. India like in export roughly this year we will be around 6 million tons and Pakistan is not even 700,000 tons. So, I don't think with this Indus we will have any impact from Pakistan and the basmati even is grown in the Punjab. So, they have the other sources of water also which is groundwater. So, it's all estimate but not going to change any position here to our thinking. It's not a big factor.

Devesh Kasliwal: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: Hi sir. Thanks for the opportunity. Sir, can you give me the volume figures means India tonnage, US tonnage and Europe tonnage and value for each for the quarter and year?

Sachin Gupta: So, you can write it to our IR team and they will provide you with relevant data.

Vipul Kumar Shah: But every time means last 2-3 calls, I have raised this and on one of the occasions you have promised it to be part of the presentation. So why don't you give it on this call?

Ashwani Kumar Arora: Sometime for a competitive reason we don't want to have this on. But as last call also we said if you will write to the IR we will definitely attend to that.

Vipul Kumar Shah: And sir, this acquisition. Due to this acquisition, all the revenue will be consolidated for this full year?

Ashwani Kumar Arora: Yes. We have proposed if required it would be consolidated.

Sachin Gupta: Yes. So, the remaining part of the year. After the acquisition the remaining part of the year the revenue will be consolidated.

Vipul Kumar Shah: So, what was the revenue of that entity last year?

Sachin Gupta: It was €40 million revenue last calendar year.

Vipul Kumar Shah: €40 million.

Sachin Gupta: €40 million.

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Vipul Kumar Shah: So that will be consolidated only after that transaction is completed, right, for the remainder part of this year?

Sa

ch Gupta: Yes.

Vipul Kumar Shah: And sir, don't you think we are stagnating since last one year? There is hardly any profit growth in spite of volume and revenue growth we are not able to translate it into profitability at the net level. So, means are we facing any competitive intensity or are we investing in the brand, how should one look at this?

Ashwani Kumar Arora: Definitely we are improving our margin. If you see from ROCE perspective, we have moved from 14 to 21 on the PAT level. We have grown in the 5 year from roughly Rs. 350 to 600 crores.

So, we have done very well. As far as if you are talking about the percentage margin that's also moving but the mix is also changing. So, like some business has a lower working capital requirement. They have that kind of margin. We have built a very high-quality business which is generating the free cash flow higher ROCE growing. So, all factors, we are very happy with the way we are growing.

Vipul Kumar Shah: And so lastly over 5 years, in the continuation of that last point only if you allow. So, over last 5 years what type of market share we have gained in India?

Ashwani Kumar Arora: So, I don't have. But I think we have moved from 2.1 to 2.7.

Vipul Kumar Shah: 21 to 27.

Ashwani Kumar Arora: Yes. So, we have doubled our business in India in the last 5 years.

Vipul Kumar Shah: I am talking about market share.

Ashwani Kumar Arora: So that's what I am saying that, 21 to 27. Yes, that's the market share we have improved on.

Vipul Kumar Shah: Okay sir, thank you and all the best.

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. We have a next question from the line of Lavita Lasrado from Mirae Assets. Please go ahead.

Lavita Lasrado: Hello. I have two questions. Can you talk about more on after the partnership with Sali c, how is our Saudi business progressing? How is the margin profile in this region? Are we going to benefit down the line?

Ashwani Kumar Arora: It is progressing well. We are doing as per our plan, progressing well.

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Lavita Lasrado: Can you talk more on the margin profile like is it going to help down the line in terms of increasing our margins considering the product profile that we have in this country?

Ashwani Kumar Arora: In the coming '25-26, our revenue will be more than Rs. 10,000 crores and at the moment Saudi is contributing only Rs. 55 crores. So, it will take some years to make the impact from the bottom line and top line. But we are positive, we are doing business as per plan in Saudi Arabia.

Lavita Lasrado: Okay, thank you. So, I have a second question. Can you give me channel wise contribution in India?

Ashwani Kumar Arora: Right now, we don't have this moment, but you can write to us.

Lavita Lasrado: Sure. Thank you.

Moderator: Thank you. We have our next question from the line of Tom from GEOJIT. Please go ahead.

Tom: Hi, thank you for the opportunity. I would like to know about the tariffs imposed by US.

Like what is the rate and when will it be applicable? Could you throw some color on it and one

another question is how are we going to pass on it to customers? Like yes, that's my question.

Ashwani Kumar Arora: So now it's a 10% tariff. We have already implemented the price hike, whatever the price adjustment. So, it is in effect. I hope that answer your question or something I left.

Tom: Yes. Passing on and how is the accounting done? Like will it be part of the other expense and revenue?

Sachin Gupta: So, it is a procurement cost if you talk about, it is the cost of securing that material in the US. So it will be the cost of goods sold in that.

Tom: Okay, thanks so much.

Moderator: Thank you. We have our next question from the line of Hitesh Goel from Riddish Advisors. Please go ahead.

Hitesh Goel: Thanks for taking my question. Sir, I

have two questions. First on the RM part, so most of the procurement benefits have come through in this quarter, right? Because you already procured for the full year. Basically, right now you said that you will not pass on the tariff impact in US and you will absorb it through the RM cost decline. Now you are saying you have already passed on. Can you please clarify?

Ashwani Kumar Arora: Passed on means adjusted, I will correct myself. I said it has been adjusted.

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Hitesh Goel: So, basically the impact is yet to come, right? I mean in next quarter the gross margin will deteriorate because basically the raw material cost benefit has already come through. But the duty impact will come from the next quarter, right?

Sachin Gupta: Not really. As you know this is a basmati and you require the aging. Whatever has been procured in this season will come into effect from the second quarter, 3rd Quarter itself. So, in this quarter or the previous quarter we have a crop that was for the last year. So that kind of....

Hitesh Goel: So basically, more procurement benefits will be coming through as the newer inventory gets used up, right?

Sachin Gupta: Yes. So that's what Ashwani Ji previously told us that in the second or 3rd Quarter our impact of the GP margins further there will be improvement. There will be margin increase in the EBITDA as well.

Hitesh Goel: And sir, on the other expenses, basically first is obviously this freight cost you had said there's a 2% increase which has happened in last 1-1.5 years, there's been 2% increase as a percentage of sales.

Sachin Gupta: Correct.

Hitesh Goel: Now you are saying it is almost done. It is almost done, and we have already realized only 100 bps. So, this is now new normal. We will not get that more than 100 bps.

Sachin Gupta: Yes. So that's what we are expecting. So currently what we are seeing now that is the new normal

of 1% increase decrease from the hike that was there.

Hitesh Goel: Okay. And my final question on advertising, I am not able to understand. Your market share is quite high in India as well as in US and our advertising spends are also higher than our competitors. So why are you spending so much on advertising?

Ashwani Kumar Arora: First of all, both the markets are growing in the double digit. And if you wanted to grow so then you have to keep invest behind the brand. That's what .

Hitesh Goel: But sir, I mean this year anyway the demand is quite strong, right? Because prices have come down. So why are we spending more on advertising expenses?

Ashwani Kumar Arora: If we all understand consumer business, you have to keep investing behind the brand every year, if you wanted to acquire new consumer, if you wanted to sustain in this competitive world.

Whereas the category was also spending money. So, in competition if you see , its roughly Rs. 250 to 300 crore s is being spent on the category alone in India. And we are spending and now we have the new consumer proposition that when y ou don't leave any effort then it is called as Daawat. And that has been delivered by Mr. Shah Rukh Khan and doing very well. It's very impactful and we are quite confident that , that will bring the market share gain and the new

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consumer and the new growth . So, India which I can tell that in the coming 5 years also what we are expecting that India will keep growing 10 % to 15% in this category .

Hitesh Goel: Okay, no problem, sir. Thank you and all the best.

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. We have our next question from the line of Abhilash B handari from Vasuki India Fund. Please go ahead.

Abhilash Bhandari: Hi sir. So, I have just one more question. What is the revenue share of Jasmine Rice in the top line because it's not mentioned ?

Sachin Gupta : The Ja

smine , the Golden Star revenue is not getting consolidated. It is a JV. It is just the profit from the JV that is getting consolidated.

Abhilash Bhandari: Thank you.

Moderator: Thank you. We have our next question from the line of Nandita from Marcellus Investment Managers. Please go ahead.

Nandita: Thank you for the opportunity. I just wanted to ask what exactly has come into the other income part of the profit and loss statement this time in Q4 , it has gone up from roughly around Rs. 13 crores to 30 crores. So wanted to just understand what actually happened over there .

Sachin Gupta : So, in this Nandita, the major portion is the exchange fluctuation profit that we have owned. And secondly, yes, so we were charging certain portion from Golden Star. So, there is the income from the Golden Star as well. So that is there. The Golden Star revenue is quite good in the 4th Quarter. So that has resulted in the increase in the other income.

Nandita: Thank you.

Moderator: Thank you. Ladies and gentlemen , this would be the last question for today and I now hand the conference over to the management for closing comments.

Ashwani Kumar Arora: Thank you so much for joining and look forward to see you soon. Thank you.

Moderator: Thank you, sir. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

Ref-LTF/ SE/ 202 5-26/ Date: June 26 , 2025

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Investor/ Analysts Conference Call held on June 24, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor/ Analysts conference call held on Tuesday, June 24 , 2025 pertaining to the duty imposed by the US Department of Commerce on the exports of organic soybean meals by Ecopure Specialities Limited (a fellow -subsidiary of LT Foods).

In this regard, a transcript of the aforesaid Conference Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Link:

https://ltfoods.com/ltfoodscms/uploads/investors/conferancecalltranscript/conferancecalltranscript_1750933762.pdf

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a
MONIKA
JAGGIADigitally signed by
MONIKA JAGGIA
Date: 2025.06.26
16:48:37 +05'30'

"LT Foods Limited
Business Update Conference Call"
June 24, 2025

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER – LT
FOODS LIMITED

MR. ROHAN GROVER – CHIEF EXECUTIVE OFFICER,
ORGANICS BUSINESS – LT FOODS LIMITED
MS. MONIKA CHAWLA JAGGIA – CHIEF
CORPORATE DEVELOPMENT OFFICER – LT FOODS
LIMITED
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER –
LT FOODS LIMITED

MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL
SERVICES LTD

LT Foods Limited

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Moderator : Ladies and gentlemen, good day and welcome to Business Update Conference Call of LT Foods hosted by Motilal Oswal Financial Services Ltd. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services Ltd. Thank you and over to you, sir.

Meet Jain: Thank you. Good morning, everyone and a very warm welcome to LT Foods business update call hosted by Motilal Oswal Financial Services Ltd. On the call today, we have the management team being presented by Mr. Ashwani Kumar Arora, MD and CEO. Mr. Rohan Grover, CEO Organics Business. Mr. Sachin Gupta, CFO. Ms. Monika Chawla Jaggia, Chief Corporate Development Officer. We will be in the call with the key thoughts from the management team. Thereafter, we will open the floor for Q&A session.

I would now like to hand over the call to Mr. Ashwani Kumar Arora for the opening remarks. Thank you and over to you, sir.

Ashwani Kumar Arora: Thank you, Meet. On behalf of management and LT Foods team, I would like to thank you all for joining us today at such a short time. I warmly welcome you all to the conference call to discuss the recent preliminary notice received by our fellow subsidiary company, Ecopure Specialties Ltd.

Ecopure is the organic arm of the company. The key product of our organic portfolio includes rice, pulses, soybean, seeds, millets, nuts, flour, extruded oil, etc. The organic business contributes 11% of total revenue of LT Foods.

As on financial year 25, LT Foods consolidated total revenue is INR8,770 crores, wherein organic business revenue is INR933 crores. Soybean is one of the products exported to the USA with the revenue of INR47 crores as on financial year 25. This comprises only 0.5% of LT's consolidated revenue. We are taking all necessary recourse available to us under US law and we are very positive of the positive outcome.

Further, would like to reiterate that we don't foresee any material financial impact on the cash flow or future earnings of the businesses. I will now invite Rohan Grover, our CEO of Organic Business to take you through in detail. Thank you.

Rohan Grover: Thank you, Mr. Arora. Hello everyone, good morning. Happy to give you an update. In 2021, the US Department of Commerce imposed a countervailing duty, CVD, on imports of organic soybean meal from India.

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Primarily to protect the US domestic producers. As a process, they usually choose top one or two exporters to represent the case. The chosen mandatory Indian respondent received a 9.57% duty and all others, including Ecopure Specialties, fell under the same rate. After reviewing the respondent's data, who got 9.57% duty, which showed significant subsidies they have got due to their SEZ operations, we consulted legal experts and concluded that we could reduce the duty to around 3% by volunteering as a respondent.

This would have allowed us to be in a very strong competitive position in the US organic soybean market. We filed our voluntary response for the 2023 review period, covering shipments worth about INR 50 crores.

In the process, we submitted data for various group companies as required. Unfortunately, due to misinterpretation and non-appreciation of the facts on record, DOC has imposed an adverse finding. We would like to emphasize, this is only a preliminary finding and not final.

A final result is due in December 2025. And we now have an opportunity to represent our case and correct these misunderstandings.

findings. The CVD applies only to the 2023 period. Future sales of 2024 and 2025 will be reviewed separately. In terms of our exposure, like Mr. Arora has said, organic soybean contributes roughly about 5% of the organic business and less than 1% of the LT Group's business with margins of about 4% to 5%. So, the net impact is very low.

The financial impact, if we have to come out of the business is low. And it is limited to about INR4 crores to INR5 crores. And we are confident to offset it through our product introduction and growth into the U.S. and European market and diversifying our international sourcing and moving our soya meal operations to our Uganda operations, which could take over part of this business, depending on the crop.

We have engaged top U.S. legal counsels who are confident that a Department of Commerce interpretation can be effectively challenged. To sum up, we do not see a material impact on our ongoing or future business and we are committed to resolving this matter decisively in the right way. Thank you.

Ashwani Kumar Arora : Now we can take up any questions.

Moderator: Yes, sir. Thank you. We will now begin the question-and-answer session. Our first question is from the line of Shivam Mittal from Care PMS. Please go ahead.

Shivam Mittal: Yes. Thank you so much, sir, for the opportunity. So, just want to know INR47 crores is the number which is soya meal export to U.S. for FY25. Is that correct?

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Ashwani Kumar Arora: Yes.

Shivam Mittal: And a similar situation arise earlier also. So, we set up facility in Uganda. So, how this will impact, I mean, we have facility in Uganda as well?

Ashwani Kumar Arora: So, we have two facilities for processing soya meal, one in India and one in Uganda. It depends from where we are competitive. So, we keep using the facility of Uganda and India.

Hope that answer your question or...

Shivam Mittal: Any financial impact -- so we have CVD from India and I guess Uganda facility is not -- CVD is not applicable on that facility?

Monika Chawla Jaggi : No, CVD is not applicable on the Uganda facility. It is only from the export, from India.

Shivam Mittal: Okay.

Shivam Mittal: So, sir, in terms of -- situation in terms of Iran, so what will be the impact on LT Foods like export number?

Ashwani Kumar Arora: So, as an LT Food we don't deal with Iran. So, we don't have any business with Iran. So, no impact on LT's business.

Shivam Mittal: Okay. And any impact on freight cost?

Ashwani Kumar Arora: No, not yet. Yesterday we checked with all the shipping line. Only it has impact on the Jebel Ali Port where we don't have much exposure. So, till time, we don't see any impact.

Shivam Mittal: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhishek Maheshwari from Skyridge Wealth Management. Please go ahead.

Abhishek Maheshwari: Hi, team. Good morning and thank you for this call. Good morning. So, I have a question only related to the order which has come out. So, from what we see that the countervailing duty on sales pertaining to period January to December 23 amounting to INR50 crores and 340%.

So, does this mean that notices for INR50 crores into 3.4, that is INR170 crores. And as far as the FY25 sales are concerned 24 and 25, are we to assume that this preliminary duty of 340% will be on retrospective basis?

Ashwani Kumar Arora: No, this is only for the year '23 and not to any business on '24 or '25. Rohan can explain it further. It is up to us if we wanted to.

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Abhishek Maheshwari : Should I repeat my question?

Ashwani Kumar Arora: So, what I have understood your question, this is only this duty, which is again I am reemphasizing, this is a provisional preliminary only on year '23 sale, which is INR50 crores and

not applicable to any sales in year '24 or year '25.

Abhishek Maheshwari : Understood. So, essentially the demand is for INR50 crores worth of sales and 340% preliminary notice, which comes to around INR170 crores. So, the impact is pretty material, right? So, I mean, are we going to be doing some kind of provisioning? Is it too soon to make any kind of provision?

Ashwani Kumar Arora: It is too soon. It is a preliminary we have filed. We are going to file the reply in the next week. And then we have 120 days to revert back. And we are very confident. We do not feel anything.

Abhishek Maheshwari : Understood. And one last thing, this is not a LT Foods specific issue, right? This is an

industry specific issue.

Ashwani Kumar Arora: No, this is -- Rohan will explain the process how it works. So, as of now, for Soya meal, it is only LT specific. Rohan, can you explain?

Rohan Grover: Yes. So, countervailing duty is imposed on the industry as such. The Department of Commerce were able to review other companies and the mandatory respondents. And they give for every company a countervailing duty, if they are getting, based on if they are getting any subsidiaries or not.

In our case, they could not review the information. And that is why they have given an AFA, which is 340%. But after the review, they will come up to and equip your specialties pertaining countervailing duty. So, the general CVD is for the industry, but this percentage will drive for every company.

Abhishek Maheshwari : Okay. Understood. Okay. Well, thank you for the clarification and all the best. I hope the resolution comes out in your favour . Thank you.

Rohan Grover: Thank you.

Ashwani Kumar Arora: Than k you, Abhishek .

Moderator: The next question is from the line of Vishvender Singh from Prudent Equity . Please go ahead.

Vishvender Singh: Good morning, team . Am I audible?

Ashwani Kumar Arora: Yes, yes. Very audible. Thank you.

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Vishvender Singh: Yes, sir. So, I have two questions. So, yesterday , ET reported that domestic Basmati rice prices have declined INR4 to INR5 per kg due to this Middle East turmoil. So, if this situation persists, do you see any margin reduction for current financial year?

Ashwani K umar Arora: No, we don't see. This is a regular thing. Because of Iran, you know, the market is little depressive. But being a very strong brand and what we see the competitive landscape; we are hopeful that that will not impact any margin of LT Food s.

Vishvender Singh: Okay. Noted. And also, I had another question and this is from the Annual Report. So, if you can bear this question. So, I looked upon the other income section and it reported that we have lot of inventory management fees from one of our com panies built in US. So, can you share some light on that? What is that part and how it is calculated for us?

Management: So, actually, that is other income that we charge to one of our associate company in the US. So, that is the Golden Star. So, once it g ets consolidated -- this year it will be getting consolidated and there will be line by line consolidation. So, this other income, there will be no other income this year and it will be getting in the normal course of the business. So, this is the income w hich we charge, the company charges from the associate company. That is shown in the other income.

Vishvender Singh: Okay. So, for like FY '26, other income came somewhere around INR88 crores to INR 88.5 crores. So, what was the quantum from inventory manag ement fees, if you can share it?

Management: So, almost INR50 crores was from this aspect.

Vishvender Singh: Okay. And like, can we expect regular sums in the next few years? Or like it is...

Management: No, no. That will be getting consolidated. We won't be charging to our -- so there will be elimination and it will be getting consolidated.

So, there will be no other income as such, once it gets consolidated.

Vishvender Singh: So, it will be like ending in FY '26. Am I right?

Management: Yes, yes. You are right.

Vishvender Singh: Okay, okay. Sure. Thank you so much, sir.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Somani from Korman Capital . Please go ahead.

Gaurav Som ani: Thank you for the opportunity. Sir, you said this is a company specific issue. Just wanted to LT Foods Limited

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understand how are the other exporters doing in terms of duty structure when they are exporting to US?

Ashwani Kumar Arora: Rohan, can you take this question ?

Rohan Grover: Yes, please. So, usually how the process works is US Department of Commerce selects top one or top two exporters from the country and gives a countervailing duty which then applies to all others. In this case, there were three companies. Two of them were the mandatory respondents and we filed ourselves as a voluntary respondent. So, the other two have already got a reduced countervailing duty and our data could not get reviewed.

So, all others would fall under the category of the countervail ing duty which the other two companies have got. So, this is the average of the two companies which are the mandatory respondents the entire industry gets the countervailing duty .

Gaurav Somani: Okay. Sir, I just wanted to understand this countervailing duties on soybean exports. Does that have any impact on other lines of business in terms of the understanding which the US department have for other organic businesses which you import? Are there any such confusion in terms of duty structure at the moment?

Rohan Grover: No, it is pertaining to only that existing code of organic soybean and has no impact on any other product that we export to the US.

Gaurav Somani: I understand that. My question is more in terms of the -- because of the current tariff regime, which is coming into picture as well, right. Are there any product lines which we have where such confusion might still persist?

Rohan Grover: That would remain.

Ashwani Kumar Arora: Take on Rohan.

Rohan Grover: That would remain. I mean, of course, that is unclear on how the India and US tariffs will fall in place. So, we are very hopeful that it should fall into the space. India has a very strong edge or strong competitive edge in the organic market when it comes to the US consumption.

So, whatever that comes in, we will find ourselves in that competitive edge compared to other countries. And we are hopeful that we will find our way.

Ashwani Kumar Arora: And just to add on what -- so, if whatever the duty structure under this, you know, so, that will be passed on to the customer when this 10% duty came and we passed on to the customer.

So, that will not be a challenge to the margin.

Gaurav Somani: Sir, as per the last call, my understanding was you said you will absorb the duty given the price benefit we have because of price reduction in basmati.

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Management: Yes, you are right. Yes, you are right. But as Ashwani ji told, this is in case of organic. So, not on the basis of the basmati and the speciality. In the basmati and speciality, this year we had a raw input cost reduction. So, that will be. The duty effect has been absorbed by the raw material cost.

Gaurav Somani: Got it. So, one last question. So, yesterday there was this news article which said that 1 lakh ton worth of stocks are stuck at Indian ports because of this Iran conflict. So, are we also facing that issue in terms of exporting our material or is that all, okay?

Ashwani Kumar Arora: No, no, no. It is not impacting LT Foods. LT Foods doesn't have any exposure in Iran.

Gaurav Somani: Not the exposure, sir. Because the sea lines are impacted, the goods are probably

not being

exported from the ports. Does that impact?

Ashwani Kumar Arora: No, no. That is stuck up because Iran war and the shippers are not shipping to Iran because of not getting their insurance. So, we are not exporting to Iran. So, our shipments are smooth, regular going.

Gaurav Somani: Okay, great. Great. Thank you, sir.

Moderator: Thank you. The next question is from the line of Joyloon from Amiral Gestion. Please go ahead.

Joyloon: Sorry, I missed the first part of the con call. Could you quantify the impact of the CVD again on our business? And I heard that there will also be investigation for the 2024 and 2025 calendar year so, could you also quantify the impact? Should the CVD be imposed on these two calendar years as well, please?

Ashwani Kumar Arora: I will again tell that this -- whatever the impact has been is only on the sales of '23 and not '24-'25. And this is a preliminary notice and we will get the final outcome in the next 120 or 130 days. I hope that answer ...

Joyloon: We are actually following an appeal. Yes, so we are following an appeal to the notice. And then in the next 120 or 130 days, they will probably review the appeal and give a final outcome, which in this case might be 0%. This is what I'm hearing. Is this correct?

Ashwani Kumar Arora: Rohan, are you taking this question?

Rohan Grover: Yes. See, countervailing duty is something that the country imposes when there are subsidies that an exporter or an exporting country has. In our case, our fundamentals are strong. We are very sure we don't have any subsidies. We unfortunately could not get reviewed. So, once we will get reviewed, we are very hopeful we will be able to bring down our current countervailing duty of 9.57% to much lower.

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That should give us significant edge as well. So, it all depends on how we are talking to them and representing and how they are taking our representation in. So, we are not -- that's why, able to quantify anything. And we will represent our case and we will review our data and we will get it a lower rate.

Joyloon: So, from 340% to 9.75% is our expectation?

Rohan Grover: No, 9.57% is the current countervailing duty. The 340% is usually the companies get when

they do not publish or do not share their information with the Department of Commerce.

That's an AFA. In our case, when 9.57% duty was applicable, we filed a response to reduce the duty from 9.57% and our expectation was to make it close to 3 %. So , we will be able to reduce it once our data gets reviewed.

Joyloon: Okay . So, can you just clarify, so once data gets reviewed, it will be reduced from 340%, which is what they are imposing right now, to 3%, am I correct?

Ashwani Kumar Arora: Yes, that's ...

Rohan Grover: That's our expectation.

Ashwani Kumar Arora: That's the expectation.

Joyloon: Okay, and the current impact of this 340% ruling is on INR50 crore s of revenue?

Ashwani Kumar Arora: Yes, on the sales, what we have done in year '23.

Joyloon: Okay. Okay, got it. Thank you so much.

Ashwani Kumar Arora: Thank you.

Rohan Grover: Thank you.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Bandhan Mutual Funds. Please go ahead.

Ashwani Kumar Arora: Yes, Rahul.

Moderator: Sorry to interrupt, sir. The current participant has been disconnected. We will move on to the next question. And it's from the line of Yash from AART Ventures . Please go ahead.

Yash: Yes, good morning, sir.

Ashwani Kumar Arora: Good morning, Yash.

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Yash: Yes, sir, I actually wante d to know that the CVD you said is applicable only under 2023 sales and not on 2024 and 2025 sales. So, what about the sales that we will be doing in FY ' 26? Is CVD applicable on that sales of 340%?

Ashwani Kumar Arora: So, Rohan, can you take up this qu

es tion? Yes.

Rohan Grover: Yes. So there is a period of review that the Department of Commerce uses. We were reviewed on 2023. There are still 2024 and 2025 remaining, and 2026 would come much after that.

We would have a clear position, as Mr. Arora has said, by the end of 2026. So, whatever will be the duty that will be decided will be applicable in 2026 onwards. And if whatever the duty that would come up, our material impact on this business is lower, and we can easily move this busine ss to any other locations , like Uganda for this particular instance.

Yash: Okay. So, in case if you are going to export organic soybean today to US, then what is the duty that will be applicable to us then? Is it 340% or some other duty?

Rohan Grover: No, we are currently exporting to the US already, and we are paying 9.57% duty as it is for the entire industry today.

Yash: Okay. Okay, sir. And, sir, you just mentioned that the revenue from organic soybean was INR47 crores. So, this is for the year FY '25 or FY '23?

Ashwani Kumar Arora: '25.

Yash: Okay. Okay. All right. And what was the revenue from it in FY '23?

Ashwani Kumar Arora: INR50 crores.

Yash: Okay. All right. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question fo r today's conference call. I now hand the conference over to the management for their closing comments.

Ashwani Kumar Arora: Thank you so much. Thank you.

Rohan Grover: Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Ashwani Kumar Arora: Thank you.

Call: Aug 2025

Ref-LTF/ SE/ 202 5-26/ Date: August 01 , 2025

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Investor/ Analysts Conference Call for the quarter ended June 30, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor/ Analysts conference call held on Monday, July 28 , 2025 on the Un-audited financial results and operations of the Company for the quarter ended June 30 , 2025, is enclosed .

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Link:

https://ltfoods.com/ltfoodscms/uploads/investors/conferancecalltranscript/conferancecalltranscript_1754045095.pdf

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
Q1 FY26 Earnings Conference Call"
July 28, 2025

MANAGEMENT : MR. ASHWANI KUMAR ARORA: – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER
MS. MONIKA CHAWLA JAGGIA – CHIEF
CORPORATE DEVELOPMENT OFFICER
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER

MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL SERVICES LTD

Moderator : Ladies and gentlemen, good day, and welcome to the LT Foods Q1 FY '26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to

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ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Meet Jain: Thank you. Good afternoon, everyone, and a very warm welcome to LT Foods Limited 1Q FY '26 Post Results Earnings Call hosted by Motilal Oswal Financial Services Limited. On the call today, we have the management team being represented by Mr. Ashwani Kumar Arora, MD and CEO; Mr. Sachin Gupta, CFO; Ms. Monika Chawla Jaggia, Chief Corporate Development Officer.

We will begin the call with the key thoughts from the management team. Thereafter, we will open the floor for the Q&A session. I would now like to request the management team to share their perspective on the performance of the company. Thank you, and over to you, ma'am.

Monika Chawla Jaggia: Thank you, Meet. Good evening, everyone. On behalf of the management, I welcome you all to Q1 FY26 Earnings Conference Call of LT Foods. Please note that any statement made or discussed during this call, which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. A detailed disclaimer in this regard has been included in the investor presentation that has been shared on both the stock exchanges, that is NSE and BSE. The results documents are available on the company's website as well as the stock exchanges. A transcript of this call will also be made available on the Investors section of the company's website.

During Q1 FY26, LT Foods reported highest ever quarterly revenue and EBITDA of INR2,501 crores and INR302 crores, respectively, grew by 20% and 17%, respectively, versus Q1 FY25. The growth in revenue is supported by increasing consumer demand and preference towards our brands and entry into new countries, improved supply chain and availability of our brands and increased household penetration. The company reported EBITDA margin of 12.1% in Q1 FY26 versus 12.4% in Q1 FY25. A minus 30 bps dip in the margin is on account of increased investments on the brand.

- Basmati and Other Specialty Rice segment grew by 18% in this quarter, reinforcing the continued global love for our brands. Due to increasing consumer preference for healthier and sustainable food choices, our organic business reported a remarkable 32% growth in this quarter. The major portion of the growth has been contributed by soya meal. Normalized growth other than soya meal is around 18%.

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- Our organic arm Nature Bio Foods launched a new facility in Rotterdam to support our global ambitions in July '25. The strategically positioned facility in Europe Gateway port handles 15,000 metric tons annually, positioning us to capture more of the EU \$45 billion organic market.

- In India, the household reach of Daawat has grown significantly from 45.56 lakh homes in March 2023 to 56.2 lakh homes in March 2025. This growth was possible due to our constant efforts on innovation, continuous investment on the brands and staying relevant to evolving consumer needs and ensuring that our products are easily accessible across the globe.

- The Snacking segment under Kari Kari has grown 40% versus last year. We have also acquired rest of 45% of the Golden Star, which we have completed in May 2025. We now proudly lead as the #1 Jasmine rice brand in the U.S.

- During the quarter, we reinforced asset built through the spectacular 4th Daawat World Biryani Day celebration in Jaipur and Indore. This celebration cements our position as the global torch bearer of Biryani.

I would like to

now give an update on the geographies.

- The European Continental currently contributes around 18% of our overall revenue. Our progress in this region has been robust, achieving a 57% year-on-year growth.

Notably, we have recently secured partnerships with 4 leading U.K. retailers, strengthening our footprint in this market. The spurt in the revenue is majorly attributed to the U.K. plant being fully operational in the past quarter.

- North America, that accounts for 43% of our revenue and continues to be a key growth driver with a 32% year -on-year increase. This includes the consolidation for the Jackson rice business for the quarter as well. The normalized growth of this geography is around 18%. Our flagship brand, Royal holds a dominant position, commanding a 54% share in the basmati rice imports in the region.

- India contributes to 31% of our revenue, recording a 10% year -on-year growth. Our brands collectively hold a 25% market share with category leadership in the Western region.

- The Middle East and rest of the world constitutes the remaining 8% of our revenue. We remain optimistic about scaling our presence in this geography by further strengthening the consumer mind share and market penetration.

LT Foods well-diversified geographical presence serves as an effective derisking strategy, LT Foods Limited

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reducing dependency on any single market and enabling consistent performance across varying macroeconomic cycles.

There's an update on the CVD side that is reference to the CVD notice that we received by our fellow subsidiary. The company has filed a case brief on July 16, 2025, giving the past precedence wherein the AFA applied by the department was not held right by the courts of international trade. And as per the process, U.S. DoC had some questions and clarification they could have done as per process by asking for the supplement questionnaire. Petitioners have also filed their case brief and Ecopure has also filed a repetitive brief on July 24 to contest the AFA. If the DoC final results maintain AFA, Ecopure can file an appeal to the Court of International Trade as well.

I would just update you on the industry side as well.

- India is the largest producer and exporter of basmati rice, contributing approximately 90% of the global supply. The key production regions include Punjab, Haryana, Uttar Pradesh. Annual basmati rice production in India stands at 10 million metric tons, of which 6 million metric ton is exported with the remaining consumed in India.

- Within India, 70% of the rice consumption is still in the form of the loose rice, and we see significant potential for the conversion from loose to branded and packaged rice driven by evolving consumer preferences, rising awareness and increasing demand for quality and hygiene products.

- Globally, the basmati rice category is growing at a steady 7% to 8% CAGR, supported by expanding demand and increasing adoption of Indian cuisine across geographies.

LT with a legacy of over 7 decades in the basmati rice industry has successfully navigated various business cycles across both upturns and downturns, demonstrating consistent performance growth and profitability improvement. As we expect, the category continues to grow. LT Foods is well positioned to capitalize with its strong brands, global distribution network and strong supply chain on rising global and domestic demand and further strengthen its market share and drive sustainable profitable growth across the geographies.

In line with our commitment to consumer relevance, LT Foods actively monitors market trends across geographies, deeply studies the consumer preferences and is focused on launching innovative rice-based food solutions tailored to diverse consumer needs.

With this, I hand over the call to the moderator to open the floor for question and answer, please.

Meet Jain: Thank you. Monika.

Monika.

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Moderator: The first question is from the line of Jolyon from Amiral Gestion.

Jolyon : So maybe firstly, can you comment on the SG&A trend this quarter because it seems to be running higher than what is expected. And separately, could you also quantify the impact of freight cost this quarter because this has been consistent, I suppose, in the last few quarters.

Sachin Gupta : So yes, you are right. SG&A expenditure in this quarter as a percentage to revenue has increased. As stated by Monika, the major increase in the revenue is on the brand investments, which we are making. So this quarter itself, my SG&A expenditure as a percentage to revenue increased by almost 1.2%, this quarter itself. This is mainly on the brand investments.

Jolyon : Okay. Maybe specifically, what percentage of revenue was spent on freight? And what percentage of revenue was spent on marketing-related costs this quarter?

Sachin Gupta: So my logistic cost as a percentage to revenue has reduced by 90 basis points, whereas my brand spend as a percentage to revenue has increased by 120 basis points as a percentage on a year-on-year basis.

Moderator: The next question is from the line of Foram from Abakkus.

Foram: So basically, like Pakistan is experiencing severe water crisis because of obviously the suspension of the Indus water treaty. So this has led to an increase in the paddy prices. So as a company, like we were at least sitting with a year's inventory so going forward, do we expect any inventory gain and margin improvement because of this?

Ashwani Kumar Arora: So first of all whatever the impact is, as said in the earlier call also, we don't see much impact in the production of basmati rice. But having said that, but India contribute roughly to the export 80% of the total whatever the international market, we sell basmati, 80% is already contributed by India. India is getting stronger, stronger every year in basmati category across the globe. So Pakistan has really not bigger role to play in the international market. As far as Indian basmati is concerned, this year, the India has exported 6 million tons, roughly 15% growth over last year. So we are very positive on the category in India as well as international market.

The total market size of rice consumption is 500 million tons globally, and basmati is just roughly 12 million tons. which is roughly 2.5% to 3%. So we see good opportunity for this Indian export to grow. And as LT Food, we have a global footprint and very strong brand and very strong distribution across the world. So we are positive on the growth and with the time improving the ROCE and all the margin metrics.

Foram: Right, sir. So sir, again, like with the increase in the brand spends, in the medium term, do LT Foods Limited

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we expect a little bit, again, like some pressure on the margins? Or can we expect an improvement in the margins going forward?

Sachin Gupta: So yes, as a brand spend as a percentage to revenue, this will remain as such. But yes, we are expecting an improvement in the GP margins, which we had in the last -- in this quarter as well. So we are expecting a better GP almost better than this quarter itself in the coming quarters.

Foram: Okay, sir. And sir, also like Middle East has seen some degrowth of 33% year-on-year. If you could throw some insight on what is happening in these markets? And Saudi has contributed around INR16 crores in this quarter. So what would be that in the base quarter?

Ashwani Kumar Arora: So Sachin, you can add into this. So basically, Middle East includes both our branded business and private label business. So overall, what we have seen in degrowth is that we have discontinued some part of the private label business, which was not fitting into the whole strategic thing. But as far as our brands are concerned,

they are growing. And as mentioned in Saudi Arabia.

Sachin Gupta: This quarter, we have done INR16 crores revenue in this quarter itself. Yes, as Ashwani ji told. Previously, we were -- this INR16 crores is wholly in our brand. Initially last year, we made a private label sales that was almost INR3 crores in this territory. So that has been replaced with our brand in this quarter itself.

Ashwani Kumar Arora: So overall, Middle East is going as per plan. So we are positive.

Moderator: The next question is from the line of Amit Doshi from Care PMS.

Amit Doshi: So congratulations on a great set of numbers. First thing is our expectations of North America and our performance, both has been quite interesting, like 33% growth in a market where we are already a leader.

And our future expectation is also 10% to 12%. So can you share some thoughts where we are already a leader, how we expect to grow at double-digit numbers? Or was there any one-offs in this 32%?

Ashwani Kumar Arora: Yes. So in U.S.A., as Monika just mentioned, the 32% is contributed, the Golden Star acquisition has completed. But if you normalize that, then the core category has grown by 18% on apple-to-apple. So we expect that the consumption will keep growing in America. The lever for the growth is this immigration and being the -- it is getting popular in restaurant also and love for Indian cuisine. So we expect, as given in our forecast, we have given the double-digit growth, that -- we are positive on that.

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Amit Doshi: Okay. Okay. Sir, in earlier participant question, the answer was that brand spend we incurred 1.2% of sales. Did I hear that correctly? I just wanted to confirm.

Sachin Gupta: No, no, no. That was incremental, incremental spend of 1.2%.

Amit Doshi: Okay. So I mean, what is -- because we have also mentioned that we're going to invest in brand. So as a sales, what are we targeting and what we used to incur in, say, prior years? So

our thought process on brand investment is what I'm trying to understand.

Ashwani Kumar Arora: Broadly, it can be quarter-on-quarter difference depends on what kind of the plan is. But on an average, 3% to 4% is the plan.

Amit Doshi: 3% to 4%, yes. Okay. So that answers my question. Sir, this quarter, obviously, there was a huge nice growth of volumes and price has been stable. Going forward, what is the expectation considering that we will have now lower inventory paddy, which was acquired last -- I mean last season.

So when that is likely to kick in, in the sales? And do you expect a corresponding fall in the sales prices because there was a considerable fall in the paddy prices that we acquired last season?

Ashwani Kumar Arora : It depends country to country. Competitive landscape force you to keep your margin in that range only. So -- but we are more focused on growth, and we are expecting as guidance is given, 12.5% to 13% EBITDA margin.

Sachin Gupta: Adding to it, our ROCE. So we are quite confident on the ROCE part to deliver a robust ROCE of 21% plus, which we had delivered in this quarter as well. So we are constantly focusing on increasing the ROCE percentage.

Amit Doshi: Understood. And sir, in the presentation, there is one of the strategy mentioned is inorganic acquisitions as well. So can you share your thoughts on which -- I mean, you are looking at newer geographies or existing geographies, but newer products, I mean newer brands, anything that you can share on what is the thought process of acquisition, the ticket size that we are looking at?

Ashwani Kumar Arora: The strategy is in the space of 3 where we -- our businesses, which is Basmati and Specialty Rice, organic and RTH food. So in these spaces, we always look for an opportunity. And historically, whatever acquisition has been done is mostly in Basmati and other specialty rice. So it has to have in this do

ma in only. And of course, it has to have synergic benefit also.

Amit Doshi: Okay. And last question, any update on soya meal litigation that you would want to share?

Ashwani Kumar Arora: As Monika just mentioned, we have filed the rebuttal. And we are expecting October end the LT Foods Limited

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decision to come from the department.

Moderator: The next question is from the line of Pradyumna Choudhary from JM Financial Family Office.

Pradyumna Choudhary: Just a couple of questions. First is, if you can just give some sense on what the HoReCa contribution is to us total U.S. revenue and the same number for our Europe revenue. The idea is I'm trying to understand whether basmati is in these countries is more consumed in home or in HoReCa?

Ashwani Kumar Arora: Yes. So for us, it's in the range of -- it depends on origin to origin. But on an average, 20% roughly goes into the restaurant and food service, what we call is HoReCa. And rest is all home consumption.

Pradyumna Choudhary: So this is for U.S. or total?

Ashwani Kumar Arora: On an average as a global consolidated average, I'm saying 20% to 25% goes for this HoReCa and the rest is the home consumption. If you talk about the category, that where the category is being consumed, then I will say 40% HoReCa and 60% home. This is I'm telling on an average, globally.

Pradyumna Choudhary: And for the U.S., this 20% to 25% will be lower or higher, the HoReCa contribution for us from U.S.?

Ashwani Kumar Arora: I think 20% will be.

Pradyumna Choudhary: All right. And second question would be, what would be our normalized growth if you adjust for this Golden Star acquisition? So what would be that? And why Continental Europe has grown 57%? Is there some adjustments or a one-off?

Sachin Gupta: Firstly, answering your question regarding the European. So the European, as Monika stated, there has been a full functioning of the U.K. facility. So we have started a U.K. facility last year itself. So that became fully operational. And that gave me an incremental revenue of almost INR80 crores in the quarter itself.

So that had a one-off effect on the increase in the revenue side. As regarding if we normalize the revenue of the Golden Star and have that what is the revenue size, then it is almost 17% normalized growth that we have witnessed.

Pradyumna Choudhary: Sir, just a couple of follow-ups. One is ideally like even if our U.K. revenue has started coming in, but it's the same market we are serving, right? So either our India revenue would LT Foods Limited

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have taken a hit because of that because -- sorry, not India, the Continental Europe's revenue

would have taken a hit because earlier we were supplying from European region.

So why -- like it should not really happen, right, because the market remains the same. So that's one. And second, if you can just give your comments on a couple of cost items. One is how is the paddy price trending currently? One of the previous participants spoke about rising paddy prices. If you can just allude to that.

And second, freight cost in this quarter was 5.7% of revenue. So earlier in a normalized environment, we used to see 5% of revenue. So is this going to come down further? Or is it now stabilized at a higher level? These are my questions.

Sachin Gupta: So answering your freight cost as a percentage to revenue, you are right. It is 5.7%. This was same in the last quarter as well, the immediate preceding quarter, I'm talking about. And we expect that the logistic cost to remain as such in this -- for the remaining part of the year as well. And as regarding the revenue sales, which you stated of the European and the U.K. operations, we have -- as Monika in the opening speech has told, we have entered into new contracts in the U.K.

So they have the 4 chains which we have acquired in this quarter in the

previous year, but

the sales was full in this quarter, which was not there in the last quarter. So that gave me an incremental revenue in this quarter of INR80 crores.

Ashwani Kumar Arora: Continental Europe So, has anything hit in continental Europe or not? So, continental Europe is stable. And so we have got a new growth from the new customer.

Sachin Gupta: And as regarding the paddy prices, yes, the paddy prices as on -- in my books of accounts as on 30th June is INR29. So as Ashwani ji told, so it is -- the pricing or the things that there won't be any kind of inventory gain or loss.

So that has been taken care because the inventory which we have procured, that is backed by our brand sales. So that we don't speculate in having required more quantities as such.

Pradyumna Choudhary: Sorry, I was just asking how is the current paddy pricing environment looking like?

Ashwani Kumar Arora: I think the market is stable. On an average, I will say the paddy prices depends on variety INR34, INR35.

Pradyumna Choudhary: So that's higher than our book price, right? Our books contain INR29. So there's been an increase. Is that the way to understand?

Ashwani Kumar Arora: Yes, yes. But the market doesn't behave like on the present -- so all the industry player, they source in the procurement time, then they average their price and do the pricing. So it doesn't

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behave like other commodity. And as Sachin said, it's mainly branded business. The only benefit we get is when the prices go up is that the new competition doesn't hurt you.

Pradyumna Choudhary: Yes. In fact, I was concerned whether we'll be able to -- like next year when these come into our inventory, whether we'll be able to pass on the increased paddy prices to our end customers. That's where my concern was.

Ashwani Kumar Arora: So the normally prices changes when the crop changes. And the FY25 prices will get an impact in the month of most probably June. So I think that's too long to forecast anything on paddy price movement.

Moderator: The next question is from the line of Hitesh Goel from Auringin Capital.

Hitesh Goel: Sir, this U.S. -- first question on U.S. growth of -- normalized growth of 18%. Is this growth also higher than your usual growth largely because there was tariff expectations, there was a deadline that after 31st July, the tariff will go up. So in this quarter, was there a lot of prebuying by the retailers, distributors in U.S.

Ashwani Kumar Arora: We don't think that, that has a bigger impact on that. This we believe that is a normal thing, has nothing to do with this buying because of this duty impact. I would say maybe 2%, 3%, if so, but not beyond that

Hitesh Goel: So we are expecting a double-digit growth this year in U.S.?

Ashwani Kumar Arora: That's what in the plan we have given, we are expecting roughly double digit, which is in the range of 10%.

Sachin Gupta: So that's the plan. Basically, yes, as Ashwani ji told, there might be certain things. But basically, this is mainly on the account of the distribution reach and which we were able to have in the U.S. in this quarter itself. That impact -- that had a positive impact on our revenue in this.

Hitesh Goel: Okay. And sir, on India business, what was the volume growth Y-o-Y? You have reported a very healthy 10% revenue growth despite paddy prices coming down, right? So if you can give us the volume growth for this year Y-o-Y?

Sachin Gupta: In this quarter itself on Y-on-Y basis, there is a growth of almost a 13% growth on a Y-o-Y basis.

Hitesh Goel: So basically, there was only 3% decline in realization on a Y-o-Y basis?

Sachin Gupta: Correct. So there is a 2% decline in the realization.

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Hitesh Goel: And sir, basically, you have purchased a lot of inventory because due to the last crop being very -- you

got good prices on the last crop. But now even in this season, actually, rice crop is pretty good, right? So the rice prices /procurement prices are going down further?

Sachin Gupta: Actually, we didn't procure much. We procured it as per our plan. So we just preponed it and preponed it on the season itself. So that's we did so. So generally, we procure 60% to 70% in the season itself and the remaining in the later part of the year. But because of the favorable rate and certain factors, we procured 75% in the season itself.

So that was also within our plan itself. So that was fully backed with my brand and other sales. Considering the current scenario of what we have it would be too early to predict the next crop, what will be there.

Yes, the sowing is better as stated by the government data, what we have, the sowing is better as compared to the last year. So the rest, it's 3, 4 months journey that will finally decide what the real harvest, what kind of crop we have.

Hitesh Goel: Sir, and my final question is on gross margin. Actually, if you look at Q-on-Q basis, gross margin deteriorated by 200 basis points despite your export mix increasing on a Q-on-Q basis. So what is the reason for that?

I mean I'm talking more from a Q-on-Q perspective. Y-o-Y, there's a 70 basis point improvement in gross margin. But if you look at Q-on-Q basis, with a 200 basis point decline. And I thought it would be stable or declining, right, because procurement prices have come down.

Sachin Gupta: So in this, the major contributor for the decline in this gross margin is one of my segments, the organic segment. In this organic segment, my GP margins have dropped. This is mainly because of my product mix that we sold out in the organic segment. There were certain lower GP products that were sold in this quarter itself that overall impacted my GP margins.

Ashwani Kumar Arora: Sir, actually, in our soya meal export, the gross margin is less. So, I think the mix has affected this thing.

Hitesh Goel: Okay. Okay. So there is no impact on gross margin in basmati business on Q-on-Q basis. We can infer that?

Ashwani Kumar Arora: Yes. Organic is not in the rest of the products. This is only in the soya meal because now, as Monik said, it is also in the presentation. There is organic growth that is led by soya meal.

Moderator: The next question is from the line of Meet Jain from Motilal Oswal Financial Services.

Meet Jain: Sir can you drill down on this organic business that we have forwarded into the Europe, the LT Foods Limited

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B2C part? And also throw some light on the new -- further acquisition that we have a call option of 21% as well. Can you throw some light on that?

Ashwani Kumar Arora: So, Meet, till now, our business of organic that is majorly, B2B and we supply as an ingredient to the industries. Now, to further, you know, the effort to improve margin. Now, the setup that we have done, that we will supply in a smaller pack to the supermarket. So, now it will be another vertical which will be a value accretive.

Meet Jain: Okay. So currently, we have a 30% stake in Leev, and we have an option to buy a further 21%. So with the new plant of B2C, can we expect this to happen soon to leverage this segment?

Ashwani Kumar Arora: So we are in process to acquire. And definitely, partly, I will not say fully, Leev is more on ready-to-eat platform where they sell the rice cake, the lentil cake and all these. So it's purely snacking and health. So partly, it will help this plant, partly it will not.

Meet Jain: Got it. Okay. My second question is on this Middle East part. Like as you mentioned that in Saudi, we are mostly doing branded business now. So is it like we have entirely stopped the B2B business there? Or this quarter, we have taken a call to focus more on branding? How is it?

Ashwani Kumar Arora: Our Middle East strategy

is mainly, you know, our own label. So, we will pursue that strategy.

Moderator: The next question is from the line of Param Vora from Trinetra Asset Managers.

Param Vora: So what I wanted to ask was that despite solid numbers, the inventory days remained to 277 days, which is considerably high. So could the management elaborate any specific initiatives or strategies that are being implemented to optimize these levels and further enhance the working capital efficiency?

Sachin Gupta: One of the things major in the basmati you have to age. So aging is important. So our inventory days, if you consider from the last quarter or the March quarter, yes, the inventory has reduced, but this is normal process. Because a new crop comes in September, a new crop

comes in September -October. So, the inventory days get reduced after that and it builds up from September onwards.

Param Vora : Okay. So -- but still don't you think that 277 days is high. That's not compared to the previous year, but if you look on it on absolute terms?

Ashwani Kumar Arora: Answer is, plus/minus, this is a normal. You consider it normal.

Moderator: The next question is from the line of Rasan, an individual investor.

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Rasan: Yes, sir. Sir, I just wanted to inquire because in the last con call, which was on January, you had mentioned that we would be getting a credit from the Supreme Court as the Supreme Court had ruled in our favor. But I don't think that, that amount of INR190 crores has been credit, right? Is there any guidance on when exactly you would be receiving...

Ashwani Kumar Arora: We have got that. We have got that money against Bank Guarantee, yes.

Sachin Gupta: That is there and we have a full amount that is sitting in my books. So it is -- yes, it is backed by bank guarantee. So we have taken an FDR against the thing.

Ashwani Kumar Arora: Money has come. Now it is in the High Court for the final decision. So hopefully -- but the money is there.

Moderator: The next question is from the line of Ishant from Ashika Institutional Equities.

Ishant: So congratulations on a good set of numbers. Could you please share the current inventory levels as of June 30, both the paddy and rice, so broken down by volumes as well as value -- hello?

Moderator: Ladies and gentlemen, the line from the management seems to have disconnected, please hold, while we reconnect. Ladies and gentlemen, the line for the management has been connected. Thank you and over to you, ma'am. The next question is from the line of Ishant.

Ishant: Congratulations on a good set of numbers.

Ashwani Kumar Arora: Thank you, Ishant.

Ishant: So could you please share the current inventory levels as of June 30 for both paddy and rice by volumes and value terms?

Sachin Gupta: The inventory in my books of accounts is 285,000 tons of paddy at an average rate of INR29 and 3 lakh tons of rice at an average rate of INR51.

Ishant: Okay. And so with the monsoon progressing well, how do you see rice price trending in the second half of FY '26?

Ashwani Kumar Arora: Ishant, you know sowing is in progress and we are expecting good crop. And the expected opening price, it depends how the crop performs. But we expect that as compared to last year, it will be roughly higher by 8% to 10% average.

Moderator: The next question is from the line of Vipulkumar from Sumangal Investments.

Vipulkumar: Congrats for a very good set of numbers. So my first question is why this RTH and RTC

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segment revenue has degrown, although base is very small? And at what level of annual sales this segment will break even at EBITDA level?

Sachin Gupta: Yes, this year, what has happened in the RTH and RTC segment, one of the products had discontinued in this category. There was Daawat Sehat that we had launched 2 years back.

So we discontinued

this in the last quarter -- last year quarter. So it had a revenue share. So that we lost.

So otherwise, everything is as per the plan and as per the target set up. And yes, this segment will break even in the EBITDA category once it crosses the INR350 crores mark and which we expect in 3 years time.

Ashwani Kumar Arora: Vipul, the ready -to-heat and ready -to-cook is growing. In U.S.A. also, we are done with the capacity. We are building new capacity. The plant will be operated in the next 2 -3 months.

So then that will start giving us next level of growth. This new product we have launched in India, which is Biryani Rice. Now we have launched Thai curry rice kit. So that we are getting promising result on that. Even on the rice cracker side, the snacking side, we are seeing good initiative.

So hopefully, as to your question in the next 2 years, we will be on the breakeven. In U.S.A., we are already making money on EBITDA level. As far as RTH is concerned, it is only the India where we are investing in rice cracker and this ready -to-cook or ready -to-heat segment, we are trying to build up.

Vipulkumar: Okay. And sir, my second question, why is our revenue from Middle East region is so low when the market size as per your presentation is so huge, INR40,000 crores. So is there any culture issue or the product mix are different? So how should one look at this?

Ashwani Kumar Arora: I think that's an opportunity for us, as explained earlier also, that we were focusing on the other market for the last 3 years, we have started focusing in Middle East, although that's a

very mature market, very high entry barrier. But we will deliver as per the guidance given in 5 years. The Saudi is also doing well, but very mature, very high entry barrier market.

Vipulkumar: So what are the entry barriers? Can you elaborate, please, a little bit?

Ashwani Kumar Arora: Like any consumer business, the entry barriers are the brand and the distribution. That's what the entry barriers are. As per the guidance given, we have strategies to grow our business, but that will be a slow burn.

Vipulkumar: Okay. And sir, I would drop you a mail, but I want quantity and value of all regions. I asked this in every call .

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Ashwani Kumar Arora: Please send a mail.

Moderator: The next question is from the line of Ketan Cheddha, an retail investor.

Ketan Cheddha: My question is this INR2,124 crores of the revenue that we have received in basmati and specialty segment in this quarter. Could you break that into how much is basmati and how much is non -basmati, please?

Ashwani Kumar Arora: First of all, you let me tell you what specialty rice is. So one is Basmati, other is Jasmine. And that's mainly 2 variety.

Sachin Gupta : So overall revenue size in the basmati in the basmati and specialty category, 85% is basmati, 15% is the other.

Ketan Cheddha : Okay, so 85%? Sorry to interrupt, 85% of INR2,124 crores number, right?

Sachin Gupta: Yes, yes.

Ketan Cheddha : Okay. Yes, sir. Please go ahead, sir. You're saying something.

Ashwani Kumar Arora: I'm saying mainly Basmati, followed by Jasmine and followed by regional -- Indian regional rice.

Ketan Cheddha : Right. And one more clarification. So whatever Basmati we sell, everything is sourced from India? Or do we source it from some other geographies as well, outside India, specifically for Basmati?

Ashwani Kumar Arora: Mainly India, sometime from Pakistan. Our EU operations, they source from Pakistan, but that's -- it depends on year -to-year. But this year, it's only less than 10%...

Ketan Cheddha : Sure, sure. And the other question I have is in terms of the future growth plans that we have shared in the presentation, I see that you mentioned the EBITDA will grow at a CAGR of 16%, whereas the PAT will grow at a CAGR of 21%. So could you help me understand what will change between EB

ITDA and PAT that will help us grow PAT faster than the EBITDA?

Sachin Gupta: So yes, it is normal. Whatever the EBITDA grows, the PAT normally grows at a faster pace if any constrain any kind of indus try, any one. So yes, there are the interest and the depreciation component, which doesn't grow in the same proportion as the growth in the EBITDA percentage.

So our PAT, what we are expecting is a growth than -- greater growth than what we are expecting i n the EBITDA. But more to add to it, but we are focusing more on the ROCE, the ROCE that we project to have a 23% plus in a going forward year. So from a 21 levels, we

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expect this to grow to 23 -plus level.

Moderator: The next question is from the line of P radyumna Choudhary from JM Financial Family Office.

Pradyumna Choudhary: Just a couple of follow -ups. One is you said that the consolidated normalized growth adjusting for the Golden Star acquisition was 17%. But if I just look at your numbers, I think Golden Star in this quarter would have been around INR300 crores, right?

Sachin Gupta: Correct. Correct. So -- but as Monika stated, it got consolidated in 31st May. So after that, the revenue was getting consolidated.

Sachin Gupta: Only 1 month sales was there.

Pradyumna Choudhary: Understood. And second, I'm still not able to wrap my head around this Europe 57% growth, right? Because Europe would be almost, must be around INR400 crores, INR450 crores quarterly revenue rate. And even if INR60 crores has come from U.K. facility, even then that 57% adjusted for the INR60 crores also looks like a very high number.

Sachin Gupta: So yes, the European sales in this quarter, if you include the Europe -- U. K. as well, that was INR376 crores in the rice and the specialty segment. Last year, it was INR239 crores. The incremental U.K. sales this year contributed almost INR80 crores. So if we eliminate, if we normalize that also, there is a 24% revenue growth that came in the European operations this year.

Pradyumna Choudhary: And what's driving this growth?

Ashwani Kumar Arora: So both, it's a mix of Daawat, which is growing. Second, we have done a little bit the B2B sales. And third is we call it, the label we pack for the stores. So all 3 has led to growth .

Pradyumna Choudhary: All right. All right. Like -- but it's not coming more from a private label, right? It's coming majorly from branded growth?

Ashwani Kumar Arora: All 3 revenue drivers, brand, the kind of B2B sale and which we do private label for the stores. So partly in all the three, this growth is driven by.

Pradyumna Choudhary: Understood. And my another question was on the organic side, why was Daawat Sehat discontinued?

Ashwani Kumar Arora: It is not on organic side. So it was under the value-added thing. So we launched fortified rice in India, which has not much appreciated by the consumer, not got response so we discontinued.

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Pradyumna Choudhary: All right. Because it seems like it was contributing quite significantly to your segment revenue.

Ashwani Kumar Arora: Yes. So we have -- we pushed it very strongly. We invested money. We put in our full distribution, but it has not worked as per our expectation.

Moderator: This was the last question for the day. I now hand the conference over to the Monika ma'am for closing comments.

Monika Chawla Jaggi: Thank you. On behalf of the management of LT Foods, thank you all for joining us on our earnings conference call today. We hope we have been able to address majority of your queries. The nature of our business and the operating segments and the geographic market don't generate highly dynamic part of variations, so making semiannual reporting cycle more aligned with our operational rhythm and better positioned to deliver the meaningful comprehensive insight to our investors.

So, st

arting from Q2 FY26, we will conduct our earnings call semiannually. In the meanwhile, you may reach out to me or our Investor Relations partner, EY, for any further queries that you may have, and they would connect with you offline. We now close the call. Thank you all.

Ashwani Kumar Arora: Thank you.

Sachin Gupta: Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref-LTF/ SE/ 202 5-26/ Date: November 04 , 2025

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Investor/ Analysts Conference Call for the quarter and half year ended September 30, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor/ Analysts conference call held on Friday, October 31 , 2025 on the Unaudited financial results and operations of the Company for the quarter and half year ended September 30 , 2025, is enclosed.

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Link:

https://ltfoods.com/ltfoodscms/uploads/investors/conferancecalltranscript/conferancecalltranscript_1762249823.pdf

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

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“LT Foods Limited Q2 FY'26 Earnings Conference Call ”

October 31, 2025

MANAGEMENT : MR. ASHWANI KUMAR ARORA - MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SACHIN GUPTA - CHIEF FINANCIAL OFFICER

MS. MONIKA CHAWLA JAGGIA - CHIEF CORPORATE DEVELOPMENT OFFICER
MR. ROHAN GROVER - CEO (NATURE BIO FOODS LIMITED)
MODERATOR : MR. MEET JAIN - MOTILAL OSWAL INSTITUTIONAL EQUITIES

LT Foods Limited
October 31, 2025

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Moderator : Ladies and gentlemen, good day and welcome to LT Foods Q2 FY '26 Earnings Conference Call Hosted by Motilal Oswal Financial Services.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask a question after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Institutional Equities . Thank you and over to you, sir.

Meet Jain: Thank you. Good afternoon , everyone and a very warm welcome to LT Foods Limited Q2 FY '26 Post Results Earnings Call Hosted by Motilal Oswal Financial Services Limited.

On the call today, we have the Management Team being represented by Mr. Ashwani Kumar Arora – MD and CEO ; Mr. Sachin Gupta – CFO; Ms. Monika Chawla Jaggia – Chief Corporate Development Officer.

We will begin the call with key thoughts from the management team, thereafter we will open the floor for Q&A session. I would now like to request the management to share their perspective on the performance of the Company.

Thank you and over to you, ma'am.

Monika Chawla Jaggia: Thank you, Meet and good afternoon , everyone. Welcome you all to LT Foods Limited Q2 FY '26 Earnings Conference Call.

Please note that any statement made or discussed during this call, which reflects our outlook for the future or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risks that the Company faces. A detailed disclaimer in this regard has been included in the investor presentation that has been shared on both the stock exchanges i.e., NSE and BSE. The result documents are available on the Company's website as well as stock exchanges. A transcript of this call will also be made available on the investor section of the Company's website.

So, I would like to give you the overview of the business :

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During Q2 FY '26, LT Foods achieved its highest ever quarterly revenue of Rs. 2,772 crores representing growth of 30% (normalized growth of 12% excluding Golden Star and U .S. Tariff) and EBITDA of Rs. 316 crores representing growth of 24% compared to Q2 FY '25.

For the first half of FY '26, the Company reported a record half -year revenue of Rs. 5,273 crores demonstrating year-on-year growth of 25%, (normalized growth of 15% excluding Golden Star and U .S. Tariff) and EBITDA of Rs. 619 crores representing growth of 20% compared to first half of FY'25. This robust performance is attributed to strategic brand investments, sustained growth across multiple segments and geographies, increasing consumer demand and preference for our brands and improved distribution channels across key markets. The company reported an EBITDA margin of 11.4% for Q2 FY '26 down by 60 basis points from 12% in Q2 FY '25, primarily due to increased brand investment and certain strategic initiatives and digitalization initiatives undertaken by the Company. Over the long term, the Company has demonstrated consistent performance with a 5 -year compounded revenue growth of 16% and compounded PAT growth of 21%.

Additionally, LT Foods maintains a strong investment -grade credit rating of CRISIL AA- A1+, with a positive rating outlook revised in July '25.

During the quarter, LT Foods strategically expanded its presence in the European processed can food market through the acquisition of Hungary -based Global Green Kraft. This acquisition marked entry into the £15 billion market segment, compounding LT Foods' existing RTE and RTE packaged food portfolio. The transaction was then at an enterprise value of £25 million, contributing an

additional a £40 milli

on in revenue subject to FDI approval. Management expects this acquisition to strengthen subgroup's competitive positioning and support sustainable long-term growth. It also establishes a third manufacturing hub in Hungary, reinforcing LT Foods' footprint across Central and Southern Europe and improving regional operational capabilities.

I would like to provide an update on Countervailing Duty (CVD) concerning Ecopure Specialities Ltd, a fellow subsidiary of LT Foods :

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A public hearing was conducted on September 16, 2025, where both the parties presented their arguments before the U.S. Department of Commerce. The final determination has been extended by one month following the hearing and is now anticipated by November 17th, 2025.

Segment-wise update :

- Basmati and other specialty rice businesses recorded a 24% growth, but otherwise the normalized growth is 11.4% excluding the Golden Star and U.S. tariff, YOY growth in the first half of 2026, driven by enhanced brand investment and focused marketing initiatives that continue to strengthen consumer trust .

- Organic segment delivered a robust 26% year-on-year growth in the first half of 2026, reflecting the rising global demand for sustainable food choices and our strong presence across key international markets.

- Under our organic business arm, Nature Bio Foods Ltd has entered the B2C segment in Europe with the inauguration of a new facility in Rotterdam. The initial capital expenditure for this facility was approximately Rs. 20 crores, with a planned additional investment of Rs. 15 crores over the next three years. With this leveraging the new capability, the company will sustain sourcing from India and Africa while expanding the procurement from over 20 countries worldwide, aiming to supply premium organic ingredients to the European market. The revenue acceleration is expected to begin in the financial year 2026-2027, with an estimated incremental revenue of Rs. 400 crores over the next five years, driven by this strategic investment. With the strategic move focusing on building a stronger RTH and RTC portfolio, the Company expanded its retail portfolio with the launch of Daawat Thai Green Curry Rice Kit, and the introduction of the Daawat Thai Green Curry Kit was followed by a strong performance of the Daawat Biryani Kit which has crossed 1 million units of annual consumption since its starting.

Geography wise update :

- The North America accounts for 46% of our revenue and continues to be a key growth driver with a 47% year-on-year revenue growth, the normalized growth of 16% and excluding Golden Star and U.S. tariff. Our flagship brand revenue, Royal, holds a dominant position commanding a 54% market

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share in the region and 61% share in the Basmati Rice import in the U.S.

Golden Star is the number one jasmine rice brand in the region. India contributes 30% of our revenue recording a 13% year-on-year growth. Our brands collectively hold a 26% market share with category leadership in the western region. In India, the household reach of Daawat has grown significantly from 45.56 lakh homes in March 2023 to 56.2 lakh homes in March 2025.

- Europe and UK currently contribute 15% of our overall revenue. Our progress in this region has been robust, achieving 31% year-on-year growth driven by expanding market reach and rising demand for our differentiated offerings. Besides, we have made investment in people and infrastructure in European Union (EU).

- The Middle East and rest of the world constitute the remaining 9% of our revenue. Of this, Rs. 28 crores is from Saudi Arabia.

Looking ahead to Financial Year 2026, our priority is to build a stronger, future-ready, more robust LT Foods by deepening brand equity, accelerating market expansion, investing in dig

ital transformation and evolving through strategic partnerships. We remain committed to delivering products that represent trust, quality and value to consumers worldwide. With this, I would now like to hand over the call to the moderator to open the floor for question-and-answer please.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Azharuddin Jariwala from Sameeksha Capital. Please go ahead.

Azharuddin Jariwala: Thank you for giving me the opportunity. My first question is on the working capital. We can see that year-on-year, our payable debt has increased from 19 days to 30 days. Can you please throw some light on that?

Sachin Gupta: Yes. My working capital days on the payable side from 43 days basis, the current 6-month data from the last 28 days. So, there is an increase of 15 days. This is basically on account of better negotiations which we have done from the vendors. And that has increased our working capital payable days by 15 days if you compare it with the year-on-year data.

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Azharuddin Jariwala: Okay. And recently we have done an investment of £5 million in our step-down subsidiary which is LT Foods U.K. Limited. So, how are we planning to deploy the capital in the business?

Sachin Gupta: So, basically that is for the leverage. The company leveraged once. So, in order to improve the leverage ratios, investments are being made in one of my subsidiaries that is in the UK. So, we have set up our factory in London. So, in order to instill the capital and have a better debt-to-equity and debt-to-EBITDA ratio, the kind of funding is being given.

Azharuddin Jariwala: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Amit Doshi from Care Portfolio Managers Private Limited. Please go ahead.

Amit Doshi: Thank you. Sir, the mention is about this volume growth of 23% and now corresponding revenue normalized growth is 11%. So, what would be normalized volume growth? And how have you accounted for this U.S. tariff part? So, if you just can clarify so we could understand it better.

Sachin Gupta: So, yes, if you talk about the U.S. tariff, so certain portion has been the incremental revenue that has been there in the financial itself. If we normalize that revenue itself and yes, in this half year, the Golden Star has also got consolidated. So, if we normalize both the revenues, our revenue has increased on a year-on-year basis by 14.5%. That is the growth which is there.

Amit Doshi: Normalized volume growth.

Sachin Gupta: And the normalized volume growth, it was 23% that was there. The volume growth, if we reduce the Golden Star in this will be around 18%.

Amit Doshi: Okay. So, when you say U.S. tariff, so if we exclude Golden Star, I understand that Golden Star had roughly Rs. 300 crore quarterly run rate at least till last quarter, so around 130 crores-150 crores is an impact on account of U.S. tariff. So, that 50% of the goods that we sold in the U.S. is that figure? I mean, or which means that we have passed on all the tariff to the end consumer?

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Sachin Gupta: So, yes. If you look at our financial numbers, almost Rs. 353 crores have come because of the consolidation of the Golden Star. Yes, we are in the process of passing it on to our customers the increase. So, that is to be seen in the coming quarters.

Ashwani Kumar Arora: So, there are two parts of duty. First the 10% duty was imposed, then 25% and then 50%. So, the first phase duty we have negotiated and we have passed on and the impact is of that. Now duty of 20%, 50% that we are in the process of negotiation with our customer.

Amit Doshi: But till September, we would have already done something, right?

Ashwani Kumar Arora: Yes, that's

what Sachin just said, the initial duty, which is 10%, partly we have passed on.

Amit Doshi: Okay. So, on the organic and the RTH business, both have not grown sequentially. Any reason? Because, organic last quarter we did, this EU-UK tie-ups and all. So, anything that you would want to comment on that?

Ashwani Kumar Arora: Yes, so Rohan will comment on this. So, as far as the revenue is concerned, we

have grown. So, margin has gone impacted. Rohan, who is the CEO of Nature Bio Foods, he will explain more. So, Rohan, to you.

Rohan Grover: I'm happy to answer that. See, we have invested in Europe for creating a private label infrastructure here, which will make us enter into the new channel. And now that we already have that establishment, in the last six months or H1, we had to move a lot of our operations to third party, given that we were expanding 2-3 times of our capacities, what we had before. And to make that possible in the six months of period, we had to move our operations to third party. That has made us spend some extra cost, which has impacted our margins. As one of the components of why our margins are reduced. On the revenue side, I think if you see, you said it has not grown sequentially, but it has. The revenue -wise, we are seeing a good growth already from the last half yearly of last year. So, there we don't see anything. I think it's a correction that once you will read it again. On the margin side again, also we, as you know organic business does a lot of business in the non-Basmati segment. And non-Basmati, globally, its prices are under pressure partly because what India banned non-Basmati rice, just non-Basmati as a category I am mentioning. And given that there were more surplus inventory of

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non-Basmati in higher production that the numbers have stated now, so this has given a high pressure on the prices globally. And because of that, we had to sell at the market prices for something which we harvested at a higher price at that time. So, that has also been shown in our margin structure that we had to have pressures on our margin. But this will all be covered up in the coming quarters.

Amit Doshi: Okay. What I meant was revenue growth sequentially. So, sequentially, based on the numbers of H1 and last Q1, I concluded that there was no growth on the revenue front.

Sachin Gupta : Correct. Amit, you are right. On quarter-on-quarter basis, immediate preceding quarter, the revenue size has remained more or less the same. But what Rohan is saying of the six months. So, you need to compare with the six months. So, there is a growth of almost 26% that is coming in the six months. Yes, the margins have, as Rohan explained, there has been pressure on the margins. But that too will be corrected in the coming year.

Amit Doshi: Got it. There is a purchase of stock in trade. There is a high jump in that. Is that something to do with some bulk orders?

Sachin Gupta : Not really, Amit. This is basically on account of the GS and the Golden Star getting consolidated. It is more of a trading. So, we are getting it packed in the pre-packed form from our suppliers in Thailand. So, it was not there last year. So, now when it is getting consolidated, there is more of that.

Amit Doshi: And same is the reason for reduction in other income as well. Correct?

Sachin Gupta : Correct. So, there was an income from the GS that was sitting in the last year. So, that has now been consolidated.

Amit Doshi: Okay. And last one. Now, this U.S. importing from Thailand, this Golden Star. So, that also has around 19% tariff. So, that also has been passed on to the customer?

Sachin Gupta : Yes.

Amit Doshi: Okay. Thank you. I will join back in the queue. Thank you.

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Moderator: Thank you. The next question is from the line of Niti

n Shakhder from Green Capital

Single Family Office. Please go ahead.

Nitin Shakhder: Hi. Good afternoon. This is Nitin Shakhder from the Green Capital Single Family Office. My question to the management is more from an investor rather than an analyst. What is the Company's thought process in terms of a larger brand strategy to become a larger food and beverage company maybe in the next few years in terms of brand expansions, let's say like yogurt-based drinks, lassi, buttermilk, lemonade, sharbats, which go very well with rice. On the same lines, the way you've done the curry-rice meals and European processed foods venture. Is there a thought process on the strategy to become a larger company rather than just a rice brand?

Ashwani Kumar Arora: So, Nitin, good question. As a brand, Daawat is a very strong brand in India and globally. And then Royal is a very strong brand in North America. So, we have in

our five-year plan how to, do the extension in this brand and what portfolio we can extend where we have a better right to win a growth opportunity. So, we have a full plan. That's how we are reasonably giving the guidance on our five-year plan. This is what we do every five years. That's the rolling part of that. So, as far as, just a rice company, we are very proud and very happy to be a specialty Basmati rice company. And the category is growing year-on-year, 5% to 7%, it's a healthy business. And so, we have a plan. So, we have a plan to grow specialty rice, dry rice—business.

Nitin Shakti: My follow-up question is that, just if you could talk us through the European Processed Foods investment with Global Green, how's that shaping up? I know it's too initial right now, but what's generally the ramp-up and how is it going to be processed and what's the initial feedback?

Ashwani Kumar Arora: So, we have signed SHA. So, now we are waiting for the approval from the Hungarian government. And then, once approval is there, then the transaction will consummate and it will take 2 to 3 months.

Nitin Shakti: Thank you. All the best.

Ashwani Kumar Arora: Thank you.

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Moderator: Thank you. The next question is from the line of Hitesh Goel from Aurigin Capital.

Please go ahead.

Hitesh Goel: Thanks for taking my question. Can you tell me what is the volume growth in U.S. in 1H FY'26 and also in India?

Sachin Gupta: So, regarding the volume growth, our team will provide you with the data. You can ask our team members. So, they will provide you with the data.

Hitesh Goel: Okay. And in terms of input cost, how is input cost shaped up on a Q-on-Q basis? Has there been a reduction or it has been flat?

Ashwani Kumar Arora: I think the gross margin has improved. So, yes. So, as far as input cost is concerned, I'm sure you know that, we in a year's time, 80% of the crop, 70% of the crop we source in the month of from October to February. So, it doesn't really vary quarter-on-quarter. So, it's a year-on-year. So, our gross margin has improved. So, that impacts both the pricing power as well as the efficiency of the crop.

Hitesh Goel: And my final question on Middle East market, there has been decline, right? I mean, you're a very small player right now in Middle East market. Still, we are seeing a decline. So, can you talk about what is the strategy on the Middle East side, the biggest market in Basmati, right?

Sachin Gupta: Yes. So, it is not a decline. If you look at the first quarter numbers, there was a decline of almost 33%. So, this decline has now been in the quarter-on-quarter basis, we have improved. So, yes, the first quarter was slightly sluggish in this regard, but we are improving and we have gained quite a reasonable share in that, the loss in the sales, which was there in the second quarter itself.

Ashwani Kumar Arora: The Middle East is very big,

so as earlier also, Middle East is one of our focus market. So, we have started from kind of green field. So, it will take time, but it is in the focus. And if you have seen in Saudi Arabia we are building the business. So, hopefully, in the next five years, we will be able to build a sizable business in the Middle East.

Hitesh Goel: Okay, sir. Thank you.

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Moderator: Thank you. The next question is from the line of Ishant Lalwani from Ashika Institutional Equities. Please go ahead.

Ishant Lalwani: Thank you so much for taking my question. So, our PAT margins were trending downwards from the past 7 to 8 quarters. And earlier, it was around 8%, now it is around 6%. So, can you just throw some light on this and your future outlook on the PAT margin?

Ashwani Kumar Arora: So, Sachin will explain more. But if you see, our ROCE has started, it's the impact of the mix, growing, adding Jasmine rice business, where absolute margin in percentage may be lower, but in terms of ROCE it is high. So, if you see, our ROCE has improved to, Sachin correct me, it's around 22%.

Sachin Gupta: 22%, right. So, yes, if you look at our PAT numbers, half year itself, it is 6.3% last

year same it was 7.2. But you need to normalize certain things in this regards. Now, there was certainly the tariff which we had passed on. So, there was incremental revenue that was given in this. And yes, my, one of my segments, the Nature Bio Foods, there was organic segment. The organic segment didn't perform as per the targets. Yes, we are looking forward and having a better base in the going quarters as well. But yes, in spite of these things, our growth in the PAT margin or in the year -on-year basis is almost 8.7% . That is the growth which we have.

Ashwani Kumar Arora: That's a resultant of a lot of investment in the brands and digital. All these investments, if you see, the gross margins are improving.

Sachin Gupta: Correct.

Ishant Lalwani: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Raman KV from Sequent Investments. Please go ahead.

Raman KV: Hello, sir. Can you hear me? Yes, Ramanji. So, I just want to understand, it's more of a doubt with respect to the RTC. The margin declined because you had additional cost as you move toward third -party manufacture. Am I right?

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Sachin Gupta: No. So, the margin decline in this is basically on account of the certain kind of promotions and the brand investments which we have done. So, there was an incremental brand investment which was done in the RTC and RT E segments in order to accelerate the sales.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from Moneyore . Please go ahead.

Rajesh Agarwal: The availability of crop because of the rains, Basmati crop showing the acreage has increased by 1.5% . So, if we need to grow by double digit, the crops will be available for the next year?

Ashwani Kumar Arora: That's a good question, Rajesh. As explained, the crop size is 1.5% . But as LT Foods, we contribute only of the total crop 7% to 8% . Okay. So, enough crop available as far as LT Foods is concerned to grow. But this is a cyclical, some year it grows by more than the demand. And then the carryover take through . This is how the typically cycle goes, sometime more, sometime at par. And then the prices will be a little bit firm up and again, the growth will come.

Rajesh Agarwal: So, availability won't be a problem for the next year?

Ashwani Kumar Arora: No.

Rajesh Agarwal: And second, sir, your outlook on the tariff, how much can be passed on? How much has been passed on? So, how much heat either we have to take or?

Ashwani Kumar Arora: We are in the process. I think the next two months will tell us the impact of this, but we are in the process.

S .

Rajesh Agarwal: But nothing has come in this quarter? Because we had a strong quarter

Ashwani Kumar Arora: Initially, when there was a 10% duty, that we have taken partly price increase. Then the 25 %, then again 25 %. There were three phases.

Rajesh Agarwal: Okay. But our stocks are available there now still for the Christmas season?

Ashwani Kumar Arora: Yes, fully available. We are very well presented on the shelf. Things are normal.

Rajesh Agarwal: Okay. Understood. Thank you , sir. I wish you best of luck.

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Ashwani Kumar Arora: Thank you so much. We need this.

Moderator: Thank you. The next question is from the line of K . P. Shankara Rao, an individual investor. Please go ahead.

K.P. Shankara Rao: Just one question. There is an excellent improvement in revenue and operational profit that did not get converted into PAT. I think there was already a question previously, but I did not fully understand. What are the top reasons for non - conversion of this operating profit into PAT?

Ashwani Kumar Arora: Yes, there are 2-3 reasons for that. In our scenario, we are investing in our brand. So, our brand investment as a percentage to revenue has increased. Likewise, we are investing in our digital initiatives and making future ready organizations . So, that kind of investment as a percentage to the revenue has increased in this half year. Likewise, because earlier the Golden Star, the share of profits was there. There was no revenue as such assigned. So, my overall profits, the share of profit

used to reflect directly to my PAT numbers and getting a better return ratios. Now this year, with the consolidation of the Golden Star, the overall revenue and other size of the business is getting consolidated. So, yes, we have grown, but at the same time, there are certain reasons associated with the PAT not following the growth of the revenue.

K.P. Shankara Rao: Okay, thank you.

Moderator: Thank you. The next question is from the line of Prashanth, an Individual Investor. Please go ahead.

Prashanth: Hello, gentlemen. So, first of all, thanks for the opportunity. I have a simple question. If we look at the balance sheet as of 30th September, you have cash and bank balances of around Rs. 600 plus crores. And also you have short term borrowings of around something Rs. 1,200 crores. Now this year looks like a dichotomy. And we have an interest of around Rs. 50 plus crores for the half year. So, why should the company pay interest on short term borrowings when it has cash of Rs. 600 plus crores?

Sachin Gupta: Yes, you are right in that sense. But at the same time, you need to understand the geographical locations at which we operate. There are different companies in which we are operational. So, there are foreign companies. We can't have, because
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of my foreign companies, they are relatively new. So, there you require the loan for the working capital. Whereas the same kind of cash, because in India, the procurement season hasn't started. We are sitting on the cash. So, that will be utilized in the coming quarters. So, that is because of my global operations.

Ashwani Kumar Arora: So, India, we are cash surplus. Internationally, we have a borrowing. So, that's what Sachin wanted to explain. We can't transfer. But, whatever the surplus money we have. So, we are getting same better returns than what we are paying.

Sachin Gupta: So, it is in line with what kind of interest rates that we are paying. So, we are managing that kind of overall percentage of the ratio.

Prashanth: Okay. And if we take the borrowing, short term borrowing, I mean, what would be the blended cost of borrowing?

Sachin Gupta: Overall, on the rupee terms I am talking about, that is around 7%. That includes the bank charges as well.

Prashanth: Okay.

That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Meet Jain from Motilal Oswal. Please go ahead, sir.

Meet Jain: Thank you. My question is regarding the Basmati segment. So, in terms of domestic market, we have seen a 13% kind of growth. So, on this, how do you look at the second half of FY '26? And also in terms of the overall outlay of the domestic market? As you know, we have seen a very good production as well as the recent floods impacted. So, how is the overall demand supply scenario for the domestic market?

Sachin Gupta: So, Meet, India category is growing in the range of 7 % to 8%. And similarly, international also is the latest thing. So, as far as so, demand is good. Production is at par with the last year, but there is a carryover from the last year. So, we see no issue on the supply side. I hope that answers your question.

Monika Chawla Jaggi : Yes. The second part is answered, the first part was how it's going to the second half would be, second half guidance.

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Ashwani Kumar Arora: Second half, as you know, in America, there is a little bit turbulence, although we are in the process of this price, but the next two months will tell the things, but we are reasonably optimistic about that. So, yes, but rest business looks promising. India looks promising. Europe looks promising and rest of the world also looks promising. U.S. is, we have to watch for the next two months.

Meet Jain: Understood. And the organic segments are announcing the acquisition --

Ashwani Kumar Arora: Rohan can explain more on the second half on the organic, he's in control. Yes, Rohan, please.

Rohan Grover: Yes, as I shared with you a little while ago, that we have made some investments here, which has given us a slight dip in the margin. On the revenue side, as you've seen, the half yearly has grown by 26% from previous years. We had to prepone

some of the shipments given that to the U.S., given that this duty was 10 %, 25% and 50%. But we see that the business is sustainably growing and we would rebound in the second half of the year. And coming years on our strategies also, we are getting into the new private label channels here in Europe. And just not knowing about the U.S. fully today, but so far the organic segment remains strong and sustainable. And we believe that we will rebound it to our last year's numbers by the end of the year.

Ashwani Kumar Arora: Thank you, Rohan.

Rohan Grover: And in terms of the margin, will we see a similar kind of margin organic for the next two quarters as well, the higher cost weighing on the margin, or it was this quarter can happen only in the organic segment. It will take one more quarter to settle down. But by the end of the year, we believe that in the fourth quarter, we will be back with our margin structures that we have been enjoying for the past few years. And coming on to the convenience and health segment, the RTC segment. So, I believe this quarter has already seen a big effect of Daawat Sehat. And despite that, we have grown only by 9%. So, just on the outlook for this segment, the RTC and RTE segment also, we have doubled the capacity in the U.S. market. What kind of run rate of growth can we see coming quarters in the RTC segment? And also, is the U.S. market weighing on this segment as well?

Ashwani Kumar Arora: So, Meet, it is doing very well. So, mainly the revenue of ready-to-eat and ready-to-cook come from USA. But we have a capacity constraint. So, the production of

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the second unit, which we have just built in last year, has gone a little delayed. So, I'm sure in the next quarter it will start and then we will see growth. But as far as demand is concerned, that is growing. But we were not able to capture that demand because

of our constraint in the production.

Meet Jain: Okay. So, we can see a similar run rate in the next quarter as well. And from Q4, we can see the capacity ramping up from the new plant, Quarter 4?

Ashwani Kumar Arora: Yes.

Meet Jain: And from this, will there be a certain impact on the EBITDA also? Because we have guidance for around Rs. 300 crores to Rs. 400 crores will go EBITDA break-even or EBITDA positive. So, are we on line with this or can we expect this in FY '26?

Sachin Gupta: So, yes, Meet, we are in line. So, yes, because of this delayed production one, so we are delayed by almost 6 to 9 months delay that has happened. So, yes, the kind of break-even will also be certainly deferred to 6 months to 7 months. So, that is there. But we are on line for achieving the 400 crores and having a break-even.

Meet Jain: Understood, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rajveer Tandon from Ventura Securities. Please go ahead.

Rajveer Tandon: I'd like to ask you about the impact on the financial statements of the new acquisition. So, what is the deal structuring and how has it been taking place?

Sachin Gupta: So, the deal size is €25 million. So, that's the enterprise value we are buying at. And we have signed the SHA and we will get an approval in coming 2-3 months.

Monika Chawla Jaggia: 100% acquisition, basically, because you asked for the structure. So, after the FDI approval, it will become 100% acquired by LT Foods, a fellow subsidiary.

Rajveer Tandon: It's an all-cash deal?

Sachin Gupta: So, yes, it is an all-cash deal.

Rajveer Tandon: Okay, so what is the value of the fixed assets and how much would be the intangibles and goodwill that will be coming into the balance sheet?

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Sachin Gupta: So, yes, there will be certainly the intangibles. It will be in the tune of €6 million to €7 million of intangibles that will be there. The remaining will be the asset value.

Rajveer Tandon: Okay, got it. Alright, thank you.

Moderator: Thank you. The next question is from the line of Subhankar Ojha from SKS Capital. Please go ahead.

Subhankar Ojha: Hi, thanks. So, basically, regarding the acquisition only. So, what has been the past couple of years trend of this entity? I mean, we have mentioned that €40 million was the last year revenue. How has it been growing or is it like, last 2-3 years, has this business been growing the re?

Ashwani Kumar Arora: Not really. They were having some financial constraints. So, they were not growing. But as far as category, that is growing. And that is the kind of one of the pieces to have all the resources in place to grow that business.

Subhan kar Ojha: Okay. And is it a profitable one in terms of EBITDA level?

Ashwani Kumar Arora: It is profitable .

Subhankar Ojha: Alright, secondly sir, so basically this current 50% tariff, you said that when the 10% was applicable, we passed on. So, right now, as we speak, how much of the tariff have we been able to pass on?

Sachin Gupta: So, we are in the process. 10% is whatever the proportion we have already passed on. The rest is still in negotiation .

Subhankar Ojha: Okay, alright, got that. Thank you, sir.

Moderator: Thank you. The next question is from the line of K rushi Par ekh from Bug leRock PMS. Please go ahead.

Krushik Parekh: So, my first question is India -centric and how is the competition shaping up, especially when it comes to modern trades? And even when it comes to this quick commerce? Because I believe that the top two players in India have a dominant market share in the quick commerce, at least. So, how is the trend and how are we geared to compete in this segment?

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Ashwani Kumar Arora: The category is growing. And Daawat is the second largest brand. We are growing

at 13%. Very healthy growth. As Monika just told you, we are increasing our household. And we are fully equipped from every aspect, from the strength of the brand. We are investing behind the brand. If you see, in the H1, we have invested double money in advertising. So, that's how we are getting the growth. So, we are very strong.

Krushik Parekh: So, any indication on the competition kind of intensity increasing, staying same or decreasing? Because what I've been gearing down to is that some of the companies I mean, all these players are now looking to have some other set of brands as well, considering the dominant position that the two players have.

Ashwani Kumar Arora: I don't know. I have not understood your question exactly. But we are in a stronger place, I can say . We are extending our brand to the strength of our brand. And we have a better right to win.

Krushik Parekh: I understand. And just from your overall strategy perspective, what are the top 3 or 4 considerations that we have whenever we are looking to enter into a new product category and or maybe even acquiring a business? So, for last, 2-3-4 odd years, we have been on this spree of acquiring some of the smaller businesses or getting into a new product category. So, what are the key considerations that we have?

Ashwani Kumar Arora: Very good question. So, as a company, as a brand, we have two strengths. One is Daawat as a brand. They have a name . And second, we have a distribution. So, as a strategy, we will grow around this. So, wherever, the possibility will come where we can leverage the equity of the Daawat, we will expand there. And that will be more the rice plus. On the other than rice acquisition, we will be evaluating which has a synergy with our distribution. And as Daawat is a kitchen brand. So, we will be around that, if that is the answer you're looking for.

Krushik Parekh: So, largely, it's the distribution synergy that we are looking for and coming in the periphery of where we are present?

Ashwani Kumar Arora: Yes.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand over the conference over to the management for closing comments.

Monika Chawla Jaggi: Thank you, everyone. On behalf of the management of LT Foods Limited, we thank you all for joining us on our post earnings call today. We hope we have been able to address majority of your queries. You may reach out to me or our investor relation partner Ernst & Young for any further queries that you may have and they would connect with you offline. So, I would request the moderator now we can close the call. Thank you all.

Sachin Gupta: Thank you .

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. On behalf of LT Foods and Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

Ref-LTF/ SE/ 202 5-26/ Date: February 3, 2026

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Investor/ Analysts Conference Call for the quarter and nine months ended December 31, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor/ Analysts conference call held on Friday, January 30, 2026 on the Unaudited financial results and operations of the Company for the quarter and nine months ended December 31, 2025, is enclosed.

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company at www.ltfoods.com

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
9M & Q3 FY '26 Earnings Conference Call "
January 30, 2026

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR
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CORPORATE DEVELOPMENT OFFICER
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Nature Bio foods

MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL SERVICES LTD

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Moderator: Ladies and gentlemen, good day, and welcome to LT Foods Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Meet Jain : Thank you. Good afternoon, everyone, and a warm welcome to LT Foods Limited 3Q FY '26 Post-Results Earnings Call hosted by Motilal Oswal Financial Services Limited. On the call today, we have the management team being represented by Mr. Ashwani Kumar Arora, MD and CEO; Mr. Sachin Gupta, CFO; Ms. Monika Chawla Jaggi, Chief Corporate Development Officer. We will begin the call with the key thoughts from the management team. Thereafter, we will open the floor for Q&A session.

I would now like to request the management to share their perspective on the performance of the company. Thank you, and over to you, ma'am.

Monika Jaggi : Thank you, Meet, for the introduction. Good afternoon, everyone. I welcome you all to our 9 months, quarter 3 financial year '26 earnings call of LT Foods Limited. Please note that any statements made or discussed during this call, which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces.

A detailed disclaimer in this regard has been included in the investor presentation that has been shared on both the Stock Exchanges, that is NSE and BSE. The results documents are available on our company's website as well as Stock Exchanges. A transcript of this call will also be made available on the Investors section of the company's website.

I would like to share the key highlights of this period that is during 9MFY26, LT Foods reported a record 9-month revenue of INR8,085 crores, year-on-year growth of 24%, normalized growth of 12%, excluding U.S. tariff and Golden Star. The company reported an EBITDA of INR936 crores, that is year-on-year growth of 20% as compared to 9MFY25. During Q3FY26, LT Foods achieved its highest-ever quarterly revenue of INR2,812 crores, that is year-on-year growth of 23%, normalized growth of 8%, excluding U.S. tariff and Golden Star. The company reported EBITDA of INR317 crores, that is year-on-year growth of 20% as compared to Q3 FY25.

The positive financial performance reflects the company's strong brand equity developed over time, disciplined brand investments, widening market penetration across segments and geographies, increased consumer preferences for LT brands and ongoing improvements in our distribution efficiency.

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On the profitability front, the company reported an EBITDA margin of 11.6% in 9 months, down 30 basis points from 11.9% in 9MFY25, primarily due to increased brand investment, certain strategic initiatives, including digitalization initiatives.

I would like to provide an update on the CVD duty concerning Ecopure Specialties Limited, a fellow subsidiary of LT Foods. A public hearing was conducted on September 16, 2025, where both the parties presented their argument before the U.S. Government Department of Commerce. The final determination was earlier expected by November 17, 2025. However, due to U.S. government shutdown, the timelines have been further extended and is now expected by February 17, 2026.

An update on our Basmati paddy is that at the beginning of the season, crop 2025 was expected to follow a steady production trajectory with early estimates indicating ma

rgin

growth over last year. However, based on harvesting progress and field assessments, farm yields have fallen short of earlier projections across several major production states. The impact of yield moderation has translated into overall basmati production being lower than the earlier estimates despite stable acreage. The decline is primarily yield driven rather than area led, reflecting weather-related disruptions during the sensitive crop phases. As a result, the market environment for crop 2025 indicated higher price levels.

With regard to our acquisition of Hungary-based Global Green Group, Ministry of National Economy Hungary has not approved the proposed acquisition on grounds of

identified national, economical and sectoral risks.

Now let me share segment-wise updates with you. The basmati and other specialty rice business delivered a 26% year-on-year growth in 9 months, normalized growth of 12%, excluding the impact of U.S. tariffs and Golden Star. This segment, which contributes around 88% of the consolidated revenues, continues to deliver double-digit growth, supported by strong and deeply entrenched brand presence across geographies and sustained marketing investments driving higher brand penetration among consumers globally.

The organic segment delivered a 15% year-on-year growth in the 9MFY26, reflecting the rising global demand for sustained food prices and our strong presence across key international markets.

The ready-to-heat and ready-to-cook segment delivered a 4% year-on-year degrowth in 9MFY26.

Now let me share with you our geography-wise update. North America comprises 46% of LT Foods revenue and remains to be a key growth driver with normalized growth of 12%, excluding the impact of U.S. tariff and Golden Star. Our flagship brand, Royal, holds a dominant position with 60% share in the basmati rice segment. Golden Star has continued to be number one Jasmine rice brand in the region.

The company has undertaken sustained brand investments in the U.S., including higher LT Foods Limited

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media and digital spend, in-store activations, expanded shelf visibility, targeted promotions and consumer engagement initiatives aimed at strengthening brand recall and driving conversion across core and emerging consumer cohorts.

Looking ahead, we will see impact on consumer demand due to increased basmati rice prices and input costs. India contributes approximately 29% of the company's revenue and delivered a 10% year-on-year growth, reflecting strong underlying performance in the domestic market. Our brands collectively hold a 23.5% market share. In India, the household reach of Daawat has grown significantly from 45.56 lakh homes in March 2023 to 58.11 lakh homes in September 2025. As per industry research, the Indian consumer demonstrates openness to experimentation while retaining strong habitual purchasing behavior.

Although 57% indicate a willingness to try new brands, nearly 84% ultimately purchase familiar or previously-used brands, underscoring the critical role of brand strength and point of purchase influence in driving final consumer choice.

Europe, comprised of 16% of consolidated revenue, our progress in this region has been robust, achieving 35% year-on-year growth. The Middle East and rest of the world constitute the remaining 9% of our revenue of this INR35 crores is a branded revenue from Saudi Arabia. We are strengthening our presence in the region through investments in infrastructure and by building a dedicated on-ground team, including the hiring of experienced professionals in this space.

With this, I would now like to hand over the call to the moderator to open the floor for question-and-answer. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Pradyumna Choudhary from JM Finan

cial Group Investments. Please go ahead.

Pradyumna Choudhary : Thank you for the opportunity. My first question is on the tariff. Could you explain what really is happening on that front? How much of it we've been able to pass to the end customer until now? And what would be our pricing strategy going forward? And what exactly is the situation in U.S.?

Like with the increased tariffs and rising basmati prices, are you seeing that locals over there are shifting consumption from basmati rice to locally-grown rice due to the price increase?

That's the first part of the question.

Ashwani Arora : So you have asked two questions. One is on any impact on the consumption and the second is on the duty pass on. So as far as consumption is concerned in January, we are seeing a little bit slowdown in the mainstream. But that will be more clear in JFM because sometimes people buy before the price increase. So I think in this quarter, the things will be more clear that how it is impacting the consumption.

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On the duty side, as you have seen in the results also, majority part of the duty we have passed on. But having said that, this year, the input cost has increased. So normally, we pass on to the consumer. This year, we have to see how it goes, how the duty, things change in the next six months.

Pradyumna Choudhary : Alright. So most of the tariffs you're saying -- like the current tariffs are 50%. So most of

this currently has been passed on is what you're saying?

Ashwani Arora : Yes.

Pradyumna Choudhary : Alright. And in terms of the consumption pattern, what are we really seeing? Are like customers accepting this higher price for our basmati rice? Or are we seeing higher exports going from Pakistan to U.S.? Or are we seeing locals over there consuming more of locally - grown rice and shifting away from basmati rice due to higher prices? What's the consumption pattern?

Ashwani Arora : That's what I tried to answer, that in January month, we have seen a little bit slowdown, but that is not the real picture. So Q4 quarter sales will give us a clear trend.

Moderator: Thank you. Our next question is from the line of Amit Doshi from Care Portfolio Managers Private Limited. Please go ahead.

Amit Doshi : Sir, you mentioned that most of the tariff has been passed on, which is 50%. But if I look at the numbers, which is mentioned in the presentation of where nine months data has been provided and which indicate that there is a 26% revenue growth of basmati and 20% volume growth. So presuming that, I mean, 50% tariff, so the revenue growth should have been far higher? Or am I missing something?

Sachin Gupta : So in the presentation itself, if you see the normalized growth, if you normalize the U.S. tariff and yes, because we had acquired Golden Star, this year, the whole of the revenue is getting consolidated. If we normalize that -- both things, our revenue growth in this nine months is 12%.

And as regarding the tariff, the 50% tariff, this has been from the August that has been imposed. Previously, the tariff was 25% and 10%. It is in the phased manner, the tariff has been increased in this nine months from 10%, then 25%, then to the 50%. Currently, it is 50%. And that is also on the imports, the imported value of the goods, not on the sales value. You're getting me, Amit?

Amit Doshi : Yes, Sachin, I'm just trying to understand, even if I look at your H1 PPT, in that also, the volume growth was 23% and 24% was the revenue growth. And excluding the Golden Star and U.S. tariff, the normalized growth was 11%.

So presuming the H1 and there's not much difference between the volume growth figures of H1 and 9 M. So for this quarter, which is a full quarter where 50% tariff has been levied. So LT Foods Limited

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I mean, going by that, I thought if the 50% tariff has been passed on, the

number could have

been higher. Only thing that I could not get is you said the tariff is on the imports. But ultimately, we, as LT Foods, send it to our U.S. subsidiary, correct?

Sachin Gupta : Correct.

Amit Doshi : So in the consolidated, ultimately, the numbers would -- I mean, include tariff as well, right? Stand-alone, there is no. But in consol, it would appear to be. I mean, just correct me if I'm going wrong anywhere.

Sachin Gupta : No, no, you are right, Amit. But my answer to this is the tariff is on the imported value in the U.S., not on the sales value that we are making on the sales to the third party. You are right in that sense, the sales from India to the U.S. that gets eliminated, but the tariff is on the imported. So if you look at that, a 50% tariff comes out to be 25% to 26% on the overall sales value, not the 50% increase.

Amit Doshi : Okay. Okay. And how much inventory do we keep at our U.S. company level?

Ashwani Arora : Roughly 2 to 3 months inventory. That is in warehouses. The rest is in the project.

Amit Doshi : Okay. Any changes that we have done because maybe we might have been anticipating this U.S. trade deal to be concluded?

Ashwani Arora : So it depends on -- so the most important is to make sure that the customer service level is high. So accordingly, we make sure that inventory is maintained. Service level is top most important.

Amit Doshi : Okay. And you mentioned that the crop is lower this year. So what would be the paddy prices compared to last year, year-on-year, what have been the price rise in the paddy?

Ashwani Arora : Sachin will give you exact number but depends on variety to variety. Some varieties are at par.

Amit Doshi : An average would be fine, just to understand the ballpark, general, what will be our average?

Ashwani Arora : 7% to 8% will be -- I think 8% will be consolidated price.

Sachin Gupta : Correct. So the average increase in the prices, if I take my stock levels as on December itself, the average increase in the stock levels of the paddy itself is 4.5%, 4% increase that is there.

So as Ashwani has told, full-year basis, it will be on the same range of 7% to 8% on the consolidated.

Ashwani Arora : Buying keeps -- we keep buying till March. So this quarter, the buying is also very heavy.

Moderator: Our next question is from the line of Meet Jain from Motilal Oswal Financial Services Limited.

Meet Jain : My first question is regarding the organic segment. After a very good quarters of growth, we have seen a decline in this quarter, even after we have set up our capacity in Europe. So can you throw some light regarding what led to the decline in revenue this quarter?

Ashwani Arora : Rohan is on the line, who is the CEO of the Organic Business. So Rohan, can you take this question, please?

Rohan Grover : Yes. I've heard the question. Thank you. So the capacities that we have built in Europe have been built in this year, and they would come into light in the coming years. So we have made the right investments for the future.

The resources have been deployed. But the sale that you are seeing is not -- I think overall, on an annual basis, if you look at -- because there are some seasonalities that are always involved, the sale has been higher than the last year, which is a promising sign. So I'm not too sure where you're seeing the dip.

Meet Jain : 9MFY26, we did a revenue of INR807 crores and for previous 9 months, it's around INR710 crores. I agree for you to see 9-month basis, we have seen a growth. But for 3Q, if we deduct the half yearly numbers, we are seeing a decline in revenue for this quarter.

Rohan Grover : So this is also because of the seasonality in the business. And since we have sometimes stocked the material here and switch from old crop to new crop, and that's the only situation.

So there is no decline as such in the -

- if you look at it on an overall annual basis. We'll be back on the track when you look at the full year basis.

Meet Jain : Okay. Got it. Other question is on this price output. As you indicated, the yield was pretty lower than the last year expected, which you are expecting price increased. And also the follow-up on the previous question on the stock levels, we have seen an increase in price of 8%. So can we see these prices to move up further for the coming quarters?

Ashwani Arora : Sales price, what is the question?

Meet Jain : So as we have discussed at the stock level, we have seen an 8% increase in the price Y-o-Y basis. And you also indicated that production of this year has been a little short of what we are expecting earlier. So going ahead, as we also mentioned that we will see an increase in price of basmati overall coming quarters.

And our procurement, like we earlier guided that we do majority of the procurement, almost 60%, 70% or more than that in this quarter. So going ahead, any procurement, can we see it at the higher prices?

Ashwani Arora : Yes. So we are covering ourselves roughly 80% -- that's our policy. So this year also, we will cover 80%. And whatever the price and procurement has happened, that we will try to pass on to consumers. Some part of the world, we will be. But some part of the world, we have to evaluate how this duty impact goes away. So by quarter end, we will be more clear on the

Meet Jain : Understood. And the last question is on the Europe part. We have seen a very strong quarter, this 35% growth in the Europe segment. So can you attribute -- how much will be attributed to the U.K. capacities and the Netherlands capacities? What can be the breakup of that?

Sachin Gupta : So Meet, the major growth that has happened is basically because of the U.K. capacity itself. The U.K. capacity got operational in the later part of the last year. So our growth was majorly because of the U.K. Otherwise, the normalized -- if you normalize the things, it is in the range of 11% to 12%.

Moderator: Our next question is from the line of Abhishek Maheshwari from Skyridge Fund Managers LLP.

Abhishek Maheshwari : Congratulations on good set of numbers. Sir, I have only two questions. Firstly, I think some time ago, the President of United States, he had posted on X regarding additional 25% tariffs on anyone doing business with Iran. Now as LT Foods, we don't do business with Iran, but our country does do business with Iran. So was this ratified? Or was this more of an impulse to kind of a post from the President? Any clarity on this?

Ashwani Arora : Abhishek, there is no action on that, but every day we all hear these things

Abhishek Maheshwari : So right now, it's 50% only

Ashwani Arora : Now it is 50%, yes.

Abhishek Maheshwari : Okay. Got it. Sir, secondly, the Thailand tariffs are about 19%. So is Golden Star still doing pretty okay? And will it be able to compensate for slightly moderating demand for basmati in U.S.?

Ashwani Arora : Jasmine rice, the Golden Star is doing very well. That's growing. So no issue on the growth side. This year also, the Jasmine rice has gone up. So maybe a little impact on the margin side. But as far as consumption growth, that is very well placed.

Abhishek Maheshwari : Okay. Lastly, do you expect that perhaps the increase in procurement price that you are seeing, the impact of that could be slightly moderated by this dollar appreciation that we are seeing vis-a-vis rupee.

Ashwani Arora : Partly, partly.

Moderator: Our next question is from the line of Abhishek Mathur from Systematix.

Abhishek Mathur : My question was on the regional rice market where you have made some recent launches and which is a significantly bigger market than our basmati rice. So there, just wanted to check what is the update on our progress in terms of

our foray in regional rice? And what is

our way to win that you see given that there are a number of entrenched regional players who

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are strong in their respective pockets?

Ashwani Arora : So regional rice is doing very well, Daawat regional rice and internationally also. As far as

LT's strategy on the regional rice is that we will be only on the premium end of the market

and not on the mass because margins are very competitive. So on that front, on that strategy,

we are doing very well. We are well placed in e-commerce, modern trade and key outlets.

So we are optimistic on whatever the business plan we have built on the regional rice.

Abhishek Mathur : So would you be able to quantify what is currently, in terms of tonnage, our sales in regional rice right now? Is it material?

Ashwani Arora : Yes. I think in India, we sell around INR200 crores worth regional rice on annual level basis.

Abhishek Mathur : And in volume terms or tonnage terms?

Sachin Gupta : Roughly 50,000, you can take the data from our IR team, and we will provide you quantitative. Roughly, it is 50,000 tons.

Moderator: Our next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed : Most of the questions have been answered, so I'm just left with one. Like I wanted to

understand regarding your RTH, RTC business. So we have seen like 2.5x growth from FY

'21 to '25, yet EBITDA margins remained negative at minus 9%. So what scale or revenue

threshold is required for this segment to breakeven? And does management still feel this is a

strategic growth engine? Like what's your vision?

Ashwani Arora : Okay. So on the margin side, where it will get breakeven, Sachin will give you a number.

But as far as our RTH business, the bigger business is in U.S.A. And as explained in the last

call also, we have built up the next capacity, which is 15 million pouches, and that will be

started in the next financial year.

As far as India is concerned, ready-to-eat, ready-to-cook is a small market for us. But our

Daawat Biryani Kit is doing very well and growing kind of month-on-month 20%. So on the

numbers Sachin will share

Sachin Gupta : As regarding the breakeven, the breakeven from a current level, once it crosses the INR400 crore mark, there will be a breakeven in the EBITDA. So till that time, we will be in the investment phase and there will be the investments that will be required. And we are optimistic to achieve in the next 3 years.

Moderator: Our next question is from the line of Pranav Bhootra from Anand Rathi.

Pranav Bhootra : So I wanted to ask regarding the Indian market share and the Middle East, particularly on

Indian market, we have lost around 300 basis points on quarter-on-quarter basis. And last

year, we had around 30% market share in basmati. So can you just throw a bit light on that?

Have we -- like is this because of the price hike? Or have we discontinued any product or

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something?

Ashwani Arora : So as far as the household reach, we have increased our household reach from 45 lakh to 58

lakh. So that has increased. On the market share, we are growing at a premium end of the

market, losing on the lower price point, the market share. But overall, on the premium end

of the market, we are growing. And our household reach is also growing.

Pranav Bhootra : Okay. And regarding the Middle East market, can you just give me exact market share?

Ashwani Arora : That's a big market, and we have not in terms of market share. But I can tell you in UAE, we

have around 10% market share in the premium end of the market. Saudi, we have started, we

are getting very good response. The market is growing. So overall, Middle East, we are

bullish. We are investing on that. And we wanted to grow 20% year-on-year from the base

we have. And there the plan is well

placed, yes.

Moderator: Our next question is from the line of Damodaran from Acuitas Capital.

Damodaran : Just had two bookkeeping questions. One was on -- your interest costs seem to have gone up

by 46% year-on-year. What explains that? That is one. And the second one is, can you give

the 9-month numbers for -- growth numbers for Golden Star business for revenue and PBT?

Sachin Gupta : So Damodaran, as regarding the interest cost going up, so this has been basically because of the two factors. Firstly, the average working capital utilization. Secondly, it is on the basis of the lease accounting, which takes place. So last year itself, majorly in this part of this year, as the U.K. operations have started, the lease accounting because the warehouse is on lease. So that has affected our overall interest cost and depreciation, the warehouse costing. And as regarding the Golden Star goes -- the revenue growth in this 9 months is almost 2% growth in the rupee terms that I'm talking about.

Damodaran : Okay. And in PBT terms, if you can say?

Sachin Gupta : So, the PBT, we have made a PBT margin of almost 7%.

Damodaran : Okay. And you said there was some margin decline. So I mean, can you give that same number for last year?

Sachin Gupta : So almost in this -- last year, it was almost 8.5% last year, it declined to almost 6%. So 2.5% decline, yes.

Damodaran : This is attributable primarily to Jasmine rice prices increasing.

Sachin Gupta : Correct. The input costs going up. So that resulted as Ashwani in the initial talked about the Jasmine input cost being increased.

Moderator: Our next question is from the line of Vipul kumar Shah from Sumangal Investments.

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Vipulkumar Shah : So, what is our gross and net debt right now?

Sachin Gupta : So our net debt excluding the FDR that we have kept for the insurance claim is almost INR1,180 Crores

Vipulkumar Shah: And has there been an improvement year-on-year or it is same?

Sachin Gupta : Slight bit it has decreased from the last year. So our debt positions have decreased.

Vipulkumar Shah: And regarding the notes to your accounts, it is a little confusing. So we have received this INR26,000 crores from the insurance company, right? But the pace is still going on ?

Sachin Gupta : No, no, no...

Vipulkumar Shah: Sorry, INR260 crores, sorry.

Sachin Gupta : Correct. So that is INR260 crores, yes, we have received that amount. But against that, we had to give a bank guarantee. So still it is -- it cannot be utilized. So we have given a margin against that -- the amount received. So it is in the form of FDR.

Ashwani Arora : Vipul, we have won the case in the first court. Then they have gone to High Court. And High Court said we will only hear you when you will give them the money. And then they went to Supreme Court. Supreme Court said give the bank guarantee and take the money. So we have taken the money, but we have given the bank guarantee against the FD, the same amount. Hopefully, we will get verdicts in the coming 2-3 months from the High Court, which is pending there.

Vipul kumar Shah: So right now, we are earning interest on it, but we cannot use that money ?

Sachin Gupta : That's right. So still, the interest hasn't been recognized. We are not recognizing that interest in our income. So we are accruing the amount is being accrued, but we are not recognizing it in our income.

Vipul kumar Shah: Okay. And regarding the tariffs at U.S., so if I have understood you correctly, whatever you bill to your U.S. subsidiary, 50% on that value is charged, not at the price at which you sell to your customer. Is that understanding correct?

Sachin Gupta : Correct.

Vipulkumar Shah: Okay, sir. Thank you and all the best.

Moderator: Thank you. Our next question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal : Sir, my question is,

was the tariff passed on smoothly or there was resistance from the customer or you see a slowdown?

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Ashwani Arora : No, there is always resistance from the customer. And that's what I said, we have majority passed on. So there is a big resistance. But fortunately, being basmati mainly only from India.

Rajesh Agarwal: But still, if we are able to pass on these, our product is good or we have an advantage ?

Ashwani Arora : Yes. Royal is a very strong brand, very high-quality brand.

Rajesh Agarwal : Okay. So if there's a reduction in tariff, it's a hypothetical question, 25% or whatever, then we can easily pass on the input cost also which has increased?

Ashwani Arora : That's what our expectation is, yes.

Rajesh Agarwal : Okay. But you don't see any demand destruction, no?

Ashwani Arora : In January, there is a little bit slowdown as compared to last year, but this till March the things will be more clear, yes.

Rajesh Agarwal : But we are billing to them now. We are sending still the goods at a higher tariff to them?

Ashwani Arora : The business is touchwood doing very regular business.

Rajesh Agarwal : Okay. And any comments on the growth outlook for the next year?

Ashwani Arora : So the guidance we have given is the double -digit growth on the revenue side, that looks intact. On the margin side, as I said we will come to know in the next quarter.

Rajesh Agarwal : Okay but the crop availability wouldn't be a problem going forward, if we can do a double -digit growth, availability of crop wouldn't be a problem?

Ashwani Arora : It doesn't look like.

Rajesh Agarwal : The input prices have gone up, availability wouldn't be a problem ?

Ashwani Arora : We have identified our risk and we keep evaluating. And we have a big -- our farmer extension team, which work with the farmer that how they can improve their productivity, how they can overall increase their income. So we are very well connected on the farm side also. So we don't see at least in the next 10 -15 years, any -- so farmer is making better money with lesser water and all these things. And the state government is also promoting because India is sitting in very heavy non -basmati stock. So state and center is promoting the farmer to grow basmati.

Rajesh Agarwal : And sir, are we supplying to Iran?

Ashwani Arora : No, we are not working with Iran.

Rajesh Agarwal : So we won't be facing that another 25% tariff because if we are not supplying

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Ashwani Arora : We have not got any intimation

Rajesh Agarwal: Understood. Thank you, sir.

Moderator: Thank you. Our next question is from the line of Harsh Shah from Bandhan AMC. Please go ahead.

Harsh Shah : Sir, firstly, in terms of your guidance for Europe, you have mentioned that the 5 -year target is GBP 100 million. In that regard, I mean, I wanted to understand that we are already -- our revenue is above that number, right? So does this statement mean that the incremental revenue will be held in 5 years?

Monika Jaggia : What is the number that you have mentioned, Harsh, for the revenue?

Harsh Shah : Slide number 16, when you give a 9MFY26 segmental breakup of India, North America, Europe and Middle East , right, revenue mix and Y -o-Y growth. So in Europe, you've commented that a 5 -year target for revenue is GBP100 million, right? But our current business itself is...

Ashwani Arora : No, that is the U.K. No, the U.K. is at the moment is 45 million. That is the projection for the U.K., not the complete Europe. So we have separated U.K and the EU, the Continental Europe separate.

Harsh Shah : So U.K., sir, only GBP 45 million going to GBP100 million, doubling in 5 years ?

Sachin Gupta : Correct, Harsh. That is what's we have been telling.

Harsh Shah : And second thing, sir, on the tariff thing, right? Now you said that

you already have 2 -3

months of stock in U.S., right, because service levels have to be very high. And for the stock which we send there -- to U.S., we pay 50% tariffs already, which we have. Now in an event, let's say, if the tariffs are reversed, right, so for the existing inventory which we have there, will it be a onetime lock for us?

Ashwani Arora : It depends, Harsh, the time will tell. But as I said, the consumer is most important. At that time, we will take a call.

Harsh Shah : Sir, my question is not on the demand part. My question is basically we have paid 50% tariff, right already?

Ashwani Arora : So that's the risk. That depends on the competitive landscape. That is the risk we are living with.

Harsh Shah : Okay. And sir, thirdly, interesting one thing in one of the slides in your -- where you kind of give all your brands, there is a new brand called Hadeel. Is it brand specific for Saudi Arabia market?

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Ashwani Arora : Yes. This is a brand for Saudi. That's mainly to the food service.

Harsh Shah : Food services. Okay. So it's basically for HoReCa.

Ashwani Arora : That's called Daawat Hadeel, yes.

Harsh Shah : Correct. Yes. Okay. So it's mainly for HoReCa segment, right?

Ashwani Arora : That's right.

Moderator: The next question is from the line of Chirag Singhal from First Water Fund.

Chirag Singhal : My question is on your domestic sales. So there are some news article which mentions about basmati consignments, which are stuck at Indian ports and some rice millers have noted that

the price drops have happened in India.

And Iran is a key export market. So have you seen any price declines in your basmati sales during the quarter? And do you see a slowdown in Iran exports leading to any sort of oversupply in domestic markets?

Ashwani Arora : On the price side, it is other way around. The hike in the commodity price. And as far as Iran is concerned, the data we are seeing is growing 11% from India to Iran. Historically, we have seen these kind of disruption in Iran, but we have not seen any impact on the demand side because what we have seen historically, food is the last one to get impacted on this geopolitical disruption side.

Chirag Singhal : So which period are you referring to for this 11% growth in Iran?

Ashwani Arora : It's a 9 -months data.

Moderator: Our next question is from the line of Ankur Arora from Magma Ventures.

Ankur Arora : Congrats on a good set of numbers in a difficult environment. A couple of questions. Just a follow -up to -- one of the participant has already asked this question. How much is the gross margin on the U.S. number, right? Your overall gross margin of 35 %. But in U.S., it will be more like 40%, 45% or it's roughly a similar range as the rest of the business?

Ashwani Arora : Similar range.

Ankur Arora : Okay. So just to understand it right, say, you have INR100 inventory going from India to U.S.A. and you sell it, say, INR150. That's how the 33% gross margin comes in. At INR100, you've got a INR50 duty, right, because that's the input.

So your cost basically goes to INR150, right? And you're selling it -- INR200 now because you're passing on that INR50 out there. So that means your margin has gone down to 25%.

Am I understanding it right? Or what is the gap in that?

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Ashwani Arora : So I think you can get in touch with our IR, they will explain you on how it works.

Ankur Arora : Okay. On the other side, how much is the end price of the customer gone up by in U.S.A. in terms of rice? And you would be probably in touch with the customer. So how much is the end price increase for the customer?

Ashwani Arora : Roughly 25%.

Ankur Arora : Roughly 25%. Okay. And third question on Golden Star. How much is the revenue in this quarter? Last quarter, I think it was around INR350-odd crores. So

is there a similar ballpark this time also?

Sachin Gupta : as I've stated, in the 9 months, the sales in the Golden Star is INR486 crores in the rupee terms. So it is more or less, monthly, equal .

Ankur Arora : Monthly around INR100 crores -- sorry, not that much. Less than that.

Sachin Gupta : Right.

Ankur Arora : And the Golden Star price also has gone up by around 20%, right, because it will be 20% tariff from Thailand...

Ashwani Arora : That's on the COGS, so maybe lesser a little bit.

Ankur Arora : Okay. On the COGS, it will be lesser. Got it. Yes, that's pretty much it.

Moderator: Our next question is from the line of Amit Doshi from Care Portfolio Managers Private Limited.

Amit Doshi : Sir, you mentioned about the Hadeel brand, which is the HoReCa for Saudi business. And our normal branded business, you mentioned is around INR35 crores of sales, which means that in this quarter, December quarter, the sale is of around INR7 crores only. Is that correct?

Sachin Gupta : Hadeel is our HoReCa brand. And from Saudi, we achieved a revenue sales of INR35 crores. So this means sales is INR7 crores from others. So that is not so, Amit. If you look at the overall sales in the Middle East as such, so what Ashwani told, Hadeel is a HoReCa brand in the overall Middle East region. So it is not specific to Saudi itself. So it is for the whole region.

Amit Doshi : So if you count only the branded revenue, so H1 was INR28 crores and 9M is INR35 crores for branded revenue from Saudi?

Sachin Gupta : So the branded revenue it is INR35 crores in this 9 months, and it was INR17 crores last year.

Sachin Gupta : currently, it has doubled as compared to the last year.

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Ashwani Arora : We are investing time on the strategy and everything for the last 1.5 years, 2 years. But now all the things are working. So we are positive on things.

Amit Doshi : I understand. What I wanted to understand, is that INR7 crores in the Saudi market, would it be considered as a small number ?

Ashwani Arora : I think on Saudi, we started with food service and wholesale. Now on the Daawat brand, the

journey has started, the route to market and everything has been finalized. So in the coming time, you will see a change in Daawat sales here.

Amit Doshi : Okay. And for regional wise, you have said that we have around INR200 crores of sales. I think the new capacity is coming in the February, a few days from now. What is the likelihood of the total revenue at full potential? Obviously, it will take a couple of years probably

Ashwani Arora : That facility is a packing unit. So we are building these all supply chain infrastructure to meet the future demand. But this, I think the capacity is only for -- will be sufficient for the next 2 years.

Amit Doshi : Okay. In terms of revenue, what it can contribute?

Ashwani Arora : So roughly I will say, INR200 crores more.

Moderator: Our next question is from the line of Harsh Shah from Bandhan AMC.

Harsh Shah : Ashwani ji, you mentioned that the new RTH capacity in USA, right, that number in terms of volume, we can do 1.5 million or 15 million pieces a year?

Ashwani Arora : 15 million Harsh, pouches more.

Harsh Shah : And sir, roughly, that would mean how much of, let's say, additional revenue at current realization?

Ashwani Arora : I can give you a ballpark number is \$ 20 million revenue will be more, yes.

Harsh Shah : \$20 million?

Ashwani Arora : Yes.

Harsh Shah : Okay. And Sachin , INR 486 crores Golden Star revenue is for 9 months, right?

Sachin Gupta : Correct.

Harsh Shah : This is for the period of 9 months, or this is for the period of our consolidation?

Sachin Gupta : So it is the period -- yes, you are right. It is the period for the consolidation.

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Sachin Gupta : So if you talk about the 9 months number, it is INR 658

crores.

Harsh Shah : INR 658 crores. Okay. I was confusing that. And last year, we closed FY '25 at what revenue, sir, for Golden Star?

Sachin Gupta : In the dollar terms, it is around \$130 million.

Moderator: Our next question is from the line of Abhishek Jaiswal, an Individual Investor.

Abhishek Jaiswal: So I was trying to work out the price that you have been able to sort of pass on to the US consumers as a result of the tariffs. And so it seems like -- basis some information that was shared in the call, it seems that we have been able to pass around 18% increase in the price to the US consumers. And the way I kind of came across that figure is by kind of taking away the 9-month sales of Golden Star from the 9-month total sales. Is that accurate? Or is there a difference?

Ashwani Arora : So we will give you the math. But overall, the business is good. Till time, the margins are intact and all these things.

Abhishek Jaiswal: Okay. Sure. And my next question is why -- so I've seen that our sales in the Middle East has kind of dropped year-over-year by about 11%, 9-month figures. Any reason for that? Have we taken away any category there? Like what's our strategy to get back to revenue growth?

Ashwani Arora : The strategy is very organic. We have roughly in Middle East around 50,000 ton base, and we will build it year-on-year by growing 20%.

Abhishek Jaiswal: Okay. But that doesn't explain like why the sales went down by 11%?

Sachin Gupta : So our major reduction in the sales that happened because of the private label business, certain private label nonstrategic business, which we did last year that we purposefully didn't do at all this year. Our branded revenue sales have increased during this 9 months.

Abhishek Jaiswal: Got it.

Management: So our margins overall has become better, and we continue to work on that only.

Sachin Gupta : Correct.

Moderator: Our next question is from the line of Aman Goval, an Individual Investor.

Aman Goval: First of all, congratulations to whole team for -- on the good set of numbers. My first question is regarding margin management. What is management's strategy to improve the compressed PAT margin, which declined to 5.6% from 6.39% Y-o-Y. Are the pressures transitory or structural?

Ashwani Arora : Aman, the pressures are temporary , the pressure is because of all this disruption

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geopolitically. The goal we have given but advise that on the ROCE terms, we are in the range of 20%, and we wanted to move 23%. And business is very well placed on a structure level. Our gross margins are very good. We are a very well-diversified kind of global presence.

Business is doing very well in India, growing on the premium end of the market. So structurally, we are very well placed. So it's a kind of geopolitical risk, which is happening for the last 2-3 years. The fundamentals of the business are very strong.

Aman Goval: Right, sir. Okay. My next question, if you allow, potential fluctuation in basmati rice price, say, raw material price rise and rising input cost, will the company focus to hold the price to improve margin or pass the benefit to consumer to gain the market share?

Ashwani Arora : So it depends geography to geography. We take call accordingly where if strategy is helping us to grow better market share, then we don't pass on. And where we are a brand leader, there we pass on. So it depends. It's a very strategic geographically -- so we use both the strategies. It depends on geography.

Aman Goval: All right. Okay, I understand, if you comment, in this year, FII lessen the participation, has increased its mutual fund. In this regard, do you have any comments on the side of firm management to enhance the trust of institutional investors and FII?

Ashwani Arora : So as I just said, LT Food is very well placed. If you see in the consumer space,

LT Food is

growing better than the overall competitive FMCG space. So that's the fundamental. So all fundamentals are very very strong in terms of brands, in terms of the category growth. So we are very well placed. We are very confident that whatever the guidance has been given to the market, so we will be there.

Aman Goval: I would like to give you advanced thank you for financial year 2026.

Ashwani Arora : Thank you.

Moderator: Ladies and gentlemen, in the interest of time, that was our last question. I would now like to hand the conference over to the management for closing comments.

Monika Jaggia : Thank you, everyone. On behalf of the management of LT Foods Limited, we thank you all for joining us on our post-earnings call today. We hope we have been able to address the majority of your queries. You may reach out to me or our Investor Relations partner, Ernst & Young, for any further queries that you may have, and they would connect with you offline. Thank you. Thank you all.

Sachin Gupta : Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Ref-LTF/ SE/ 202 6-27 Date: May 20 , 2026

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

Dear Sir/ Madam,

Ref.: Code -532783 Scrip ID: LTFOODS

Sub: Transcript of Investor/ Analysts Conference Call for the quarter and financial year ended March 31, 2026 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor/ Analysts conference call held on Fri day, May 15, 2025 on the audited financial results and operations of the Company for the quarter and financial year ended March 31, 2026 , is enclosed.

In this regard, a transcript of the aforesaid Earnings Call is attached herewith. Further, the said transcript shall also be available on the website of the Company.

Link: https://ltfoods.com/ltfoodscms/uploads/investors/earningcalltranscript/earningcalltranscript_1779270445.pdf

Request you to take the above information on record.

Thanking you,

Yours Faithfully,

For LT Foods Limited

Monika Chawla Jaggia
Company Secretary & Compliance Officer
Encl: a/a

"LT Foods Limited
Q4 FY '26 Earnings Conference Call"
May 15, 2026

MANAGEMENT : MR. ASHWANI KUMAR ARORA – MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER

MR. RITESH ARORA – CHIEF EXECUTIVE OFFICER,
INDIA AND FAR EAST BUSINESS
MS. MONIKA CHAWLA JAGGIA – CHIEF
CORPORATE DEVELOPMENT OFFICER
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER

MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL
SERVICES LTD

Moderator : Ladies and gentlemen, good day, and welcome to the LT Foods Q4 FY '26 Earnings

Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

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I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services.

Thank you, and over to you.

Meet Jain: Thank you, Steve. Good afternoon. Thank you, everyone, and a very warm welcome to LT Foods 4Q FY '26 Post Results Earnings Call hosted by Motilal Oswal Financial Services Limited. On the call today, we have the management team being represented by Mr. Ashwani Kumar Arora, MD and CEO; Mr. Sachin Gupta, CFO; Ms. Monika Chawla Jaggia, Chief Corporate Development Officer.

We will begin the call with key thoughts from the management team. Thereafter, we will open the floor for Q&A session. I would now like to request the management to share their perspective on the performance of the company this quarter. Thank you, and over to you, ma'am.

Monika Jaggia : Thank you, Meet, for the introduction. So along with other team members, we have Mr. Ritesh Arora today also on the call. He is the CEO for the India and Far East business. So good afternoon, everyone, and thank you for joining us today.

On behalf of the management team, I welcome all our investors and valued shareholders to discuss the performance of LT Foods Limited for the fourth quarter and full year ended March 31, 2026. Please note that any statements made or discussed during this call, which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. A detailed disclaimer in this regard has been included in the investor presentation that has been shared on both stock exchanges, that is NSE and BSE. The results documents are available on our company's website as well as stock exchanges. A transcript of this call will also be made available on the Investors section of the company's website.

FY26 has been a year of strong execution, resilient growth and continued transformation into a global branded FMCG company. Despite the dynamic external environment, we have delivered solid financial performance while continuing to invest aggressively in the brand, innovation and global expansion.

Before I dwell into our performance in detail, let me briefly touch upon the broader industry context. The global rice and the specialty food industry continue to benefit from structural tailwinds. The Indian FMCG market is expected to grow at 11% CAGR, driven by increasing consumption and improving retail penetration. The global basmati and specialty rice market is witnessing steady growth of 7% to 12% across geographies. We see rising premiumisation trends along with increasing global demand for the ethnic cuisine, especially in North America and Europe. We have experienced expansion of South Asian diaspora, which is driving sustained international demand. In addition, consumer preferences are evolving towards health and organic products, convenience-led food categories such as ready -to-heat

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and ready -to-cook, traceability, sustainability and premium branding. These macro tailwinds strongly align with LT Foods long -term strategy, but there were a few headwinds as well, such as geopolitical issues, U.S. tariff, increased freight and increased input costs.

Now I cover the financial performance of the company. Coming to our financial performance, the revenue, including other income, grew to INR11,023 crores, which is up by 26% on a year -on-year basis.

Gross profit increased to INR3,692 crores, with normalized gross profit around 35.3%, excluding U.S. tariff and change in the shipment terms. EBITDA rose to INR1,236 crores. Profit after tax stood at INR625 crores. It is important to note that the normalized revenue growth was 19% and EBITDA margin moderated to 11.8%, excluding U.S. tariff, reflecting higher brand investments and strategic spending. We continue to strengthen our financial

discipline with our working capital days improved to 176 days versus 196 days last year. Net debt remains controlled with net debt to EBITDA at 0.6x and net debt equity at 0.16 in FY26 . For the fourth quarter, the revenue grew to INR2,938 crores, EBITDA stood at INR300 crores and PAT was around INR136 crores. The reported margins for FY26 and Q4 FY'26 have been affected because of the U.S. tariff pass -through, brand and marketing investments, LT Foods U.K. being an investment phase and organic segment under remodeling.

Now I'll cover the segment and geography performance. So our core business continues to perform strongly with basmati and the specialty rice contributed 88% of the revenue, delivered a 29% revenue growth in FY26. Normalized growth 21%, excluding the U.S. tariff with revenue in tune of INR9,742 crores, reflecting the enduring strength of our strong brand equity and deepening consumer base in our products across the world. The segment maintained a healthy EBITDA margin of 12.3%.

We observed strong growth across India, North America and Europe. We continued and gained our leadership position as number 1 brand basmati brand in North America with a strong share in the U.S. imports and Canada market. Our organic Foods and Ingredients segment grew by 9% and crossed INR1,016 crores in the revenue in FY26. Building on over 30 years of pioneering Indian organic exports with over 110,000 hectares of certified organic farmland, 80,000 farming family Association and a global partner base spanning 25 countries. This business represents both a significant commercial opportunity and a profound expression of our commitment to responsible sourcing. We are glad to share that we hold 12% share in India's export of organic food. However, this business segment is under stress, and we have strategically remodeled it for the next phase of the growth in which we have built the capacity, which will take time to get fully utilized and also entered into the CPG business.

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Further, the EBITDA is also currently under stress due to currency fluctuations and commodity price pressure. Our ready-to-heat and ready-to-cook segment business has grown 2.5x over the last 5 years. Reaching INR187 crores in FY26 as consumers increasingly seek convenient and healthy meal solutions at home.

Innovations like Biryani Kit, Cuppa Rice, and Royal Ready-to-heat range are resonating strongly with time-pressed flavor-forward consumers in India and internationally. The demand momentum across key markets remains strong. However, certain growth opportunities could not be fully serviced due to capacity constraints in RTH platform. The enhanced capacities are expected to become operational from Q2 FY '27.

Our India business continued its strong trajectory, ending the year with 10% value and 12% volume growth, a testament to the resonance continues to build with Indian consumers. What is particularly encouraging is the quality of this growth. Our quick commerce and e-commerce channel grew in excess of 45%, firmly cementing our leadership on key digital platforms.

The premium segment grew at 2x the pace of the overall consumer portfolio, reflecting the power of the premiumisation trend that is reshaping India's food landscape's pace.

Premiumisation drove a significant increase in gross margin, which was reinvested in the further strengthening of our strong brand equity, enabling us to scale our marketing budget by 2x versus last year.

Our household reach in India rose to 64.4 lakhs as per the Kantar, a 22.8% expansion over the last 15 months. Our market share in India stands at 23.7% as per the Nielsen report. Besides the new innovative offerings like Daawat and Organic Range, the limited-edition of Daawat Saffron Basmati and Daawat Thai Green Curry Rice Kit are gaining strong traction with our consumers. Our investment in the new fa

cility in Raichur, Karnataka further

strengthens our value chain from farm to fork as we deepen our regional rice play.

North America remains our largest market, contributing 48% of our revenue mix in FY26 and delivering 53% growth. 9% is the normalized one, excluding the impact of the U.S. tariffs. Our flagship brand, Royal commands over 60% market share and Golden Star continues to be number 1 Jasmine rice brand in U.S.A.

Europe continued its growth journey, delivering 34% revenue growth in FY26 and advancing meaningfully towards our 5-year target of GBP 100 million in U.K. revenue. LT Foods Europe was conferred with the new award for its expansion to the U.K. market at the 15th Annual Department for Business and Trade Investment Awards. Separately, Extra Long Basmati recognized as the Product of the Year, Tar Extra Long Basmati recognized as Product of the Year in U.K., an honor driven entirely by the U.K. consumers. We are building the foundation for a sustainably large European business, and we remain focused on brand

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building, distribution expansion and portfolio diversification across the region.

In the Middle East, we continue to further strengthen our position. We would like to highlight that despite the ongoing geopolitical conflict in the Middle East, including the heightened tensions arising from the Iran situation, LT Foods has demonstrated business resilience with no material disruption to our supply chain. During the year, we expanded our

presence in Southeast Asia with INR53 crores in revenue in FY26 and successfully launched Mazza Basmati rice in Saudi Arabia.

Apart from this, we are witnessing some near-term pressure arising from U.S. import tariff related developments. While the input cost has increased, we have to see how it's going to impact us in the near future. Going ahead, premiumisation, category expansion, route to market excellence will continue to be engines of our growth while brand in India, while brand investments, distribution expansion and innovation will drive our international performance. Our strategy going forward remains very clear and focused, strengthening our core business by expanding our global market share in basmati and the specialty rice and drive premiumization and pricing, accelerating new categories by scaling RTH, RTC and other such products. We shall remain focused on margin improvement by focusing on operational efficiencies, cost optimization and build economies of scale, improve mix towards premium and the branded offerings. Technology and digital transformation remain at the core of our capability building agenda. As we see towards our next phase of the growth, we are committed to building a smarter, more agile and future-ready organization that leverages technology as a competitive advantage.

For the future, we expect continued double-digit growth supported by global demand and new product launches, distribution expansion. Margins are expected to gradually improve as brand investments normalize, scale benefits come through. RTH, RTC and organic segments will continue to outpace overall growth.

Now we would like to open the floor for question and answers, please.

Moderator: Thank you, ma'am. The first question comes from Abhishek Mathur with Systematix. Please go ahead.

Abhishek Mathur : Just wanted to check for FY '26, what was our volume growth in the U.S. and also for U.S. geography and also for the Basmati and specialty rice segment volume growth for FY '26? And what do you think was the extent of impact on this due to the U.S. tariffs? That's my first question.

Sachin Gupta : Yes. So, volume in the overall basmati and the specialty segment in this year -on-year basis grew by almost 19% this year. And regarding the U.S. the U.S. volume has increased, if we

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include the Golden Star rev

enue, that also increased by 30%, 35%.

Abhishek Mathur : And sir, what do you think was the impact on this volume growth, if any, from the U.S. tariffs?

Ashwani Arora : So this was an opportunity for us being the company which has on-ground operations. And with a better service level, we have been able to acquire more consumer, more customer by giving them the service level. So the idea was in this whole disruption, which was a big disruption for us, the idea was to keep the service level robust, and that has really helped us to grow our customer and consumer base, although it has impacted on our margin because partly we have consumed and partly we have passed on. But broadly, acquiring consumers, acquiring customer was a big achievement for us.

Abhishek Mathur : Right, sir. And secondly, you have indicated a higher stepped-up investment in your U.K. business where we have a 5-year target of scaling up. So just wanted to check today, how much is U.K. salience for Europe as a percentage of revenue? And related -- on the domestic side, just wanted to check what is our distribution reach now? I believe it was about 170,000 in December, but what is that number now?

Ashwani Arora : Sachin can add into this. This year, U.K. is roughly GBP 45 million revenue.

Sachin Gupta : Correct.

Rohan Grover : And the goal is by 2030, we will scale it to GBP 100 million. So India distribution is flat at 172,000. So flattish, hasn't grown much in the last quarter, but we've seen an improvement in our market share compared to last year same quarter.

Abhishek Mathur : And lastly, just a book-keeping question, if I may. When I look at our revenue growth for FY '26 for India and U.S., which are together about 80% of the business, it's at 10% for India and about 8% to 9% for the U.S. But our FY '26 revenue growth for the basmati rice segment, which is about 90% of the business is at 21%, both normalized. These don't seem to be adding up. Is there something I'm missing here?

Sachin Gupta : There are 2 kinds of accounting treatment that we did this year. If you normalize that, one was the tariff, the custom tariff and the second was the Golden Star because last year, the Golden Star, we had a JV -- this year, we have acquired that 49%. Now it is a fully owned subsidiary. So both the numbers, if you sum it up because there in the U.S. one, we had normalized the Golden Star as well as the tariff, whereas in the basmati segment, the tariff was there. So once you do both the things, it will sum up.

Moderator: The next question comes from Saurabh Beria with Sameeksha Capital .

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Saurabh Beria : Congratulations for a great set of numbers. I wanted to just have guidance on the margin part. So going forward in FY '27, what are the gross margins should we expect considering the input cost and the EBITDA level margins ?

Sachin Gupta : So if you talk about the gross margins, the gross margins will be more or less in line with what we have done in FY'25, FY'26 because the gross margins, this movement of C&I, that will remain in this year as well. So that will be there. Yes, somewhat the tariff and other things because now the tariff has normalized from 50%, it has gone to 10%. So we expect the gross margins to be within the range of what was there in the last year.

Saurabh Beria : But last when I check your FY '26 gross margins remains different from FY '25. So on an absolute basis, if you can give me a number of the range that would be more helpful ?

Sachin Gupta : So if you look at my gross margins in FY25, it was almost 24.6% it reduced on the 100 basis points. And this reduction in the 100 basis points was mainly because of the U.S. tariff and the movement from CI to C&I. So this margin range of 33.5% or 33% will remain in the next financial year as well.

Saurabh Beria : Okay, perfect. Okay. And the EBITDA margins?

Sachin Gupta : This

year, there were certain -- the tariff was there and there were certain passing of the timing and other things were there, the tariff had an effect on EBITDA margins. Likewise, there was the organic range, one of the organic, the inventory buildup and the other -- the spends were there.

There are certain kind of dynamic environment and dynamic situations that might -- these situations relatively are not there and things remain such, we will surely improve on the EBITDA margins by almost on that level. We were at 12% in the previous year. So we are eyeing that level.

Ashwani Arora : Whatever the disruption has come, we have accounted for till time said, we are confident that we will be in the range of 12%. But as we are living in a very disrupting world, so we are confident that we will be in this range.

Saurabh Beria : Okay that helps. And another question lies around the growth guidance. If you can guide a number different geography and overall Basmati segment. And also market share for, say, going forward, if the basmati industry grows by, say, x percent. So what upto total geography, what percentage of market share does LT sees?

Ashwani Arora : That we have tried to put all the information on the presentation , so if you go through the presentation, you will find these numbers.

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Sachin Gupta : And the guidance for the growth that we maintain that the guidance for the growth. So we are eyeing at 10% to 12% of growth on a long -term basis that we are and we remain to that growth levels. Organically, we should grow in that levels.

Moderator: The next question comes from Pooja Sanghvi with Incred.

Pooja Sanghvi : Congratulations on a good set of results. I want to ask that, what is current with the inventory by age, and how much of your inventory today is aged like twelve months or more versus the relatively fresh one?

Sachin Gupta : Inventory aging also, it depends upon the different products which we sell. And all my premium products, if you talk about premium and certain other range that we have. So my average inventory levels is around 190 days to 200 days of inventory, which we hold. So there are certain premium where we age more than 18 months and 2 years of inventory aging that is required. So there are these -- on the various products we age accordingly.

Pooja Sanghvi : Right. So I just wanted some clarity on how much of your volume is aging beyond two years, if you can tell me that.

Ashwani Arora : Pooja, can you be specific on your question? So may not be we have the answer right now, but you can mail it to the Investor Relations.

Moderator: The next question comes from the line of Krish Lulla, an individual investor.

Krish Lulla : My question is on payable days. I'm seeing from FY '21, we had trade payable days at 45 days. Now it is almost around 100 days. I wanted to know what's the reason for it? And is the 100 trade payable days now the normal payable days for the future? Or is it going to reduce ?

Sachin Gupta : So the payable days of 100 days, which is there in the financial numbers, so these will remain as such. So we have made certain arrangements because our practice of buying is 60% to 70% we buy in the season and 30% to 40% we buy apart from the other seasons. So the payment date when we buy 30% to 40% in the other part of the season, that defers. So having said so, this payable days of 100 days will remain in the future as well.

Moderator: The next question comes from Amit Doshi with Care PMS.

Amit Doshi : Ready -to-eat health and convenience segment, so while, of course, Daawat Soya B -Well

discontinuation has impacted the sales growth, but overall, looking at the number, the size, our growth number, do you think it's fairly low or, or what is our internal target? And second, on the same RTH and RTC segment, our gross margins are in the range of 32%, 33%, which is similar to Basmat

i and specialty rice. So considering that it's a convenient

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segment should it have a higher gross margin ?

Ashwani Arora : So basically RTH segment is led by our U.S. geography, which is very big in this category. India is very small for ready -to-heat and bigger in ready -to-cook where we are putting all our efforts, which is Daawat Biryani and so that's -- we are getting good response. So as far as RTH is concerned, our plant got delayed, and that's the growth is a little disruptive, but we are confident that by July, the production will start. We will be back on the track of growth. And as far as margins are concerned, you're right, we are in the range of 35%.

Sachin Gupta : That too is basically on basis of accounting treatment because initial period, you do the more of sampling and sales promotion. There is more spend on that, and that needs to be netted off and you need to have the net sales . if you remove that, our overall GP margins in this segment on the basis of what we are making the sales, it is almost 40% plus in this segment if you remove the sales promotion and other sampling expenditure.

Ashwani Arora : whichever RTH or RTC segment we should get into. The filter is, it depends on the size of opportunity. It will be in the range of 30% to 40%.

Amit Doshi : Okay. And what's our internal growth target of this segment? And when do we have a breakeven ?

Ashwani Arora : So as far as the internal aspiration we have set for this business, so RTH is very big in U.S.A. And this year, we have done 15 million. So another plant has been set up, which is late. So in the next 2 years, we will be 30 million, which is INR300 crores. And on the ready -to-cook, which is India, that on the size of what we are expecting by 2030, we have set up INR100 crores. Ritesh, can you add?

Ritesh Arora : INR120 crores of revenue by 2030. So in India, we are already the category leaders when it comes to Biryani kit. We have more than 60% to 65% market share on different platforms.

And so over here, the investments are going on for category creation. So we are, therefore, very bullish on building this category up.

Amit Doshi : Okay. So any breakeven target that you would want to add?

Sachin Gupta : It will be in next 2 years . So as Ashwani sir told in the whole of the category, our breakeven target, that remains the same, achieving a INR400 crores in the segment will make us breakeven in this segment. So that's our target. Yes, 1 year because of the capacity constraint, our target has moved. But otherwise, we are in line with achieving that target.

Amit Doshi : Okay. And overall, our inventory days are down. So have we purchased less this year as far as our inventory is concerned?

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Sachin Gupta : Not really. We have not reduced our inventory. Yes, as we compare with the inventory days, it has reduced by 28 days. So somewhat this represents the tariff as well because the tariff impact and other things were there. But overall, the inventory we have maintained that inventory levels of almost 250 days of inventory, which I'm sitting as of March 31.

Amit Doshi : Okay. And any general comment on El Nino and outlook of basmati rice production for the upcoming season, anything on that paddy prices for next year, anything -- any comment on that would be helpful.

Ashwani Arora : Yes. So as far as farmers' economics point of view, last year, the paddy prices were very high. So we expect that the farmers will grow more. As far as the impact of El Nino, that we are watching. But historically, basmati is mainly grown in the region where there is other way of irrigation also.

So in the last 40, 50 years, we have not seen any impact of the rainfall shortage on the basmati rather, farmers prefer to go basmati because it consumes lesser water. And so we are positive that the production of basmat

i will grow this year. But I think we will be more clearer in 1.5 months.

Amit Doshi : Okay. And on the Middle East front, while, of course, Saudi has contributed to around INR50 crores revenue this year, new market. Other than that, our Middle East is not growing. Is that correct understanding?

Rohan Grover : That's correct. That's a very tough market, very strong entry barriers. And we have chosen our route to market where we should not lose money. We not invest money much on that. But we are finding other ways of growing Middle East. Hopefully, that should work.

Moderator: The next question comes from the line Unni with Geojit Investment Limited.

Unni: I would like to know about what is the revenue contribution of Golden Star specifically and their margins?

Sachin Gupta : Regarding the revenue contribution, it is contributing 10% of the overall revenue in this segment. So currently, we are not tracking its EBITDA margins as such because it has been merged with the financials. But the margins of this year is as we compare are relatively 1% or 2% lower than that of the last year.

Unni: Okay. So like in Q4, what will be the revenue for Golden Star?

Ashwani Arora : Proportionately divided. So 25 million, which is INR250 crores.

Unni: Okay. One more question, sir. Like what is the current situation of raw material prices?

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Ashwani Arora : So for the coming crop?

Unni: Yes.

Ashwani Arora : So it's very early because in 1.5 months, we will be clear what is the kind of production being forecasted and what will be the impact on this disruption which is happening in the Middle East. So I think 1.5 months, we will be more clear. But broadly, if you ask me, the prices will not come down much.

Unni: Okay. So for Q4, what was the situation?

Ashwani Arora : In terms of prices?

Unni: Yes.

Ashwani Arora : The prices have gone up very high. From the base level, if I talk about whatever was the opening price, roughly 25% to 30% prices have gone up.

Moderator: The next question comes from the line of Damodaran with Acuitas Capital.

Damodaran: Just one question from my side. On capex, I see that you have spent around INR 30-INR60 crores. So can you just give me a breakup of this capex? That's all from my side.

Sachin Gupta : The capex spent in the last year is almost INR350 crores. And in that, the major capex that has spent is basically in the lines of the U.S. We have purchased the land and we have invested in the RTH facility, so in the U.S. That's the major capex that has went up in the last year.

Ashwani Arora : We are building a big warehouse in Houston.

Damodaran: Okay. So the INR360 crores is entirely for that?

Sachin Gupta : Major one is in that. Rest is in the U.K. one, the packaging facility because we are in the growth phase and we are installing that additional packaging facility in that. And rest are certainly in India. India, we have purchased certain portion of land and to build new warehouses in the Indian region. So that has gone in that capex.

Ashwani Arora : Mix of all territory, but major is which is such as explained on the Houston land purchase and RTH.

Damodaran: Sure. Got it. And what's the outlook for FY '27 or the capex spend that's going to come through?

Ashwani Arora : Will be in the similar lines. we are investing to create certain more capacity in India. And

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then the land has been purchased and warehousing and some asset we are building in Europe on packaging and all this. But major is in India and U.S.

Damodaran: Sure. Okay. And just one question on that grain acquisition, which kind of fell through, will we be looking at it now considering the changes of circumstances?

Ashwani Arora : As a strategy, we always look for opportunity, which has a strategic nature as far as LT Foods framework is concerned. So we keep on looking

at kind of opportunity.

Damodaran: Okay. And just one question on the consumption side, specifically on U.S., are you seeing any impact in terms of consumption at the retail level of the war and inflation, anything like that?

Sachin Gupta : As far as demand side is concerned, we have not seen any impact. And historically also because being the food and U.S., whatever the income is, that's the last thing to get impacted.

Moderator: The next question comes from the line of Ekavarya, an individual investor.

Ekavarya : Congratulations for the good set of numbers. So my question is that in respect to the top line growth, the top line growth for this year in U.S.A. as well as the sales growth for this year?

Sachin Gupta : It is stated in my investor deck uploaded one. The U.S.A. in the value terms has grown by almost 53%, but that includes the tariff as well as the Golden Star index. And in the volume terms, as I stated, it is a 38% growth in the U.S. that was there in the volume. And if I reduce the Golden Star, there is a growth of volume 7% to 8%.

Ekavarya : Okay. So there's a discrepancy in the volume and the sales growth. So does the sales growth

also include the forex gains as we have seen that the dollar appreciated a lot in the last 1 year. So does the sales include that also or the contract used to take place at the very initiation of the year? How do you take this?

Sachin Gupta : No. So yes, it has a dollar impact, dollar depreciating because we are reporting in the Indian rupees and Indian rupee has almost depreciated last year. So it has in the rupee terms, currency.

Eklavya : Okay. So you're reporting in the U.S. -- in the INR, not in the U.S.

Sachin Gupta : Yes. So we are reporting in the rupee terms in India. So it is a listed...

Eklavya : No, the contract which will take place in the U.S., right, in the U.S. dollar, whatever you're selling in the U.S.

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Ashwani Arora : We do a yearly transfer pricing with the U.S.A. And as a policy, we hedge our selves by 50% to 60% every time. So there is a little bit gain, which was unhedged and we have the forex gain.

Eklavya : Okay. Just the follow-up question, if that appreciation of dollar hasn't been happened that much, so what could be the impact in the sales volume growth as well as sales the sales value?

Ashwani Arora : So normally, what happened as a strategy, international strategy, we cover the raw material also roughly 70%, 80%. So what we have seen if rupee depreciates, then the local cost also goes up. So inflation also covers that. So more or less, if you see -- if your question is around that if this rupee has not depreciated, then the profit remains the same. So the answer is then inflation in the commodity also has not come.

Moderator: The next question comes from the line of Yogesh, an individual investor.

Yogesh : So I was trying to find a mention about the freight cost, the recent impact in the last quarter.

So my question specifically is by how much percentage has the price increased for the freight from Q4 FY '25 to Q4 FY '26? Has there been any disruptions in shipping through the conflicted zone?

Ashwani Arora : So mainly the disruption, Sachin, you can add into. The Europe has been the most disrupted. The prices have gone up. In U.S., another market, at the moment, there's not much disruption in freight as compared to last year. But Middle East, which is not our big business, the prices have gone by 10x, 15x.

Ashwani Arora : Yes. Like Dubai was \$200, now \$2,200. Jeddah was \$700, \$800, now \$2,600. So it depends. And there is a big disruption in the delivery also in the Middle East.

Yogesh : Understood, sir. Another question, if I may, please. Yes, in percentage terms, how much is the change in the realization per kilogram of our main brand, Daawat in India and then the Royal brand separately in the U.S. I'm asking this in context

of pricing power.

Ashwani Arora : Ritesh can tell that what is the quantitative growth and what is the value growth.

Ritesh Arora : So in last year, both the quantitative and the value growth is almost at par, but we've seen an improvement in our product mix. Our most premium SKU saw a 2x growth compared to the whole consumer bag business. So from that perspective, we are working on improving our product mix, which drives better gross margins.

Moderator: The next question comes from the line of Anubhav Mukherjee with Prescient Capital .

Anubhav Mukherjee : Sorry, I was slightly late in joining the call, and this might have been discussed. So, sir, can LT Foods Limited

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you share what is the trend of pricing realization in the international markets? Like is there a price increase we are seeing for paddy?

Ashwani Arora : So as far as domestic price are concerned, that has gone high from season 20% to 25%. But as far as the international price is concerned, that the deal are done 85% in the season only. So whatever the 10%, 15% left trading is left, that has seen 15% to 20% higher prices than the season price. I hope that answers your question.

Anubhav Mukherjee : Yes, sir. And sir, the domestic price, like you mentioned, has been a significant increase will only suffice to take the hit from maybe higher procurement side this year? Or will we be able to improve our gross margin because of that?

Sachin Gupta : The cost has gone up, so there will be further improvement in the gross margins in the coming years.

Sachin Gupta : In absolute terms, the gross margin will be low.

Moderator: The next question comes from the line of Yogesh, an individual investor.

Yogesh : I re-queued myself to ask another question, which I forgot earlier. Regarding the insurance case that was going on, in simple terms because I'm an individual investor, I don't understand the nuances of the legal terms. But in simple terms, if INR100 was expected to be received, including the interest over the years for the Bhopal case, how much is it already on the books

and how much more is expected and likely when?

Ashwani Arora : Okay. I will tell you. So the lower court as well as High Court and Supreme Court has asked insurance company to give us money against bank guarantee. So that we have got -- we have given the bank guarantee. But in accounting, no accounting has been done whatever the gain is like our books, INR136 crores is outstanding with the insurance company, we have got 50 crores, but we can't do the accounting till the final verdict will happen, which is in the June. I hope that answers.

Yogesh : Yes, sir. It greatly does answer my question. So you mean to say that, sir, is the amount in an escrow account?

Sachin Gupta : So it is -- in fact, not in an escrow account, we have that money. So it is the court that has asked for the bank guarantee against that amount. So we have that amount because the bank guarantee was to be given, we have deposited an FD amount equivalent to the bank guarantee amount. So that is basically the FD account. So that is it.

Moderator: The next question comes from the line of Saurabh Beria from Sameeksha Capital .

Saurabh Beria : I just wanted some guidance on the capex . So if you can guide on net asset figure or capex LT Foods Limited

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as a percentage of sales figure because as we keep on growing at a rate of, say, 14%, 15% so we'll have to have more capex , right? So going forward, can you give me a capex guidance?

Ashwani Arora : Yes. So this year, we have spent INR330-odd crores. And the next year also will be in the same range. So this is the broader guidance on the capex . So we don't calculate on the percentage of the revenue. We calculate on the production tonnage.

Saurabh Beria : If you can guide on net asset gross asset number?

Sachin Gupta : So basically, what we are telling this

year or the coming forward year because there was

certain one-off buildup of the spend. So on a year-on-year basis, you can't tie up with that number because capex for this year might service for the next 2, 3 years. So that way, it goes like that. On a conservative basis, you can tie up the amount of depreciation, what we have, that will be invested in the capex . So almost on a long-term trajectory itself, INR250 crores of capex each year that will be done. So this year or the previous year, we invested because we are building a capacity for the next 3, 4 years. So that will be there.

Ashwani Arora : Every year, we grow 50,000 to 60,000 tons of rice. So if we build that rice capacity, so the thumb rule is the cost will be INR3 crores per ton.

Saurabh Beria : Okay. And currently, what is the total capacity ton-wise which we have?

Ashwani Arora : Okay. So we have in terms of millings, paddy to rice, we have we have 8 lakh tons of capacity in India. I am talking about India specifically. And we pack rice roughly, again, 8-9 tons.

Moderator: The next question comes from Abhishek Mathur with Systematix.

Abhishek Mathur : Just wanted to check in the domestic market, this regional rice is an opportunity that we have talked about in the past. Can you give an update on that? What is now the sales level that we have from this segment? How is it growing? That would be helpful.

Ritesh Arora : So it continues to grow in the last financial year at a higher double-digit growth. So it's approximately now around INR170-odd crores in revenue, which comes out of our regional rice portfolio. And it will continue to remain our focus, and we will continue to grow this in the future as well.

Abhishek Mathur : Right. And lastly, just a clarification. The normalized margins that you have presented for the full year, they have -- they don't incorporate the impact of your higher spending on A&P, brand building or the higher level of U.K. investments, right? They are only adjusting for the U.S. tariffs and the accounting adjustment. Is that correct?

Sachin Gupta : Correct. You are absolutely right. That accounts for only for the tariff and -- the tariffs.

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Abhishek Mathur : So sir, therefore, the slight 40 basis point reduction in the operating margin that we see from FY '25 to FY '26, that would be on account of the higher A&P and the U.K. investment?

Sachin Gupta : Partly because of the tariff. The tariff if I talk about the passing of tariff to the end consumer and building up of the inventory and organic. That is the reasons for lower margins, reduced or 40 basis change in the margins.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Monika Jaggia : On behalf of the management of LT Foods Limited, we sincerely appreciate your participation in our post earnings call. We hope we have been able to address your queries and provide clarity on the performance and outlook. For any further questions or follow-ups, please feel free to reach out to me or our Investor Relations partner, Ernst & Young. The team will be happy to connect with you offline and assist with you any additional information you may require. So now we may please close the call.

Management: Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services and LT Foods, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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"LT Foods Limited Q4 & FY'25 Earnings Conference Call"

May 15, 2025

MANAGEMENT : MR. ASHW ANI KUMAR ARORA – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , LT FOODS LIMITED
MR. SACHIN GUPTA – CHIEF FINANCIAL OFFICER , LT FOODS LIMITED
MS. MONI KA CHAWLA JAGGIA – CHIEF CORPORATE DEVELOPMENT OFFICER , LT FOODS LIMITED
MODERATOR : MR. MEET JAIN – MOTILAL OSWAL FINANCIAL SERVICES

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Moderator : Ladies and gentlemen, good day and welcome to LT Foods Limited 's Q4 and FY25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited .

As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Jain from Motilal Oswal Financial Services . Thank you and over to you sir.

Meet Jain: Thank you. Good afternoon, everyone and a very warm welcome to the LT Foods 4Q FY25 post results earning call hosted by Motilal Oswal Financial Services Ltd.

On the call today we have the Management Team being represented by Mr. Ashw ani Kumar Arora – MD & CEO Mr. Sachin Gupta – CFO , Ms. Monica Chawla Jag gia – Chief Corporate Development Officer. We will begin the call with key thoughts from the Management Team . Thereafter we will open the floor for Q &A session.

I would now like to request the Management to share their perspective on the performance of the Company . Thank you and over to you, ma'am.

Monica Chawla Jaggia : Thank you Meet. Good afternoon, everyone and thank you for joining us on our Q4 and Financial Year '25 Earnings Conference Call.

Before we start with the key highlights of the quarter and year ended 31st March 2025, I would like to highlight that certain statements made or discussed on the conference call today are forward looking and a disclaimer to this effect has been included in the Results Presentation shared with you earlier . Result Documents are available on Company 's website and have also been uploaded on the Stock Exchange. A transcript of this call will also be made available on the investor section of the Company 's website.

We at LT Foods have built a strong brand by focusing on quality and smart growth. Being a global consumer food Company , we put great effort into making better products and ensuring the finest quality which help consumers trust us. By expanding globally and building a portfolio of very strong brands, we have become a top choice of many consumers. Our marquee brands Daawat and Royal are now well known for high quality basmati rice in homes across the world. This has helped us gain significant market shares in India and international markets like the US, Europe and the Middle East. We keep investing in sustainable practices , control our entire value supply chain and continue to further strengthen our global distribution network. We have significantly expanded our product portfolio to meet evolving consumer needs. We launched our

RTH and RTC meal options, healthy snacks , organic foods and ingredients and health focused rice varieties that cater to the modern dietary preferences.

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Over the past year , we have undertaken major expansion projects in UK and entered into high potential market i.e. Saudi Arabia. We ended the year with a strong quarter delivering a top line growth of 8% in Q4 Financial Year '25 wherein our revenue reached to Rs. 2,260 crores from Rs. 2,092 crores. This was because of increased sale from our core segment that basmati and speciality rice as well as the organic food and ingredients segment. Gross profit grew by 20% and the gross profit margin is 370 bps higher, that is 32.9% to 36.6% which is attributable to the favorable input prices. EBITDA for Q4 was up by 11% year-on-year basis at Rs. 290 crores and EBITDA margin stood at 12.8%. PBT is up by 6% from Rs. 204 crores last year to Rs. 216 crores in Q4 Financial Year '25. PAT for the quarter increased by 7% to Rs. 161 crores compared to Rs. 150 crores in the previous year. EPS is

higher by 8% at 4.62 versus 4.28 in Q4 Financial

Year '24. Cash profit for the quarter was higher by 9% that is Rs. 213 crores.

Now coming to our annual performance :

Our consolidated revenue for the fiscal year Financial Year '25 increased by 12% to 8,770 crores versus Rs. 7,822 crores in Financial Year '24. This is because of the increased sales across all the segments. Gross profit stood at Rs. 3,030 crores and the gross profit margins expanded by 200 bps from 32.5% to 34.5%. EBITDA increased by 8% to Rs. 1,067 crores compared to Rs. 988 crores last year. EBITDA margin was at 12.2% that is marginally lower by 40 bps. The profit after tax is higher by 2% that is Rs. 612 crores versus Rs. 598 crores last year. The earning per share is at 17.43 which is up by 2% and the cash profit increased by 6% to Rs. 797 crores versus Rs. 750 crores last year.

Moving on to the key ratios of our balance sheet :

The return on the capital employed stood at 21% in Financial Year '25 compared to 21.7% in Financial Year '24. Return on equity stood at 16.8% for Financial Year '25 compared to 19.2 in Financial Year '24. The net debt to equity ratio is at 0.2 in Financial Year '25 versus 0.1 in Financial Year '24 and the net debt to EBITDA ratio is 0.6 in Financial Year '25 compared to 0.5 in Financial Year '24. The current ratio 1.9 is there in the Financial Year '25. Our net working capital day stands at 196 days in Financial Year '25 versus 188 days in Financial Year '24.

Now I think we can open the floor for the question answers please.

Moderator : Thank you very much . We will now begin the question -and-answer session. We have a first question from line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain : Good evening. I have two questions. The first one is with respect to the gross margins , if I look at full year, your gross margin has seen good improvement, almost 33.9%, 180 basis point improvement and most of it has been visible in Quarter 4 almost (+300) basis point increase in gross margins. But when we look at EBITDA margin it has not actually flown through to EBITDA , just 30 basis point increase. So, if you can help in explaining, is there like last time you mentioned about higher shipping cost and things like that, is there anything which is sitting in other expenses and not helping the overall improvement in EBITDA margins?

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Ashwani Kumar Arora: Evening Resham. To your question, on the logistic cost we have lost 1.7% and then we have done the advertising. So, I think 0.4% went there and then there is as you know in the UK, we have capitalized the facility, so admin cost has gone up. So, this is broadly the breakup of where the gross margin has gone. I hope that answers.

Resham Jain: Yes sir, this is very clear. These three factors which you mentioned, any of the three factors, are you seeing any reversal in FY26?

Ashwani Kumar Arora: So logistic cost , yes, it has come to normal. Advertising will be this year more because we have this year heavy spent on the consumer side. So, advertising will increase more. But logistic cost will come to normal .

Resham Jain: Understood. So maybe we can maintain or slightly improve margins in FY26 possibly. Is that how one should read it?

Ashwani Kumar Arora: Yes, that's what we are expecting.

Resham Jain: Okay, understood. And so, the second question is with respect to the acquisition, I think which you have done, Global Green Group. If you can just give some color on the overall transaction and how can it help?

Ashwani Kumar Arora: Yes, it's a canned food business, roughly 40 million. It has good synergy. I think the detail we would like to open on when the definite agreement is signed. But it's a good opportunity came to us and we will tell more about once this definitive agreement is signed. But good synergies in

that, it's

a proposed to acquire, today the board meeting we have proposed to query.

Resham Jain: Understood. Okay, I will come back in the queue. Thanks.

Ashwani Kumar Arora: Sure.

Moderator: Thank you. We have our next question from the line of Pradyumna Choudhary from JM Financial family office. Please go ahead.

Pradyumna Choudhary: Thanks for the opportunity. First, I just wanted to understand regarding two operational data points. One is why Europe has been so slow for us, 2% growth in Q4, that's one? And second is what would be the freight cost as percentage of revenue for Q4? I have more questions after this.

Sachin Gupta: So, the freight cost as revenue to sales, if you talk about the full year, it is 6.5% of my revenue.

Pradyumna Choudhary: Okay. No, for Q4?

Sachin Gupta: For Q4 it is 5.8%.

Pradyumna Choudhary: 5.3% you said.

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Sachin Gupta: 5.8%.

Pradyumna Choudhary: Okay. And why has Europe been so slow for us?

Sachin Gupta: So, Europe is not slow, actually what has happened in Europe, there were two entities, Europe and UK. So, there are two separate entities. Now the UK operations are being looked by the UK operations as such. So previously Europe and UK was getting merged and consolidated. So that's the reason. Otherwise, it has also grown as per the market.

Ashwani Kumar Arora: Consolidated we have grown.

Sachin Gupta: Yes, consolidate we have grown.

Pradyumna Choudhary: All right. And another couple of questions. One is what is the likely impact of if there is any tariff, whatever tariff gets finalized by the US on India and that's one? And the impact of if suppose there is some sort of a recession in US given the kind of we are in more of a consumer statement kind of category. So, would it really impact us, usually in the past what sort of consumer behavior we have seen in the US? That's number one. And second, after this I will ask my last question.

Ashwani Kumar Arora: No, you wanted to ask a second question, or should I answer your first question?

Pradyumna Choudhary: Maybe you can just take this up.

Ashwani Kumar Arora: As far as you see the trend so there is no impact on the recession rather even in April we are seeing the good signs, so there is no impact on demand. So, we will grow, and the second thing is your question about the duty impact. So, there will be no duty impact as it has been compensated by this year we had a lower material cost. So rather, we will improve the margin this year.

Pradyumna Choudhary: No, like I was trying to understand more from a past behavior point of view. In the past also, whenever the US has gone into recession, what sort of customer behavior change we have seen, do they tend to down trade, do they tend to go for cheaper brands?

Ashwani Kumar Arora: So, what we have seen in history, we have seen 2-3 times, we acquired this business in 2008 and there was a recession in 2009-10. But what we have seen in all the times, even in Covid time and all the time when the recession come, home consumption goes up in America, especially in the food side. So historically this has happened. We have not seen any negative on the consumption side.

Pradyumna Choudhary: All right. And one question was how are we really positioned in the US market? Like are we amongst the lowest price players there because like from a simple exercise I did, I just went to amazon.com and I searched for basmati rice on some random US address and from whatever

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options seem to be available, Royal brands seem to be among the lowest priced ones. So that's how we position ourselves? If you can just help with that.

Ashwani Kumar Arora: So Royal hold more than 55% market share. We are number one selling brand, both in the mainstream as well as in the ethnic channel. Regarding price point,

there are two price point

available, and the royal is on the price point you have seen. So, there are other price point, but which sells only very slow. It's only roughly 5% to 7% of the total category. And in that price point we have a Daawat, we have position there and it's also doing very well.

Pradyumna Choudhary: Okay, so but that understanding is correct, that we are amongst the lower priced as in the US market for basmati rice?

Ashwani Kumar Arora: So, there are two price points, only it's not lower, so there are two price points and we are in the range of that price point, which is roughly \$20, £20.

Sachin Gupta: And sometimes it happens, there might be certain schemes that might be running in order to, there are certain times the platforms run its own schemes, that might be the case at your time when you might be seeing the price it might be lower. Otherwise, we are priced at a premium itself in most of the markets.

Pradyumna Choudhary: All right, thank you and all the best.

Moderator: Thank you. We have our next question from the line of Harsh Shah from Bandhan AMC. Please go ahead.

Harsh Shah: Hi sir, good evening. I just have two questions. First is that just to clarify on the last question you guys mentioned that in case of any tariffs, if that remains basically, we will not be taking any price increase. It will be substituted by the lower RM price, right?

Ashwani Kumar Arora: As I said, it has been compensated.

Harsh Shah: Currently they have 10% base tariffs, if that remains basically, we will not take any price hike. It will be more than offset by the lower RM prices.

Ashwani Kumar Arora: That's right. It is offset by the lower RM cost.

Harsh Shah: Got it. And secondly when we look at the standalone number it's a flat kind of growth. It's flattish number revenue number this quarter. So that basically 8% India revenue growth is offset by lower pricing.

Sachin Gupta: So yes, you are right. In India, if you look at the previous numbers as well, our 3rd Quarter India is highest because in the West we have other schemes that goes on. That's why in the 3rd Quarter generally in India it is the highest. So that's why you are seeing that in India itself there is a degrowth of almost 9% on the quarter-on-quarter basis.

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Harsh Shah: YOY if you look at a standalone business it is flat, right?

Sachin Gupta: Y-on-Y it is flat. So, Y-on-Y and yes you are right. So, it is basically because of the price here itself. So, price reduction is taking it.

Ashwani Kumar Arora: So, if you ask, overall, we have grown by value term 9 and volume 10.

Harsh Shah: That is for the consol business.

Ashwani Kumar Arora: No, India you asked.

Sachin Gupta: India if you look at the India business as such, India business in the volume terms we have grown by 12% whereas in case of the value growth in India it is 13.5%.

Harsh Shah: Only the basmati rice segment in India.

Sachin Gupta: Yes.

Harsh Shah: What is the volume and value growth in fourth quarter?

Sachin Gupta: With the fourth quarter, if you talk about the fourth quarter itself on the Y-on-Y basis volume has increased by 15% and the value growth is 7%. So, there is the realization has decreased by 6.5%.

Harsh Shah: And how do you see this because of this lower paddy prices, how do you see FY26 panning out for us both if you could give us a sense in terms of India business and overall, at consol level what's the kind of volume growth and resilient value growth which you expect in FY26?

Ashwani Kumar Arora: So, volume growth is roughly overall the consolidated we are expecting 7%. So, consol level, consolidated, that's the volume we are expecting. This year we are expecting a full year with the integration of the balance 49, we are expecting the revenue to be Rs. 10,000 crores.

Harsh Shah: And if you could

split between volume and value. Let's say organic business, I mean organic as an organic ex of the integration.

Ashwani Kumar Arora: No, this is a consol of all three verticals which is specialty rice, organic and you mean to say organically.

Harsh Shah: Organically ex of the integration.

Ashwani Kumar Arora: Yes. So roughly because there is a value degrowth. So almost same value but volume growth will be there.

Harsh Shah: Same value as in same like FY25 basically?

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Ashwani Kumar Arora: Yes, but there will be volume growth.

Sachin Gupta: There will be volume growth of almost 9% to 10% of volume. That will happen.

Harsh Shah: Okay, thank you. And sorry, just one more question. Do we source anything from Pakistan for our business?

Ashwani Kumar Arora: Not, in the last year we sourced from Pakistan but this year we don't have any position from Pakistan. It's all sourced from India. But last 2-3 years we were sourcing from Pakistan.

Harsh Shah: What was the proportion of that let's say of overall procurement.

Ashwani Kumar Arora: No, that we do roughly 700,000 tons, Pakistan be only 30, so 4% to 5%.

Harsh Shah: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Abhilash Bhandari from Vasuki India Fund. Please go ahead.

Abhilash Bhandari: Hello sir. I have two questions. The first one is so now the Indus Valley Treaty has been cancelled. So, what will be the impact on Pakistan's basmati rice production and India's market share in the world for your basmati rice? And the second one is what will be the impact of UK FDA, if the tariffs are reduced or anything for supply in Europe?

Ashwani Kumar Arora: Answering to your first question that we don't do, India doesn't do business with Pakistan. It's our Europe subsidiary which used to buy from Pakistan. So, there is no any treaty impact. So, although in this year as I said earlier that we are not buying so India was more competitive. So, this year we bought only from India and that's what we are expecting next year also we will most probably buy from India only. So, on the UK treaty there is a no negative impact on us. So, it is same, as on the brown rice there was a zero duty, this year also no change in that.

Abhilash Bhandari: So, what about Ready-to-Cook segment?

Sachin Gupta: So Ready-to-Cook segment, what you wanted to ask?

Abhilash Bhandari: So, would we have any impact, any benefit in the Ready-to-Cook segment if you UK agreement takes place?

Ashwani Kumar Arora: In UK we don't do any Ready-to-Eat. Ready to eat is more US and India centric business. So, no we are not doing any business with UK on Ready-to-Eat.

Abhilash Bhandari: Okay so answer one last question. What is the impact on Pakistan's production of rice due to the Indus Valley Treaty?

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Ashwani Kumar Arora: That is too early to assess. But in the coming months we will be able to know what the impact would be. Sowing happens in the first week of July or midweek of July only. So, we will be able to know but I don't think there will be any impact here.

Abhilash Bhandari: Okay sir, thank you.

Moderator: Thank you. We have our next question from the line of Damodaran Kutty from Aequitas Capital. Please go ahead.

Damodaran Kutty: Thank you for the opportunity. Just two questions from my side. One is on the Golden Star business. So, can you give some outlook on the margins there? Given the margins I think from your last call you had said that margins were impacted because of the freight cost and margins have almost halved. So, for FY26 what is the outlook on margins and growth there and the impact of tariffs on sourcing there in that business? Because I believe you source from Thailand and that has at least by initial reports they are quoting a 46% tariff there.

So, will it change our competitiveness in terms of sourcing? That's on the Golden Star business. And on the other question on CAPEX including, so you have the option of buying out the 50% stake including that what will be the CAPEX outlay for this year? Yes, those are the two questions.

Ashwani Kumar Arora: Second question Sachin will take. So, first question on the Golden Star, we source Jasmine Rice under the Golden Star brand. So, there is a specific community which consumes this rice. So, they are very loyal. So, we don't see any impact on the demand side. Regarding the impact of the duty as I just said that 10% there is a duty, and we have passed on to the customer. So, we have yet to see any impact on the demand side, but we expect that there will be no impact here.

Damodaran Kutty: Okay, so if I get you correctly you are saying you are already passed on the 10% impact is what you are seeing?

Ashwani Kumar Arora: Yes.

Damodaran Kutty: Okay, great. On the freight cost bit if you can answer.

Ashwani Kumar Arora: Freight cost this year is back to normal because last year only in between the disruption came and we were not able to pass on. But this year it has been normal and it's all in control.

Damodaran Kutty: Okay, so you should expect margins to revert back to their normal state.

Ashwani Kumar Arora: Yes, that's what we are expecting, that the margin will improve.

Damodaran Kutty: Sure. Thanks. And if you can answer in the CAPEX front?

Sachin Gupta: So, regarding the CAPEX this year, what we have is almost a Rs. 340 crores of CAPEX that will be there and that will be majorly in the warehousing facilities and the RTH facility in the US.

That will be there as regarding the CAPEX this year in '25-26.

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Damodaran Kutty: Okay, you said warehousing and RT in the US Facility.

Sachin Gupta: RTH in the US.

Damodaran Kutty: Okay, 640. So, this doesn't include the stake buyout that you will have I mean the option to exercise?

Sachin Gupta : That will be separate . Yes, that will be a separate one.

Damodaran Kutty: Okay, got it. That's it from my side. Thank you.

Moderator: Thank you. We have our next question from the line of Meet Jain from Motilal Oswal Financial Services. Please go ahead.

Meet Jain: Hi sir, first question is regarding the falling prices of basmati . So, like we are seeing a falling realization for FY26 in the Indian market. This is due to the better output what we have seen in the domestic basmati production. And do we see similar kind of price fall in other geographies wherever we are present in ?

Ashwani Kumar Arora: So, there will be impact of net of impact in US and India. I don't think there will be any impact on the other part of the world .

Meet Jain: So, what can be a margin trajectory going ahead? Are we expecting a stable kind of margin for FY26 as well ?

Ashwani Kumar Arora: Yes, we are targeting in the range of 13 % EBITDA margin.

Meet Jain: Second thing was on the logistics freight, earlier we mentioned that we will be expecting similar kind of logistic cost for our 1Q FY26 quarter as well. Are we on that stance or we are seeing better normalization in 1Q as well ?

Ashwani Kumar Arora: The freight rate is normalized now.

Meet Jain: So, we can see better margins in 1Q ?

Ashwani Kumar Arora: That's what I said. We are targeting the range of 13 % EBITDA margin.

Sachin Gupta : So, Meet Ashwani Ji had earlier told. So, we will be investing more on the brand. So yes, the logistic cost as it is softening up. But our investments in the brand as the brand will be increasing this year.

Meet Jain: Correct. On the similar logistics cost are we seeing from the Thailand also for our Golden Star business , normalization in that geo also ?

Ashwani Kumar Arora: Normalized. The freight cost globally is norm

alized now.

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Meet Jain: Yes, normalized. Okay. Thank you so much. I will get back to the queue .

Moderator: Thank you. We have our next question from the line of Amit Doshi from Care Portfolio Managers. Please go ahead.

Amit Doshi: I am saying that the logistic cost has been normalized is what we are saying. If I have to just put it in numbers. Last year you mentioned 6.5% of sales was our logistic cost. So what is the likelihood of that percentage this year FY26. ?

Sachin Gupta : So, if you flip back our Quarter 4 numbers , our logistic cost as a percentage to revenue is 5.8%. So that's what 1% or 2% downwards. So that's the normal logistic cost.

Amit Doshi: Okay, understood. And in terms of this Global Green Company proposed acquisition. While I understand that it is still a proposed acquisition. Just wanted to understand your thought process in terms of this funding of around Rs. 600 to 800 crore s that is projected and what kind of likely margin of that products of that Company .

Ashwani Kumar Arora: First of all , it's value is around 25 -24 million. It's not Rs. 600 crore s. It's only in terms of rupees its around Rs. 200 crore s. Partly we will roughly what we are proposing is 6 -7 million we will put equity , rest will be through borrowing and going forward with the synergy in sales. And we are planning to put the rice factory in East Europe also because to service the rest of the part of Europe . So, all in the coming years we are expecting the return on equity in the range of 20s. That's a canned food business.

Amit Doshi: Yes, I don't know in the, the press release, it is mentioned €6 million cash consideration.

Ashwani Kumar Arora: Yes, 6 million is the equity and the rest the Company holds borrowing so that we will acquire that Company . The borrowing will also come.

Amit Doshi: Okay, and the margin profile of these products.

Ashwani Kumar Arora: So, on the margins, the EBITDA margins in the range of 6 % to 7%. But with the synergies, we are expecting to improve.

Amit Doshi: Understand. Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen. In order to ensure that the management is able to take questions from all participants in the conference, please restrict yourself to only two questions per participant. Should you have a follow up question, we request you to rejoin the queue. We have our next question from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Thank you for taking my question again. So, two questions. First is on the inventory. I could see that compared to last year your inventory is higher by 25% in value -terms. I think that possibly the volume increase will be slightly higher than 25% given that prices have come down, the

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procurement prices. So, I was just trying to understand, given that you mentioned that 9 % to 10% volume growth is what we are expecting for the full year, is that more conservative given that your procurement has been quite good.

Ashwani Kumar Arora: Resham as you said rightly one is the inventory gone up because of the volume growth. And the second, the prices were very in favor of us. Normally we keep as a policy partly we buy in procurement and partly we buy in off season. But this year we thought it's a very attractive price. So, we bought more inventory than regularly we buy or of course, we are a little optimistic also as this year the prices are good. So, we are expecting that we will have better growth than the projected.

Resham Jain: Okay, understood. And do you mean that you bought more paddy than rice this time?

Ashwani Kumar Arora: Yes, more paddy.

Resham Jain: So, the conversion margin will also be slightly better than usual.

Ashwani Kumar Arora: Yes.

Resham Jain: Okay, understood. So, the second question

is on the overall balance sheet. I think you have managed it very well and you have received I think Rs. 250 odd crores from insurance in April and you are carrying a very high inventory. So, by September do you expect the overall net debt situation would be almost like closer to zero? Because you will not buy an incremental inventory in the next six months. You will keep consummating that inventory and at the same time you have received this Rs. 250 crore s additional money as well. So how should one think about the net debt situation going forward?

Sachin Gupta : So, Resham, you are right in that sense. So, in India our net debt position will be positive , we won't be having any kind of debt. In fact, in the month from July and onwards. So, our cash position and the net debt basis we will be positive. The debt requirement will be in the case of the European entity. So apart from that there will be no debt in the Indian or the US entity.

Ashwani Kumar Arora: So, India and us will be completely debt free , yes.

Sachin Gupta : In India there will be surplus that will be available.

Resham Jain: Understood. Okay. All the best. Thank you, sir .

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. We have our next question from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

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Devesh Kasliwal: Thank you for the opportunity, sir. On the Indus Water Treaty , I will just frame the question a little bit better over here. So, if at all India stops water and this continues and becomes structural.

So, do you think output from Pakistan to Middle -east will go down and that can increase our opportunity in the Middle -east region where we are right now focusing on as well on a structurally longer -term basis ?

Ashwani Kumar Arora: This is all political thing we can't have. But Pakistan is not at the moment is a big player to Middle -east. India like in export roughly this year we will be around 6 million tons and Pakistan is not even 700,000 tons. So, I don't think with this Indus we will have any impact from Pakistan and the basmati even is grown in the Punjab. So, they have the other sources of water also which is groundwater. So, it's all estimate but not going to change any position here to our thinking. It's not a big factor.

Devesh Kasliwal: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: Hi sir. Thanks for the opportunity. Sir, can you give me the volume figures means India tonnage, US tonnage and Europe tonnage and value for each for the quarter and year?

Sachin Gupta : So, you can write it to our IR team and they will provide you with relevant data.

Vipul Kumar Shah: But every time means last 2-3 calls, I have raised this and on one of the occasions you have promised it to be part of the presentation. So why don't you give it on this call ?

Ashwani Kumar Arora: Sometime s for a competitive reason we don't want to have this on. But as last call also we said if you will write to the IR we will definitely attend to that .

Vipul Kumar Shah: And sir, this acquisition. Due to this acquisition, all the revenue will be consolidated for this full year?

Ashwani Kumar Arora: Yes. We have proposed if required it would be consolidated.

Sachin Gupta : Yes. So, the remaining part of the year . After the acquisition the remaining part of the year the revenue will be consolidated.

Vipul Kumar Shah: So, what was the revenue of that entity last year?

Sachin Gupta : It was €40 million revenue last calendar year.

Vipul Kumar Shah: €40 million.

Sachin Gupta : €40 million.

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Vipul Kumar Shah: So that will be consolidated only after that transaction is completed, right, for the remainder part of this year?

Sa

chin Gupta : Yes.

Vipul Kumar Shah: And sir, don't you think we are stagnating since last one year? There is hardly any profit growth in spite of volume and revenue growth we are not able to translate it into profitability at the net level. So, means are we facing any competitive intensity or are we investing in the brand, how should one look at this?

Ashwani Kumar Arora: Definitely we are improving our margin. If you see from ROCE perspective, we have moved from 14 to 21 on the PAT level. We have grown in the 5 year from roughly Rs. 350 to 600 crores.

So, we have done very well. As far as if you are talking about the percentage margin that's also moving but the mix is also changing. So, like some business has a lower working capital requirement. They have that kind of margin. We have built a very high-quality business which is generating the free cash flow higher ROCE growing. So, all factors, we are very happy with the way we are growing.

Vipul Kumar Shah: And so lastly over 5 years, in the continuation of that last point only if you allow. So, over last 5 years what type of market share we have gained in India?

Ashwani Kumar Arora: So, I don't have. But I think we have moved from 2.1 to 2.7.

Vipul Kumar Shah: 21 to 27.

Ashwani Kumar Arora: Yes. So, we have doubled our business in India in the last 5 years.

Vipul Kumar Shah: I am talking about market share.

Ashwani Kumar Arora: So that's what I am saying that, 21 to 27. Yes, that's the market share we have improved on.

Vipul Kumar Shah: Okay sir, thank you and all the best.

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. We have a next question from the line of Lavita Lasrado from Mirae Assets. Please go ahead.

Lavita Lasrado: Hello. I have two questions. Can you talk about more on after the partnership with Sali c, how is our Saudi business progressing? How is the margin profile in this region? Are we going to benefit down the line?

Ashwani Kumar Arora: It is progressing well. We are doing as per our plan, progressing well.

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Lavita Lasrado: Can you talk more on the margin profile like is it going to help down the line in terms of increasing our margins considering the product profile that we have in this country?

Ashwani Kumar Arora: In the coming '25-26, our revenue will be more than Rs. 10,000 crores and at the moment Saudi is contributing only Rs. 55 crores. So, it will take some years to make the impact from the bottom line and top line. But we are positive, we are doing business as per plan in Saudi Arabia.

Lavita Lasrado: Okay, thank you. So, I have a second question. Can you give me channel wise contribution in India?

Ashwani Kumar Arora: Right now, we don't have this moment, but you can write to us.

Lavita Lasrado: Sure. Thank you.

Moderator: Thank you. We have our next question from the line of Tom from GEOJIT. Please go ahead.

Tom: Hi, thank you for the opportunity. I would like to know about the tariffs imposed by US.

Like what is the rate and when will it be applicable? Could you throw some color on it and one

another question is how are we going to pass on it to customers? Like yes, that's my question.

Ashwani Kumar Arora: So now it's a 10% tariff. We have already implemented the price hike, whatever the price adjustment. So, it is in effect. I hope that answer your question or something I left.

Tom: Yes. Passing on and how is the accounting done? Like will it be part of the other expense and revenue?

Sachin Gupta : So, it is a procurement cost if you talk about, it is the cost of securing that material in the US. So it will be the cost of goods sold in that.

Tom: Okay, thanks so much.

Moderator: Thank you. We have our next question from the line of Hitesh Goel from Riddish Advisors. Please go ahead.

Hitesh Goel: Thanks for taking my question. Sir, I

have two questions. First on the RM part, so most of the procurement benefits have come through in this quarter, right? Because you already procured for the full year. Basically, right now you said that you will not pass on the tariff impact in US and you will absorb it through the RM cost decline. Now you are saying you have already passed on. Can you please clarify?

Ashwani Kumar Arora: Passed on means adjusted, I will correct myself. I said it has been adjusted.
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Hitesh Goel: So, basically the impact is yet to come, right? I mean in next quarter the gross margin will deteriorate because basically the raw material cost benefit has already come through. But the duty impact will come from the next quarter, right?

Sachin Gupta : Not really. As you know this is a basmati and you require the aging. Whatever has been procured in this season will come into effect from the second quarter , 3rd Quarter itself. So, in this quarter or the previous quarter we have a crop that was for the last year. So that kind of....

Hitesh Goel: So basically, more procurement benefits will be coming through as the newer inventory gets used up, right?

Sachin Gupta : Yes. So that's what Ashwani Ji previously told us that in the second or 3rd Quarter our impact of the GP margins further there will be improvement. There will be margin increase in the EBITDA as well.

Hitesh Goel: And sir, on the other expenses, basically first is obviously this freight cost you had said there's a 2% increase which has happened in last 1-1.5 years , there's been 2% increase as a percent age of sales.

Sachin Gupta : Correct.

Hitesh Goel: Now you are saying it is almost done. It is almost done, and we have already realized only 100 bps. So, this is now new normal. We will not get that more than 100 bps.

Sachin Gupta : Yes. So that's what we are expecting. So currently what we are seeing now that is the new normal of 1% increase decrease from the hike that was there.

Hitesh Goel: Okay. And my final question on advertising, I am not able to understand. Your market share is quite high in India as well as in US and our advertising spends are also higher than our competitors. So why are you spending so much on advertising?

Ashwani Kumar Arora: First of all, both the markets are growing in the double digit. And if you wanted to grow so then you have to keep invest behind the brand. That's what .

Hitesh Goel: But sir, I mean this year anyway the demand is quite strong, right? Because prices have come down. So why are we spending more on advertising expenses?

Ashwani Kumar Arora: If we all understand consumer business, you have to keep investing behind the brand every year, if you wanted to acquire new consumer, if you wanted to sustain in this competitive world.

Whereas the category was also spending money. So, in competition if you see , its roughly Rs. 250 to 300 crore s is being spent on the category alone in India. And we are spending and now we have the new consumer proposition that when you don't leave any effort then it is called as Daawat. And that has been delivered by Mr. Shah Rukh Khan and doing very well. It's very impactful and we are quite confident that , that will bring the market share gain and the new

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consumer and the new growth . So, India which I can tell that in the coming 5 years also what we are expecting that India will keep growing 10 % to 15% in this category .

Hitesh Goel: Okay, no problem, sir. Thank you and all the best.

Ashwani Kumar Arora: Thank you.

Moderator: Thank you. We have our next question from the line of Abhilash Bhandari from Vasuki India Fund. Please go ahead.

Abhilash Bhandari: Hi sir. So, I have just one more question. What is the revenue share of Jasmine Rice in the top line because it's not mentioned ?

Sachin Gupta : The Ja

smine , the Golden Star revenue is not getting consolidated. It is a JV. It is just the profit from the JV that is getting consolidated.

Abhilash Bhandari: Thank you.

Moderator: Thank you. We have our next question from the line of Nandita from Marcellus Investment Managers. Please go ahead.

Nandita: Thank you for the opportunity. I just wanted to ask what exactly has come into the other income part of the profit and loss statement this time in Q4 , it has gone up from roughly around Rs. 13 crores to 30 crores. So wanted to just understand what actually happened over there .

Sachin Gupta : So, in this Nandita, the major portion is the exchange fluctuation profit that we have owned. And secondly, yes, so we were charging certain portion from Golden Star. So, there is the income from the Golden Star as well. So that is there. The Golden Star revenue is quite good in the 4th Quarter. So that has resulted in the increase in the other income.

Nandita: Thank you.

Moderator: Thank you. Ladies and gentlemen , this would be the last question for today and I now hand the conference over to the management for closing comments.

Ashwani Kumar Arora: Thank you so much for joining and look forward to see you soon. Thank you.

Moderator: Thank you, sir. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.